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Allianz Research | 9 October 2026

Toasted, not burnt: France's bond sell-off and the road to the 2027 election

Ludovic Subran
Chief Investment Officer and Chief Economist
ludovic.subran@allianz.com

Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com

Maxime Darmet
Senior Economist USA-UK-France
maxime.darmet@allianz-trade.com

Patrick Krizan
Senior Investment Strategist
patrick.krizan@allianz.com

In Summary

- **France is the hardest hit in the global bond sell-off, mostly due to its own fiscal and political weakness**. Since the Hormuz crisis began, 10-year OAT yields have risen 150bps (US +115bps, Italy +132bps, Germany +83bps) as the prolonged energy crisis exacerbates fiscal concerns in a politically fragile environment. France' fiscal deficits have remained above 5% of GDP for four consecutive years. Debt has risen from 98% of GDP in 2019 to over 119% in Q2 2026, and the 2026 deficit is now expected at -5.4% against a -5% initial target.
- **A "short Europe" trade amplifies the move and spreads it to the rest of the Eurozone while the ECB looks the other way**. Foreign banks and non-banks hold 36% of OATs and Japanese investors about 5% (EUR137bn), exposing France to the repatriation trade and price-sensitive investors. Speculative shorts, hedge-fund asset-swap unwinds and thin liquidity feed a negative loop, with market depth more than 50% below normal and the OAT spread over Bunds peaking at 150bps. The speed reflects a positioning shock, not a pure repricing of fundamentals. Long-term investors are sitting out ahead of the elections, given budget uncertainty and the sensitivity of OATs to political fragility. Spanish and Italian spreads are about 20bps wider, bank CDS are widening and French and Italian three-month bills are converging toward the ECB's marginal lending rate. Fragmentation is far from 2012 or 2020 levels, but the ingredients are in place. The ECB has not yet intervened and may limit itself to verbal intervention, while continuing QT and pushing through two more hikes (+50bps).
- **Baseline: A watered-down budget, but the fiscal arithmetic stays heavy for France**. We expect GDP growth of +0.5% in 2026 and +0.9% in 2027. The Assembly votes on the budget on 20 and 27 October, and we expect a budget by year-end through ordinances or Article 49.3, keeping the 2027 deficit at -5.3% of GDP. This should contain fiscal slippage and stabilize financial conditions, with OAT spreads in the 120-150bps range. Higher rates (+100bps) will feed through over the next three to six months, adding EUR25bn (0.8% of GDP) in gross interest expenses for households, non-financial firms and the government combined. The debt-stabilizing deficit is -2.7% of GDP, which requires savings of more than EUR80bn, plus EUR15-20bn a year to stop social and interest spending from widening the deficit. This takes credible fiscal measures (better tax mix, higher retirement age) and growth-enhancing reforms.
- **Adverse scenarios: France-centered crisis or Eurozone crisis?** The Middle East situation is far from contained; oil prices could stay above USD100/bbl for another six months, leading to a further global bond sell-off hitting France the hardest, tightening financial conditions and jeopardizing deficit reduction. Domestically, opposition parties could take down the government or slippage surprises resurface despite a passed budget, tightening conditions in the same way. In this context, GDP would stall at +0.0% in 2027 and spreads reach 150-175bps. The ECB would talk up and potentially launch repo intervention. In our view, it would take a substantial Eurozone-wide contraction (France -0.5% in 2027; Eurozone -0.2%; OAT spreads at 175-200bps) for the ECB to tweak or stop QT, launch open market and repo intervention and stabilize funding markets (as OATs and BTPs make up 50% of euro repo collateral).
- **Looking ahead, the 2027 elections are the next test, and TPI is a late and uncertain backstop**. With the presidential election on 18 April and 2 May 2027 (legislative elections likely to follow), we see four scenarios: i) a President with an absolute majority and allies, who delivers fiscal consolidation; ii) a President short of a majority who seeks alliances (our baseline, with the 2028 deficit at -4.9% and spreads above 100bps); iii) a President short of a majority without alliances and iv) a political and fiscal crisis, for instance from unfunded tax cuts or spending hikes, with spreads above 200bps and widespread contagion. Only in this last scenario would the ECB activate the Transmission Protection Instrument (TPI). The risk is a lack of political will rather than of instruments, and redenomination risk is the tail case.

France is the country most affected in the global bond sell-off

Since the start of the Hormuz crisis, yields on 10-year French government bonds (OAT) have risen by 150bps (vs 115bps for the US, 132bps for Italy and 83bps for Germany), the highest jump among developed economies. The feedback loop between rising oil prices and interest rate expectations has met structurally vulnerable public finances whose credibility has been increasingly undermined by growing political fragility since the 2024 dissolution of the National Assembly. France's debt-to-GDP ratio has surged from 98% in 2019 to over 119% in Q2 2026, with over 121% of GDP expected in 2027 (vs 83% to 87% in the Eurozone). Meanwhile, the weakening economy (+0.5% GDP growth expected this year) is leading to a fourth consecutive year of fiscal slippage: The government now expects a deficit of -5.4% of GDP against the -5.1% targeted in the 2026 Budget. With Moody's upcoming review on 23 October, France is now at risk of losing its AA rating (currently Aa3 by Moody's vs A+ by S&P and Fitch Ratings, i.e. already one notch below); current pricing, if sustained, would even imply a BBB rating.

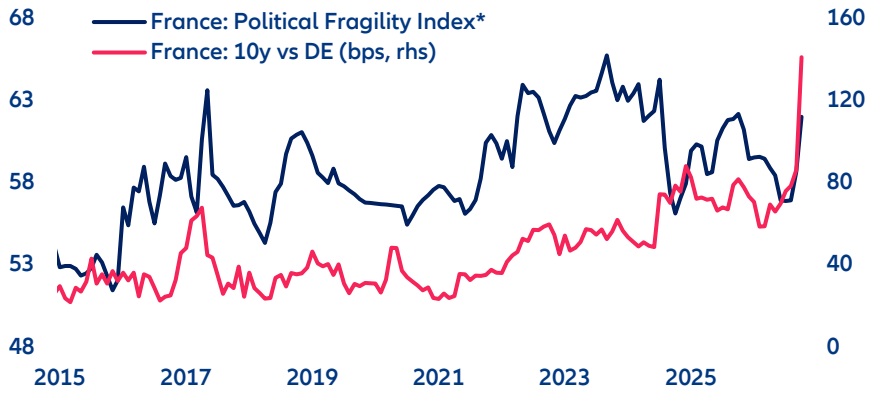
Table 1: Macroeconomic and fiscal forecasts for France in 2027

	Government	Allianz Research
Real GDP growth (%)	1.0	0.9
Inflation (CPI. %)	1.8	2.2
Public balance (% GDP)	-5.0	-5.3
Primary balance (% GDP)	-2.1	-2.5
Debt service costs (% GDP)	2.9	2.8
Public debt (% GDP)	121.7	121.8

Sources: French government, Allianz Research

France is the first victim of the Japanese repatriation trade. More than other European sovereigns, France's investor base is exposed to price-sensitive players. The most volatile group, foreign banks and non-banks, holds 36% of French government bonds. Domestic banks and non-banks, whose holdings fluctuate less, account for 32%, while non-price sensitive investors (domestic and foreign central banks) make up only 32%. Other European countries have either a stronger anchor in the domestic market (Italy with 66% vs 47% for France) or with foreign central banks (Germany with 26% vs 16% for France as Bunds as the primary FX reserve vehicle). Among foreign holders, Japanese investors play a significant role, holding around 5% of outstanding French government bonds (~EUR137bn). As interest rates rise in Japan, these positions become less attractive relative to domestic holdings. At best they are no longer rolled over, at worst they are actively liquidated. In the recent bond sell-off France became the first victim of the Japanese repatriation trade, even though it plays only a minor role compared with the US as an overweight in Japanese investors' benchmark allocations .

Figure 1: France's risk premium is very sensitive to changes in political fragility

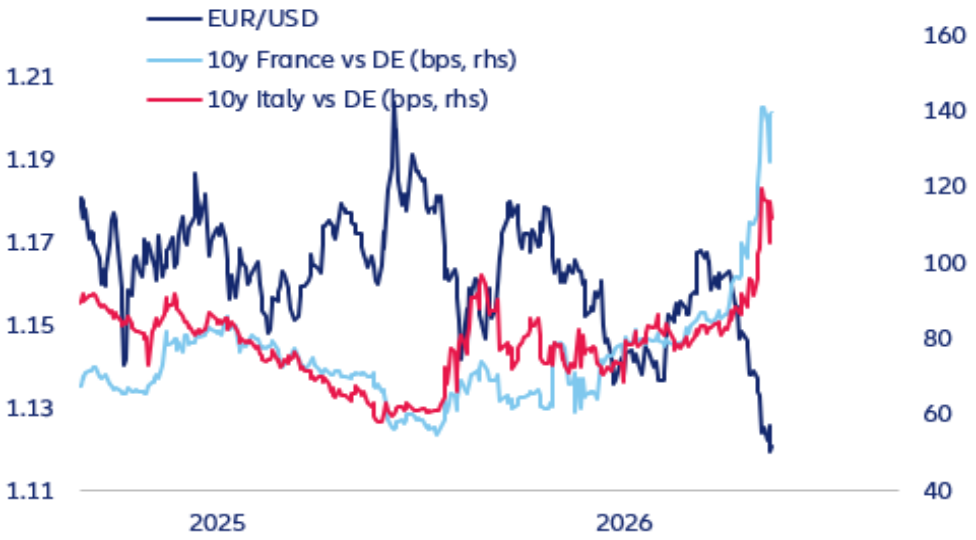


**Note: The Political Fragility Index is created by Allianz Research as a weekly, poll-based index on a 0–100 scale (higher = more fragile), built from smoothed (Kalman filtered) poll-of-polls vote shares. Find more in our publication here.*

Sources: LSEG Datastream, Allianz Research

Fiscal concerns, political fragility and investor base have created the vulnerability; sentiment and positioning determine the market reaction. A "short Europe" trade has built up for some time in markets and France is identified as the most vulnerable link (Figure 2). A negative feedback loop is now at work. A bearish narrative around political fragility and fiscal risk is amplified by very large speculative short positions, sales from Japanese institutional investors, hedge fund unwinding asset swap positions and a limited presence of buyers, with market depth more than 50% below normal. In such conditions, even small trades can move prices sharply. OAT yields have spiked rapidly, with the 10-year spread vs the Bund widening to a peak 150bps, rising twice as fast as during the Eurozone crisis. Realized OAT spread volatility has jumped to the 90th percentile. These market dynamics point to massive repositioning rather than a repricing of fundamentals. But as long as a stabilizing force of buyers is missing, this volatility can persist.

Figure 2: A Short Europe trade has built up with pressure on EGB spreads and EUR-USD



Sources: LSEG Datastream, Allianz Research

As contagion has switched sides, the European Government Bond (EGB) market could move from country-specific fragility to general fragmentation. The OAT sell-off has already spilled over to other EGBs. Unlike 15 years ago, when France fell victim to contagion from the periphery, it is now the other way round. Spanish and Italian bond yields rose significantly, while German yields fell. Their 10-year spreads versus the Bund widened by around 20bps. This decoupling within the EGB space is accompanied by widening bank CDS spreads, especially in France. Meanwhile, Euro funding market is under elevated stress. French and Italian three-month bills are converging toward the ECB's Marginal Lending Facility rate, the effective ceiling for Eurozone money-market rates. A break above the MLF would signal a disruption in funding markets. The ingredients for a broader fragmentation of monetary conditions are thus in place, even if the current magnitude remains far from those of 2012 or 2020. However, monetary transmission is also a function of time: If these stretched conditions persist for an extended period, an intervention of the ECB will be more likely, especially if we see a persistent decoupling of yield movements between core and periphery that can feed fears of redenomination risk.

What's next?

The 2027 budget bill is facing stiff opposition at the National Assembly, putting the planned deficit reduction in jeopardy. Presented to the cabinet on 1 October, the draft budget (PLF) and the social security finance bill (PLFSS) for 2027 target a public deficit of -5.0% of GDP, down from -5.4% in 2026. The budget is essentially about preventing the deficit from getting worse rather than a fiscal adjustment. The government has announced EUR43bn of new fiscal-measures (1.4% of GDP), split between EUR25bn (58%) in spending restraint (including slowing spending compared to expected trends such as healthcare spending, central government cuts, social spending restraint, local authorities cuts) and EUR18bn (42%) in new revenues.

First, opposition parties are already pushing back against most of the big revenue raisers measures, including the

cut to the tax allowance on pensioners' income (EUR1.4bn), the taxation of sick leave (0.5bn) and cutbacks on funding to local governments (EUR2.5bn). Second, the persistence of elevated energy prices and tighter financial conditions could pressure GDP growth next year, denting expected government receipts. The government expects GDP growth at +1% in 2027, while we expect +0.9% but with increasing downside risks. The next key milestones to watch will be 20th and 27 October when the National Assembly votes on the Draft budget part I (revenues) and the Social Security finance bill (Figure 3). The debt stabilizing fiscal deficit stands at -2.7% of GDP, half of today's level, which entails an improvement of the public deficit of EUR83bn from 2027 on top of around EUR15-20bn of additional savings to find each year just to prevent the deficit from rising (to contain rising social security and interest spending).

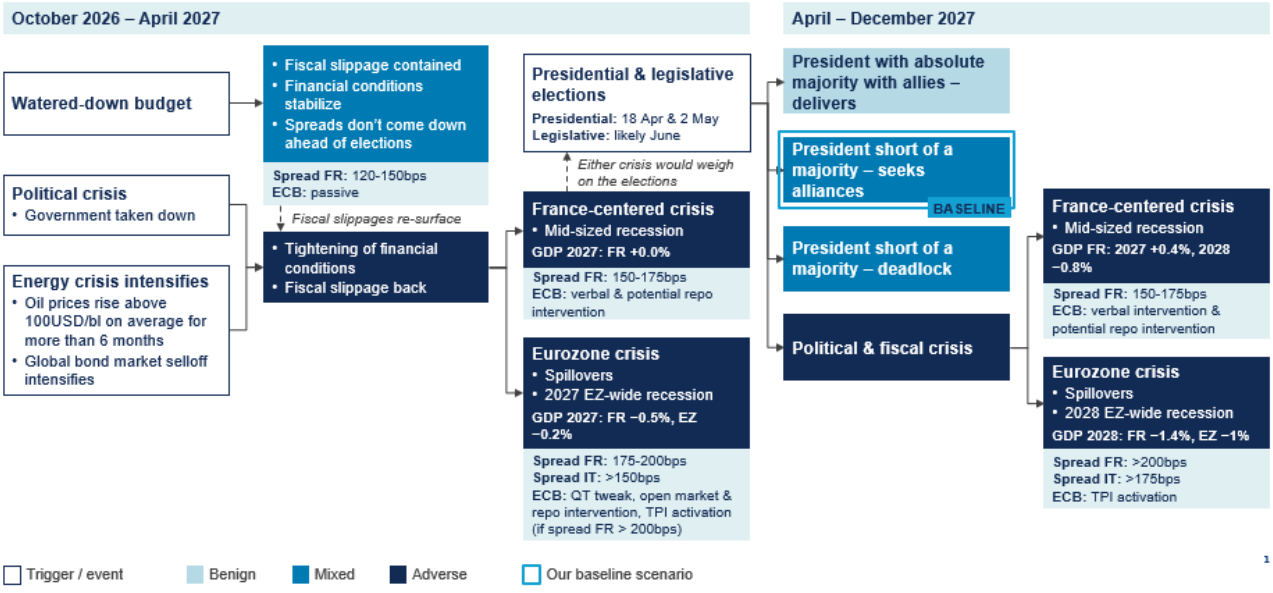
Figure 3: France's key political & budget milestones



Note: legislative elections are not yet scheduled – the National Assembly's term runs to 2029 unless the next president dissolves it. Sources: LOLF art. 45, Constitution art. 47, Assemblée nationale budget calendar of 15 Jul 2026, rating agencies, Allianz Research

We lay out different scenarios of what could happen between now and the elections (Figure 4). Starting in the short-term, we envisage three broad possibilities: i) a watered-down budget passed before year-end which plans a stabilization or a slight improvement of the deficit, ii) a political crisis with opposition parties taking down the government and iii) a re-intensification of the energy crisis.

Figure 4: Economic, political and market scenarios October 2026-April 2027



Source: Allianz Research

In our baseline scenario, we expect the French government will manage to pass a watered-down budget while the energy crisis eases, allowing the deficit to remain in check in 2027 (-5.3% of GDP) Opposition parties do not

have an incentive to soften their stance with the Presidential elections approaching on 18 April and 2 May 2027. But they also do not have an incentive to create a political crisis by taking down the government. Notably, the National Rally (Rassemblement National, RN) has expressed a preference for implementing a budget rather than relying on the ''Special Law'' mechanism that was used in early 2025 and early 2026 In this environment, we expect the government to manage to pass a mini budget, by year-end, of limited fiscal effort just to keep the deficit in check (at -5.3% of GDP), either through executive ordinances – a budgetary mechanism never previously utilized under the Fifth Republic – or by triggering Article 49.3.

In this baseline scenario, OAT spreads should enter a phase of stabilization but contagion risk remains. After the clean-up of derivative positions, we see 10-year OAT spreads trading in a pre-election range of 120-150bps. But the evolution of the French spread will not be isolated, with the potential to trigger a renewed contagion move. The French budget and election situation feeds the "short Europe trade", and this negative sentiment dominates country-specific fundamentals. We also do not believe that stabilizing the French situation alone will be enough to bring the EGB market back into a convergence trade. Now that dislocations have emerged, EGB spreads are likely to become the new playground for speculative (leveraged) players looking to exploit them. With this comes elevated rates and FX volatility and the risk of money market stress. We expect the ECB in this case to limit itself first to verbal intervention like a change in wording from "monitoring" to "ready to act" or "disorderly market dynamics". We see the tipping point at a 10-year OAT spread above 150bps.

In a more adverse scenario where the energy crisis does not ease and/or France slips into another political crisis, a crisis emerges, either France-centered, or with spillovers and contagion to other Eurozone countries. Under a scenario of renewed tensions in energy markets, the global markets selloff would intensify. Financial conditions would tighten more in France, weakening the economy and putting in jeopardy the deficit reduction. Alternatively, the government could be taken down in Parliament, triggering a grave political crisis and leading to tighter financial conditions. Even under our baseline scenario of a watered-down budget, fiscal slippages could re-emerge – for example if the economy is weaker than expected, or if the fiscal adjustment falls short of what is planned (e.g. if revenue-raising measures disappoint). Additionally, under a Special Law, the risk of wider deficit could increase if continued through the presidential elections in 2027, which could lead to France-centered crisis or a Eurozone crisis if tightening financial conditions in France spill over to other Eurozone countries. In a France-centered crisis we would expect the French economy to enter a mid-sized recession as tighter financial conditions would weigh on domestic demand (see next section), with GDP at +0.0% in 2027. In a Eurozone crisis, we would expect French GDP to contract -0.5% and the whole Eurozone economy -0.2%.

In this adverse scenario, we could see the 10-year OAT spread rising to 175-200bps. This would create widespread contagion in the EGB market and in the banking sector. In this case, it will clearly be up to the ECB not to let the situation escalate into a euro crisis 2.0. Unlike in the euro crisis, when the escalation was fueled by a lack of instruments while the political will was there, this time the deployment of the instruments (TPI, OMT) could fail due to a lack of political will and institutional inertia. It would be particularly precarious if markets began to price redenomination risk, i.e. the possibility of a country leaving the Eurozone. But we see this scenario as a tail risk. If the EGB and money markets move towards general fragmentation, we expect the ECB to set operational steps (QT tweak, temporary operations) at OAT spreads around 175bps, but only alongside broader contagion with BTP spreads around 150bps and Spain and Portugal widening together. For France, a QT tweak would represent a relief of EUR4.8bn on average per month, equivalent to around 20% of monthly issuances since June. But the problem is that "Europe short traders" can also do this math and adjust accordingly. At this point the ECB would not only operate in the secondary bond market but also need to stabilize funding markets as in French OAT and Italian BTP represent 50% of the EUR repo market collateral. The TPI activation would be late in the process and require OAT spread around 200bps with widespread and persistent contagion.

In 2027, the presidential (and likely legislative) elections could re-escalate economic and market pressures. We envisage four scenarios, which we detail more in Figure 5. In a nutshell, under our baseline assumptions, the

newly elected President will not secure an absolute majority when she or he provokes legislative elections. Nevertheless, the President will have the strongest group at the National Assembly and will benefit from strong popular support. In this environment, we would expect the President to negotiate with some opposition parties to pass a budget putting the deficit on a downward trajectory. Nevertheless, deficit reduction will be limited (-4.9% GDP deficit expected in 2028) amid strong aversion for rapid fiscal tightening in Parliament and public opinion. The 10-year spread will likely remain above 100bps. In an adverse scenario of political and fiscal crisis, for instance triggered by the enactment of tax cuts and/or spending hikes not credibly funded, a France-centered or Eurozone crisis scenario would re-emerge. In the latter case, the ECB would likely intervene with the TPI with French spreads breaking 200bps and Italian spreads above 175bps.

Figure 5: Economic, political and market scenarios after April 2027

Baseline

*The color coding of the titles represents the potential market scenarios corresponding to each political outcome			President with absolute majority with allies – delivers (10%)		President short of a majority – seeks alliances (40%)		President short of a majority – deadlock (30%)		Political & fiscal crisis (20%)	
Politics			• Centrist or moderate left president delivers its pledges • RN is business friendly and delivers credible savings measures to reduce the deficit		• Centrist or moderate left President gets implicit or explicit support from moderate parties to pass some fiscal consolidation measures; • RN gets implicit or explicit support from some right-wing MPs to pass some fiscal consolidation measures		President does not find enough support in Parliament to pass significant consolidation measures Focus centers on cutbacks to central government spending and a few negotiated measures (eg targeted tax hikes) Special Law or Ordinances likely		• President with or close to majority: government passes populist measures not credibly funded • President without majority: deadlock between government/Parliament worsens	
Fiscal policy and economy			Sizeable fiscal tightening (1% GDP); GDP growth hit initially on tight policy & protests. Loosening financial conditions offset partially hit to activity		Moderate fiscal tightening of 0.3-0.6% GDP in 2027-2028; GDP growth soft, political uncertainty retreats a bit		Government struggles to limit the rise of the deficit; Tighter financial conditions induce the government and Parliament to increase fiscal effort in 2028 (close to 1% GDP)		Government does not pass fiscal consolidation measures ; financial conditions tighten sharply, forcing the government to embark on sharp fiscal austerity in 2028 (1.7% GDP)	
Economic indicators	Unit	2026	2027	2028	2027	2028	2027	2028	2027	2028
GDP growth	%	0.5	0.6	0.8	0.9	1.1	0.7	0.2	0.4	-0.8
Inflation	%	2.2	2.0	1.2	2.2	1.3	2.0	0.9	1.7	0.2
Fiscal deficit	% of GDP	-5.3	-4.7	-4.2	-5.2	-4.9	-5.6	-5.7	-6.4	-6.7

Source: Allianz Research

In the short term, a significant easing of global yields and elevated French spreads hinges on three factors: 1) a substantial easing of the energy crisis, which would reduce inflationary pressures, limiting or even ending further central bank hikes. 2) Strong and credible fiscal-consolidation measures passed by decree, though this remains unlikely before the presidential election. One option used previously is reducing healthcare spending, but the amount of savings is limited to EUR5-10bn (Table 2). 3) A cooling US economy could moderate the global bond sell off, though this too seems less likely before 2027.

Table 2: Measures the French government can implement by decrees to bypass parliamentary vote

Measure	Can government act without new parliamentary vote?
Cancel already authorized State spending	Yes
Freeze/cancel some budgetary appropriations	Yes
Adjust medicine reimbursement within regulatory powers	Yes
Adjust healthcare tariffs/payment parameters	Yes, within statutory framework
Tighten implementation of existing social schemes	Often yes
Change parameters of social contribution rebates	Sometimes yes
Abolish/reduce a statutory benefit	Generally, no
Permanently change tax rates	No
Fundamentally redesign social-contribution exemptions	Generally, requires legislation
Change the ONDAM target itself	Generally, Parliament/LFSS

Sources: French government, various, Allianz Research

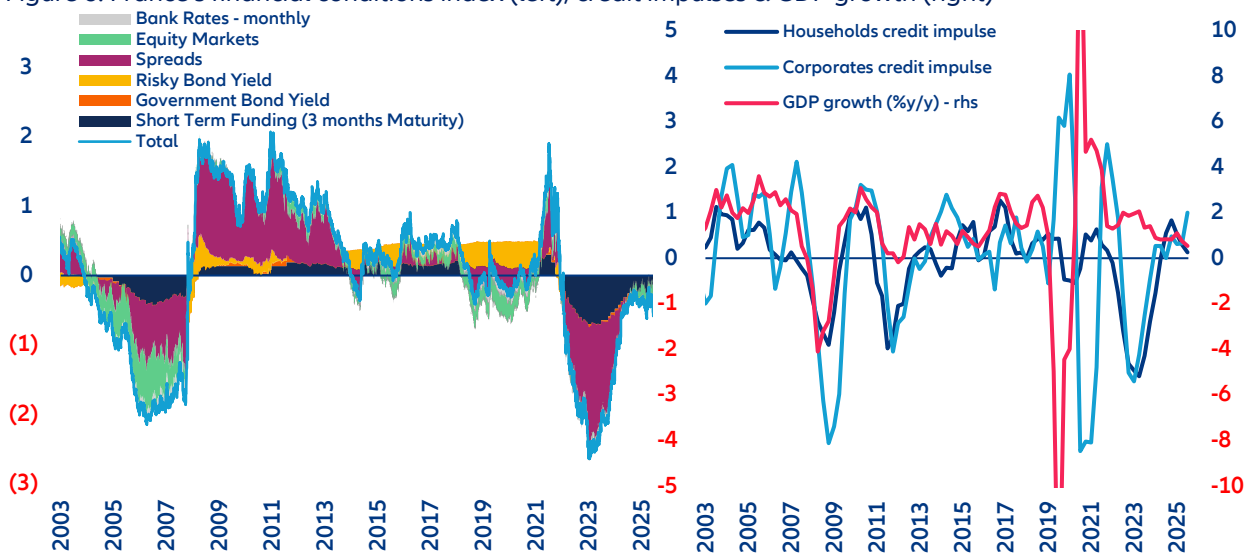
In the longer-term, only a sizeable fiscal-consolidation program can ease French spreads sustainably. Ideally, a combination of the following would have the most benefits:

Credible fiscal adjustment (the least growth-hurting). On the revenue side, fiscal consolidation should rely on a more efficient tax mix to limit negative growth effects. An increase of VAT rates would bring large receipts without hurting potential growth. Freezing income-tax thresholds should be preferred to increase social contributions to limit the negative impact on labor demand and labor supply amid already high labor taxation in France. Some inefficient and costly tax rebates and loopholes could also be cut down. But most of the fiscal adjustment should be operated through expenditure cuts. An increase of the effective age of retirement – for instance through a rise in the number of years of contribution – would bring substantial savings and increase tax receipts. Substantial savings could also be enacted on public agencies and local governments' administrative costs. In parallel, the government could launch a comprehensive spending review to improve efficiency of public expenditure, benchmarking what has been done in the past in countries such as Canada and Sweden.
Growth-enhancing reforms. The government could implement structural reforms which will likely support growth in the medium-term, reducing the need for further painful fiscal adjustment later on. A pension reform would not only bring higher receipts and increase savings; it would also stimulate labor supply and potential growth[1]. Other growth-enhancing measures include a revamp of school education methods, scaling back excessive regulation, incentivizing higher-skilled education and hiring through a reform of the taxation system.

The trickle-down effect of tighter financial conditions

The ongoing bond market problem could increasingly become an economic problem through tighter financial and credit conditions, but the economy has buffers to sustain a short-term financial shock. Higher sovereign interest rates have started to filter through on to consumer, mortgage and corporate funding costs, and the pass-through will continue through 2027. This will tighten the credit and financial cycle, through higher borrowing costs on new lending, higher refinancing bills and tighter access to credit, and ultimately weaken consumer and investment spending. Our BIS-built Financial condition index (FCI) for France shows that overall financial conditions have tightened sharply recently, but from a relatively loose level (Figure 6, left). They are now close to their long-term historical averages. Besides, the credit impulse for households and corporations remains supportive to date (Figure 6, right). During the Eurozone crisis of 2011-13, the credit impulse turned sharply negative but GDP growth held up. While the latest ECB Bank Lending Survey (BLS) points to the credit impulses weakening in the next couple of quarters, this does not necessarily mean that GDP growth will weaken sharply. The French economy has buffers to withstand a negative finance shock, provided it does not last too long and does not get worse. In particular, households have high savings and corporates' cash reserves have been rebuilt recently, though many firms struggle with elevated bankruptcies.

Figure 6: France's financial conditions index (left); credit impulses & GDP growth (right)



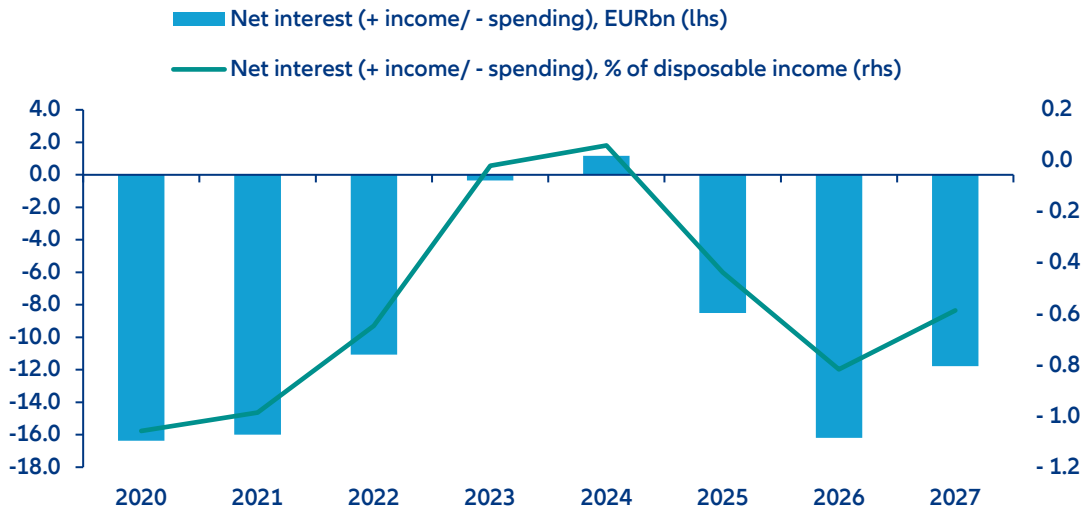
Sources: LSEG Datastream, BIS, Allianz Research
Note: last data point in the FCI is 5th October 2026.

A rise of +100bps of interest rates mean EUR25bn (0.8% of GDP) in additional gross interest expenses for the French households, non-financial corporates and the government. We find that a +100bps increase in interest

[1] *The employment rate of senior people (aged 55+) has increased substantially following the 2023 pension reform, highlighting the growth-benefit of such reforms.*

rates would almost double households' net interest income in 2026 to -EUR16.3bn from -EUR8.5bn in 2025, or the equivalent of 0.8% of disposable income (see Figure 5). Contrary to US or UK households, French households tend to lose when interest rates increase. We calculate that the interest earned on assets would reach EUR24.5bn while the interest paid would rise to EUR40.7bn.

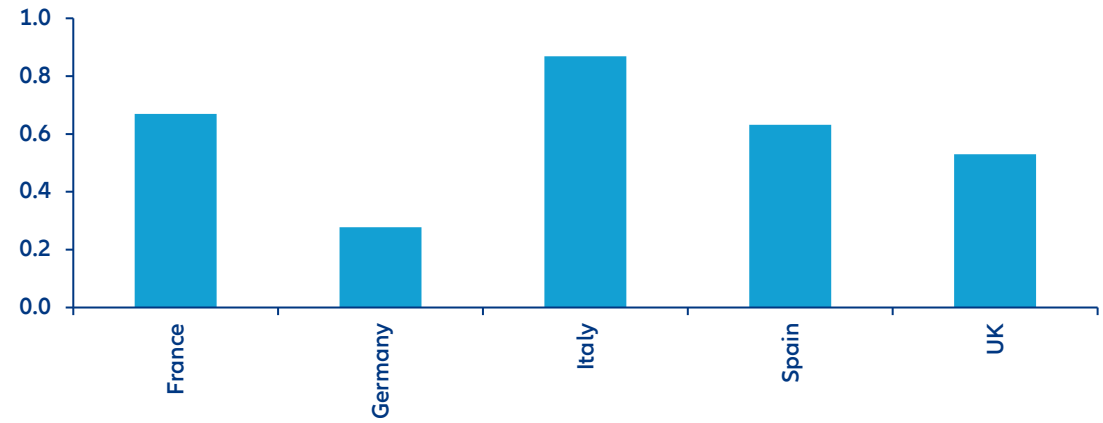
Figure 7: Impact of a +100bps shock on interest rates for French households



Sources: LSEG Datastream, Allianz Research

For French non-financial companies, around 50.6% of debt is due to reset or mature within the next 12 months, well below the level in Italy, Spain, the UK and the US, where 78 to 90% is due for refinancing. However, France starts from the largest corporate debt stock in Europe in this sample, at around EUR2.27trn. This means that even with a lower refinancing share, around EUR1.15trn of debt still needs to be repriced within a year, more than in Germany, Italy or Spain. In addition, the pressure is amplified by the starting level of borrowing costs. French corporates already face an effective interest rate of 6.1%, the highest among the European peers shown here. Under a +100bps interest-rate shock, the effective pass-through would amount to roughly +89bps, adding around EUR10bn to annual interest expenses. Relative to gross operating surplus, this represents an additional burden of about 2.1% of GOS, the highest impact across similar peers, and could shave roughly -0.7pp off gross margins (see Figure 6). For the French government, a +100bps increase in the weighted average interest rates would mean +0.3% of GDP in 2027 (EUR11.7bn) and +0.7% of GDP by 2035. Indeed, France has a rather long average maturity of its debt (>8.5 years) which protects it from very high volatility on its interest expenses.

Figure 8: Impact of a +100bps shock on French non-financial corporates margins, pp of gross value added



Sources: LSEG Datastream, Allianz Research

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Allianz Research | 8 October 2026

From legacy capital to smart bets : Europe's path to a competitive auto industry

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com

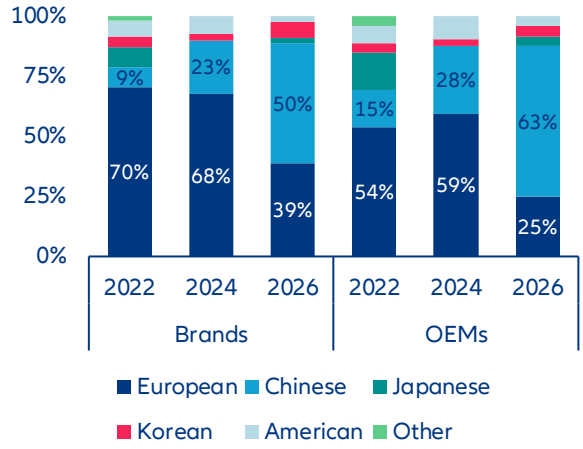
In Summary

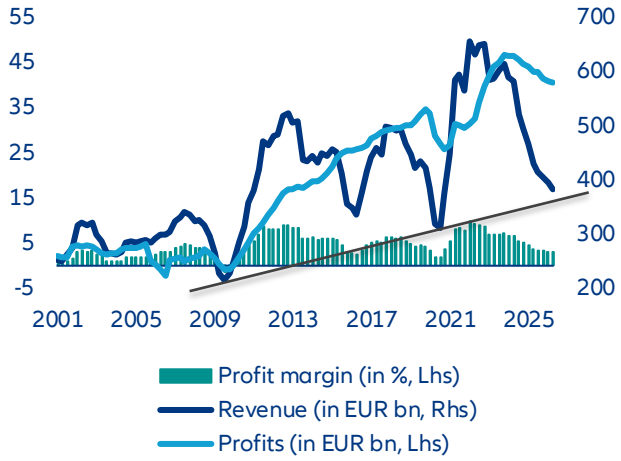
- **Chinese brands will dominate the Paris auto show next week. They represent 50% of exhibitors versus just 23% in 2024, a visible sign of a deeper, structural shift already reshaping the market.** China holds 10% of European registrations, 16% in battery electric vehicles (BEV) and 26% in plug-in hybrid electric vehicles (PHEV). This comes as Europe's auto market defies a sluggish growth outlook, up +5% YTD through August, suggesting structural change rather than a cyclical blip. Low-carbon demand leads the charge: BEV sales are up nearly +45% YTD, reaching parity with petrol-powered engines (22%), amid energy volatility, EV cost compression and targeted subsidies for low incomes.
- **A deeper rift is opening between political ambition and industrial execution, and it risks setting a technology trap.** Easing targets now breeds complacency precisely when the shift to low-carbon production needs to accelerate. Europe is poised to soften carbon penalties and cut the 2035 zero-emission target to 90%, relieving Original Equipment Manufacturers (OEMs) who underinvested rather than forcing them to catch up. Support was needed to share the burden, but without a binding roadmap, automakers will simply buy time, falling further behind Chinese rivals. Demand itself is uneven: BEVs are today the second biggest segment in France and Germany (30 and 26%), yet lag below 10% in Italy, Spain or even in the key but less accessible US market, exposing a dangerous short-term versus long-term arbitrage.
- **Added-value erosion of EUR3bn by 2030 must be urgently contained.** The shift in dominant technology and rising competition from China have eroded the big three German carmakers' market share materially in core markets – down 10pps in Europe and 7pps in China since 2021. In Europe, where manufacturing costs are less competitive, domestic added-value per vehicle in H1 2026 was 30-45% lower than in 2021/2022 while in China that decline has been smaller, less than 20% over the same period. A further realistic 3pps market share slide in both markets by 2030 would translate into a EUR3bn added-value deterioration for German OEMs, equivalent to 4pps of EBITDA margin.
- **Whoever secures reliable, cost-competitive battery production will shape the next decade of automotive competitiveness.** Vehicle value is migrating from the factory floor to the software stack: Engine and chassis once represented 35–45% of an internal combustion engine (ICE) car's value, but battery and software now account for 50–60% of a BEV's. "Made-in-Europe" content requirements would preserve some manufacturing jobs, but at a steep cost: ~EUR2,000 per vehicle (+5% retail price), coverage of only ~50% of domestic battery demand by 2035 and a wider technology gap with global peers. They would do little to reduce sovereign risk either: over 70% of European-based battery technology will be held by Asian firms, according to the current pipeline. The more achievable path is to grow Europe's footprint in capital-light, high-value segments (design and IP), capturing added value without the capital risk of manufacturing.
- **Europe should pursue smart partnerships over full sovereignty, anchoring Asian battery and chip production on European soil, pooling procurement and R&D and consolidating onto fewer EV platforms under strict capital discipline.** Diversifying further into into defense looks relevant it has strong public funding but is running out of capacity. The long-term bets worth making are solid-state batteries, recycling, proprietary chip design, local AI infrastructure and autonomous trucking and logistics, where Europe can differentiate without competing head on against entrenched US and Chinese leaders.

A legacy capital mindset behind a structural crisis

The 2026 Paris auto show is emblematic of the changing global order in the automotive industry. European brands account for just 40% of exhibitors in this year's edition of the flagship industry event, to be held from 12-18 October, down from 68% compared to 2022 and 2024. This pullback reflects intense cost-cutting measures amid a severe profitability crisis, with manufacturers engaging in tactical arbitrage. Meanwhile, Chinese players are seizing the opportunity and confirming their strong interest in the European market: Chinese brands surged from 9% to 50% of exhibitors at the event, and Chinese OEMs from 15% to a dominant 63% by 2026, using this prime European stage to attract new audiences and accelerate their continental expansion. This highlights the rebalancing of power within the automotive industry, where dynamic and innovative new competitors are openly contesting the long-held dominance of Europe's established giants. While this is not the industry's first downturn, this time the weakness is structural rather than cyclical, and its root is identifiable: a legacy capital mindset that, for two decades, funded the defense of mature ICE assets and short-term margins instead of the electric, digital and industrial bets that would determine the next cycle. The technology lag, the China shock and the brand erosion are best read not as separate failures but as symptoms of that same underlying capital allocation culture.

Figures 1 & 2 : Breakdown of attendees of Paris auto show by origin of OEMS and brands / 12-month trailing revenue, profits and margin rate from largest German automakers



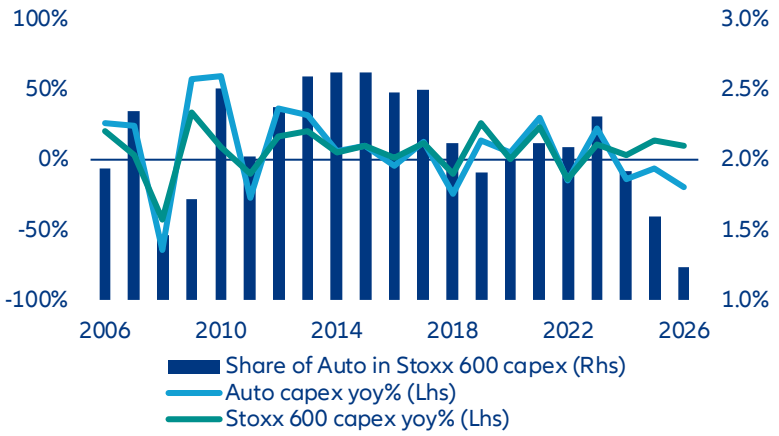


Sources: Salon de l'Auto notice, LSEG Datastream, Allianz Research

A legacy capital mindset: capital defended the past, chased the quarter and bet small when it finally moved. European automakers' balance sheets tell the story of a capital culture built for a different era. For years, capital was steered to sustain and optimize mature ICE platforms and defend near-term margins – the sunk-cost logic of an incumbent reluctant to cannibalize its own cash cow – rather than to pre-fund the electric and digital transition while there was still runway to do it gradually. When bets were finally placed, they were sized and governed like legacy capex, not like venture-style industrial transitions: The ill-fated decision to internalize middleware software development, a domain far removed from automakers' core competencies, burned time and money for negligible results, while billions in diesel-related penalties and surging impairment charges drained cash reserves that could instead have funded the transition of ICE plants to EV production lines, scaled battery gigafactories or fueled critical R&D. Historically, the auto sector led capex growth during expansion years but proved more vulnerable in downturns. Yet today's situation is uniquely alarming: The broader economic cycle remains steady while auto capex is collapsing (-20%, its strongest contraction since 2018) even as non-auto European blue-chip capex expands by +10%. That is short-termism showing up directly in the numbers: capital retreating precisely when software-defined vehicles, AI-powered autonomous systems and the early diffusion of robotaxis are reshaping the industry's competitive frontier. Having already missed the EV wave and fallen behind in the software revolution, European carmakers cannot afford to sit out the autonomous race. Yet the pause on Level 3 development is another example of risk-averse, low-conviction capital deployment at exactly the wrong moment. In this industry, moats and

technology edges erode fast. Today's investments are tomorrow's profits, and a mindset built to defend yesterday's assets has left financial leeway too thin to allow another misjudgment.

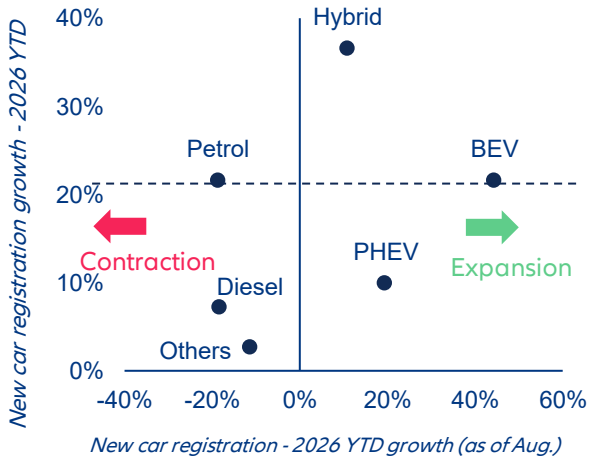
Figure 3 : Evolution of capex from European automakers vs. Stoxx 600 benchmark (annual growth & share)

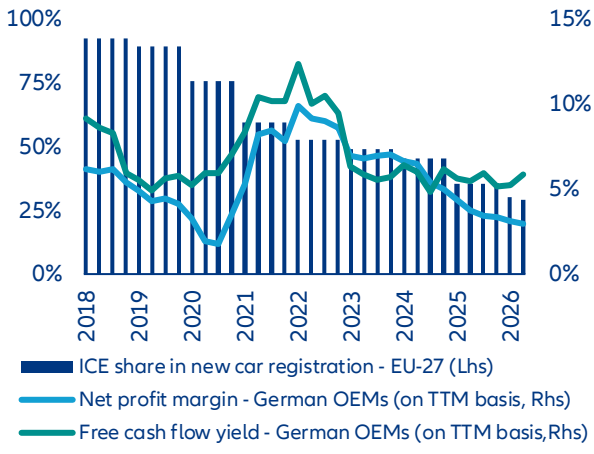


Sources: LSEG Datastream, Allianz Research

The second structural weakness is a late EV transition. European OEMs didn't just misjudge the pace of electrification, they kept capital deployed to defend ICE production and margins for as long as the balance sheet allowed, leaving too little invested when the pivot could no longer be delayed. Electrification diffused faster than they bet on: BEVs now account for over 20% of EU registrations (on par with ICE this year) and nearly 50% in China, the fastest-growing segment on both continents, and European carmakers are scrambling to catch up. The late pivot from ICE to EV and hybrid production is now compressing costs into a brutal timeframe: what could have been a gradual, capital-light transition is instead an expensive, chaotic restructuring. German OEM margins have collapsed from 13% in 2022 to roughly 4% today. BEV profitability remains structurally lower than ICE, while Chinese competitors deliver advanced technology at aggressive price points. The same mindset shows up in how setbacks were funded: Diesel-gate alone cost Volkswagen over USD34bn, capital that was unavailable to fund a decade of electrification R&D instead. The traditional European advantage – a deep, local supplier ecosystem built on mechanical engineering – is eroding fast as EV supply chains shift toward Asian battery and component makers. European OEMs may have caught up on sales volumes at home, but their cost structures remain bloated, their margins thin and their competitive moat narrower by the quarter.

Figures 4 & 5 : 2026 car registration and market share per powertrain technology / ICE market share in new car registration in EU-27 vs. margin rate and free cash flow yield from top German OEMs

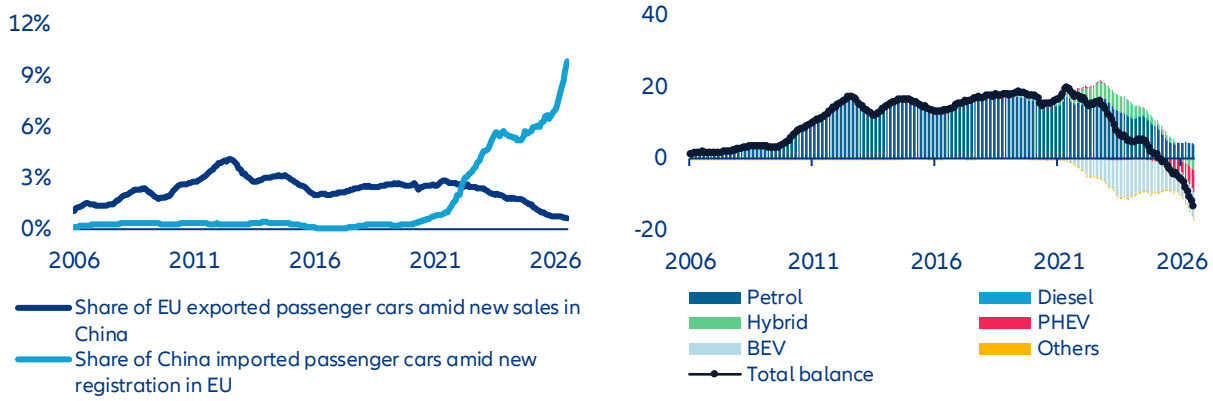




Sources: ACEA, LSEG Datastream, Allianz Research

The third structural weakness is competition from China: the price of capital that protected margins instead of market share. Over the past decade, China was the biggest and most profitable market for German OEMs, accounting for over 30% of group revenue, and capital allocation treated that profit pool as something to protect rather than a market worth fighting for with scale. That era is over as the balance of power has been fully disrupted by the rise of local players that quickly absorbed foreign brands' market share. The miscalculation was strategic as much as financial: European OEMs underestimated Beijing's electrification ambition and the speed at which domestic, and in some cases less-experienced, firms would scale, while committing far less capital to matching that scale than the threat warranted. Competition has been exported over the past years, with Chinese brands redirecting overcapacity mainly towards Europe as high tariffs have almost entirely closed access to the US market. Their EU market share surged from about 2% to nearly 10% by mid-2026, totaling over 1mn cars sold on the continent for the first time. EU tariffs of up to 35% barely slowed them: Chinese OEMs pivoted to hybrids and PHEVs, offered advanced tech at aggressive prices and adopted European-style design. The trade picture tells the rest. Europe's historical automotive surplus with China, once peaking near EUR20bn, has flipped into an unprecedented deficit. EU auto exports to China halved in two years. In the opposite direction, Chinese EV and hybrid exports to the EU doubled to USD14.2bn in H1 2026 alone, with hybrid shipments surging +206%. The deficit is no longer just about BEVs; it spans hybrids, PHEVs and components, reflecting the broader penetration of Chinese brands while the European footprint in China fades. There is no reason to believe this wave will recede in the near future as OEMs intensify relocation of some production capacities in Europe to dodge any trade barrier threat. In the meantime, much improvement has been made on the after-sales networks and client relationships that remained one of the last Achilles' heels of Chinese firms in Europe, and the value proposition is perfectly adapted to European customer demand: a good-looking and affordable advanced technology which is precisely the segment European capital under-invested in.

Figures 6 & 7 : Share of imported Chinese brands in Europe vs. exported European brands in China / trade balance between EU-27 and China per powertrain breakdown (in EUR bn)

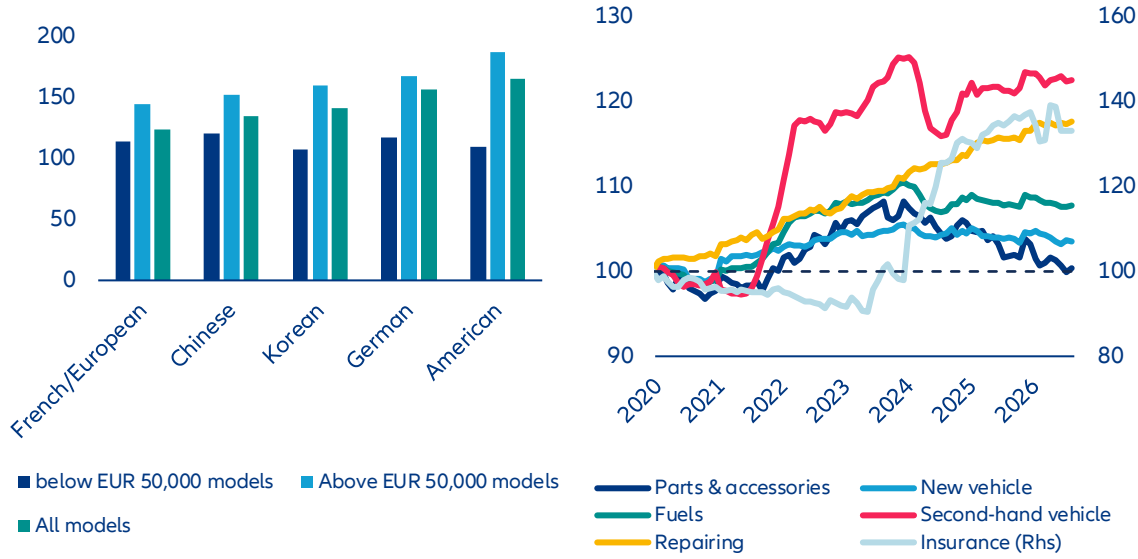


Sources: Eurostat, CAAM, Allianz Research

The fourth structural weakness: Brand power fades once the capital behind the premium stops compounding. The aura of German automotive excellence, built on decades of engineering prestige and glossy design, was itself a form of capital, accumulated through sustained investment in mechanical engineering. It is cracking now that the industry pivots toward electrification and digitalization. The core value in a 2026 vehicle now sits in software-defined solutions and battery systems, both firmly controlled by Asian firms, leaving European carmakers defending a premium price tag no longer backed by technological superiority. Competitors, notably Chinese brands, deliver a sharper performance-to-price ratio, while consumer price sensitivity has surged since the 2022 energy crisis as car-related costs (i.e. insurance, energy and maintenance) skyrocketed by 20-30% over the core inflation rate since 2020. The 2026 EV boom cannot be decoupled from volatile energy prices and aggressive price compression driven by fiercer competition and widening supply. This mirrors the broader luxury backlash: heritage alone no longer justifies the invoice when the capital that built it was never reinvested in the technology that now defines the category. Meanwhile, Europe's most popular segment (i.e. sedans and hatchbacks below EUR50,000) carries a 3 to 5% better price-to-range ratio than Chinese BEV models currently sold in Europe yet low export value as different consumer tastes and cheaper local alternatives in emerging markets cap revenue upside. Brand awareness, once the

industry's most durable moat and the clearest return on decades of engineering capital, fades into irrelevance as competitive advantage shifts from mechanical prowess to digital intelligence, demanding reinvention of where capital goes, not incremental adjustment.

Figure 8 & 9: Ranking of BEV retail price to distance ratio per brand origins and models price range (in EUR/km) / consumer price evolution of car-related costs vs. core HCIP index in Germany (rebased to 100 on 1/1/2020)



Sources: EV database.org, Agence fédérale de statistiques en Allemagne, Allianz Research

Not a premium purchase anymore? EV adoption is increasingly breaking the psychological glass ceiling that has long confined electric cars to an affluent, early-adopter customer base. The shift from broad-based subsidies towards targeted support is making EVs more accessible to mainstream households, while falling vehicle prices and improving total cost of ownership are progressively chasing away the perception of EVs as a premium goods. This virtuous circle is particularly important for the fleet market: As companies increasingly electrify their fleets, a growing volume of relatively young EVs will enter the second-hand market, expanding choice and bringing prices within reach of a much broader consumer base. This lifts one of the main structural barriers to adoption so far: the limited maturity of the used-EV market and the sharp depreciation suffered by first-generation models, which made residual values difficult to predict and leasing costs comparatively high. Energy-price volatility is another factor that adds up this year and strengthens the economic case.

Table 1: Most recent EV subsidy scheme for retail market

Market	Main retail support in force	Targeting / key conditions
France	~€3,100–€5,700 CEE support, potentially up to €7,700 for eligible high-mileage households; social leasing <€200/month	Income-targeted; high-mileage scheme targets middle-income workers driving ≥12,000 km/year
Germany	€1,500–€6,000 purchase/lease subsidy	New 2026 scheme explicitly targets lower/middle-income households and families; income and family size determine amount
UK	£1,500–£3,750 Electric Car Grant	Available at point of sale; BEV price capped generally at £37k, with sustainability criteria
Spain	€4,500–€7,000 for BEVs depending on scrappage	BEV price capped at €45k excl. VAT (€53k for 8/9-seat BEVs)
Portugal	€4,000 for individuals; €5,000 for eligible social/public organisations	BEV price capped at €38.5k (or €55k for >5 seats) / 2026 allocation was limited
Croatia	€7,000-€9,000 purchase subsidy	BEV price capped at €62,500 ex. VAT (vs. €50,000 before) / Limited to a total budget of €45mn

Sources: National government, Allianz Research

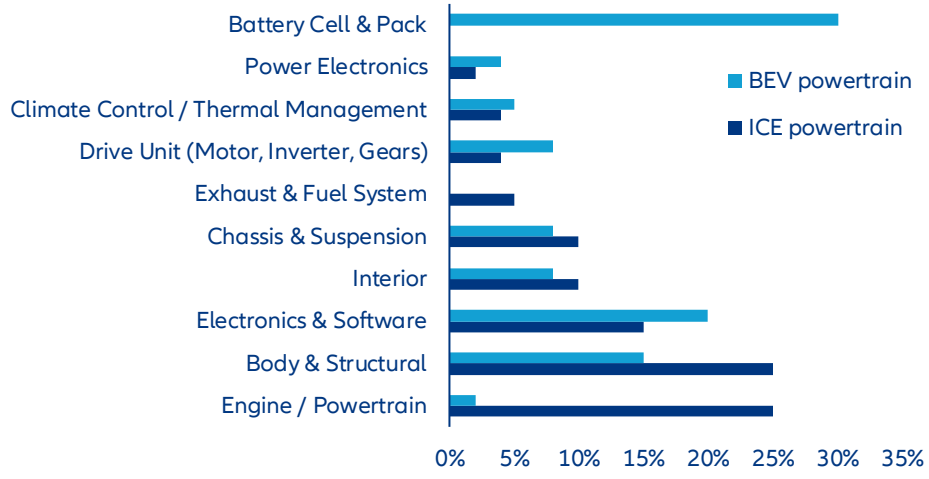
Four industrial equations and the capital choices that solve them

Solving the battery puzzle

A must-have to support ongoing fleet electrification. As the automotive industry undergoes its most profound transformation in a century, batteries have become the undisputed centerpiece of the electric vehicle. Representing 30–35% of a BEV's total value, no other single component carries as much influence on vehicle cost, range, performance and, ultimately, consumer adoption. This makes battery supply not just a procurement question but a strategic one – for OEMs, for governments and for Europe's industrial base at large. With BEV penetration rates climbing steadily to come close to a 100% share by 2035, the volume of cells required is set to grow exponentially. Whoever secures reliable, cost-competitive access to battery production will shape the next decade of automotive competitiveness. For Europe, carmakers cannot continue depending on external suppliers for such a critical components. This is one of the keys to solving the profitability gap.

The added-value of European-sold vehicles has depreciated by 30-45% since 2021/2022 period. Looking at the top three German carmakers' balance sheets and the annual evolution of car sales per market over the past years, we find that added-value per vehicle in H1 2026 declined by around -30% and -45% Europe since 2021/2022 period, while in China current added-value declined by -20% since the 2022 peak but is today almost equivalent to 2021 level. Over this period we can observe a sharp decline of German OEM market share by 10% in Europe and 7% in China as the technology shift and consumer demand change reframe the market structure. Based on our calculations, we then estimate that a market share decline of 50bps in China and Europe, which would mean an annual deterioration of added-value by EUR480mn. A realistic continuous slide based on actual momentum by -3% market share in each market by 2030 would then account for a loss of around EUR3bn of added-value, or 4% of annualized 2026 EBITDA.

Figure 10: Breakdown of added-value of car components per powertrain models



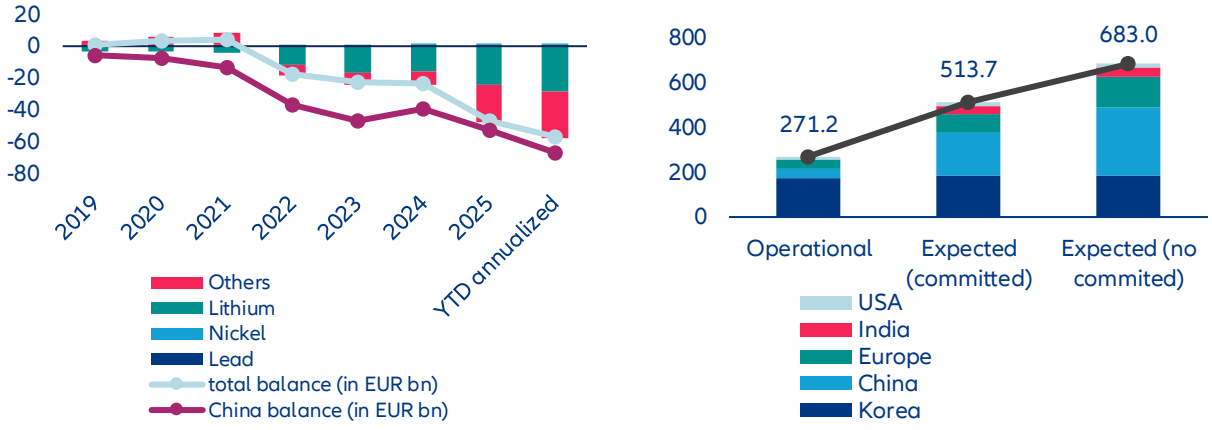
Source: Allianz Research

Self-autonomous production is not for today but can be considered tomorrow. The bloc has built enough pack-assembly capacity to match domestic BEV and PHEV demand, yet production remains overwhelmingly foreign-controlled: South Korean manufacturers alone operate roughly 65% of installed capacity, concentrated in heavier, shorter-lived nickel-ion chemistry (NMC). However, European production is less competitive compared to Asian peers, and notably China. Due to a poor resource base in lithium, cobalt and rare earths, a drastic labor cost differential (roughly 1 per 5) and initially weak domestic demand, European-branded cell production was recording thin-razor margins. Several projects collapsed under scale constraints even as order books were full. On this basis, there was not much choice other than imports of foreign technology, hence a widening trade deficit in a strategic inputs that has sharply intensified over the past quarter as BEV demand in Europe increased massively. On batteries, the EU recorded a record high deficit last year of EUR47bn, which should be broken again this year based on current trends (EUR57bn as of July on an annualized basis).

Chasing full supply-chain autonomy now is the wrong fight: Europe arrived too late and has too little runway to out-scale Chinese lithium-ion economics. Policy should pivot from building a sovereign chain to securing one, using instruments like the EU's localization rules (IAA-style content requirements) to anchor foreign capital and technology on European soil. Importing South Korean and, selectively, Chinese lithium-ion know-how is not capitulation; it preserves jobs, de-risks logistics and buys time, while accepting that near-term competitiveness in conventional cells is structurally out of reach. It seems to be the path picked by European automakers as we have seen over the past month a multiplication of greenfield investment into European battery capacity from Chinese firms. Based on current public announcements, China's pipeline expects an increase of capacity of roughly 150 GW by 2030, multiplying the country's market share by more than three from 15% to 37% (and even 45% when including no-committed options).

Europe should not confound industry support with sovereignty protection. On 7 October, Germany and France agreed to push for a further easing of the EU's 2035 car CO_2 targets – seeking an 80% reduction rather than the Commission's already softened 90% proposal – in exchange for "Buy European" local-content requirements on batteries sold in Europe. This deal comes alongside the EU's new EUR1.5bn Battery Booster Facility, designed to help European cell manufacturers ramp up production. Yet the two measures risk working at cross-purposes. Relaxing emission standards would inevitably slow EV adoption, shrinking the very demand that European battery makers need to achieve the scale economies required to compete. Europe's battery landscape remains overwhelmingly dominated by Asian players: current greenfield investment pipelines suggest South Korean and Chinese suppliers will command at least 70% of European market share by 2030–2035, leaving homegrown firms with a modest 15–20%. By diluting the regulatory signal that underpins EV uptake, the Franco-German compromise may shield legacy automotive jobs in the short term, but it risks starving Europe's fledgling battery industry of the volumes essential to close the cost gap with entrenched Asian competitors – ultimately deepening, rather than reducing, the continent's technological dependence.

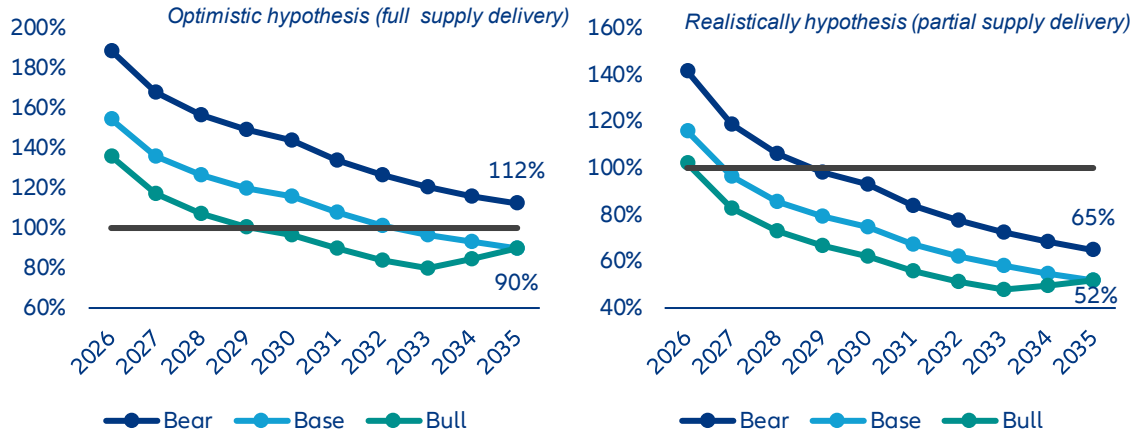
Figures 11 & 12: EU-27 annual trade balance on cell battery per category breakdown, global and China (in EUR bn) / European capacity of car battery pack, current and expected, per origin of manufacturer (in GW)



Sources: Eurostat, Corporate public information, Allianz Research

Regulation is a necessary defensive step but not the ultimate solution. The economics are blunt: we estimate Made-in-Europe content requirements add roughly EUR2,000, or about a 5% mark-up, to a battery pack's final price – a premium consumers absorb at precisely the moment BEV-ICE cost parity is meant to narrow, and when energy-price volatility and tighter credit are already denting appetite for large purchases. The passing-through strategy is not timely and could be unfruitful as it could grip the scale-up pattern on demand. A quick look at domestic battery capacity pipeline in Europe backs up our point. Even under the most optimistic scenario (i.e. every announced and pipeline project realized, every factory running at full nameplate utilization), European cell capacity will not cover all retail demand. In a more realistic approach – a path toward a BEV share at or near 100% by 2035 – we calculate that European capacity would cover barely half of retail demand by 2035. That is meaningful progress, but it is not self-sufficiency, and it leaves no realistic path to excluding Chinese technology without rationing consumer choice or inviting retaliation. The honest conclusion: sovereignty is worth pursuing, but only paced to what capacity actually allows. Europe cannot build from zero to one hundred, and has no time to try. The better bet is to use today's dependence as a bridge by protecting jobs and the ecosystem while demand scales and direct policy not at refighting yesterday's lithium-ion battle, but at owning the chemistries, solid-state and beyond that will define the next one.

Figures 13 & 14 : Share of absorption of made-in Europe car battery production (ex. export) based on EU-27 BEV demand



Bear scenario = 80% BEV share by 2035, Base scenario = 100% share by 2035, Bull scenario = 100% share by 2033. Battery capacity projections based on committed and non-committed investment announcement made by manufacturers. Sources: Allianz Research

Not doomsday, but the path forward is narrow. Europe cannot afford to treat batteries as a secondary concern: EV traction is set to intensify under current mandates, and carbon-neutrality commitments are too consequential to let such a critical technology layer remain overwhelmingly dependent on foreign supply. But the response has to be realistic. Weaker cash reserves, thinner market support and tightening lending conditions are real investment constraints for European OEMs, and attempting to build a fully sovereign, vertically integrated battery industry from scratch is neither financially viable nor strategically sound, especially when domestic players cannot yet match the cost or technology benchmarks set by Asian champions; carrying that burden alone would divert capital from areas where Europe can genuinely differentiate. A EUR1bn battery factory inaugurated in Germany in early October shows what a realistic middle path looks like: While cells continue to be sourced from China, the factory's true added value lies in its operational verticality (i.e. a full-stack deployment spanning R&D, design, battery pack manufacturing and recycling). It demonstrates how supply-chain dependencies can be mitigated, even if fully eliminating them remains realistically unachievable.

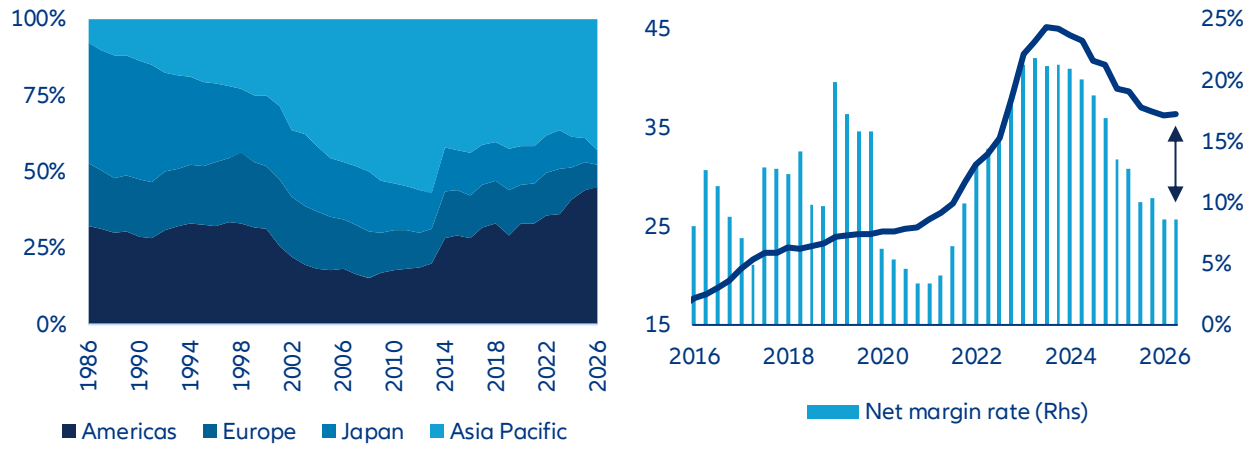
In the short run, the sector should embrace smart partnerships, and turn recycling into a domestic feedstock. Strategic alliances with leading South Korean and Chinese cell manufacturers should be actively pursued but provided production is anchored on European soil to secure local employment, build industrial know-how and reduce supply-chain disruption risks. This should be alongside a pan-European procurement or spending-pooling mechanism that consolidates bargaining power and lowers unit costs without resorting to protectionism. In parallel, battery recycling should be scaled into a genuine domestic feedstock: recovery of lithium, cobalt and nickel from end-of-life packs is costly today, but as cell volumes scale with BEV penetration, unit economics should improve sharply, reducing reliance on imported raw inputs without requiring Europe to out-build Asian cell economics.

In the longer run, bet on solid-state, the next chemistry generation. China's lead there remains unsettled even as it targets the technology in its latest five-year plan. Lithium is finite while Europe holds meaningful sodium reserves, and performance-per-lifespan economics should eventually undercut today's chemistries. This is the one battery front where Europe can compete on a reset map rather than catch up on an existing one.

Balance the software vs hardware

From engine to code line, the control center has shifted away. Europe has no choice but to take into consideration the new paradigm that is expected to intensify under a broader adoption of AI-empowered solutions and accelerated development of autonomous mobility tools. Though the leaders of automotive chips are mostly located in Europe, European-made production dramatically declined in 40 years, down from 20% to hardly more than 5% this year. And Europe does not produce or design the leading-edge chips used for AI development (frontier model, robotics, software). The sharp decline in revenue and margins (slashed by 2.5x from its 2023 peak of over 20%) of Europe's leading auto chipmakers is as much evidence of weak European industrial demand as of late deployment of domestic production supporting both AI-powered and autonomous mobility solutions. Today, European carmakers prefer using US technology and hardware due to their high-performance computing capacities. With Level 2+ autonomous features already accounting for roughly a third of new registrations this year, and forecast to surpass 70% by 2035, it is an addressable market of almost between 585-650mn of vehicles over the 2026-2035 period. If Europe's chip champions remain anchored to legacy power and analog niches while the car becomes a rolling data center, the continent risks permanent relegation in the technology race that will define the next decade of mobility.

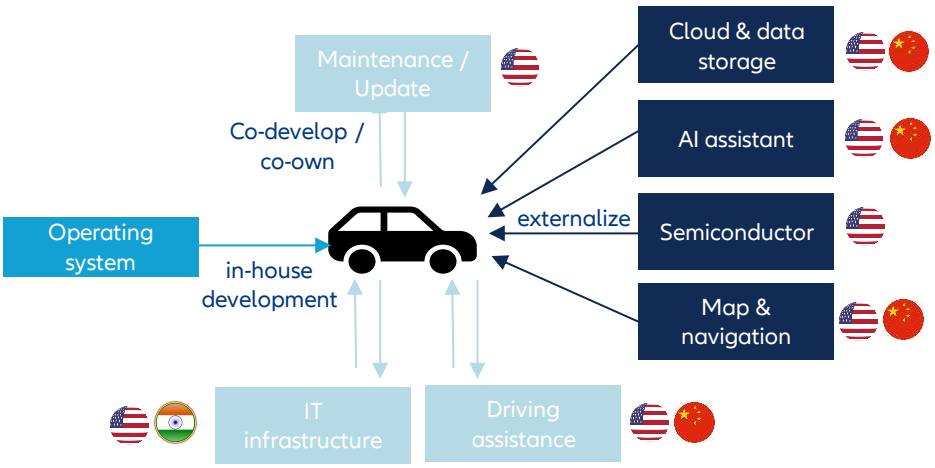
Figures 15 & 16 : Semiconductor sales per region / revenue and profit margin from top three European leaders into auto-specific chip



Sources: SEMI, LSEG Datastream, Allianz Research

Europe's software blind spot: the hidden dependency behind next-generation autonomous cars. Even the most advanced European car models, featuring L2+ driving assistance, AI-powered cockpits and cloud-connected services, rest on a technology stack overwhelmingly controlled by non-European players. As the architecture map of a leading European vehicle platform reveals, the critical layers, from semiconductors to AI assistants to cloud & data storage and mapping are sourced almost entirely from US and, for local market variants, Chinese providers. This is a structural exposure. Semiconductors represent the sharpest vulnerability, where Europe faces a persistent technology gap with US leaders like NVIDIA and Qualcomm, and no credible short-term substitute exists at the performance frontier required for autonomous driving compute. Yet the picture is not entirely bleak. European OEMs have strategically retained in-house control over the operating system ensuring sovereignty over the core software layer that orchestrates all other functions. Co-development models on driving assistance stacks allow European players to maintain architectural oversight and avoid full dependency on licensed black-box solutions. IT infrastructure is similarly co-owned rather than fully externalized. On AI assistance, emerging European alternatives such as Mistral offer a credible path to reduce reliance on US hyperscalers. The imperative is clear: Europe cannot eliminate its dependency overnight, but it can, and must, deepen internal OS mastery, expand co-development leverage, nurture homegrown AI capabilities and treat semiconductor sovereignty as a decade-long strategic investment rather than a problem to be solved quarterly.

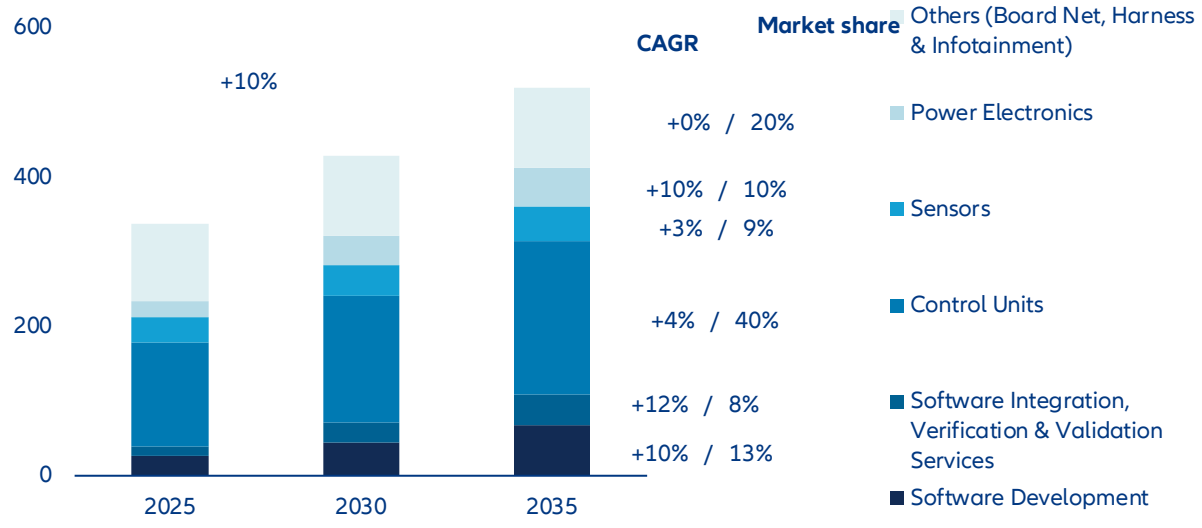
Figure 17 : Current software and hardware infrastructure of most-advanced European L2+ car model



Sources: Corporate public information, Allianz Research

Software as a driver of revenue migration from mechanical to data-centered operations. The end-to-end car software market is set to grow from roughly USD340bn in 2025 to USD520bn by 2035, a sustained +10% CAGR, with the fastest growth concentrated in AI-driven and automation segments (i.e. software verification and validation services and software development itself), outpacing hardware segments like control units or sensors. The value chain is migrating from mechanical engineering to code, and with it comes a new revenue layer already visible in the market: over-the-air conduct and performance features (heated seats, horsepower monitoring, acceleration boost), advanced automated driving assistance (FSD) and usage-based insurance and predictive-maintenance services built on vehicle telemetry. These models convert a one-off hardware sale into recurring, higher-margin revenue, improving cash-flow visibility well beyond unit sales. The diversification approach made by the US manufacturer Tesla could be an example as the services segment accounted for 16% of its total revenue (vs. 6% in 2022) and offset a part of the decline of cash flow generated by the direct sales of cars that account for roughly 70% of its revenue against 85% at its peak in 2022.

Figure 18: Estimation of end-to-end car software market by 2035 (in USD bn)



Sources: McKInsey, Allianz Research

Connected service value is locked up into recurrence: a 8% additional revenue share to not overlook. A simple simulation illustrates the point: assuming 1mn vehicles sold per year over a decade, a EUR50/month subscription plan with consumer adoption gradually rising from 33% to 50%, cumulative recurring revenue reaches approximately EUR3bn by year 10, translating into a roughly 70% CAGR from a modest ~EUR200mn base in year one. In context, that terminal run-rate would represent around 8% of the average 2025 annual revenue of top European carmakers, making it a meaningful diversification channel rather than a rounding error. Crucially, software-driven services carry structurally higher margins than vehicle manufacturing, and the EUR50 price point is conservative, as advanced features such as autonomous driving upgrades, predictive maintenance or in-car digital ecosystems mature, willingness to pay should rise in tandem. Once retention loops are proven and the service portfolio deepens, this segment has the potential to evolve from a supplementary income stream into a core profit engine as the business model is fully optimized.

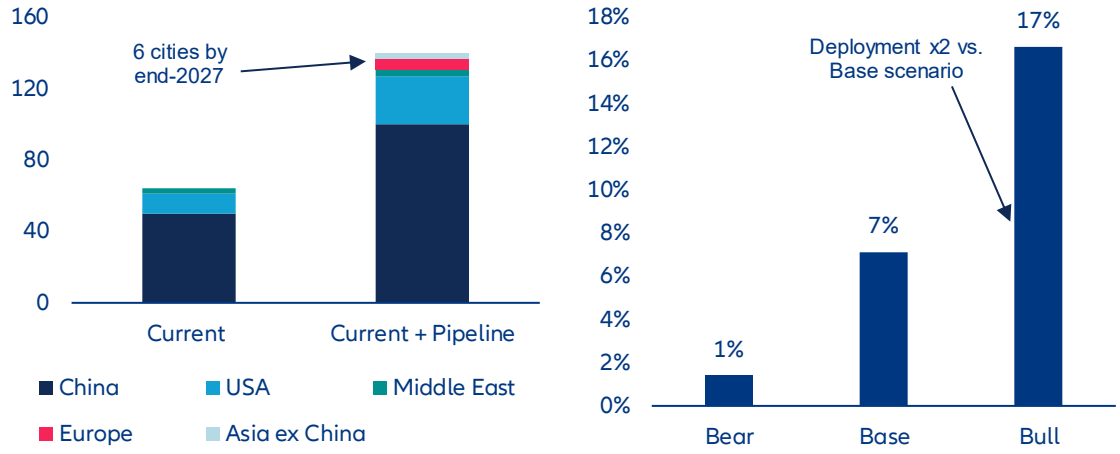
In the short run, firms should secure a foothold in assembly, and stop duplicating R&D. Full onshoring is neither realistic nor necessary: Building domestic chip assembly and packaging capacity, even on licensed foreign technology, as the battery segment demonstrates, is vastly preferable to total dependence on Asian production, provided a recalibrated public-private financing mix and faster infrastructure permitting remove the region's self-inflicted red-tape deterrent. The same logic applies to R&D: high competition should not preclude partnership in non-core, pre-competitive domains. VW's Cariad experience, billions spent with limited scale, is a cautionary tale worth internalizing; Pooling R&D capital across OEMs to explore frontier technologies where no single player holds a decisive lead, then differentiating at the product and service layer, is a model already emerging in Japan that Europe should engage with, provided governance structures ensure ecosystem-wide benefit.

Going forward, European automakers should own the chip IP, and treat software as the real upside. Europe won't close the semiconductor manufacturing gap, but it doesn't need to: Much like the GPU/CPU ecosystem where value accrues to designers rather than fabs alone, Europe should channel its engineering depth and thriving SME-AI ecosystem into proprietary, industry-specific chip design, particularly for next-generation autonomous vehicle architectures as the intellectual property moat matters more than the production line. The same shift in where value sits applies to software: the revenue and margin potential of data-driven services and physical-AI applications in vehicles is still largely unsized, yet the digitalization of cars is an irreversible trend. Capturing that value requires reducing strategic dependence on US and Chinese hyperscalers, prioritizing local cloud and AI infrastructure would unlock economic returns while materially lowering disruption risk.

Getting ready for autonomous mobility

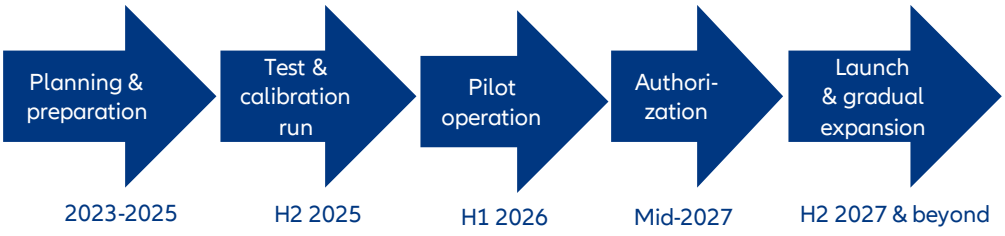
Robotaxis are arriving in Europe, but regulatory gates are opening gradually. Berlin's autonomous bus pilot alone spans a 2023-2027 runway from planning to launch, with authorization landing only mid-2027, while China and the US have already built a 100+ city blueprint to borrow from. The bigger brake may be cultural: European approval of autonomous vehicles sits near 33%, against roughly 60% in China. That gap is narrowing, but slowly, and 2027-2028 will stay experimental rather than commercial. Even generously scaled, Europe's robotaxi fleet reaches only 300-600k vehicles by 2035, half the US, a third of China's, and capturing at best 17% of global volume in a bull case, 7% in base. Europe's approval architecture is consumer-protection-first, business-case second, and it shows in the timeline. Each extra approval layer compresses the payback window on capex-heavy hardware, and that asymmetry is precisely what deters a European manufacturing play: no domestic tech champion exists, entry costs are steep and the regulatory calendar guarantees Europe will always scale second.

Figures 19 & 20 : Current and expected deployment of robotaxi services in city, per region breakdown / projections of European share of robotaxi distribution by 2035 (in volume)



Sources: Corporate public filings, BCG, Counterpoint, Allianz Research

Figure 21: Timeline of adoption process of autonomous bus service project* in Berlin

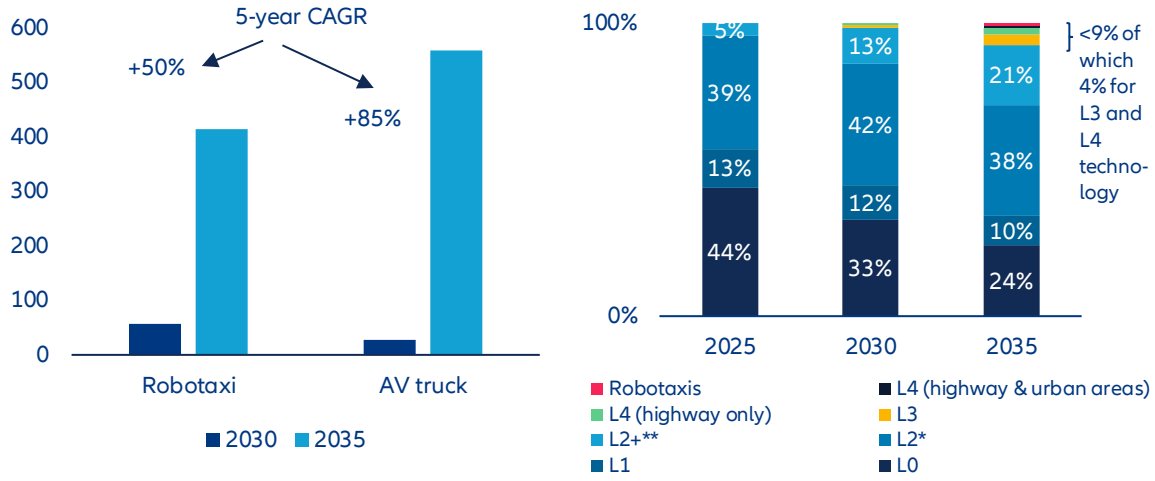


**VW ID. Buzz AD shuttles equipped with Level-4 autonomous driving technology. Sources: Mobilityportal.EU, Allianz Research*

Robotaxis are the headline, but not the biggest or the smartest door into autonomy. Autonomous trucking is set to scale faster and bigger than robotaxis, a projected five-year CAGR of roughly +85% versus +50% for robotaxis, with the truck segment reaching close to USD550bn by 2035 against robotaxi's USD420bn, while L3/L4 technology is still expected to represent under 9% of new car registrations that same year. That's a small, capital-intensive, already-concentrated market: China and the US dominate deployment and the upfront fleet, and software costs are steep. A European OEM entering now would be underwriting high risk for thin, late-mover reward. The smarter play is backing adoption, not owning it, by partnering with established tech providers to secure distribution rights and data access across a market that will fragment into multiple channels (freight, transit, passenger) rather than building proprietary stacks from scratch. Robotaxis' real value to Europe are as a technology bridge: the same sensing and routing layers proven there translate directly into autonomous public transport, which aligns far better

with the continent's own agenda (i.e. decarbonizing cities, easing urban congestion and extending mobility services to an aging population etc.). Partnership is how Europe can capture the technology without paying the first-mover bill.

Figure 22 & 23: Estimated global market size of robotaxis and autonomous trucks (in USD bn) / estimated market share of new global car registration per autonomous technology level breakdown



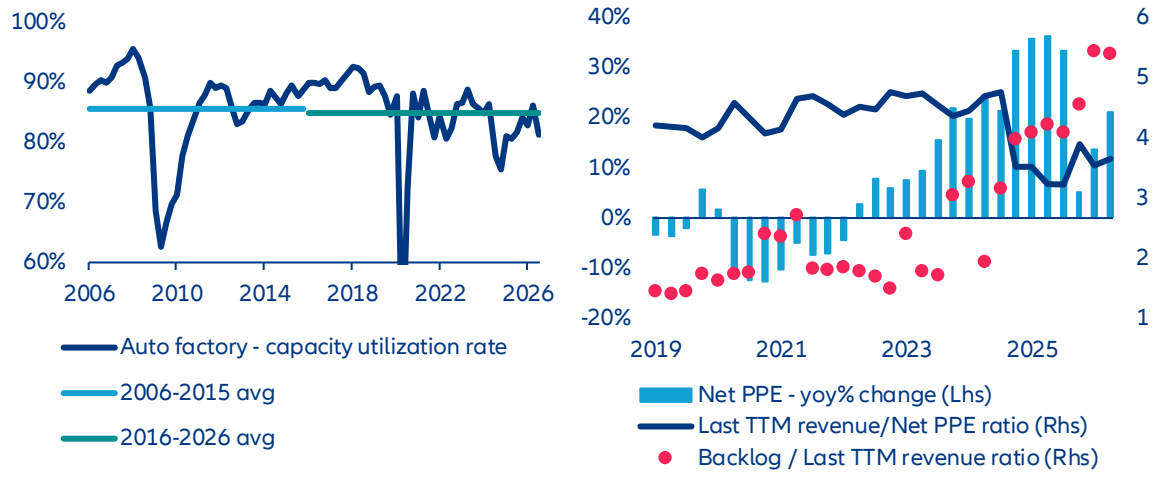
Sources: Goldman Sachs, WEF, Allianz Research

Firms should invest for the next decade, not the next earnings call. Short-termism is the enemy of disruptive technology: Autonomous mobility demands heavy upfront capital with payback horizons that don't fit a quarterly mindset. The temptation is to chase whichever segment looks hottest today and retreat at the first cost overrun, exactly the pattern that made Cariad expensive and robotaxi economics forbidding. The discipline needed is the opposite: identify which autonomous layers compound in value over 10 years, commit capital in stages tied to proof points and resist the urge to fund flashy pilots that don't scale into durable operational channels.

A tactical and timely shift toward defense

Defense diversification is the elephant in the piece, but not yet plainly assumed by carmakers. Defense diversification remains the unspoken opportunity for European carmakers, but the window to act is narrowing. As EU defense budgets surpass 2% of GDP, with frontrunners like Poland exceeding 4%, automakers are quietly exploring adjacencies in the defense sector. The industrial logic is compelling: Advanced mechanical engineering, scalable manufacturing capacity, and overlapping supply chains position them naturally to address surging demand for unarmored vehicles, armored platforms and UAV components. These are precisely categories where volumes have accelerated sharply since the onset of the Russia-Ukraine conflict. Historically, European automakers have pivoted to defense production during periods of geopolitical stress, making this convergence neither new nor far-fetched. The timing is uniquely favorable: defense primes face capacity bottlenecks despite record backlogs and are integrating AI-driven autonomous systems, while automakers urgently need to absorb excess capacity and amortize R&D in autonomous driving. On paper, this is a textbook win-win. Yet tangible P&L impact remains absent. Carmakers should move beyond exploratory postures, through joint ventures, dedicated defense units or co-development programs in order to capture a share of the unprecedented public funding flowing into European defense. This is not about abandoning core business; it is about extending industrial horizons where growth is most visible today.

Figures 24 & 25: German automotive factory, capacity utilization rate / European defense companies: backlog, revenue and plant & equipment value increase



Sources: LSEG Datastream, German federal office of statistics, Allianz Research

Capital discipline and capacity management are key

The constraint is behavioral, not financial. Auto capex is collapsing (-20%, the sharpest contraction since 2018) even as non-auto European blue-chip capex expands by +10%, and European auto assembly plants ran near only 60% utilization in 2023, a fixed-cost drag with no revenue offset. The sector isn't short of cash or ambition, as Cariad, battery megafactories and robotaxi flirtations all show; it is short of a filter for where that capital and capacity should go. Closing this equation means fixing the allocation process itself, not raising more money.

Cut platform complexity, and make discipline the filter. European automakers are still running bloated multi-platform ICE/hybrid/EV lineups that dilute scale economies on all three; with BEVs on track to dominate European registrations within the decade, the rational move is to consolidate platforms now rather than stagger the transition. Fewer, better-scaled EV architectures beat a wide portfolio hedging against a shift that's already underway. That same discipline needs to extend to capital allocation more broadly: harder capital-allocation frameworks, with kill-criteria on projects before launch, smaller bets sized to realistic market share rather than blue-sky TAM and a bias toward partnership over proprietary build where the technology isn't core (software OS, autonomous stacks, battery chemistry).

Stop absorbing idle capacity, redeploy it into defense. Rather than mothball or subsidize underutilized plants, diversify output toward adjacent, high-demand sectors. Defense is the clearest fit, given sustained European rearmament budgets and long-dated procurement commitments. Precision manufacturing, electronics and systems-integration skills transfer directly, turning spare capacity into a second, less cyclical revenue stream rather than dead weight on the balance sheet.

Table 2 : Summary of strategic options for European auto

Batteries: anchor foreign cell production on EU soil + pool EU procurement	Short run	Partnership / sourcing	Medium	High	Positive
Chips: secure assembly & packaging foothold (not full fab)	Medium run	Onshoring on licensed tech	Medium	Medium	Positive
Batteries: scale recycling into domestic feedstock	Medium run	Import substitution	Medium	Medium	Positive
Cross-OEM R&D: pool pre-competitive spend	Short run	Cost / risk-sharing partnership	Low	High	Neutral
Fleet strategy: consolidate EV platforms	Short run	Portfolio rationalization	Low	High	Negative
Capital allocation: kill-criteria & smaller, disciplined bets	Short run	Governance / process change	Low	High	Neutral
Batteries: solid-state chemistry	Long run	New product / technology bet	High	Low-medium	Positive (long run)
Chips: own IP, design-centric model	Long run	New business model (IP)	Low	Medium	Positive
Software: local cloud/AI infra, monetize as recurring revenue	Medium run	New revenue / cash management efficiency	Low	Medium	Neutral
Capacity: diversify idle plants into defense manufacturing	Short run	New customer / cost optimization	Low	High	Positive
Autonomous mobility	Long run	Staged venture-style investment	High	Medium	Positive (long run), uncertain near-term

Source: Allianz Research

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(v) persistency levels, (vi) particularly in the banking business, the extent of credit defaults, (vii) interest rate levels, (viii) currency exchange rates including the EUR/USD exchange rate, (ix) changes in laws and regulations, including tax regulations, (x) the impact of acquisitions, including related integration issues, and reorganization measures,
and (xi) general competitive factors, in each case on a local, regional, national and/or global basis. Many of these factors may be more likely to occur, or more pronounced, as a result of terrorist activities and their consequences.

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A double-edged code: How AI is reshaping the global wealth landscape

Allianz Global Wealth Report 2026

29 September 2026



Allianz Research

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Executive Summary



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Katharina Utermoehl
Head of Thematic and Policy Research
katharina.utermoehl@allianz.com



Chiara Rocca
Research Assistant
chiara.rocca@allianz.com

Global wealth: a record on paper, less so in real terms

Global financial assets expanded to a record EUR268.4trn in 2025, expanding +8.6% from the previous year, despite a challenging geopolitical and economic backdrop. Global wealth creation ran on autopilot, driven by markets, which accounted for 4 out of 5 euros of additional wealth, while fresh savings fell by -5.4% to EUR4.1trn. Yet the record looks less impressive after inflation: nominal financial assets have increased by almost 50% since 2019, but real growth amounts to just 23%, leaving purchasing power only 5% above its 2021 level.

Portfolios set the tone

Portfolio composition increasingly determines who captures the gains from wealth creation. In 2025, securities grew by +12.4%, more than twice as fast as deposits (+5.7%) or insurance and pensions (+5.0%), pushing their share of global financial assets to a record 46.9%. North America's securities-heavy portfolios, with an allocation of 60.7%, helped the region generate 51.4% of the global increase. Its real financial assets are now 21% above 2019 levels. Western Europe, by contrast, has barely recovered its purchasing power, with a real increase of just 0.5%. Over the past decade, valuation gains accounted for 71% of North American financial-asset growth, against 36% in Western Europe. As a result US financial assets grew 3.1pp faster than Europe's, despite Europeans' greater savings effort relative to existing assets, indicating that saving more does not necessarily mean accumulating more wealth.

Asset growth surpasses debt

Assets raced ahead of debt, strengthening household balance sheets. Global household liabilities increased by +3.4% to EUR56.9trn, considerably slower than financial assets. The household-debt ratio fell to 60.9% of GDP, almost 13pps below its 2009 peak, reflecting both restrained borrowing and growth in nominal economic activity. Net financial assets consequently rose by +10.1% to EUR211.5trn. Debt can also impact the wealth rankings: while Swiss households remain the wealthiest in the world in terms of gross financial assets per capita, the US is ahead of Switzerland in net financial assets per capita, as Swiss household debt per person is more than twice the American level.

Catch-up pace slowing

Globalization has changed the geography of wealth, but poorer economies are losing catch-up speed. The ratio of average net financial assets per capita in advanced economies to emerging markets fell from 62 in 2005 to 21 in 2015, but only to 17 by 2025. Emerging markets nevertheless now account for 61.9% of the global middle-wealth class and 32.1% of the high-wealth class, compared with less than 2% of the latter in 2005. So, while wealth has become far more geographically diverse, the momentum of catch-up itself has faded. Trade fragmentation, weaker cross-border investment and reorganized supply chains are making convergence harder. Digital services and the green transition could open new opportunities, but seizing them will depend on access to capital, technology and skills; assets that are themselves unequally distributed.

Stubborn inequality

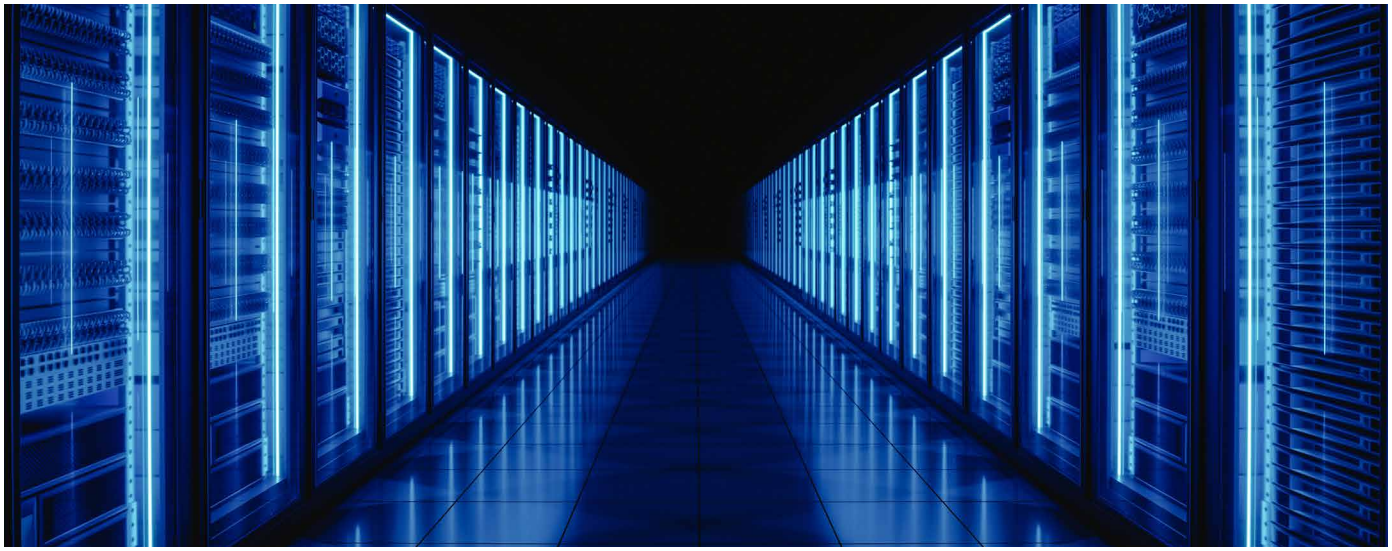
Global wealth concentration has eased, but national wealth inequality has barely moved in two decades. The richest 10% still own 85.4% of global net financial assets. This is down from 91.5% in 2005, but at the current pace of improvement it would take almost another eight decades for global concentration to approach the levels observed within individual countries. Meanwhile, the bottom half of the world's population covered by this report, almost 3bn people, collectively holds virtually no net financial assets. Within borders, distribution has proved almost immovable: the share held by the top-decile averaged 60.9% in 2025, against 60.4% in 2005, and the average-to-median ratio barely moved from 3.11 to 3.12. Still, ownership patterns are not fate. Some countries demonstrate that improvement is possible: the Netherlands reduced its top-decile share by 2.4pps to 56.1%, while Ireland's average-to-median ratio fell from 4.87 to 3.42. These exceptions have not, however, translated into a broader reduction in national wealth inequality.

AI growing the gap

AI could put an end to the calm on the distributional front by shifting more value creation from labor towards capital, in turn widening the divide between earners and owners. Allianz Research estimates that AI could affect almost 1 in 4 jobs across major economies over the next three years, mainly through reorganization. Displacement could temporarily outpace job creation as firms deploy technology faster than workers can retrain. If productivity gains flow mainly into profits rather than wages, asset owners could capture disproportionate benefits. Policy must therefore support worker adjustment, avoid tax incentives that favor replacing labor and broaden participation in capital returns. Otherwise, AI could create substantial wealth while concentrating its rewards and spreading disruption, putting social cohesion under pressure.

AI promise and risk

The outlook for global wealth remains solid, but AI now carries both the upside and the risk that will shape it. Global financial assets are expected to grow by around +9% in 2026, once again well above the long-term rate of +6.0%. Further gains increasingly depend on corporate earnings delivering on elevated expectations, particularly around AI. Stronger productivity and profits could sustain the rally. If expectations have run ahead of economic reality, however, the resulting correction could reach far beyond technology stocks. In a downside scenario in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14% of total net worth, with weaker confidence and spending pushing the US economy into recession. In the medium term, AI should remain an important driver of global wealth but the path will be more volatile. Fragmentation, persistent inflation and elevated public debt will constrain returns, while the scale and timing of AI-related productivity gains remain uncertain. Annual financial-asset growth is therefore expected to settle at around +5–6% over the medium term. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.



Financial assets: 2025 sets a fresh record

Despite a sharp rise in trade-policy uncertainty and persistent geopolitical tensions, 2025 saw another year of resilient global growth. Sweeping US tariff announcements in April triggered market turbulence and disrupted trade, yet the US economy remained comparatively robust, supported by household consumption and a powerful AI-related investment boom. Europe continued to wrestle with structural weakness, even as Germany returned to marginal growth after two years of recession. In China, weak domestic demand and the prolonged property-sector adjustment remained the main constraints.

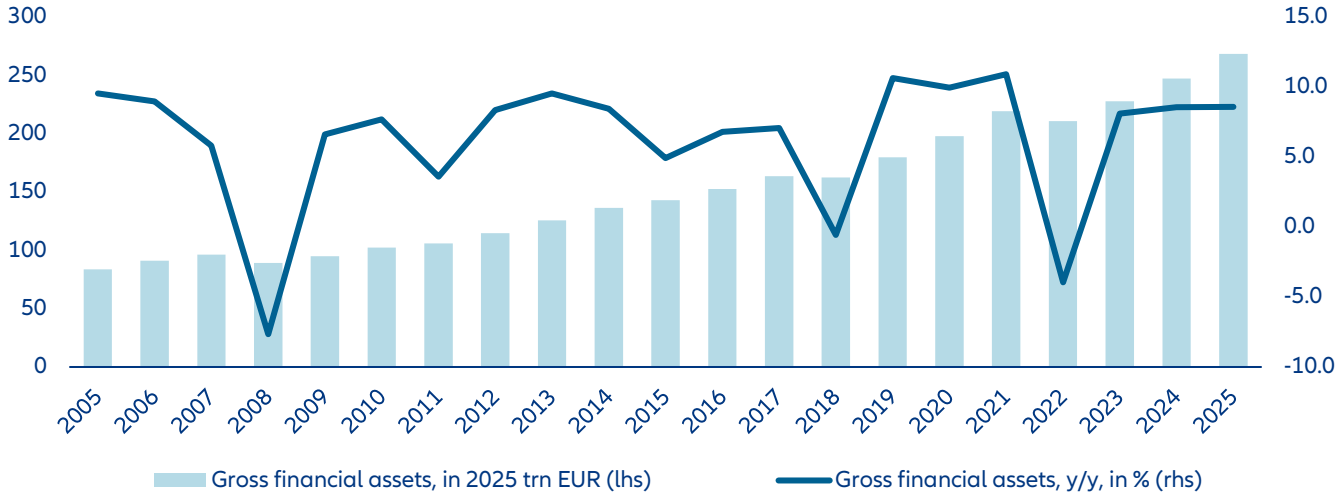
Inflation continued to ease, although at markedly different speeds across regions, and with US inflation still above target. This gave central banks room to loosen policy: the European Central Bank (ECB) reduced its deposit rate by 100bps to 2.0%, while the US Federal Reserve (Fed) waited until September before cutting by a cumulative 75bps to 3.50–3.75%. Long-term interest rates remained elevated, however, as investors demanded compensation for persistent inflation risks, large fiscal deficits and rising public debt.

Financial markets ultimately looked through the turbulence and recorded another strong year. After the sharp sell-off around the April tariff announcements, easing trade tensions, lower policy rates and continued enthusiasm for artificial intelligence (AI) drove a strong recovery. US equities remained powered by AI-related investment and earnings expectations, while European markets benefited from a rotation into previously underperforming countries and sectors. Overall, global equity markets therefore ended 2025 with substantial gains extending the strong performance of the previous two years.

Against this backdrop, private households' global financial assets continued to grow at a remarkably dynamic pace, with an increase of +8.6% in 2025, in line with the previous year, reaching a record EUR268.4trn (Figure 1). Relative to global economic activity, financial assets stood at 288% of GDP at the end of 2025 but remained below their 2021 peak of 306%.

Adjusted for inflation, the picture is considerably less impressive: while in nominal terms global financial assets grew by almost 50% since 2019, real financial assets grew just 23%, and as of end-2025 register only 5% above their 2021 level. Part of this year's headline record therefore reflects rising prices rather than genuine new wealth.

Figure 1: A fresh record high
Gross financial assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

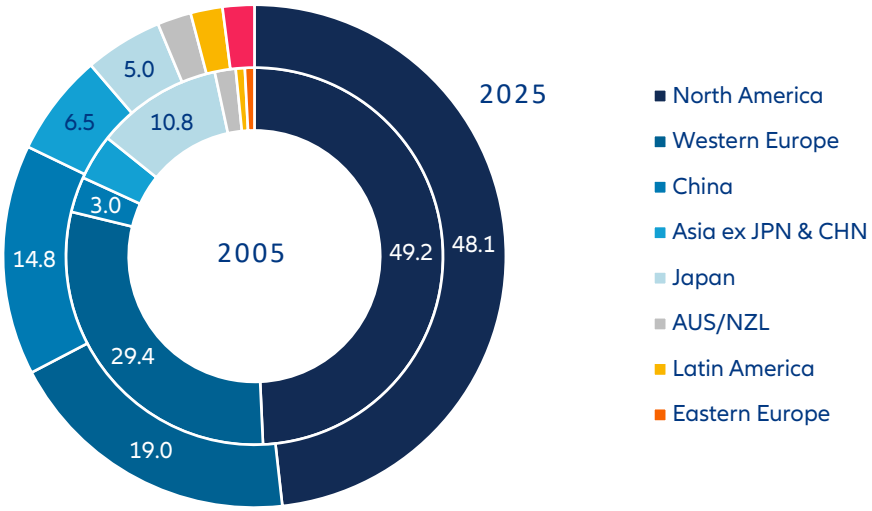
A comparison with pre-Covid real-terms also exposes a stark regional divide: as of end-2025 Western Europe's real financial assets were only 0.5% above their 2019 level, effectively experiencing six years without a meaningful net gain in real terms. Over the same period, real financial assets in China rose by 70%, in Asia excluding Japan and China by 40%, in North America by 21% and in Japan by 13%. Western Europe was therefore not merely the slowest-growing region, it was the only one to experience virtual stagnation.

The US remains on top

The enormous stock of global financial assets held by private households is not distributed evenly across the world. In fact, it is heavily concentrated in North America (Figure 2),[1] which alone accounts for roughly half of all private financial assets worldwide. Remarkably, its share has changed little over the past two decades, despite China's spectacular rise from 3% in 2005 to almost 15% in 2025. China's gains came largely at the expense of the other advanced wealth centers: Western Europe's share fell by more than 10pps to 19%, while Japan's more than halved to 5%.

[1] North America is largely synonymous with the US in terms of financial assets: Canada accounted for less than 6% of the region's total in 2025. The US alone held 45.3% of global financial assets, compared with 46.7% in 2005.

Figure 2: Rich, richer, North America
Gross financial assets, regional split 2005 and 2025, in 2025 EUR, in %



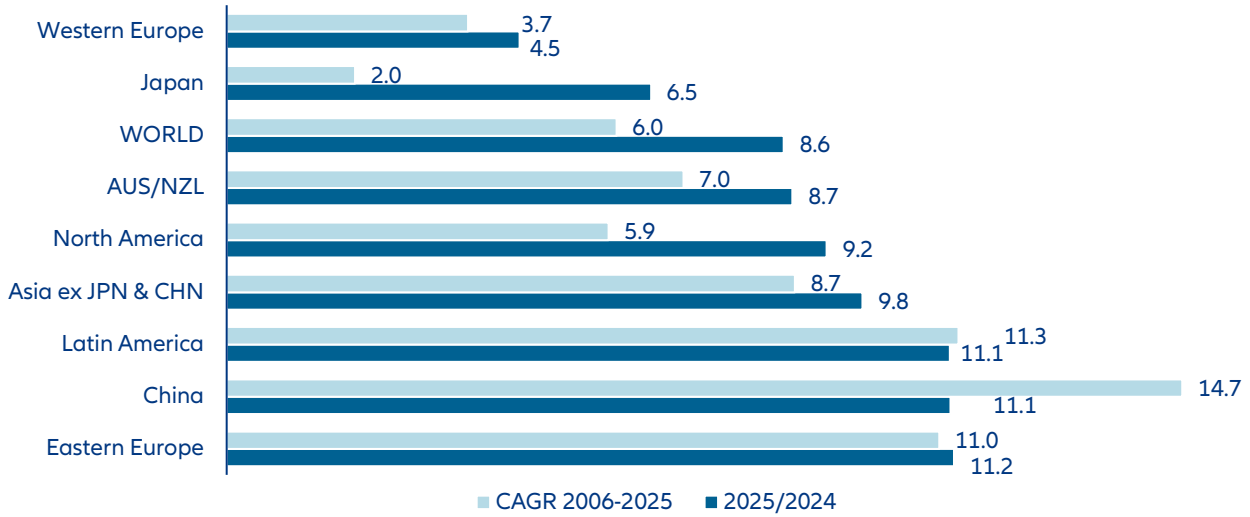
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North America's resilience reflects a powerful combination of scale and performance. Its financial assets grew by an average of 5.9% annually between 2006 and 2025, broadly in line with the global rate of 6.0%. Western Europe and Japan achieved only 3.7% and 2.0%, respectively, falling short of global growth by 2.3pps and 4.0pps per year.

In 2025, North American financial assets accelerated by 9.2%, outperforming the global rate of 8.6% (Figure 3). Emerging markets grew even faster, led by Eastern Europe, China and Latin America, all at around 11%. Western Europe lagged markedly at 4.5%, while Japan recorded growth of 6.5%.

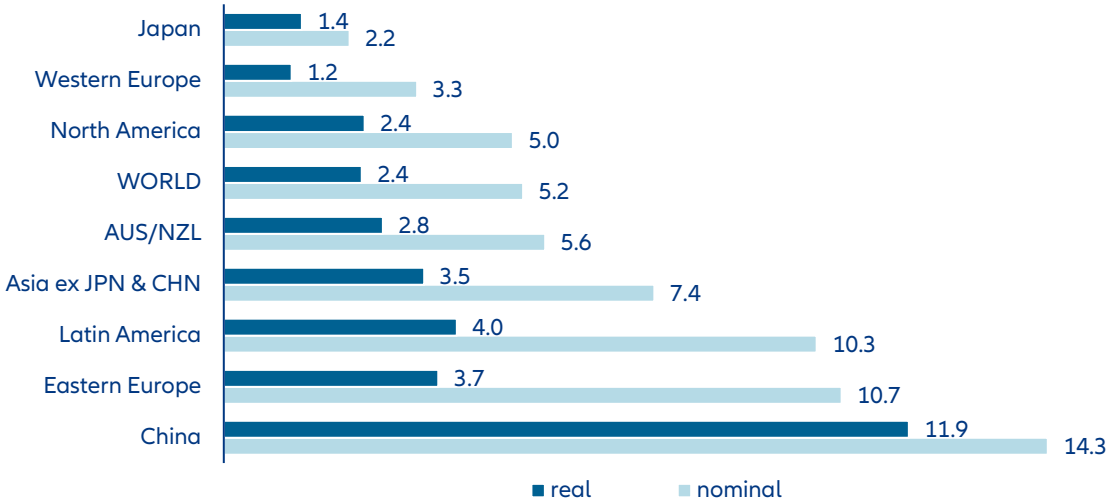
Adjusting for inflation and population growth does not fundamentally change the long-term picture: North American financial wealth has kept pace with global growth. Population growth alone accounts for only part of the story – per-capita wealth creation runs 0.8pps below the aggregate global rate in most regions, North America included. The exception is Japan, where a shrinking population actually lifts per-capita growth above the headline figure (Figure 4).

Figure 3: American wealth engine keeps running
Gross financial assets, CAGR* 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research
*CAGR: Compound annual growth rate

Figure 4: Inflation cuts wealth in half
Gross financial assets per capita, nominal and real CAGR 2006-2025, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

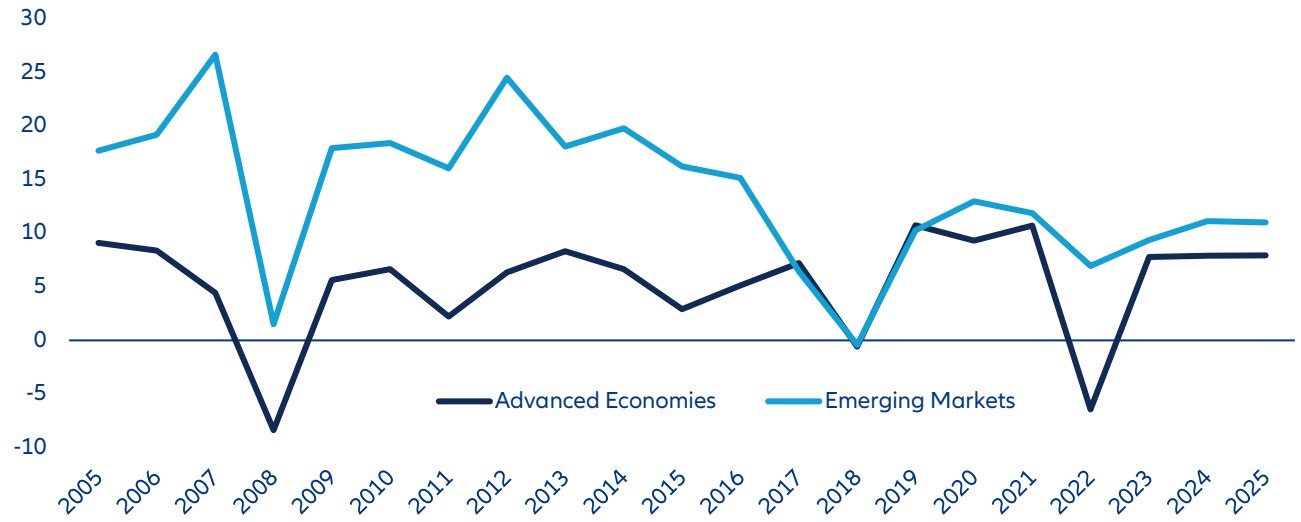
Inflation, by contrast, has a much larger effect than population growth: it erases more than half of nominal growth globally in real terms. North America is no exception, with real per-capita wealth growing at 2.4% a year against a nominal 5.0%. That 2.4% real rate, however, is exactly in line with the global average and comfortably ahead of Western Europe's 1.2% – only Japan and China erode less to inflation than North America does, and even Japan's real per-capita growth (1.4%) is just narrowly quicker than Western Europe's, not America's. Compounded over two decades, this leaves the purchasing power of North American financial assets up by a factor of 1.6 – matching the global multiple, and ahead of the 1.3x recorded in both Western Europe and Japan. China remains the one region genuinely out of reach on this measure, with real per-capita wealth compounding at an astounding 11.9% a year and purchasing power up almost tenfold over the same 20 years.

Thanks to its enormous asset base, North America remains the main driver of global financial wealth growth in nominal terms, real and per-capita adjustments notwithstanding. It generated 51.4% of the worldwide increase in financial assets in 2025. Over the past two decades, it accounted for 47.5% of the total increase, compared with 20.1% for China and 14.3% for Western Europe. In global wealth creation, the US remains clearly in the driver's seat.

North America's recent outperformance in household financial-asset growth is a relatively new phenomenon. In the years following the global financial crisis, US financial assets frequently grew more slowly than the global average. The shift began around 2017, when escalating US–China trade tensions heralded the end of ever-deeper globalization and the increasingly seamless integration of emerging economies into the global division of labor.

This changing environment is also visible in the narrowing growth gap between emerging and advanced economies (Figure 5). In the decade leading up to 2017, emerging-market financial assets on average grew more than 13pps faster per year. In 2024–2025, their advantage was only around 3pps. Emerging markets are still growing faster, but no longer fast enough to sustain the rapid convergence of the early 2000s. In an increasingly fragmented global economy, the closing of the global wealth gap has clearly lost momentum.

Figure 5: A narrowing growth gap
Gross financial assets in 2025 EUR, annual change in %

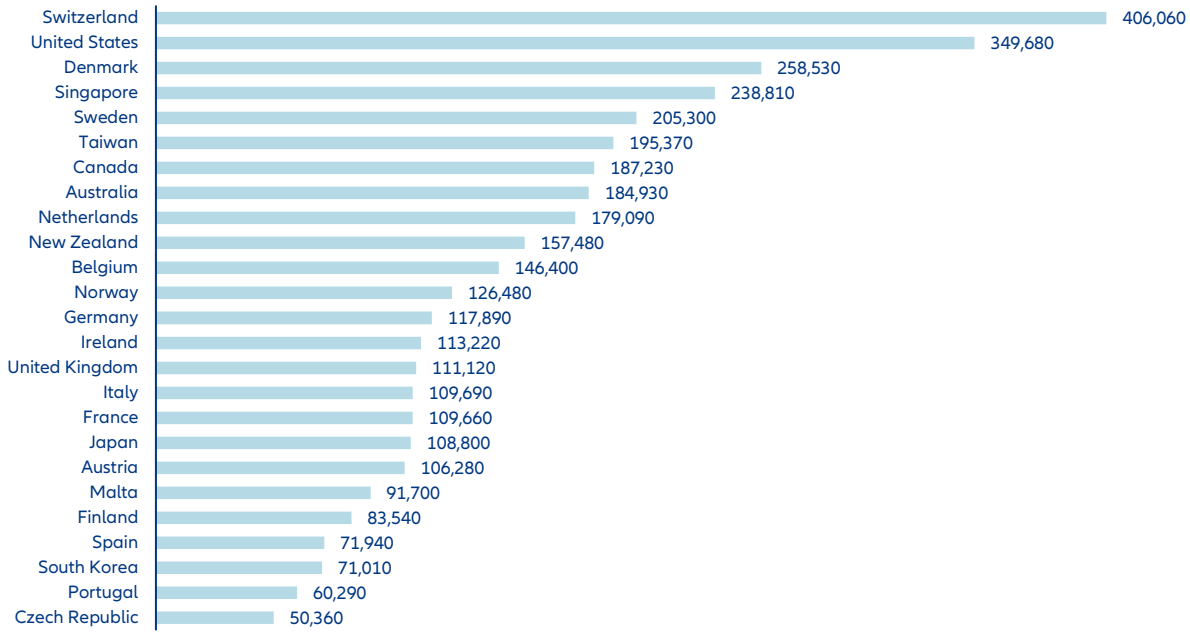


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

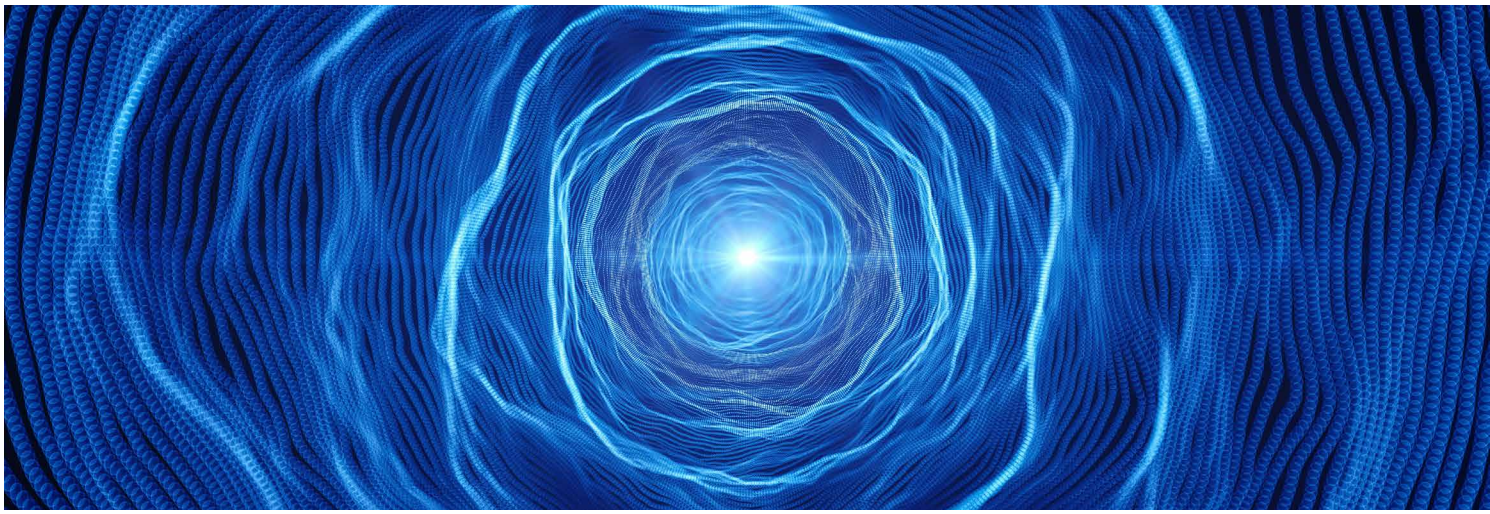
American supremacy is also reflected in per capita gross financial assets, at least when looking at averages: in fact, only Switzerland ranks ahead of the US. All other countries follow at a considerable distance (Figure 6). While the two top spots have remained unchanged for years, there has been some movement among the top ten. Two decades ago, Sweden, Taiwan, Australia and New Zealand were not yet part of this illustrious circle, which at that time included Belgium, the UK, Italy and Japan.

The Netherlands remains the highest-ranked Eurozone country, but is only ninth, down from fourth place in 2005. Germany's ranking remained unchanged from last year at 13th, but it has improved by six places since 2015 – partly reflecting a significant data revision. Among the other Eurozone countries, only Ireland, Malta, Croatia and the Baltic states also improved their rankings over this period. And China? It now ranks 32nd, up eight places from 2005.

Figure 6: The top 25
Gross financial assets per capita, in 2025 EUR



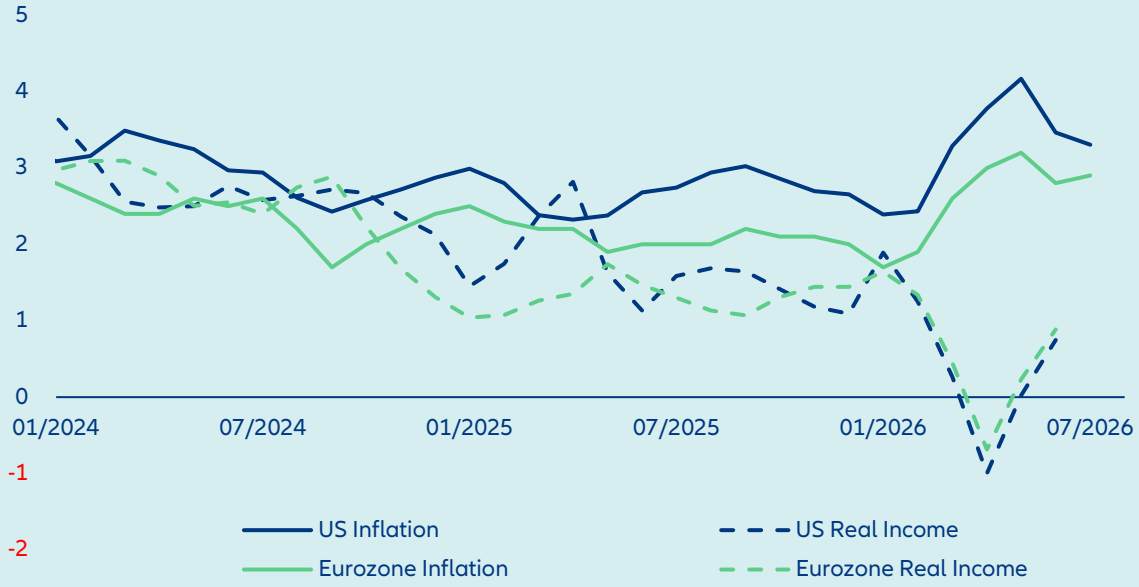
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Box 1: The affordability hangover – The lasting and renewed scars of the inflation shock

Inflation may be well below its post-pandemic peak, but the affordability crisis has not gone away. In the US, 47%[2] of registered voters cite the cost of living as the single most important factor in deciding their 2026 midterm vote – a sign that lower headline inflation has yet to translate into a sustained recovery in household purchasing power.
In fact, the recovery in purchasing power has gone into reverse. After the post-Covid inflation shock, wage growth had again overtaken inflation, allowing real incomes to recover in both the US and Europe. But in 2026, renewed energy-price pressures and sticky services inflation have reversed part of that improvement: inflation has risen to around 3.4% in the US and 3.3% in Europe and could be pushed higher by the energy-price shock triggered by the war in the Middle East. With nominal labor-income growth failing to keep pace, real labor-income growth has turned negative again for the first time since the post-pandemic inflation shock.

Figure 7: Inflation and real labor-income growth, US and Eurozone, 2021-2026, in %



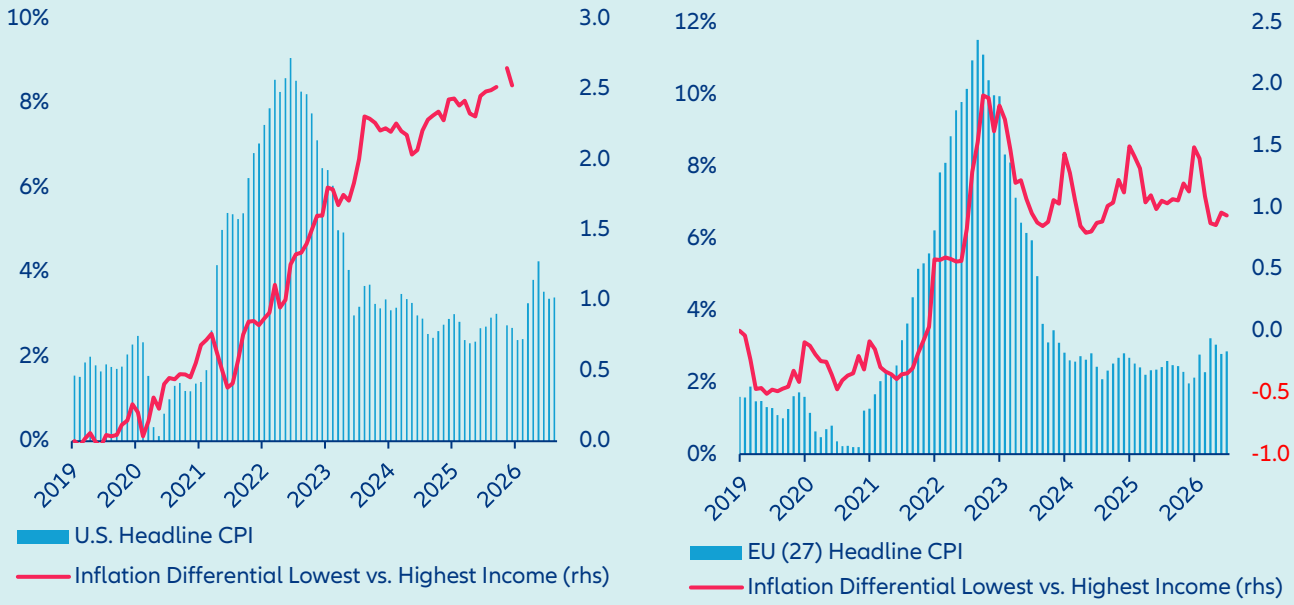
Sources: LSEG Datastream, Allianz Research

[2] See: Ipsos (2026), "Cost of living remains top of mind for voters heading into 2026 midterms"

The squeeze is also highly unequal. Lower-income households spend a higher share of their budgets on necessities and therefore have less room to adjust. In Europe, food, housing and energy absorb around 61% of disposable income for those in the bottom income quintile, compared with 45% for the top. In the US, lower-income households devote around 6pps more of their spending to essential goods. As a result, differences in consumption baskets can translate into an effective inflation rate around 1-2pps higher for poorer households.

The cumulative price shock continues to bite as lower inflation rates do not undo earlier price increases: US food prices, for example, remain around 36% above 2019 levels. For households already spending most of their income on essentials, this makes it harder to recover the purchasing power lost during the inflation shock.

Figure 8: Headline inflation and cumulative distributional inflation gap between highest- and lowest-income quintiles, US and Europe, in % and pp



Sources: BLS, Eurostat, Allianz Research

The affordability hangover can extend from household budgets to the ballot box. Historical evidence across 365 elections in 18 advanced economies since 1948 finds that a 10pp positive inflation surprise is associated with a 15% increase in the vote share of extremist, anti-system and populist parties, with the effect particularly pronounced when real wages fall.[3] Inflation does not determine voting behavior, but sharp and unexpected losses of purchasing power can amplify political discontent.

Bringing inflation down is therefore not the same as restoring affordability. Broad price subsidies can provide quick relief but are costly, often poorly targeted and can weaken incentives to adjust consumption. Support should instead focus on households most exposed to essential-price shocks, for example through targeted transfers or tax relief, while structural policies tackle the underlying drivers of living costs – particularly housing supply, energy costs and competition in essential services. Wage and benefit systems should meanwhile avoid turning temporary price shocks into persistent inflation.

The longer-term challenge is to protect households' capacity to save. When essentials absorb more income, saving is often the adjustment margin, turning today's affordability squeeze into tomorrow's wealth gap. Strengthening access to long-term saving, funded pensions and financial participation can help prevent an inflation shock from leaving a lasting scar on household wealth.

[3] See: Federle, J., Mohr, C. and Schularick, M. (2024), "Inflation Surprises and Election Outcomes," CEPR Discussion Paper No. 19741.

Markets do the heavy lifting

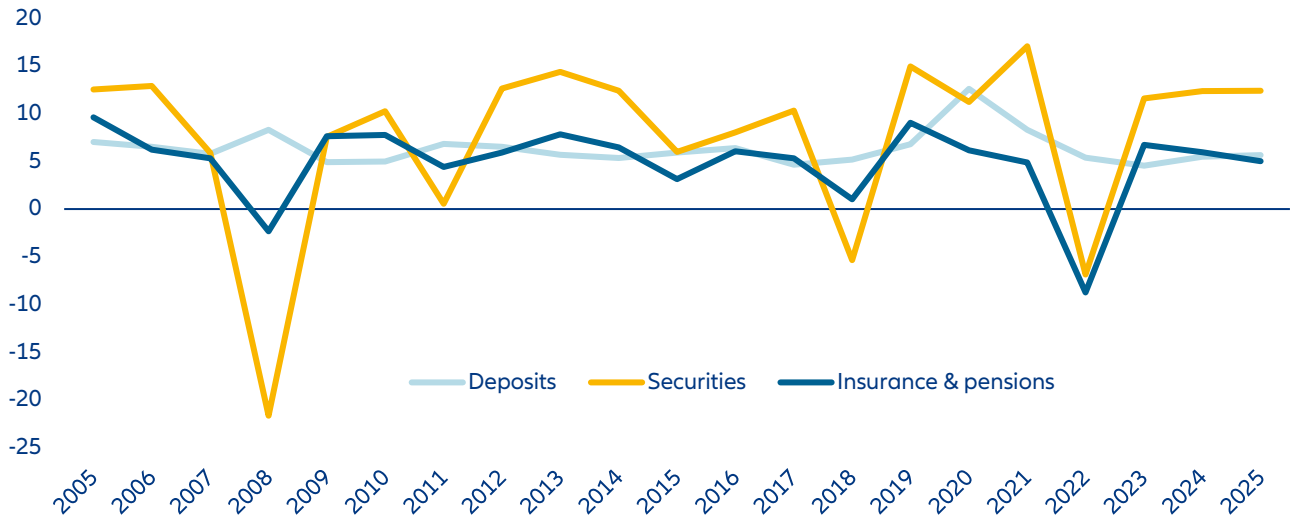
Financial wealth grows through two channels: households add new savings, and market movements change the value of existing portfolios. The second channel works primarily through securities, especially equities. Portfolio composition therefore determines how strongly households benefit from rising markets.

In 2025, securities, including shares, bonds and investment funds, rose by +12.4%, compared with +5.7% for bank deposits and +5.0% for insurance and pension assets (Figure 9). Securities thus led the three major asset classes for the third consecutive year.

With the sustained stock-market boom delivering substantial gains, the past three years have been exceptionally rewarding for invested savers. Between 2023 and 2025, securities grew by an average of +12.1% annually, more than twice as fast as deposits (+5.2%) and insurance and pension assets (+5.9%). Their growth advantage persists over the long term, although it is less pronounced because capital markets also experience periodic reversals.

Over the past 20 years, securities grew by an average of +6.9% annually, compared with +6.0% for total financial assets. The message is clear: capital-market participation is increasingly decisive for long-term wealth accumulation.

Figure 9: Securities set the pace for a third consecutive year
Gross financial assets in 2025 EUR, annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Securities are by far the dominant asset class. At the end of 2025, they accounted for a record 46.9% of global financial assets. Despite periodic stock-market setbacks, the long-term trend has been clear: overall holdings of shares, investment funds and other securities increased by 7.4pps compared with 2005. Conversely, the share of insurance and pension assets declined by a similar amount to a record low of 24.8%. Bank deposits meanwhile increased their share slightly to 26.0% (Figure 10).

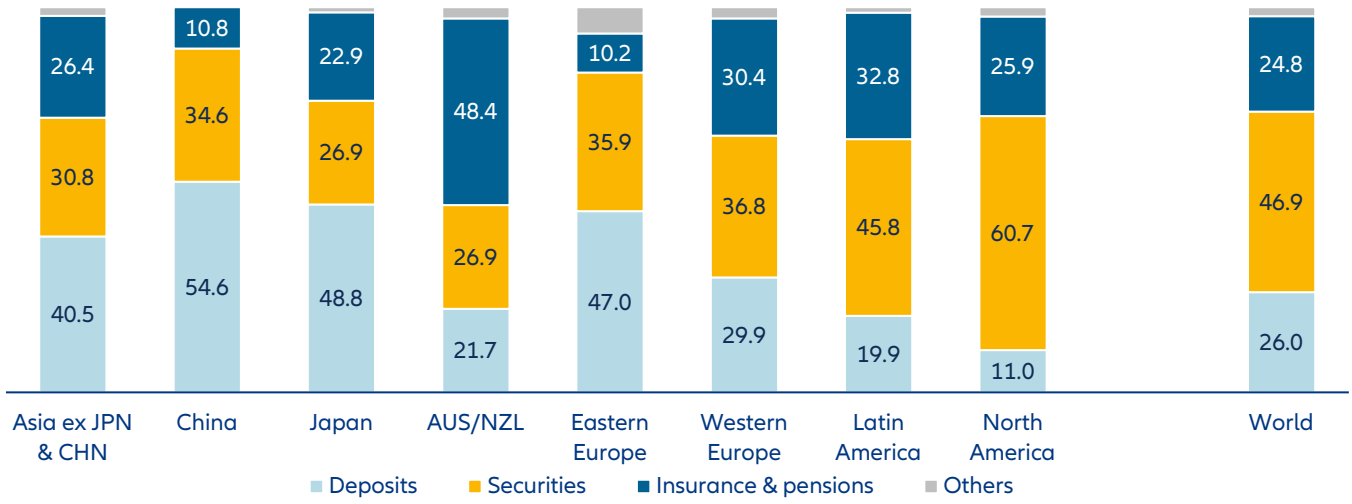
These global figures mask large differences between countries and regions, and thus the extent to which savers benefit from rising securities prices. North American savers have the greatest capital-market exposure, with securities accounting for 60.7% of their portfolios. In the US, the share is even higher, at 61.4%. This was not always the case: following the global financial crisis, North America's securities share fell below 46%.

Securities also play a disproportionately large role in Latin America, accounting for 45.8% of financial assets. These holdings, however, are more likely to include unlisted equity than in North America. Brazil stands out, with a securities share of 62.1%. In Asia, by contrast, bank deposits generally play a much larger role: they account for 54.6% of financial assets in China and 48.8% in Japan. However, there are important exceptions. In Australia, many savers participate indirectly in capital markets through superannuation funds, with insurance and pension assets accounting for 54.6% of household portfolios.

Western Europe, meanwhile, is characterized by a more balanced portfolio structure, with securities significantly less important than in North America. Here, too, national differences are substantial: securities account for 54.0% of financial assets in Italy, while insurance and pension assets dominate in the Netherlands, with a share of 50.4%.

These different portfolio structures demonstrate the wide variation in savings behavior around the world. They also help explain why North American savers have increased their financial assets broadly in line with global developments in recent years, unlike their Japanese and European counterparts. Despite North America's already very high level of wealth, its greater exposure to capital markets has supported continued growth. Portfolio structure is therefore not merely a reflection of savings preferences, rather it is an increasingly important determinant of wealth creation.

Figure 10: Different portfolios, different fortunes.
Gross financial assets, by asset class in 2025 EUR, in % of total gross financial assets



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Savings losing steam

Savers added less new money in 2025, but markets more than compensated: 4 out of every 5 euros of additional financial wealth came from valuation gains rather than fresh savings.

In 2025, new savings declined by -5.4% to EUR4.1trn (Figure 11). While this was well below the peaks of the exceptional years 2020 and 2021, it was still 56% higher than in 2015. Developments diverged markedly across regions. New savings in North America fell by -17.5%, largely because US purchases of securities, insurance and pension products declined. Nevertheless, the region still mobilized EUR1.8trn and accounted for around 45% of total new savings. By contrast, new savings increased by +34.6% in Japan, +22.2% in Australia and +13.3% in the eurozone. Overall these flows explain only around one-fifth of the increase in global assets, with valuation gains generating the remaining four-fifths.

Another striking feature was the continued recovery in bank deposits. The savings pool shrank, but the appetite for liquidity grew: almost one-third of fresh savings flowed into bank deposits. Inflows had virtually dried up in 2023, primarily because American savers withdrew more than EUR500bn and shifted funds into higher-yielding assets. After recovering in 2024, global deposit inflows increased by a further +18.1% to EUR1.3trn in 2025. As a result, deposits attracted 31.7% of new savings, up from 25.4% in the previous year.

While this is significantly higher than in the previous two years, it is still significantly lower than in the pre-pandemic years, when this figure averaged over 40%. The "rediscovery" of bank deposits is therefore likely due more to falling interest rates making the opportunity cost of leaving money in a current account lower, rather than due to their attractiveness. This is also evident in Japan, where the delayed interest rate turnaround caused the proportion of savings in bank deposits to fall to a historic low of 25%. The recovery was particularly pronounced in the US, where deposit inflows more than tripled to EUR321bn. Japan moved in the opposite direction: although deposit inflows increased slightly in absolute terms, their share of new savings fell from 28.4% to 23.4%.

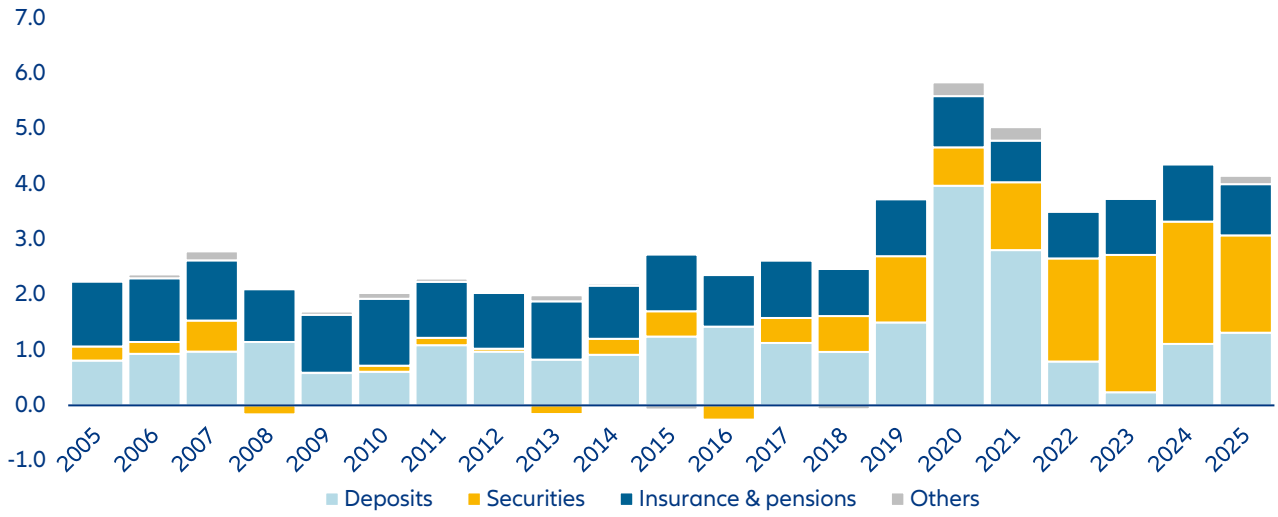
Securities suffered another setback after the exceptional inflows of previous years. Net purchases fell by -20.5% to EUR1.8trn in 2025, following a decline of -10.9% in 2024. Even so, securities remained the preferred destination for new savings, accounting for 42.4% of total flows – a historically high level – more than any other asset class.

North American savers continued to dominate securities purchases, but their share fell from almost three-quarters in 2024 to around two-thirds in 2025. The US alone accounted for 59% of global purchases. The cooling of securities flows was therefore largely an American phenomenon: North American purchases declined by -29.4% to EUR1.2trn, while inflows remained broadly stable in Western Europe at EUR333bn and increased in Japan to EUR79bn. Eastern Europe also recorded a strong increase, albeit from a much lower base. Global appetite for securities therefore did not disappear; it became less concentrated in the US.

Preferences within the securities category shifted again: households were net sellers of bonds and other debt securities, with global outflows of EUR63bn compared with purchases of EUR183bn in 2024. This reversal was driven by American savers, who sold EUR145bn after the bond-buying boom of 2022 and 2023. Italian and Japanese households remained the largest net buyers among the countries covered, purchasing EUR24bn and EUR31bn, respectively. However, their paths diverged: Japanese purchases edged up from EUR29bn in 2024, while Italian purchases more than halved from EUR55bn. Shares meanwhile remained in strong demand. Global purchases reached EUR830bn in 2025, down by -11.3% from the previous year but still the fourth-highest amount on record. Once again, the US was the decisive force, accounting for EUR814bn and therefore virtually all global net purchases. Elsewhere, activity was broadly balanced: Western European purchases were close to zero, while Japanese savers remained net sellers. Investment funds attracted EUR954bn, a decline of -11.1% but still the third-highest amount on record. Unlike direct share purchases, fund inflows were more broadly distributed: Western European purchases rose by +10.7% to a record EUR298bn, while North American inflows fell by -25.0% to EUR500bn. The continued popularity of Exchange Traded Funds (ETFs) is likely to have supported these flows.

Inflows into insurance and pension assets declined by -10.1% to EUR928bn, accounting for only 22.4% of new savings. However, the global decline was entirely driven by North America, where inflows fell by -40.8% to EUR269bn. Western European inflows meanwhile increased by +25.4% to EUR417bn, while Japan recorded an even stronger recovery, with inflows rising by +151.9% to EUR49bn, albeit from a low base. Nevertheless, the long-term trend remains clear: during the decade before the pandemic, insurance and pensions attracted an average of 44% of new savings – almost twice their share in 2025.

Figure 11: Securities still lead, deposits gain ground
Flow of funds by asset class, in 2025 EUR trn



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

North American savers continue to show a clear preference for securities. In 2025, they directed 63% of fresh savings into securities, compared with just 26% in Western Europe (Figure 12). This greater capital-market exposure has amplified the effect of their savings, which becomes visible over the course of ten years.

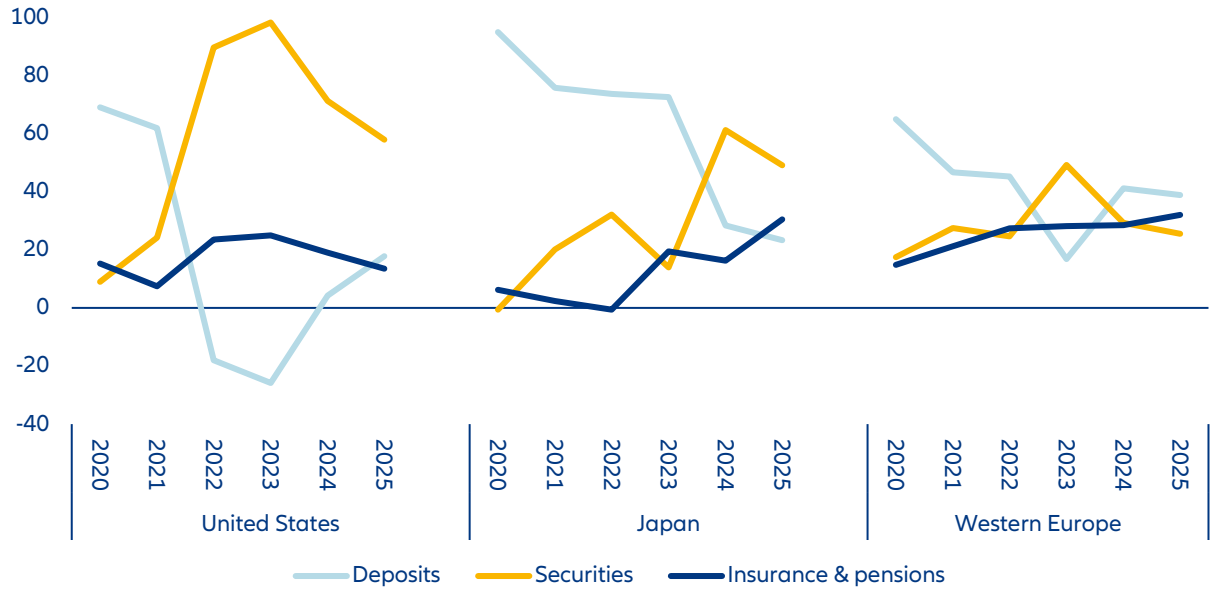
Within this time period, North American financial assets grew by an average of +6.9% annually, compared with +3.9% in Western Europe. This happened although Western European households added fresh savings equivalent to an average of 2.4% of their existing financial assets each year, while North Americans added just 2.1%.

The decisive difference, however, stems from contributions generated by valuation gains: they generated 71% of the increase in North American financial assets, but only 36% in Western Europe. In other words, North American portfolios made each euro of fresh savings work harder.

Germany provides an instructive example. Its financial assets grew by a relatively strong +6.0% annually over the past decade, but this required fresh savings equivalent to 3.9% of existing assets each year – almost twice the North American rate. Valuation gains accounted for only 33% of German asset growth, less than half the North American share. Germany achieved similar growth through much greater savings efforts; North America benefited from a substantially stronger market multiplier.

For Europe, the conclusion is straightforward: its households do not suffer from a lack of savings, but from a weaker transmission of savings into wealth creation. Greater capital-market participation could raise long-term returns without requiring households to save more. The question is therefore not only how much Europeans save, but how effectively their savings are put to work.

Figure 12: Making savings work harder
Flows by asset class and countries/regions, in 2025 EUR, as % of total flows



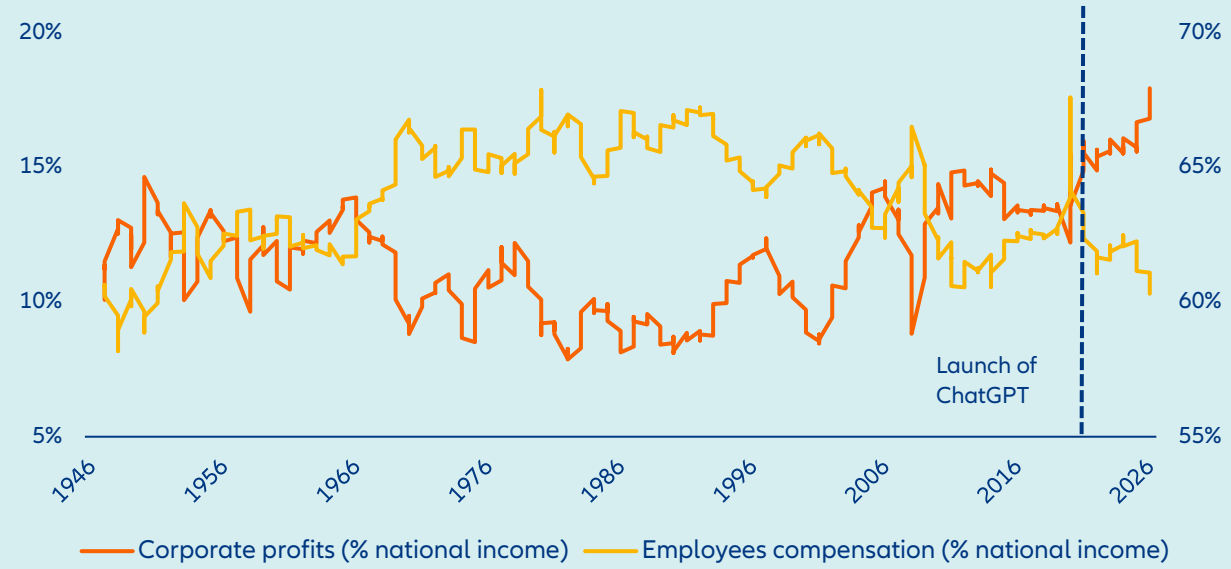
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Box 2: Who will capture the AI wealth dividend?

Artificial intelligence could transform both the pace and distribution of wealth creation, potentially weakening the traditional link between working, earning and accumulation. Developing AI models and building out computing, data and energy infrastructure require large upfront investments, while successful applications can be replicated at low marginal cost. This favors scale and allows output to grow without a corresponding increase in employment. AI could also make workers more productive and efficient, raise wages and lower prices. How widely these gains are shared will depend on policy choices that shape competition, workers' bargaining power and access to capital ownership.

The shift in value creation from labor towards capital is not new, but AI could accelerate it sharply. Recent US data show the distributional landscape into which AI is arriving. Pre-tax corporate profits reached an annualized USD4.8trn in the second quarter of 2026, equivalent to 18% of national income and the highest share since the aftermath of WWII (figure 13). Meanwhile employee compensation fell to 60%, its lowest share since the 1950s. Inflation, outsourcing and cyclical factors also matter, so these developments cannot be attributed primarily to AI, but they reveal an existing shift towards capital that AI could amplify if productivity gains accrue mainly through margins, rather than wages.

Figure 13: Profits gain, labor loses ground
US corporate profits and employee compensation, as % of national income



Source: U.S. Bureau of Economic Analysis via FRED

For most households, labor income remains the first rung on the wealth ladder. Wages provide the means to save, while ownership of productive assets adds access to investment income and compounding returns. If AI strengthens capital returns while weakening earnings prospects for some workers, that ladder could become harder to climb. In the US, the top 10% own around 87% of corporate equities and mutual-fund shares. AI could therefore generate strong aggregate wealth growth without a similarly broad improvement in household prosperity. AI's labor-market impact is likely to be substantial but uneven and remains subject to high uncertainty. According to our own Allianz Research forecasts AI will affect 1 in 4 jobs across major economies over the next three years, reorganization is expected to dominate, affecting 10% of jobs, compared with augmentation of 5% and displacement of 8%. This corresponds to 52.5mn jobs in the US and 21.8mn across major European economies including Germany, France, Italy, Spain and the UK. New occupations should offset some losses, but probably not immediately: firms can deploy technology faster than workers can retrain or move between occupations. This transition gap could temporarily leave displacement running ahead of job creation.

AI could also reshape wealth differences between countries. It can make expertise cheaper and more widely available, potentially delivering large productivity gains where skilled labor is scarce. Countries need not produce frontier AI to benefit from adopting it. However, ownership of models, platforms, semiconductors and infrastructure is concentrated, so part of the income generated by successful adoption may flow to foreign technology owners. Economies combining widespread adoption with ownership of the underlying technologies and businesses, like the US, are better placed to capture both productivity gains and investment income. However households can also participate through diversified investments in foreign companies, meaning that national technological leadership is not the only route to sharing in AI-driven returns.

Policy must address both sides of the transition: protecting labor income and widening participation in capital returns. Three priorities stand out. First, education and retraining should focus on skills that complement AI, supported portable benefits, wage insurance and occupational mobility. This can help shorten the gap between displaced work and new opportunities. Second, tax systems should not unnecessarily favor machines over workers. Labor is subject to income taxes and social contributions, while automated production may face a lighter effective burden. For example, a tax on AI tokens treating computational output as a proxy for machine labor could moderate excessively rapid substitution and protect the tax base as value creation shifts towards capital. Recycling the proceeds into training, wage insurance or general revenues could also broaden participation in AI-driven gains. Third, policy should broaden access to capital returns through wider pension coverage, matched long-term savings, employee profit-sharing and collective investment vehicles. Governments could also establish citizen wealth funds financed from AI-related revenues that invest in productive assets on behalf of the population. Stronger financial literacy would help households take greater responsibility for their financial futures and make informed decisions about saving, investment and risk. Together, these measures would create a lasting and more widely shared claim on technological progress.

If AI shifts value creation further towards capital, wider ownership will become increasingly important to translating technological progress into broadly shared wealth. Broad participation in the gains will be essential not only for prosperity, but also for social cohesion and continued public support for technological progress. An AI transformation that concentrates rewards while spreading disruption would ultimately prove economically and politically unsustainable.

Outlook

Global financial assets are on course for another strong year in 2026. Financial markets have so far proven remarkably resilient, supported by continued enthusiasm around AI and solid corporate earnings. Given the central role of securities in household portfolios, these gains should once again provide the main impetus for wealth growth. We expect global financial assets to increase by around +9% in 2026, above the +8.6% recorded in 2025 and once again well above their long-term growth rate of +6.0%.

Markets, rather than fresh savings, are likely to do most of the work. Higher energy prices following the outbreak of war in the Middle East are squeezing real disposable incomes and households' capacity to save. Elevated uncertainty may encourage precautionary saving, partly offsetting this pressure, but additional funds are likely to favor liquid deposits over longer-term investments. Fresh savings should therefore provide only limited additional momentum, while renewed inflation means that gains in purchasing power are likely to remain well below nominal wealth growth.

The economic backdrop leaves little room for complacency. AI-related investment provides an important growth impulse, but geopolitical conflict, trade fragmentation and higher energy costs weigh on the wider economy. With no swift resolution of the conflict in the Middle East in sight, renewed inflationary pressures at a minimum will keep monetary policy restrictive and most likely prompt further tightening into 2027. With economic growth moderate and interest rates elevated, further asset-price gains increasingly depend on corporate earnings delivering on already high expectations.

This is where AI becomes both the main upside and the main risk to the wealth outlook. If today's enormous investment in computing capacity, infrastructure and applications translates into stronger productivity and profits, the rally may have further to run. But markets may also have priced in some of tomorrow's gains too early. In a downside scenario, in which earnings disappoint and expectations prove too optimistic, a 25% correction in the S&P 500 could wipe around USD27trn from US household wealth, equivalent to almost 14%

of total net worth. The resulting hit to confidence and consumption, combined with weaker AI investment, could push the US economy into recession (see Box 3: *US households on the front line of an AI stock-market correction*).

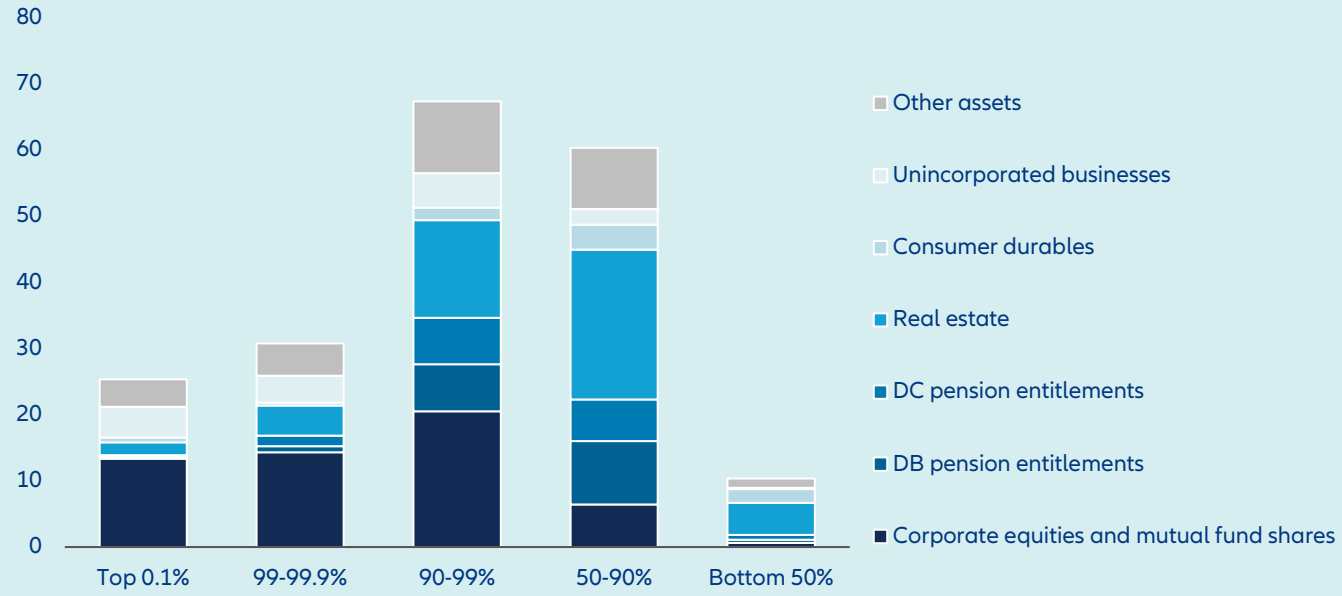
Over the medium term, AI should remain an important driver of global wealth creation, but the path is likely to become more volatile. Productivity gains could lift growth, corporate profits and asset returns, while AI may also trigger a notable shift in economic rewards from labor towards capital (see Box 2: *Who will capture the AI wealth dividend?*). How widely this wealth dividend is shared will depend not only on which countries and companies develop and adopt AI, but also on who owns the productive assets and on policy choices affecting workers' participation in the gains. At the same time, the structural headwinds are unlikely to disappear. Economic fragmentation, lingering inflation, elevated public debt and unpredictable policymaking will constrain returns and increase volatility. We therefore expect global financial assets to grow by around +5-6% annually over the next few years. AI offers substantial upside, but translating its technological promise into durable and broadly shared wealth will take time.

Box 3: US households on the front line of an AI stock-market correction

US households profited strongly from the AI-fueled stock market rally, thanks to their significant exposure to equities. But this may prove to be a vulnerability should markets correct. The S&P500 increased by around 95% between the end of 2022 and Q2 2026 with the six hyperscaler stocks[4] driving 43% of the rise. With US households' significant exposure to equities – 34.0% of their financial savings are held in corporate equities, 23.3% in pension funds (defined benefits and defined contribution entitlements) and 9.4% in mutual fund shares – their gross financial assets grew by 42.0% or just under USD45.4trn, and total US household net wealth by 36.9% during the same period. But this notable exposure – a combined 66.6% of financial savings, around 7pps above the long-term average, and almost 28ppt higher than in Europe – is a double-edged sword. When markets rally, consumers feel more confident and are likely to increase spending. The AI-induced equities rally of the past four years was likely a key driver of the resilience in US consumption growth in that time period. But when markets correct, consumers are likely to tighten their belts. The resulting retreat in spending can topple the US economy as household consumption is typically the most important driver of US GDP growth. The increasingly unbalanced, K-shaped structure of the US economy is adding to economic fragility while leaving the broader economy more exposed to shocks and bouts of heightened volatility. According to the latest available figures, the majority of the asset classes mentioned above is concentrated among the top 10% of US households: collectively, they own 87.3% of the total private wealth invested in corporate equities and mutual fund shares (Figure 14).

[4] Apple, Microsoft, Google, Nvidia, Meta, Amazon

Figure 14: Assets by wealth percentile groups, 2026Q1 , in USD trn

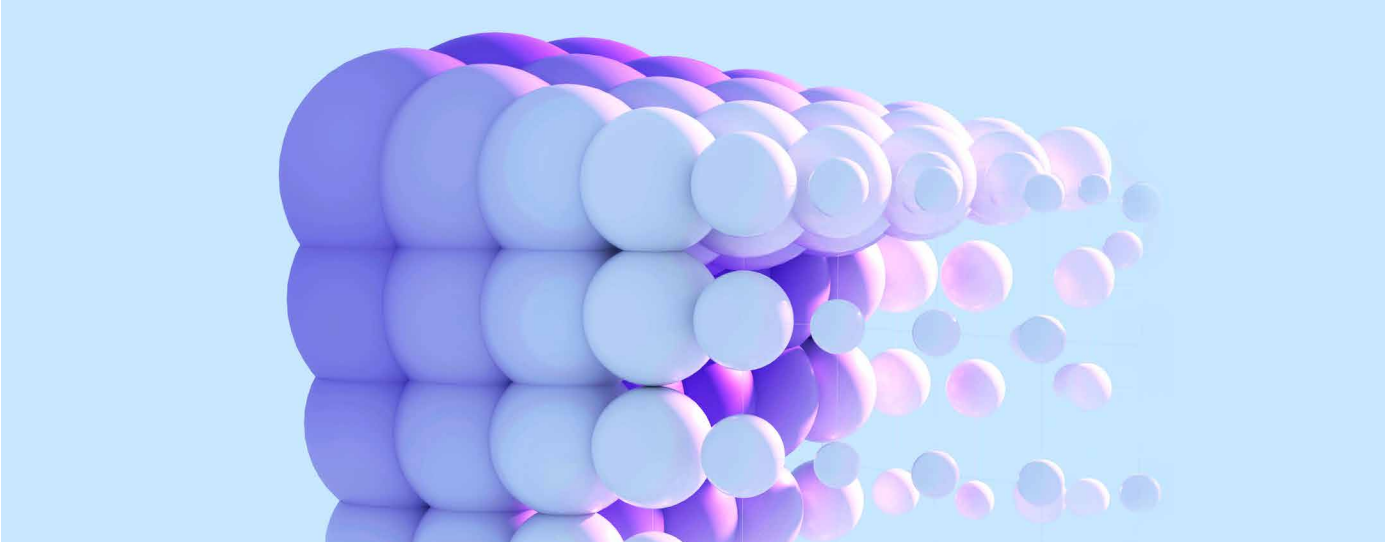


Sources: The Federal Reserve, Allianz Research

In addition, more than half (55.6%) of total defined contribution pension entitlements are held by the richest 10% of households. Overall, the top wealth decile holds 68.0% of total net household wealth. Moreover, US GDP growth has been increasingly powered by high-income consumers and the dominance of mega-cap corporations, leaving fewer households and sectors carrying a disproportionate share of economic momentum. This concentration also creates fragility as momentum rests on markets and affluent consumers, while lower-income households and smaller firms lack meaningful buffers. Any significant market downturn could rapidly erode high-income consumption and corporate confidence, amplifying negative economic outcomes.

If the AI equity bubble bursts, it would weigh on US economic growth and heighten recession risks. To gauge the economic and wealth impact we run two scenarios. While overall we do not dismiss the profound impact that AI will have on economies, the real risk is that markets may have priced in decades of growth overnight, leaving valuations vulnerable if adoption proves slower than expected. So in a first scenario an earnings miss triggers a correction to the tune of 15% in the S&P500. Given that the set-back will not be triggered by fundamental concerns about the viability of the AI business case, but rather exuberant expectations, it would be followed by a swift V-shaped recovery completed over a time horizon of six to nine months. Such a correction would lead to a 5.8% drop in total US household net wealth. The overall drag on annual GDP would tally up to -0.6pp.

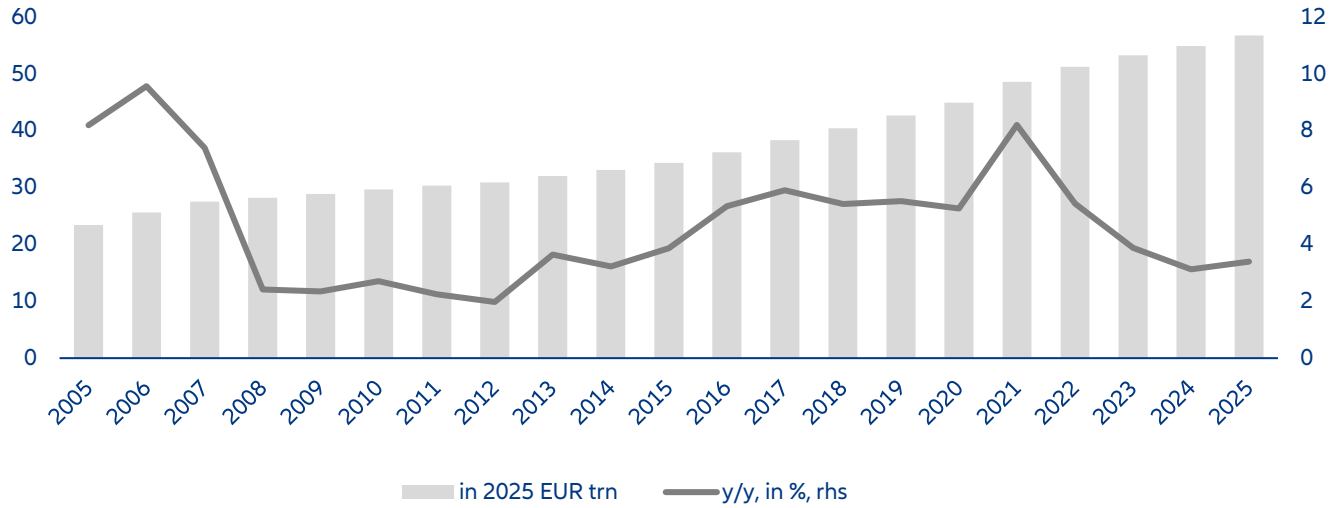
In a downside scenario, more fundamental concerns about the AI business case trigger a -25% S&P500 correction eliminating USD27trn in household wealth. The equivalent -14% drop in total net worth leads to a prolonged period of weaker confidence and spending. The resulting erosion in wealth and sentiment, together with a collapse in AI investment, pushes the US economy into a recession despite substantial monetary easing. With equity markets taking up to two years to recover in this scenario, the drag on economic activity would be substantial: US GDP growth in 2027 would be -2.0pps lower relative to the baseline. The most severe impact would be visible in investment, as the bubble would also trigger an abrupt reversal in total business investment. Household consumption would be severely affected because of weak sentiment and negative wealth effects inducing households to hold back spending.



Liabilities: Borrowing remains subdued

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

Figure 15: Rate cuts fail to revive borrowing
Global private liabilities, in 2025 EUR trn and annual change, in %

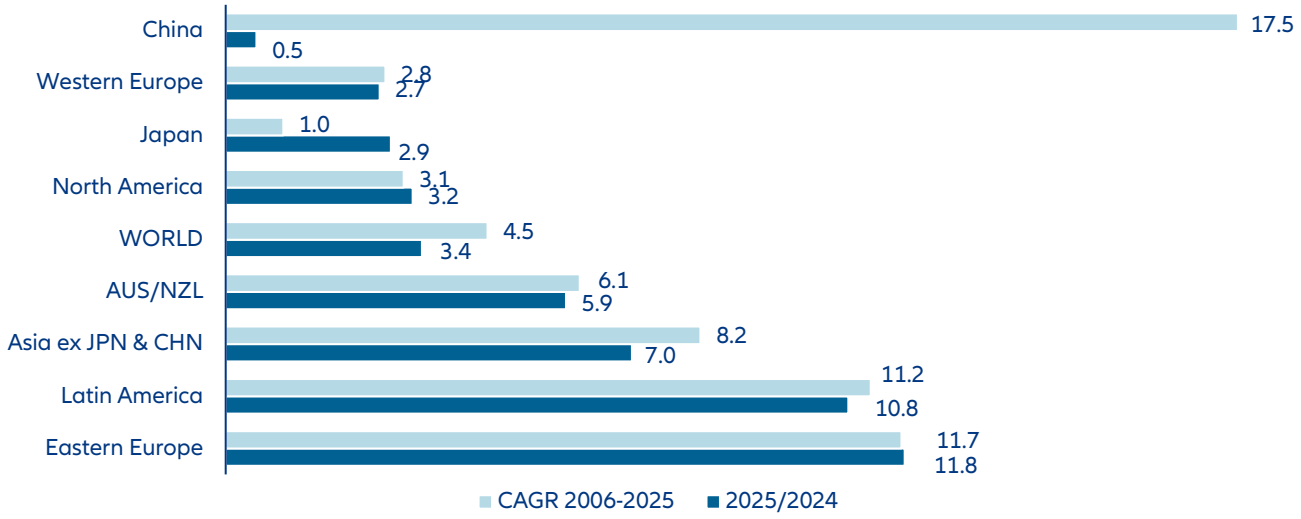


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Debt growth in 2025 remained highly uneven. The strongest increases were concentrated in emerging markets. Liabilities rose by +11.8% in Eastern Europe and +10.8% in Latin America, while Asia excluding China and Japan recorded growth of +7.0%. While household debt growth in advanced economies remained moderate compared with emerging markets, it accelerated noticeably across most regions in 2025: In Western Europe, debt growth nearly doubled from +1.4% in 2024 to +2.7% in 2025, while North America recorded an acceleration from +2.0% to +3.2%. Australia and New Zealand followed at +5.9%. Japan and China stood out in opposite directions. Japanese household liabilities increased by +2.9%. Excluding the pandemic-distorted year 2020 (+3.8%), this was the strongest rise this century – another sign that Japan may finally be leaving its long deflationary period behind. China, meanwhile, moved sharply in the opposite direction. After expanding by an average of +17.5% annually over the past two decades, household liabilities grew by only +0.5% in 2025 (Figure 16). The debt engine that powered much of China's past growth has effectively stalled as the prolonged property downturn weighs on housing demand and consumer confidence. What began as a cyclical slowdown increasingly points to a broader shift away from debt-driven expansion and towards balance-sheet caution.

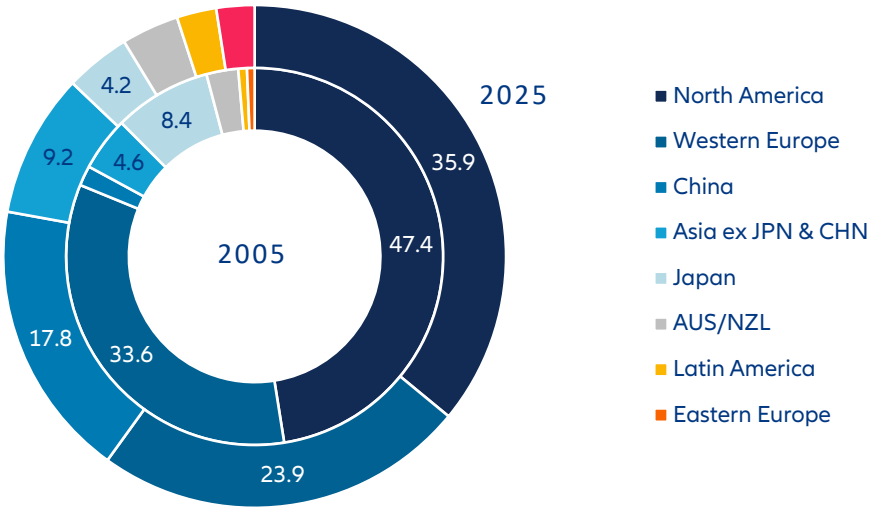
Significant shifts in the global debt map have been caused by the very different long-term growth rates of private debt (Figure 17). North America's share of worldwide household debt has fallen from 47.4% in 2005 to 35.9% in 2025. Meanwhile Western Europe's share declined from 33.6% to 23.9% and Japan's halved from 8.4% to 4.2%. Together, these three traditional debt centers accounted for only 64% of global liabilities in 2025, compared with almost 90% two decades earlier. The opposite trend is evident in Asia, particularly China, whose share of global debt has surged from 1.7% to 18.3%, despite its current weak performance. Chinese households alone now account for almost 60% of all private debt in Asia (including Japan). Although China's near-stagnant borrowing now marks a sharp break with its past expansion, the long-term debt story is therefore one of migration from West to East.

Figure 16: The price of higher interest rates
Increase of private debt by countries/regions, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 17: The debt map shifts east
Private liabilities, regional split 2005 and 2025, in 2025 EUR, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

The monetary-easing cycle that began in 2024 failed to produce a meaningful recovery in household borrowing. Global household-debt growth edged up from +3.1% in 2024 to +3.4% in 2025, but remained well below its long-term average of +4.5%. This muted response is not particularly surprising: long-term interest rates did not follow policy rates down to the same extent, leaving mortgages and other long-term loans relatively expensive. Overall, global household liabilities reached a new record of EUR56.9trn at the end of 2025 (Figure 15).

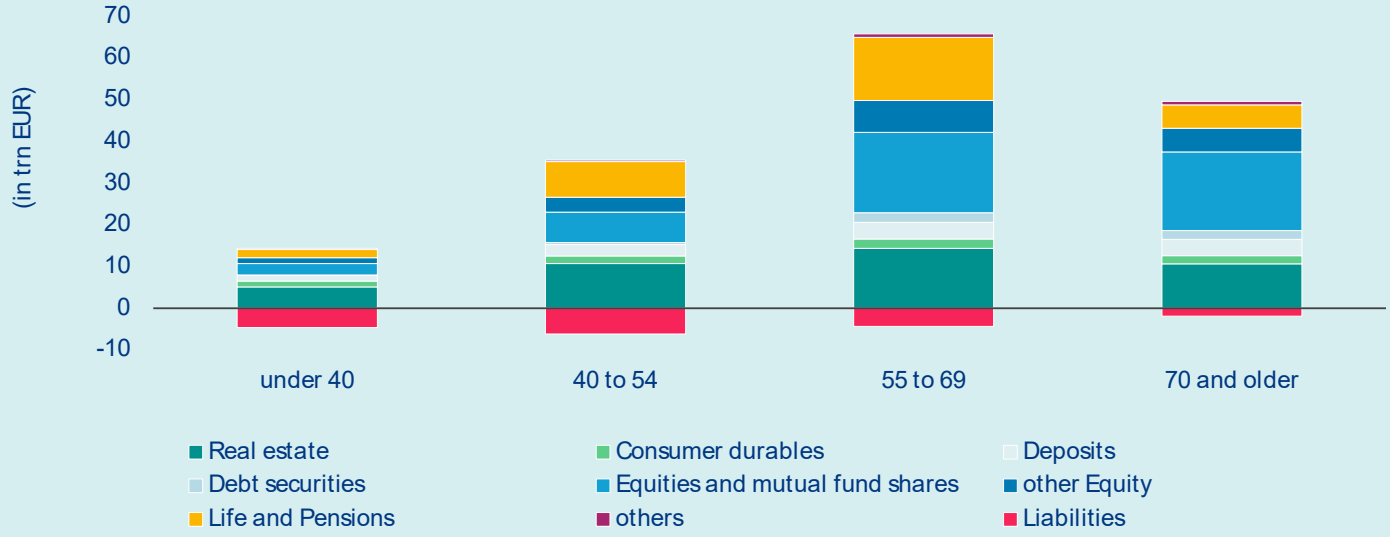
Box 4: Selfish retirees, overburdened youngsters?

The debate about the financial burden demographic change will impose on younger generations is often strikingly one-sided. Much attention is rightly paid to the rising cost of public pensions, health and long-term care systems as populations age. But there is another side to the intergenerational balance sheet that receives far less attention: over the coming decades, younger generations will also inherit an exceptionally large stock of private wealth that has been accumulated by today's older generations.

In the USA, households close to or already in retirement held around 86% of total gross financial assets and 80% of net financial assets[5] in 2025. Total net financial assets of the 55–69 and 70+ age groups amounted to around EUR80trn, equivalent to 305% of US GDP. Including real estate and durable consumer goods, their total net assets reached around EUR109trn. The wealthiest age group was the 55–69 cohort, with gross financial assets of EUR49.2trn and real estate and durable consumer goods worth EUR16.6trn. This was followed by households aged 70 and older, whose combined financial and real assets amounted EUR49.6trn (Figure 18).

[5] See: Board of Governors of the Federal Reserve System (2026): DFA: Distributional Financial Account. Distribution of Household Wealth in the U.S. since 1989, https://www.federalreserve.gov/releases/z1/dataviz/dfa/distribute/table/

Figure 18: Private households financial and real assets, USA, in trillion EUR



Source: Board of Governors of the Federal Reserve System

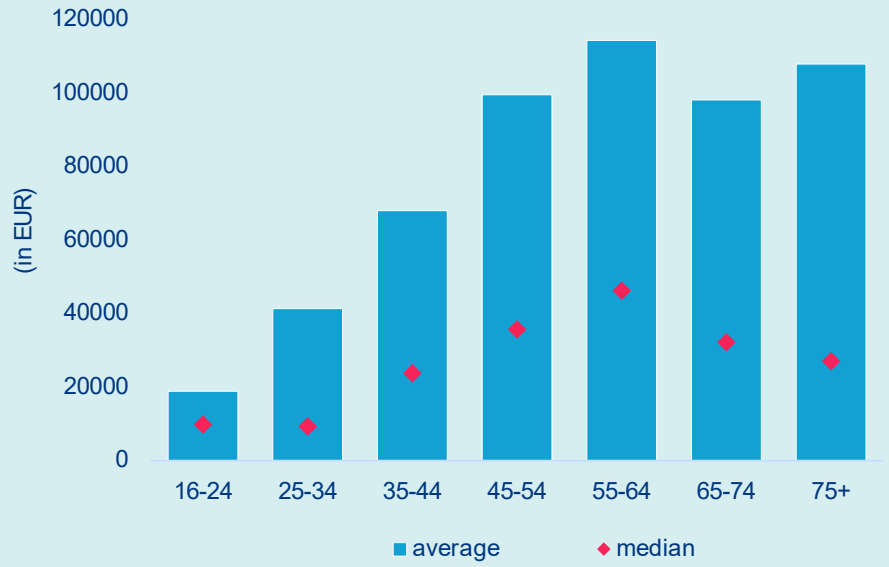
For Germany, the financial wealth of households aged 55 and older can only be estimated approximately on the basis of household surveys. According to the latest Panel on Household Finances (PHF) survey, published by the Bundesbank[6], mean gross wealth reached around EUR114,400 for households whose reference person was aged 55–64, EUR98,200 for those aged 65–74 and EUR107,900 for those aged 75 and older. The comparatively lower figure for the 65–74 age group may partly reflect the weaker labor-market experience of cohorts born between 1950 and 1958, who were exposed to high unemployment and subdued real wage growth during important parts of their working lives. Combining these wealth estimates with the number of households in each age group reported in the Mikrozensus[7], we estimate that the cohorts aged 55 and older hold around 60% of the private households' gross financial assets, which would correspond to around EUR 6.1trn in 2025 (see Figure 19).

Including real estate, average household net wealth in Germany stood at EUR324,000 in 2023, slightly above the euro-area average of EUR312,000[8]. Wealth peaked among households whose reference person was aged 55–64, at EUR440,100 on average. It remained high among those aged 65–74, at EUR411,400, before declining to EUR343,700 for households aged 75 and older. By contrast, households headed by someone aged 16–34 held average net wealth of just EUR106,900.

These differences largely reflect the typical lifecycle of wealth accumulation. Households build up assets during their working lives and, on average, begin to draw them down in retirement. The same pattern can be observed across most EU countries, although the pace of decumulation in old age differs markedly depending on the generosity and financing structure of public pension systems (Figure 20).

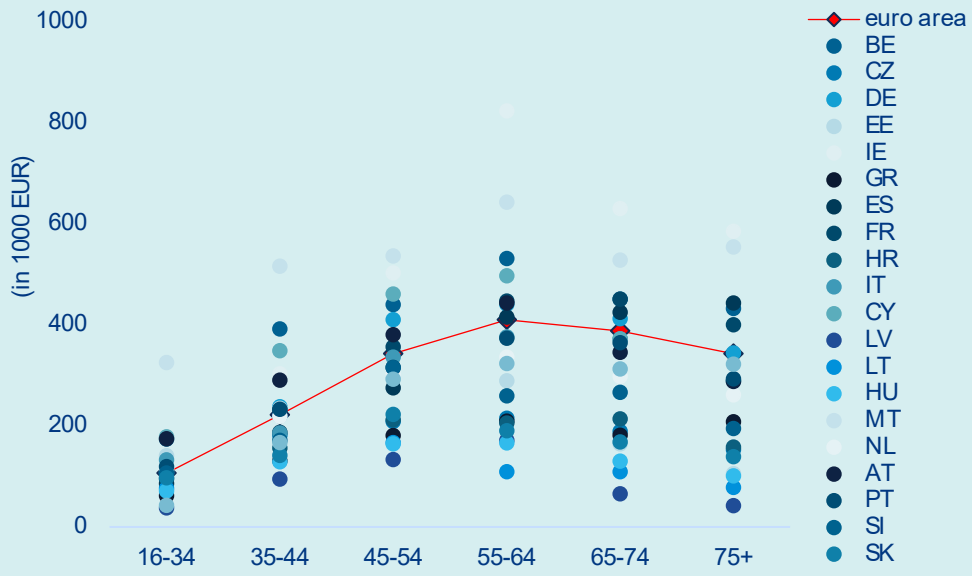
[6] See Deutsche Bundesbank (2025): Vermögen und Finanzen privater Haushalte in Deutschland: Ergebnisse der Vermögensbefragung 2023, in: Monatsbericht der Deutschen Bundesbank, April 2025, no. 4, vol. 77, p. 31-80 and Tabellenanhang.
[7] See Statistisches Bundesamt (2026): Mikrozensus – Haushalte und Familien. Endergebnisse 2024, tab. 12211-05.
[8] See ECB (2026): The Household Finance and Consumption Survey. Wave 2023, Statistical Tables, Table A4 Net wealth, means – breakdowns, https://www.ecb.europa.eu/stats/ecb_surveys/hfcs/html/index.en.html

Figure 19: Gross financial assets per household, Germany, by age of reference person (in EUR)



Source: Deutsche Bundesbank

Figure 20: Net wealth, mean, EU 27, by age of reference person (in 1000 EUR)



Source: Deutsche Bundesbank

These figures should nevertheless be interpreted with caution. Household wealth surveys tend to understate financial assets, while the very wealthiest households are often underrepresented. In Germany, for example, the PHF survey puts average gross financial assets at EUR87,400 per household, compared with EUR117,890 based on the aggregate household balance sheet. Survey-based estimates of future inheritances should therefore be regarded as indicative rather than precise.

Moreover, the wealth that younger generations may inherit over the coming decades represents an upper bound rather than a guaranteed transfer. Wealth is distributed very unevenly: in Germany, the richest 10% own 53.7% of total net wealth[9]. DIW estimates suggest that around EUR400bn is inherited or gifted each year, with roughly half of these transfers accruing to the wealthiest 10% of beneficiaries[10]. At the same time, rising health and long-term care costs, together with less generous pension systems, are likely to absorb a growing share of household wealth before it can be transferred. The coming inheritance wave will therefore be substantial, but highly uneven, and could reinforce existing wealth inequalities within younger generations.

The same applies in the US. Consider a single retiree who wants to withdraw an average of EUR2,000 per month to cover living, health and care costs. Assuming average inflation of 3.0%, an annual return of 5.0% and a retirement period of 17.4 years – the average remaining life expectancy of a 70-year-old woman according to the latest UN population statistics – the required savings at age 70 would amount to around EUR368,700. This is equivalent to roughly 46% of the calculated average net wealth of EUR802,800 for the 70+ age group. A substantial share of accumulated wealth therefore needs to remain available to finance retirement itself rather than being passed on.

Combined with the highly unequal distribution of US household wealth, this helps explain why estimates of the "Great Wealth Transfer" vary so widely, from around USD36trn to more than USD100trn over the coming decades.[11] Headline asset stocks therefore provide only a rough indication of the wealth that will ultimately be transferred to younger generations.

Nevertheless, the broader conclusion remains: the intergenerational debate should consider both sides of the ledger. Younger generations will face rising public-sector burdens as societies age, but they will also receive one of the largest private wealth transfers in history. Neither offsets the other. But discussing future pension, health and long-term care liabilities without considering the parallel transfer of private assets gives an incomplete picture of the economic relationship between generations.

[9] SECB (2026), ebd., table J4 Net wealth inequality indicators.
[10] The DIW estimated in 2021 that EUR400bn per year could be inherited to the younger generation, of which 50% of are transferred to the wealthiest 10 percent. See Baresel, Kira et al. (2021). Hälfte aller Erbschaften und Schenkungen geht an die reichsten zehn Prozent aller Begünstigten, https://www.diw.de/de/diw_01.c.809832.de/publikationen/wochenberichte/2021_05_1/haelfte_aller_erbschaften_und_schenkungen_geht_an_die_reichsten_zehn_prozent_aller_beguenstigten.html
[11] See for example Frank, Robert (2026): How big is the great wealth transfer? It could be over $100 trillion or $36 trillion, CNBC, published July, 17, 2026, https://www.cnbc.com/2026/07/17/great-wealth-transfer-estimates.html

Households deleverage – governments do not
The global household-debt ratio fell to 60.9% of GDP in 2025, almost 10pps below its 2005 level and nearly 13pps below its 2009 peak (Figure 21). This does not mean that households stopped borrowing: liabilities continued to increase, but more slowly than nominal economic output. Nevertheless, the contrast with the public sector is striking. While government debt has continued to rise, households have spent much of the past decade strengthening their balance sheets.

But deleveraging was far from universal. Since 2005, the debt ratio has fallen by 20.4pps in North America and by 6.3pps in Western Europe, while Japan's ratio has remained broadly stable. Australia and New Zealand stand apart from this trend: their combined ratio rose by 12.2pps to 113.8%, although it remains below its 2020 peak. The decline in the global ratio therefore conceals a significant shift in the geography of household debt, from the traditional advanced economies towards emerging markets, albeit with important exceptions.

China recorded by far the largest increase. Its household-debt ratio rose by 42.1pps to 59.4% of GDP between 2005 and 2025, reflecting the extraordinary credit and property boom of the intervening years. However, the ratio has barely changed since 2020, underlining how abruptly that boom has ended. China's household-debt ratio is now only around 10pps below that of the US, but the two countries have followed opposite paths: American households have deleveraged substantially, while China has moved from rapid debt accumulation to balance-sheet caution.

Elsewhere in the emerging world, the increase was less dramatic. Since 2005, the household-debt ratio has risen by 10.7pps in Latin America to 27.8% and by 6.1pps in Eastern Europe to 21.8%. Both remain moderate by international standards. Asia excluding Japan and China also appears relatively stable, with its aggregate ratio rising by only 2.2pps to 55.1%. But this regional average is deceptive. It partly reflects the growing weight of poorer, less-indebted economies and substantial deleveraging in Singapore, where the ratio fell by 26.4pps to 51.6%.

At the country level, the fault lines cut across the advanced and emerging-market divide. Switzerland and Australia recorded debt ratios of 125.1% and 119.4% of GDP, respectively, while Canada stood at 103.3% and the Netherlands at 97.2%. Several Asian economies also carry substantial household-debt burdens: Taiwan and South Korea recorded ratios of around 92%, while Thailand and Malaysia stood at approximately 87% and 85%, respectively. These levels are comparable with those recorded in several Western economies before the global financial crisis. In 2006, household debt stood at 98.4% of GDP in the US, 84.2% in Spain and 95.0% in Ireland. High leverage does not in itself signal an imminent crisis, but it makes households and consumption more vulnerable to income, interest-rate and housing-market shocks. The decisive dividing line is therefore not between advanced and emerging markets, but between housing and financial systems that rely heavily on household leverage and those that do not.

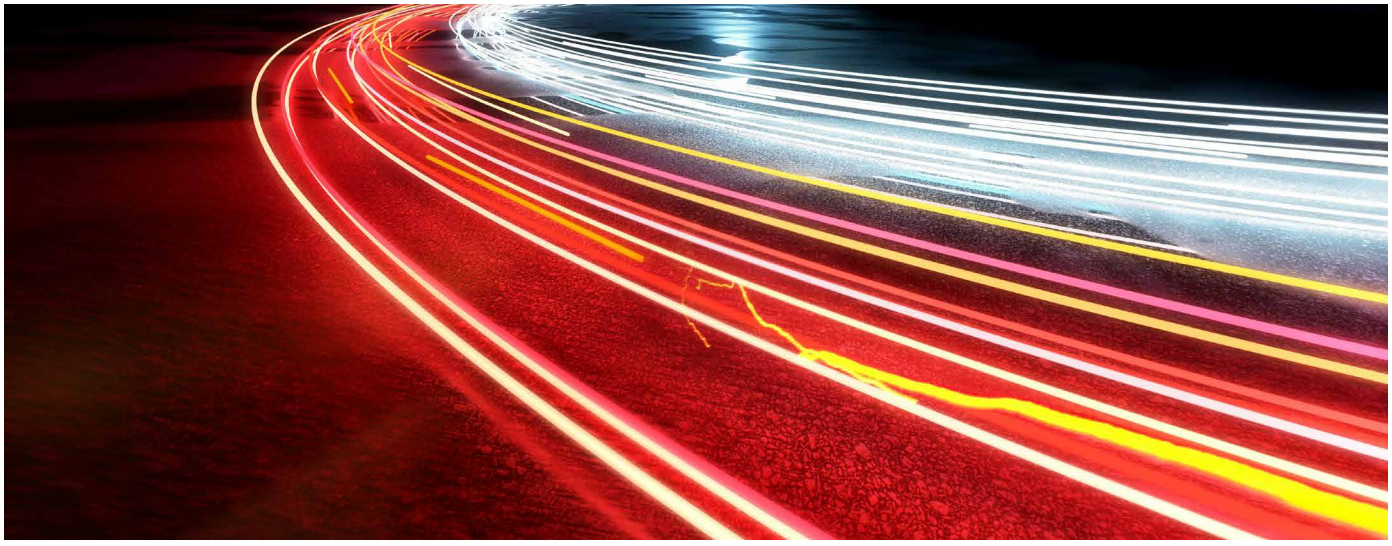
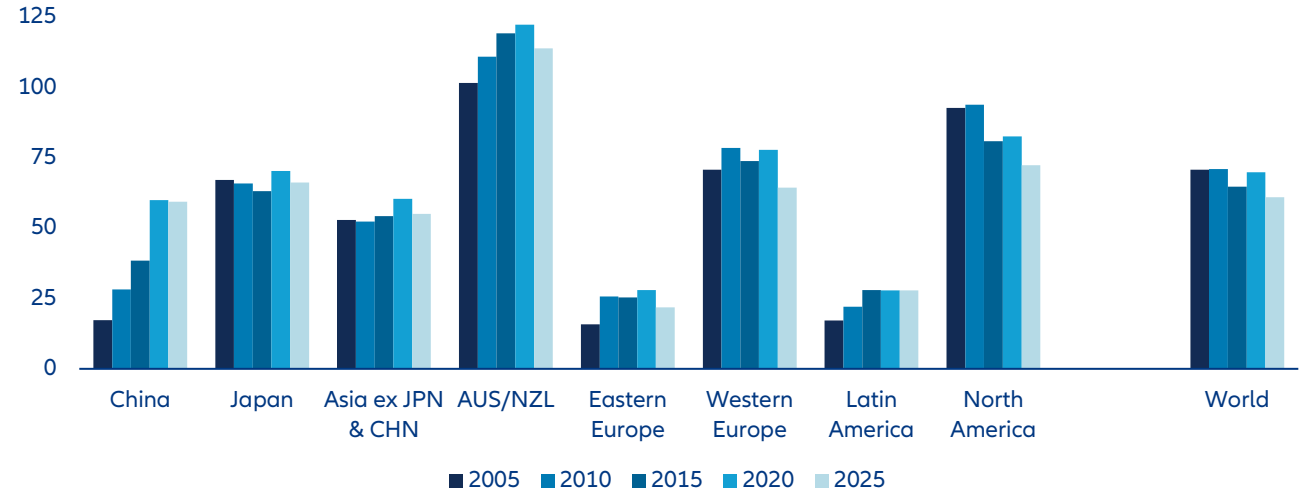


Figure 21: Global deleveraging
Private liabilities as % of nominal GDP, by countries/regions



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Strong asset growth and subdued borrowing pushed global net financial assets (financial assets minus liabilities) up by +10.1% in 2025, broadly matching the previous year's +10.2%. They reached a record EUR211.5trn, almost twice their 2015 level and more than tripling their value in 2005.

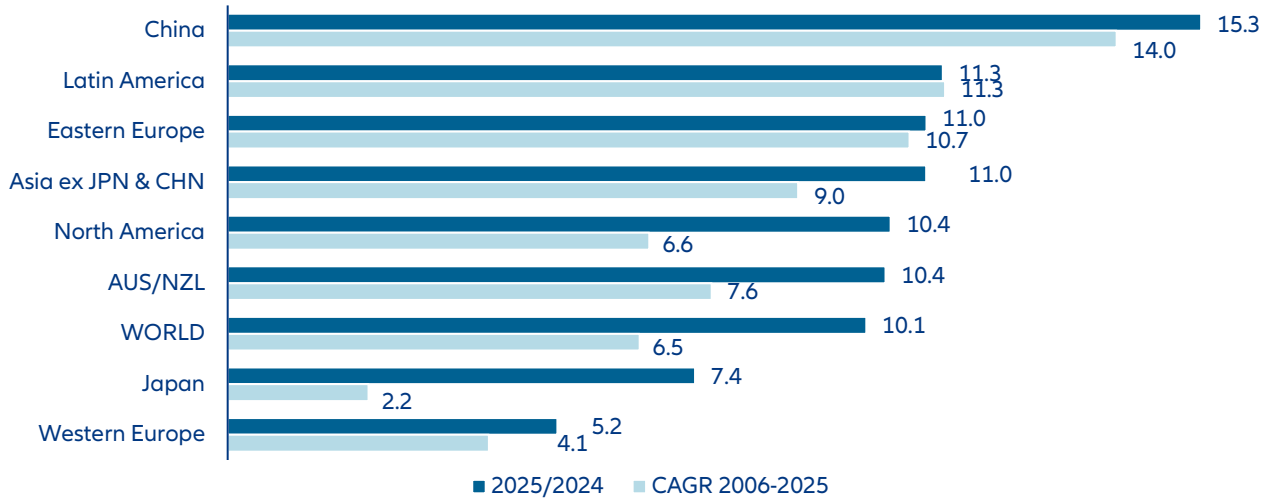
China recorded the strongest increase in net financial wealth at +15.3%, reflecting the combination of strong asset growth and the near-standstill in household debt. Latin America followed at +11.3%, while Eastern Europe and Asia excluding China and Japan both recorded growth of +11.0%. North America and Australia and New Zealand also achieved double-digit increases of +10.4% each. Japan recorded a strong +7.4%, while Western Europe again brought up the rear at +5.2%. Growth exceeded its 20-year average in almost every region (Figure 22). Latin America was the only exception, although its +11.3% increase was broadly in line with its long-term rate.

The figures reveal a less visible source of wealth creation. Weak credit growth may constrain housing activity and household investment, but it also strengthens private balance sheets when financial assets continue to expand. In 2025, this deleveraging dividend lifted global net financial wealth faster than gross financial wealth. It also reinforced North America's dominant position: the region held 51.3% of global net financial assets, compared with 48.1% of gross financial assets. Low leverage relative to its enormous asset base gives North America an additional wealth advantage.

Adjusted for population growth and inflation, China remains the undisputed long-term leader (Figure 23). Real net financial assets per capita have increased more than sevenfold over the past two decades. No other region comes close. Even the other emerging-market regions recorded little more than a doubling. Among advanced markets, Western Europe continued to lag behind Japan, highlighting how weak asset growth, rather than debt accumulation, has constrained European wealth creation.

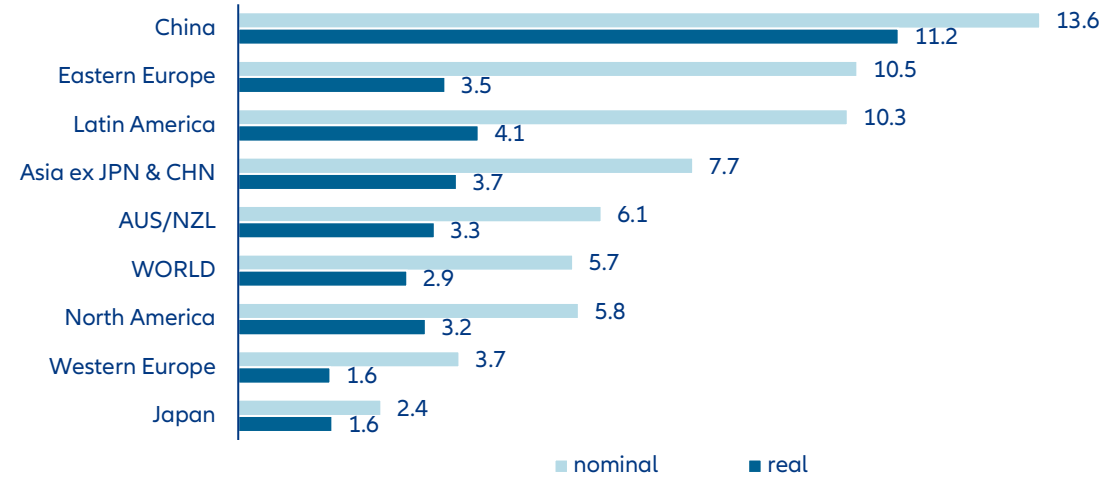
Comparing gross and net financial assets adds another dimension. In China, net financial assets grew around 0.7pps more slowly per year than gross financial assets over the past two decades, reflecting the rapid accumulation of household debt. A smaller gap is also visible in Eastern Europe. However, this is not a universal emerging-market pattern: in Latin America and the rest of Asia, gross and net wealth developed at broadly similar rates. In the advanced economies, the relationship is reversed. As household debt generally grew more slowly than assets, net financial wealth outpaced gross wealth. The difference was particularly pronounced in North America, where net financial assets grew around 0.7pps faster per year.

Figure 22: Net wealth posts another double-digit gain
Net financial assets, CAGR 2006-2025 and growth 2025/2024, in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

Figure 23: China remains on top – by a wide margin
Net financial assets per capita, nominal and real CAGR 2006-2025, in %

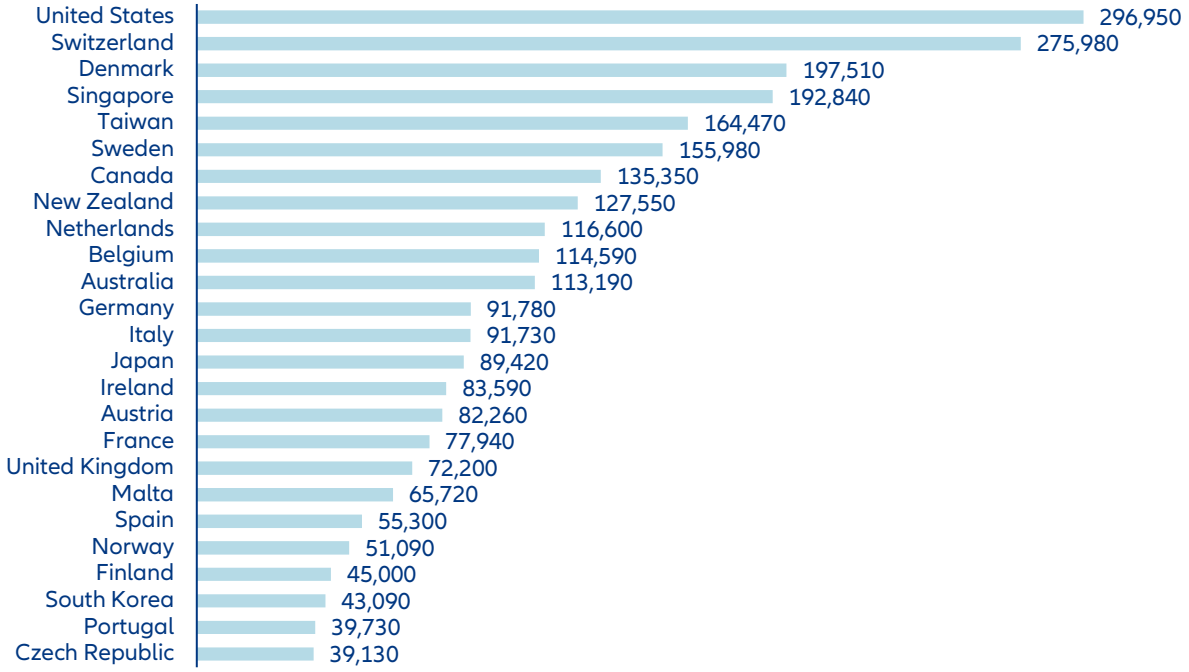


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

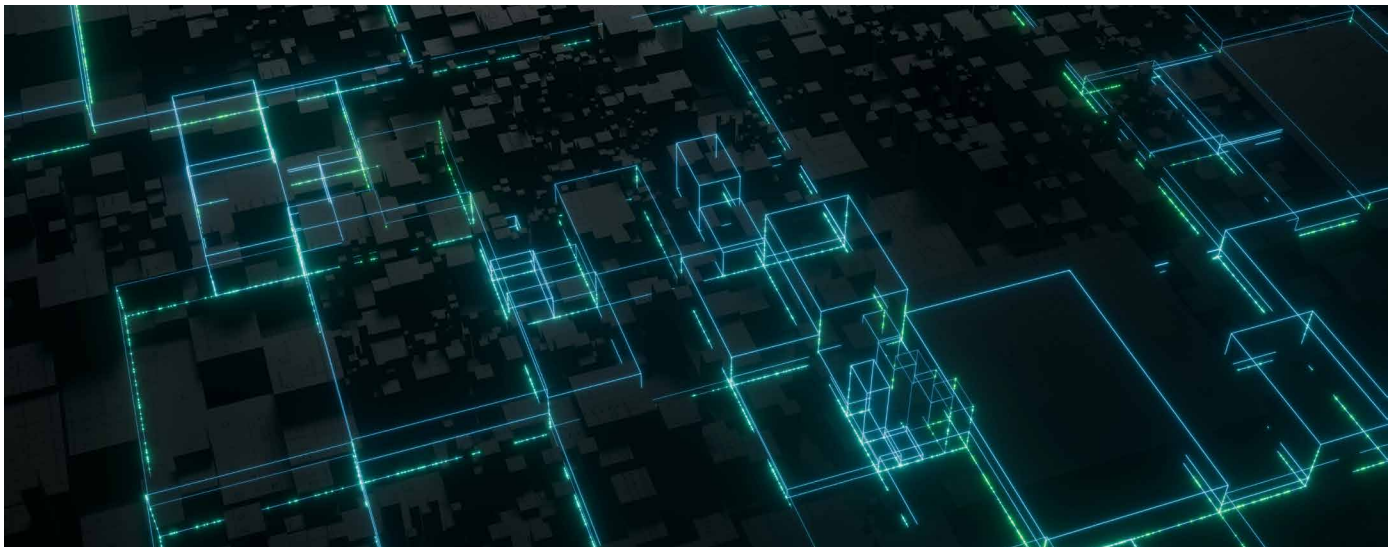
Examining the 25 richest countries by net financial assets per capita at the end of 2025 reveals how significantly debt can alter the ranking (Figure 24). Most notably, the US ranks ahead of Switzerland to claim first place. Although Switzerland remains ahead in gross financial assets, its household liabilities of around EUR130,080 per capita are more than twice the US figure of EUR52,730.

Taiwan and Sweden exchange fifth and sixth places. Australia falls from eighth place in the gross ranking to eleventh in the net ranking, while Ireland slips from 14th to 15th, the UK from 15th to 18th and Norway from 12th to 22nd. By contrast, Germany rises from 13th to 12th, Italy from 16th to 13th, Japan from 18th to 14th and Spain from 22nd to 21st. The Netherlands remains ninth in both rankings. The comparison makes clear that gross wealth tells only half the story: what ultimately matters is how much remains after debt.

Figure 24: Debt changes the picture
Net financial assets per capita, in 2025 EUR



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research



Real estate: A hesitant recovery

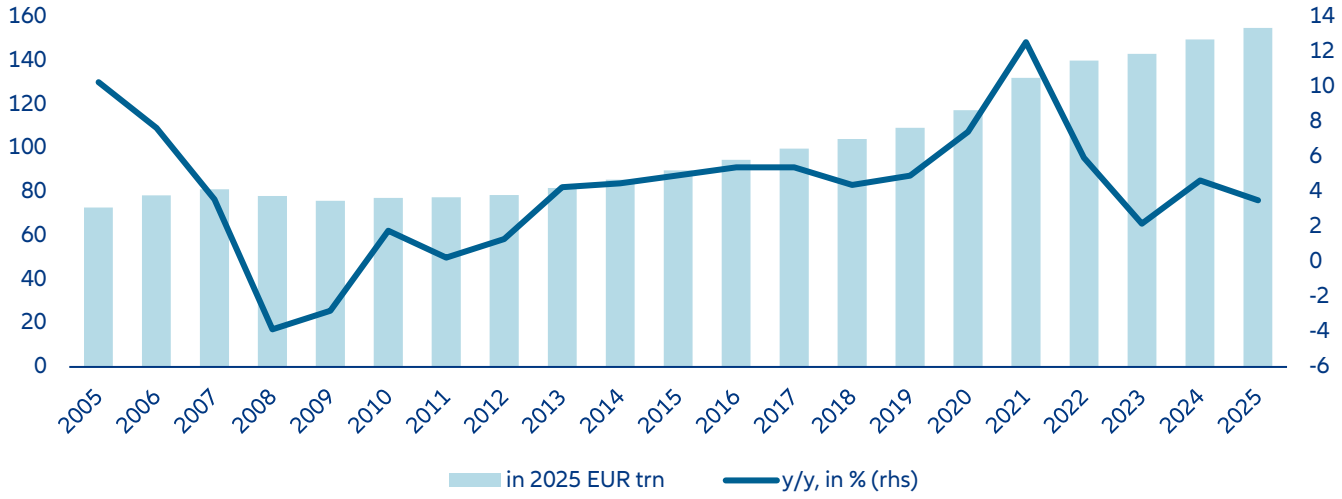
After a temporary acceleration to +4.7% in 2024, growth in global real estate assets[12] slowed again to +3.5% in 2025. Apart from 2023, growth was weaker only in the aftermath of the global financial crisis in 2012. Persistently high construction costs and elevated mortgage rates continued to weigh on affordability, transactions and new development. Overall, the value of real estate assets in the countries covered by the report reached EUR155.0trn (Figure 25)

Regional developments varied widely (Figure 26). Eastern Europe recorded the strongest increase at +10.6%, followed by Australia and New Zealand at +8.5%. Both comfortably exceeded their long-term growth rates despite the pressure from higher financing costs. Japan also stood out: real-estate assets increased by +5.0%, compared with a long-term average of just +0.7%. Together with the recent acceleration in household borrowing, this provides further evidence that Japan may finally be leaving its long deflationary period behind.

Western Europe recorded growth of +4.1%, slightly above its long-term average of +3.5%. North America meanwhile was the clear exception: growth slowed sharply from +4.9% in 2024 to just +1.8% in 2025, less than half its long-term rate of +3.9%. The global slowdown was therefore driven primarily by the largest housing market.

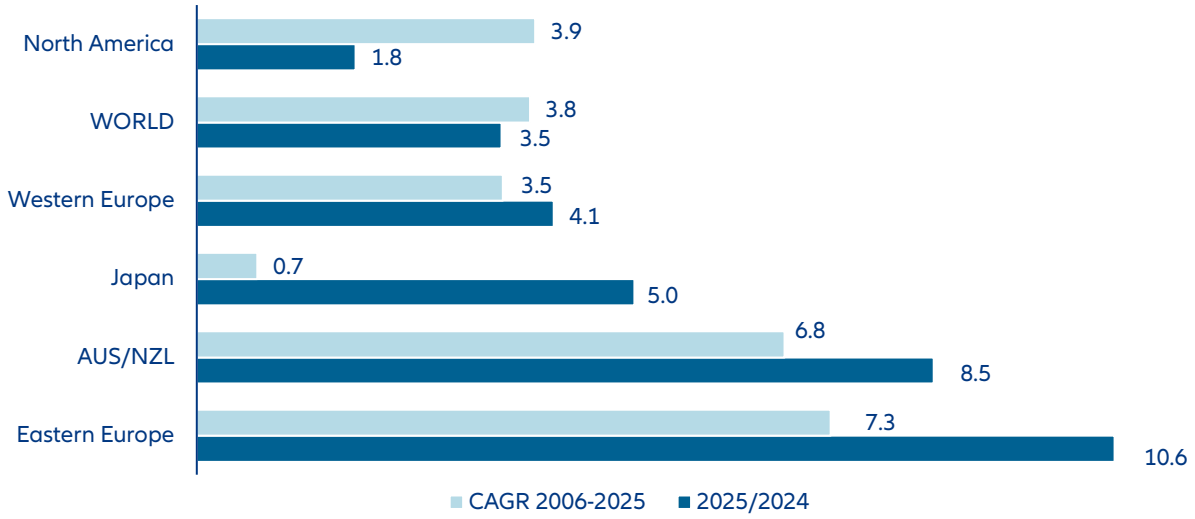
[12] Owing to limited data availability, the analysis only covers about half of the countries included in the financial assets survey. The regions of Asia and Latin America are therefore not represented. For Western Europe, data for Greece, Portugal, Malta and Ireland are missing. The aggregate for Eastern Europe does not include Croatia, Kazakhstan, Latvia, Romania, Russia, Serbia and Türkiye.

Figure 25: Running out of steam
Real estate assets, in 2025 EUR trn and annual change in %



Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

Figure 26: Housing markets move at different speeds
Real estate assets, CAGR* 2006-2025 and growth 2025/2024, in %

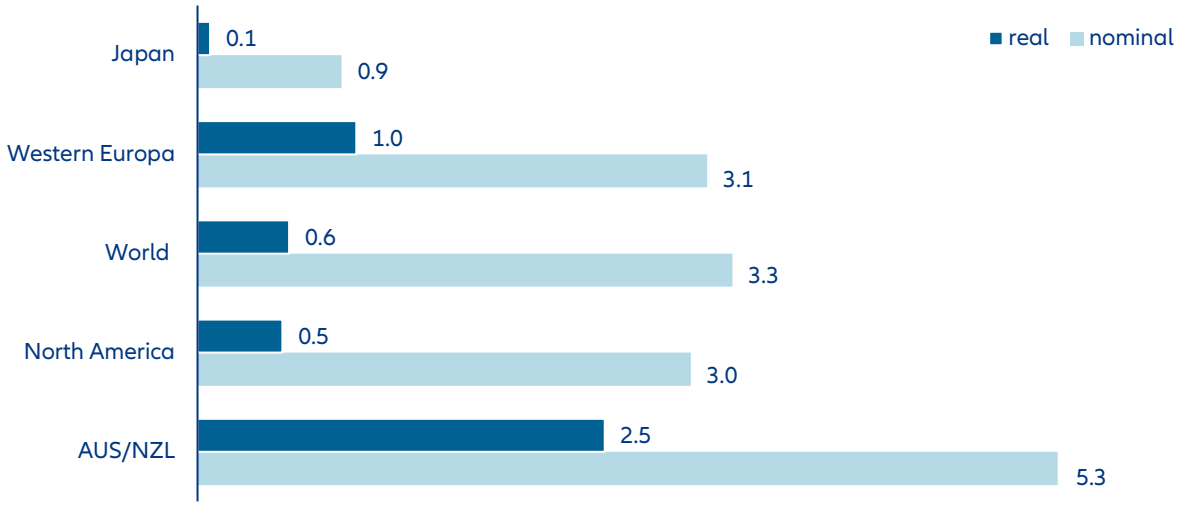


Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, Allianz Research

As with financial assets, a clearer picture emerges when real-estate wealth is measured per capita and adjusted for inflation (Figure 27). The long shadow of Japan's property crash remains visible: over the past two decades, real-estate wealth per capita was essentially flat in real terms, despite the recent recovery.
Real gains were positive in Australia and New Zealand, North America and Western Europe, but generally modest. Compared with financial assets, the gap was particularly pronounced in North America, where real financial assets per capita grew around 2pps faster per year, and in Japan, where the gap was around 1.3pps. In Australia and New Zealand and Western Europe, by contrast, the difference was only around 0.2pps annually. Property may provide stability, housing services and diversification, but capital appreciation alone has generally been a weaker engine of wealth creation than participation in financial markets.

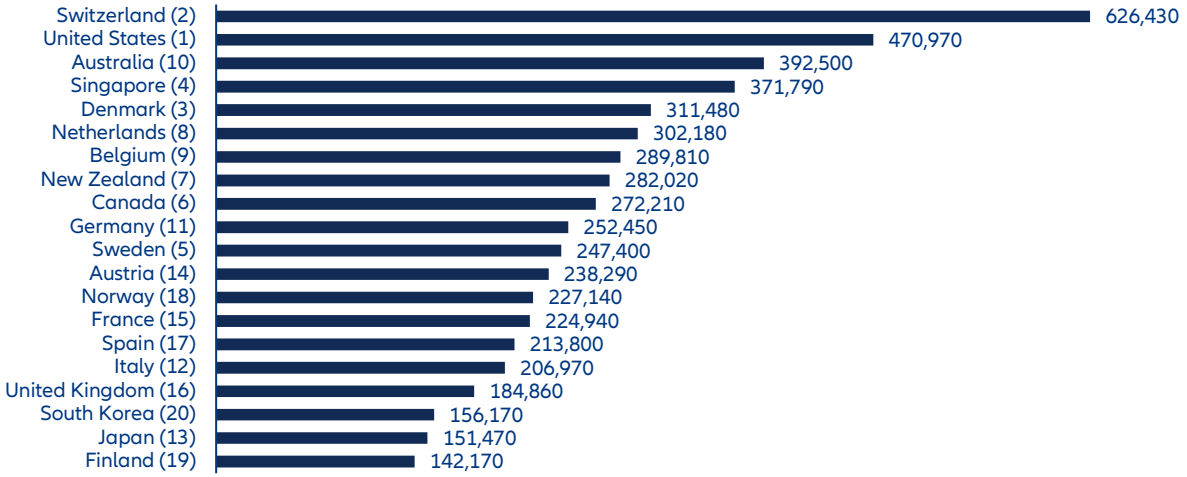
The country ranking of real estate assets nevertheless shows how strongly housing can reshape the overall picture. Switzerland had the highest real-estate assets per capita at EUR350,450, followed by Australia at EUR279,310 with the US taking the 7th spot at EUR174,030. But what does the ranking look like when net financial assets and real estate assets are presented together? Figure 28 provides the answer. Switzerland overtakes the US and claims first place, with combined wealth of around EUR626,430 per capita. Australia meanwhile is the biggest beneficiary, climbing seven places from tenth in the adjusted net-financial-assets ranking to third once property is included. Sweden and Japan each fall six places, while Italy drops four. Germany moves up one position to tenth. These shifts expose two very different models of household wealth: some countries build wealth predominantly through financial markets, while others hold a much larger share in bricks and mortar.

Figure 27: Real estate's modest real returns
Real estate assets per capita, nominal and real CAGR 2006-2025, in %



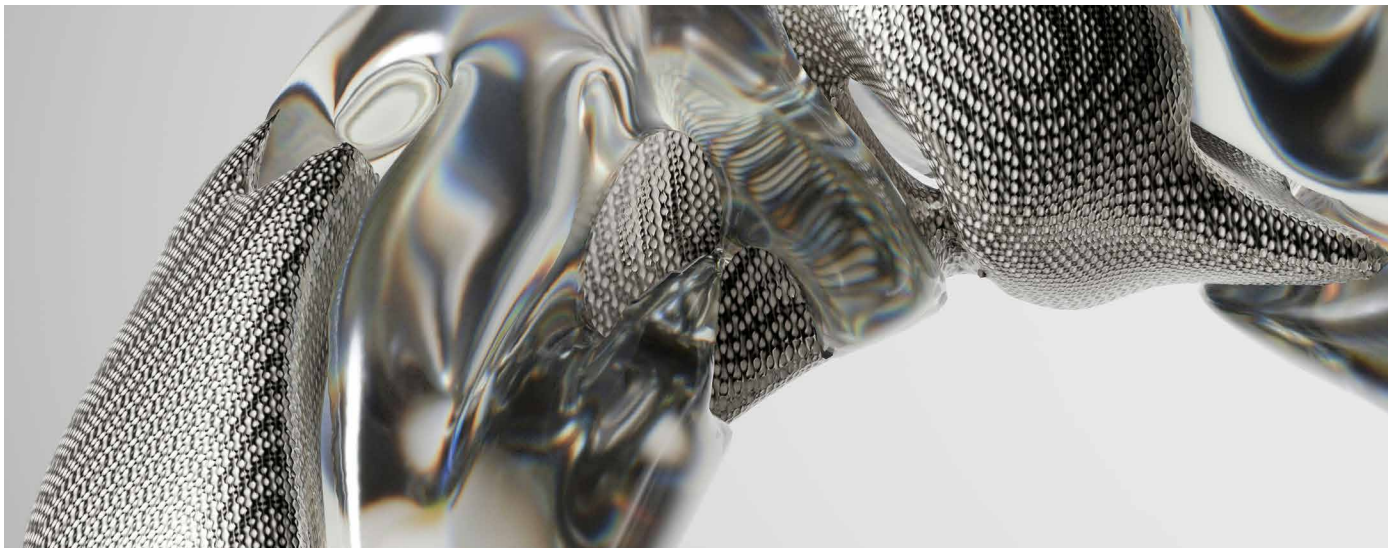
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, OECD, Allianz Research

Figure 28: Real estate puts Switzerland back on top
Net financial and real estate assets per capita, in 2025 EUR



In brackets: Rank by net financial assets per capita (adjusted for the missing Top20 markets Taiwan, Malta, and Ireland).
Sources: Eurostat, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, OECD, LSEG, Allianz Research





Distribution: New wealth, old divides

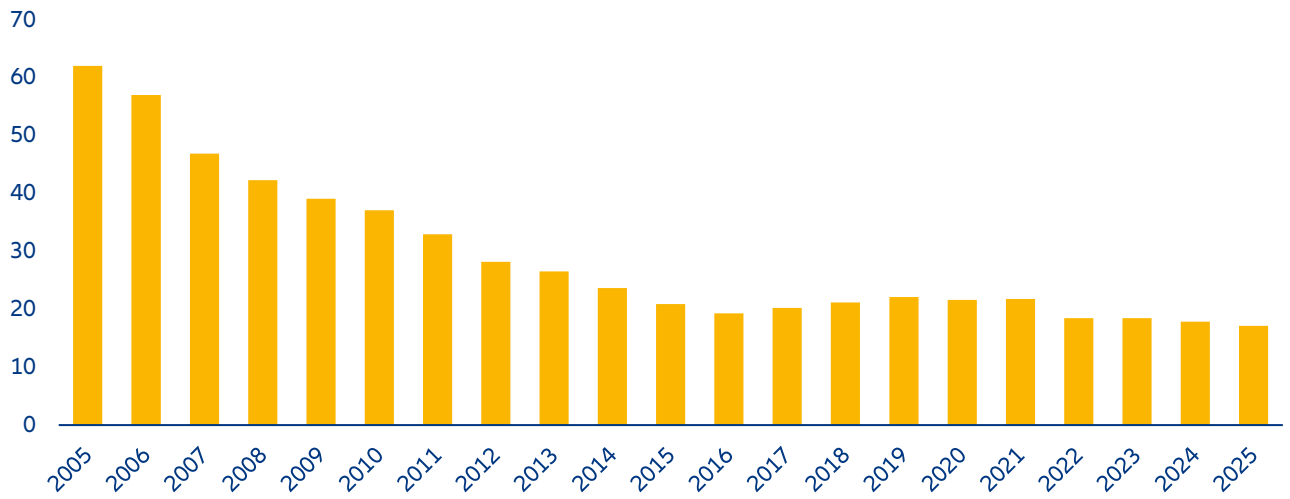
International: Catch-up loses momentum
For many years, global wealth development was characterized by convergence, as emerging markets gradually closed the gap with richer economies. That process has not ended, but it has slowed dramatically. The ratio of average net financial assets per capita in advanced economies to those in emerging markets fell from 62 in 2005 to 21 in 2015. This means that, on average, the net financial assets of richer countries were "only" 21 times higher than those of poorer countries in 2015. Over the following decade, however, it declined by less than four points to 17 in 2025 (Figure 29).

Convergence reversed from 2017. After narrowing rapidly for more than a decade, the wealth gap widened again between 2017 and 2021. Convergence resumed in 2022, but at a much slower pace: the ratio has fallen from 18.5 to 17.2 in the past three years. The global wealth gap is still closing, but has slowed to a crawl.

Declaring the end of globalization would be premature, but its character has clearly changed. Geopolitical tensions, weaker cross-border investment and the reorganization of supply chains are eroding some of the advantages that emerging markets derived from ever-deeper global integration. At the same time, the green transition and AI could create new opportunities by increasing demand for critical resources, energy infrastructure, data services and digitally delivered work. Whether emerging economies can seize these opportunities will depend on their access to technology, capital and skills. For now, these transformations are unfolding in a more fragmented world, creating a less favorable environment for poorer countries to catch up.

Against this backdrop, the global wealth middle class comprised around 866mn people in 2025.[13] Although its size changed little compared with the previous year, its long-term expansion remains impressive: membership has increased by 81% since 2005. More importantly, its center of gravity has shifted. Emerging markets accounted for 61.9% of its members in 2025, up from 43.6% two decades earlier, with China alone representing slightly more than half of the emerging-market middle class.

Figure 29: Convergence slows to a crawl
Net financial assets per capita, ratio between advanced and emerging markets



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

The transformation is even more striking among the wealthy. The global high-wealth class grew by 37% to around 584mn people between 2005 and 2025. Emerging markets accounted for 32.1% of this group, compared with less than 2% in 2005. This expansion came entirely from emerging markets, while the number of high-wealth individuals in advanced economies declined slightly. China played the dominant role, accounting for more than three-quarters of the emerging-market total.

Emerging economies also generated most of the growth in the global middle class. Taken together, they accounted for more than 90% of the increase in the middle and high-wealth classes over the past two decades. The global wealth landscape has therefore become far more diverse, even though the gap in average wealth between advanced and emerging markets remains wide.

The global low-wealth class grew by around 7% to 4.3bn people, while the population covered by the analysis increased by almost 17%. Its share of the total population consequently fell from 81.7% in 2005 to 74.8% in 2025. Emerging markets still accounted for 92.0% of this group, slightly below their 92.9% share two decades earlier. However, the number of low-wealth individuals in advanced economies increased by around 21% to 346mn. The global shift towards higher wealth classes is therefore unmistakable, but it has by no means benefited everyone.

The emergence of a larger and more geographically diverse high-wealth class does not change the fact that financial wealth remains extremely concentrated at the global level. This becomes clear when the population of the countries covered by the report is divided into deciles according to net financial assets.

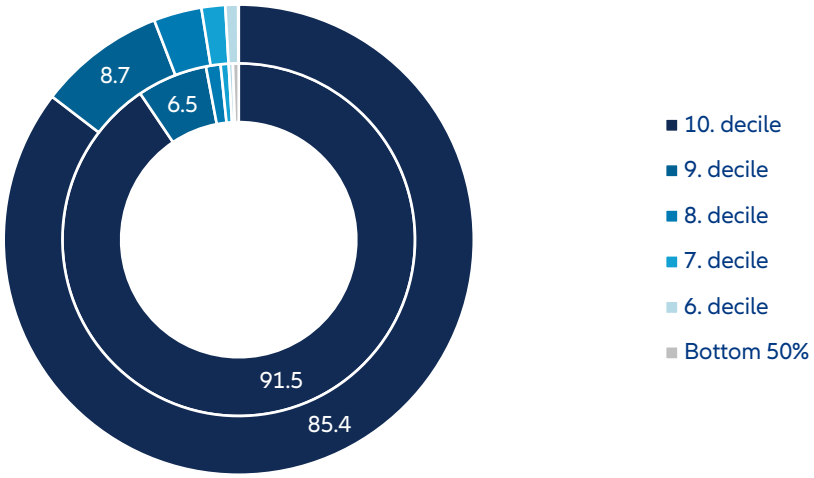
In 2025, the richest 10%, with average net financial assets of approximately EUR312,590, owned 85.4% of global net financial wealth. Their share has declined from 91.5% in 2005, but remains far above the average national top-decile share of 60.9% (Figure 30). At the pace of improvement recorded over the past two decades, it would take almost another eight decades for global concentration to approach the level currently observed within the countries.

[13] The classification in wealth classes is based on worldwide average net financial assets per capita, which stood at EUR36,690 in 2025. The global wealth middle class („middle wealth", MW) includes all individuals with net financial assets of between 30% and 180% of the global average. This means that for 2025, the rounded asset thresholds for the global wealth middle class are EUR11,000 and EUR66,000. The „low wealth" (LW) category, on the other hand, includes those individuals with net financial assets that are below a EUR11,000 threshold, while the term „high wealth" (HW) applies to those with net financial assets of more than EUR66,000 (for details on how the asset thresholds are set, see Appendix A).

The gap between the richest decile and everyone else is enormous. The second-richest decile owned just 8.7% of global net financial assets, with an average of around EUR34,060 per person. The richest tenth therefore held nine times as much wealth per person as the group immediately below it.

The bottom half of the population covered by the report, comprising almost 3bn people, held virtually nothing. Its combined share of global net financial assets was approximately zero. The bottom decile had negative net financial assets of around EUR2,680 per person, as liabilities exceeded financial assets. Even in the two deciles around the middle of the global distribution, average net financial assets amounted to only approximately EUR3,170 and EUR1,810 per person. Global wealth has become more geographically diverse, but it has hardly become broadly distributed.

Figure 30: Global wealth concentration
Net financial assets, share by decile, 2005 and 2025, in 2025 EUR, in %

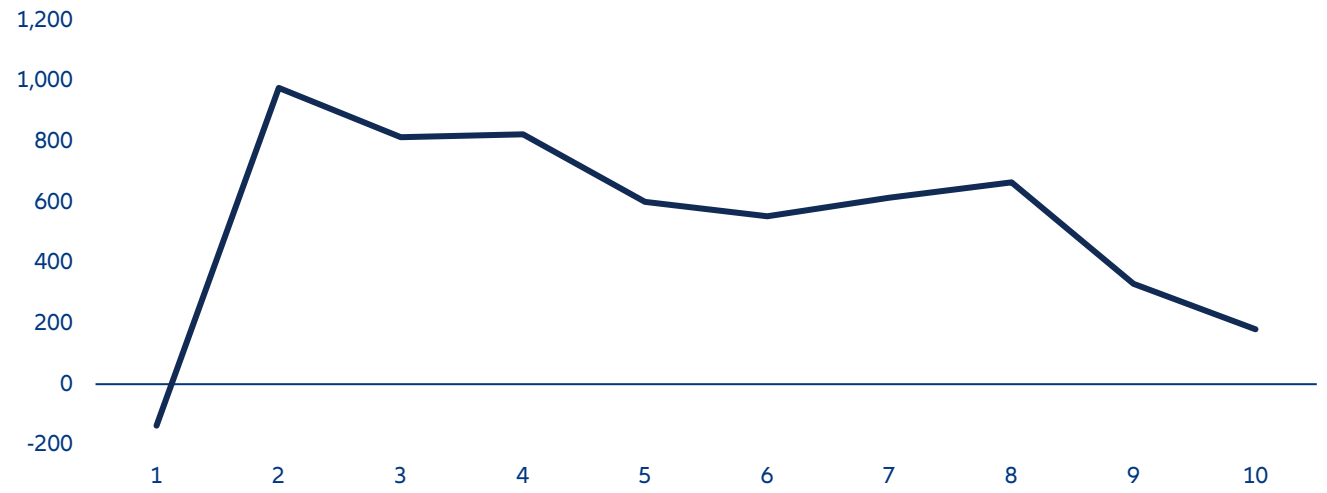


Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

High global wealth concentration is also reflected in the wide gap between median and average net financial assets. In 2025, global median net financial wealth stood at approximately EUR2,490 per capita, while the average was almost 15 times as high at EUR36,690. The gap, however, has narrowed substantially over time: in 2005, the average was almost 33 times the median. The typical person has therefore gained ground relative to the global average, but the average remains a poor representation of ordinary wealth.

At first glance, the much faster growth of average net wealth in most lower deciles appears encouraging (Figure 31). However, these high growth rates largely reflect extremely low starting points. Even large percentage increases translate into modest absolute gains, while the richest groups continue to accumulate much larger sums. A more equal global distribution of wealth therefore remains a distant prospect.

Figure 31: Catching up?
Growth of average net financial assets per capita per decile, 2025/2005, in %



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

National: More wealth, same divide

Net financial wealth is distributed less unevenly within countries than across the world. In 2025, the richest 10% owned an average of 60.9% of national net financial assets across the 57 countries examined, using an unweighted average, compared with 85.4% at the global level. The gap between average and median wealth was also considerably smaller: the national average-to-median ratio was 3.12, again measured as an unweighted average.

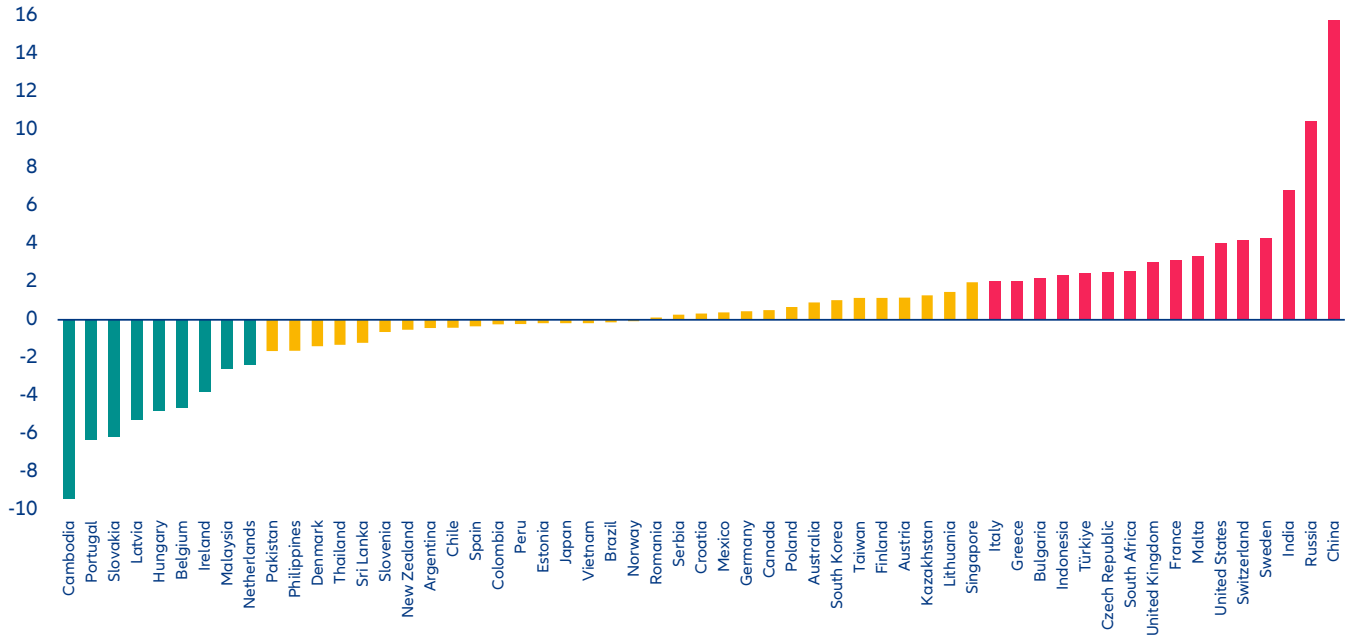
When it comes to inequality, however, the national picture is particularly disappointing. Despite being a major political issue for years, there has been virtually no progress towards more even wealth distribution. In 2005, the richest 10% held an average of 60.4% of national wealth, while the average-to-median ratio stood at 3.11. Two decades later, both measures are almost unchanged. Wealth has grown substantially, but its distribution within individual countries has remained remarkably resistant to change.

This overall stability conceals sharper shifts at the country level. In 32 of the 57 countries examined, the share of the richest 10% changed by less than 2pps between 2005 and 2025 (Figure 32). Where larger shifts occurred, however, the balance was clearly tilted towards greater inequality, with deterioration almost twice as likely as improvement. Wealth concentration increased in 16 countries and declined in only nine. Among those recording an improvement, Cambodia saw the largest decline in the top-decile share, followed by Portugal and Slovakia. Latvia, Hungary, Belgium, Ireland, Malaysia and the Netherlands also registered meaningful decreases. Different starting points were at work. Portugal, Latvia and Ireland moved down from relatively high levels of concentration, while Slovakia, Hungary and the Netherlands improved from already more balanced positions. In the Netherlands, the richest 10% saw their share fall by 2.4pps to 56.1%.

At the other end of the spectrum, China recorded by far the largest increase in concentration. The share of the richest 10% rose by 15.7pps between 2005 and 2025 to 68.0%, well above the average national share of 60.9%. This accompanied the enormous economic and social transformation of the past two decades, which created not only broad-based wealth but also a substantial private upper class. China illustrates the difficulty of combining rapid wealth creation with an equally rapid diffusion of its benefits. After all, it was the unbridled growth of the „wild" 2000s, when the private sector was subject to few restrictions, that primarily caused inequality to rise. In sharp contrast, in the last five years, the concentration of wealth has remained unchanged.

China was not alone. The top-decile share increased by 10.5pps in Russia and by 6.8pps in India, where rising wealth concentration is a "side effect" of rapid growth. Concentration also rose in several advanced economies. In the US, the richest 10% increased their share by 4.0pps to 68.2%, one of the highest levels among advanced markets and with no improvement in sight. Sweden and Switzerland also recorded increases of more than 4pps. France saw a smaller rise of 3.1pps, although its top-decile share of 54.8% remained below Germany's 59.5%. Rising concentration is therefore not confined to emerging economies, nor does rapid development inevitably produce it.

Figure 32: Old divides, new extremes
Share of top 10% in total net financial assets, change between 2005 and 2025, in pp



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research

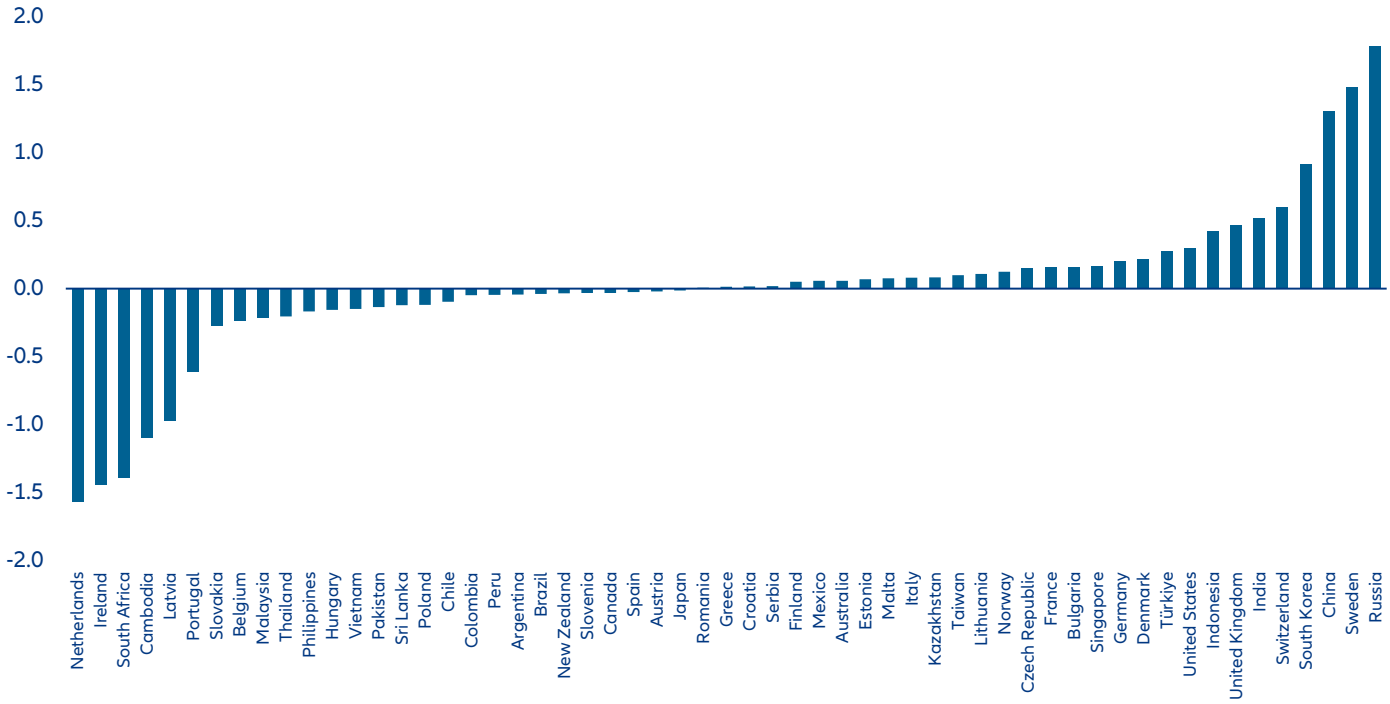
The ratio of average to median wealth provides an important cross-check: it shows whether rising average wealth is also reflected in the position of the typical household. Across the 57 countries examined, the average ratio remained virtually unchanged, rising from 3.11 in 2005 to 3.12 in 2025. This confirms the broader picture of persistent national wealth inequality.

The strongest improvements occurred in the Netherlands, where the ratio fell from 4.04 to 2.48, and Ireland, where it declined from 4.87 to 3.42. In both countries, the narrowing gap indicates that the middle of the distribution gained ground relative to average wealth.

The largest deteriorations were recorded in Russia, Sweden and China. Russia's ratio rose from 2.99 to 4.77, while Sweden's increased from 3.77 to 5.25. In China, it climbed from 2.03 to 3.33. Median Chinese net financial wealth increased substantially, but average wealth grew faster. China thus illustrates a central tension of rapid wealth creation: prosperity can spread while inequality rises at the same time.

More broadly, the limited movement in both distribution measures across most countries suggests that wealth inequality is deeply entrenched. Two decades of economic growth, crises and political attention have barely altered the underlying distribution.

Figure 33: The middle struggles to gain ground
Ratio between mean and median net financial assets, change between 2005 and 2025, in points



Sources: Eurostat, ECB, national central banks, financial supervisory authorities, financial associations and statistical offices, IMF, LSEG, World Inequality Database, Allianz Research



Appendices

Appendix A: Methodological comments

General assumptions

The Allianz Global Wealth Report analyses gross financial assets held by households, i.e. cash and bank deposits, receivables from insurance companies and pension institutions, securities (shares, bonds and investment funds) and other receivables, as well as household liabilities. Net financial assets are defined as gross financial assets minus liabilities. Real estate is excluded from this measure and analyzed separately where data are available. The report is based on data from 57 countries. This group of countries covers 91% of global GDP and 72% of the global population. In 43 countries, we had access to statistics from the macroeconomic financial accounts. In the other countries, we were able to estimate the volume of total financial assets based on information from household surveys, bank statistics, statistics on assets held in equities and bonds and technical reserves.

To eliminate exchange-rate distortions over time, financial assets and liabilities denominated in national currencies are converted into euros using exchange rates at the end of 2025. Unless explicitly described as real, these values are not adjusted for inflation. The closing date for data to be included in the report is 31 July.

Statistical distinctions

The process associated with the introduction of the European System of Accounts 2010 (ESA 2010) in September 2014 involved updating and harmonizing the guidelines governing the preparation of many macroeconomic statistics. The new requirements also apply to the macroeconomic financial accounts. One change relates to private households: under the ESVG 2010 regulations, the two sectors „Private households" and „Non-profit institutions serving households" are now reported separately. This also has implications for the Allianz Global Wealth Report, which takes data from the macroeconomic financial accounts as a basis where available. For many countries, however – particularly those outside of the EU – there is no separate data available for these sectors in general. So in order to ensure global comparability, this publication analyzes both sectors together under the heading „private households".

Determination of wealth bands for global wealth classes

Lower wealth threshold: There is a close link between financial assets and the incomes of private households. According to Davies et al. (2009) , private individuals with below-average income tend to have no assets at all, or only very few. It is only when individuals move into middle and higher income groups that they start to accumulate substantial assets. We have applied this link to our analysis. Countries in the upper-middle income bracket (based on the World Bank's country classification system) therefore form the group in which the average household assets first reach a meaningful level. This value marks the lower threshold for the global middle wealth class.

In terms of income, households with incomes that correspond to between 75% and 150% of average net income are generally considered to constitute the middle class. According to Davies et al., households with income corresponding to 75% of the average income have assets that correspond to 30% of the average assets. As far as the upper threshold is concerned, 150% of average income corresponds to 180% of average assets. Consequently, we have set the threshold values for the wealth middle class at 30% and 180% of average net financial assets per capital. In 2025, average net financial assets per capita in the countries covered stood at approximately EUR36,690. Applying these percentages gives the rounded thresholds used in the workbook: EUR11,000 and EUR66,000. Individuals with net financial assets between these thresholds belong to the global middle-wealth class. Those below the lower threshold belong to the low-wealth class, while those above the upper threshold belong to the high-wealth class.

[14] Davies, James B. et al. (2009), The level and distribution of global household wealth, NBER working paper 15508.

Appendix B1: Gross financial assets and liabilities by country, 2025

	Gross financial assets				Liabilities			
	in EUR bn	yoy in %	EUR per capita	as % of GDP	in EUR bn	yoy in %	EUR per capita	as % of GDP
Argentina	89	44.6	1,950	18.0	33	90.1	730	6.7
Australia	4,988	9.6	184,930	307.8	1,935	6.0	71,740	119.4
Austria	969	5.0	106,280	188.6	219	0.9	24,020	42.6
Belgium	1,721	4.2	146,400	268.2	374	3.7	31,810	58.3
Brazil	2,555	8.6	12,010	129.1	740	11.6	3,480	37.4
Bulgaria	137	10.0	20,330	117.7	37	18.1	5,550	32.1
Cambodia	43	12.3	2,400	99.8	12	2.2	670	27.9
Canada	7,513	9.0	187,230	372.9	2,082	4.4	51,880	103.3
Chile	541	9.9	27,230	169.4	148	6.8	7,470	46.5
China	39,610	11.1	27,970	231.9	10,147	0.5	7,170	59.4
Colombia	393	2.7	7,360	94.1	125	7.1	2,340	30.0
Croatia	119	9.2	30,860	126.5	31	12.4	8,150	33.4
Czech Republic	534	7.8	50,360	151.7	119	6.6	11,230	33.8
Denmark	1,552	2.9	258,530	379.1	366	3.0	61,020	89.5
Estonia	63	7.2	46,770	151.1	18	8.3	13,740	44.4
Finland	470	8.6	83,540	167.4	217	-0.6	38,540	77.2
France	7,309	3.1	109,660	245.0	2,114	0.5	31,720	70.9
Germany	9,912	4.9	117,890	221.7	2,195	1.9	26,110	49.1
Greece	402	14.7	40,440	161.8	114	2.9	11,470	45.9
Hungary	320	9.2	33,220	142.1	50	12.8	5,170	22.1
India	4,719	9.0	3,220	143.8	1,434	14.3	980	43.7
Indonesia	580	6.7	2,030	47.7	214	3.1	750	17.6
Ireland	601	7.9	113,220	94.5	157	13.7	29,630	24.7
Vietnam	489	30.5	4,810	117.5	203	4.4	2,000	48.9
Italy	6,488	7.4	109,690	287.3	1,062	2.2	17,960	47.0
Japan	13,393	6.5	108,800	371.5	2,386	2.9	19,380	66.2
Kazakhstan	101	14.7	4,860	38.3	56	19.8	2,680	21.1
Latvia	51	9.1	27,330	117.7	10	8.8	5,370	23.1
Lithuania	90	7.3	31,850	107.2	27	10.0	9,410	31.7
Malaysia	769	6.2	21,370	181.2	360	5.6	10,010	84.8
Malta	50	6.3	91,700	203.5	14	10.6	25,980	57.7
Mexico	1,789	16.5	13,560	107.1	350	8.3	2,650	21.0
Netherlands	3,286	-2.3	179,090	278.5	1,147	4.5	62,490	97.2
New Zealand	827	3.4	157,480	379.6	157	4.7	29,930	72.1
Norway	711	8.4	126,480	152.7	424	4.8	75,400	91.0
Pakistan	135	5.5	530	38.9	9	12.1	30	2.5
Peru	126	6.6	3,630	41.0	46	6.9	1,340	15.1
Philippines	371	14.2	3,170	91.4	133	22.8	1,140	32.7
Poland	943	14.0	24,730	102.3	209	4.1	5,490	22.7
Portugal	628	6.5	60,290	204.7	214	7.7	20,565	69.8
Romania	269	5.4	14,200	71.6	66	5.3	3,490	17.6
Russia	2,023	6.0	14,050	88.0	523	8.9	3,630	22.8
Serbia	31	8.0	4,680	35.3	17	19.5	2,470	18.7
Singapore	1,402	9.1	238,810	268.2	270	7.4	45,970	51.6
Slovakia	128	9.2	23,330	93.4	65	8.1	11,940	47.8
Slovenia	95	8.6	44,700	134.3	20	7.1	9,380	28.2
South Africa	997	19.9	15,400	253.9	162	5.2	2,500	41.3
South Korea	3,669	13.7	71,010	233.1	1,443	3.1	27,920	91.6
Spain	3,445	9.6	71,940	204.4	797	4.6	16,630	47.3
Sri Lanka	56	11.0	2,390	64.3	9	16.7	370	9.9
Sweden	2,188	5.6	205,300	360.5	526	2.3	49,320	86.6
Switzerland	3,641	4.0	406,060	390.5	1,166	3.1	130,080	125.1
Taiwan	4,515	8.7	195,370	580.6	714	6.3	30,900	91.8
Thailand	808	-0.1	11,280	157.6	444	0.0	6,200	86.7
Türkiye	541	45.1	6,170	43.3	140	50.0	1,600	11.2
United Kingdom	7,728	2.8	111,120	222.1	2,706	3.1	38,910	77.8
United States	121,434	9.2	349,680	463.5	18,312	3.1	52,730	69.9

Appendix B2: Net financial assets by country, 2025

	Net financial assets			Top 10% share	GDP
	in EUR bn	yoy in %	EUR per capita	in %	EUR per capita
Argentina	56	26.5	1,220	60.0	10,840
Australia	3,053	12.1	113,190	57.7	60,080
Austria	750	6.3	82,260	64.1	56,350
Belgium	1,347	4.4	114,590	55.5	54,590
Brazil	1,815	7.4	8,530	71.9	9,300
Bulgaria	99	7.3	14,790	59.6	17,280
Cambodia	31	16.8	1,730	59.8	2,410
Canada	5,431	10.9	135,350	59.8	50,210
Chile	392	11.2	19,750	72.0	16,070
China	29,463	15.3	20,810	68.0	12,060
Colombia	268	0.8	5,020	71.9	7,820
Croatia	87	8.0	22,710	57.0	24,400
Czech Republic	415	8.2	39,130	58.7	33,190
Denmark	1,186	2.9	197,510	50.3	68,200
Estonia	44	6.7	33,030	68.0	30,960
Finland	253	18.0	45,000	58.9	49,890
France	5,195	4.2	77,940	54.8	44,760
Germany	7,717	5.8	91,780	59.5	53,170
Greece	288	20.1	28,970	46.9	24,990
Hungary	270	8.6	28,050	49.9	23,370
India	3,285	6.8	2,240	65.0	2,240
Indonesia	366	8.9	1,280	60.4	4,260
Ireland	444	6.0	83,590	66.3	119,800
Vietnam	286	58.7	2,810	59.3	4,090
Italy	5,426	8.5	91,730	60.6	38,180
Japan	11,008	7.4	89,420	59.1	29,290
Kazakhstan	45	9.0	2,180	59.9	12,700
Latvia	41	9.1	21,960	60.6	23,210
Lithuania	64	6.2	22,440	58.9	29,700
Malaysia	409	6.7	11,370	59.8	11,800
Malta	36	4.7	65,720	42.6	45,060
Mexico	1,439	18.7	10,900	72.1	12,650
Netherlands	2,139	-5.6	116,600	56.1	64,300
New Zealand	670	3.1	127,550	57.1	41,490
Norway	287	14.2	51,090	52.7	82,830
Pakistan	126	5.1	490	58.5	1,360
Peru	79	6.5	2,290	71.3	8,870
Philippines	238	9.9	2,040	60.7	3,470
Poland	734	17.2	19,240	61.7	24,180
Portugal	414	5.9	39,729	57.4	29,460
Romania	202	5.4	10,710	58.6	19,830
Russia	1,499	5.0	10,410	76.0	15,960
Serbia	15	-2.5	2,200	58.2	13,240
Singapore	1,132	9.5	192,840	61.4	89,040
Slovakia	62	10.4	11,390	44.5	24,980
Slovenia	75	9.1	35,320	49.0	33,290
South Africa	835	23.3	12,890	85.7	6,060
South Korea	2,226	21.8	43,090	66.4	30,470
Spain	2,648	11.1	55,300	53.5	35,200
Sri Lanka	47	10.0	2,020	61.3	3,721
Sweden	1,662	6.7	155,980	68.2	56,940
Switzerland	2,475	4.5	275,980	62.8	103,970
Taiwan	3,801	9.1	164,470	61.8	33,650
Thailand	364	-0.4	5,080	66.0	7,160
Türkiye	400	43.5	4,570	65.6	14,240
United Kingdom	5,022	2.6	72,200	57.1	50,020
United States	103,122	10.4	296,950	68.2	75,440

Appendix C: Global ranking 2025

	... by net financial assets per capita, in EUR			... by gross financial assets per capita, in EUR	
1	United States	296,950	1	Switzerland	406,060
2	Switzerland	275,980	2	United States	349,680
3	Denmark	197,510	3	Denmark	258,530
4	Singapore	192,840	4	Singapore	238,810
5	Taiwan	164,470	5	Sweden	205,300
6	Sweden	155,980	6	Taiwan	195,370
7	Canada	135,350	7	Canada	187,230
8	New Zealand	127,550	8	Australia	184,930
9	Netherlands	116,600	9	Netherlands	179,090
10	Belgium	114,590	10	New Zealand	157,480
11	Australia	113,190	11	Belgium	146,400
12	Germany	91,780	12	Norway	126,480
13	Italy	91,730	13	Germany	117,890
14	Japan	89,420	14	Ireland	113,220
15	Ireland	83,590	15	United Kingdom	111,120
16	Austria	82,260	16	Italy	109,690
17	France	77,940	17	France	109,660
18	United Kingdom	72,200	18	Japan	108,800
19	Malta	65,720	19	Austria	106,280
20	Spain	55,300	20	Malta	91,700
21	Norway	51,090	21	Finland	83,540
22	Finland	45,000	22	Spain	71,940
23	South Korea	43,090	23	South Korea	71,010
24	Portugal	39,729	24	Portugal	60,290
25	Czech Republic	39,130	25	Czech Republic	50,360
26	Slovenia	35,320	26	Estonia	46,770
27	Estonia	33,030	27	Slovenia	44,700
28	Greece	28,970	28	Greece	40,440
29	Hungary	28,050	29	Hungary	33,220
30	Croatia	22,710	30	Lithuania	31,850
31	Lithuania	22,440	31	Croatia	30,860
32	Latvia	21,960	32	China	27,970
33	China	20,810	33	Latvia	27,330
34	Chile	19,750	34	Chile	27,230
35	Poland	19,240	35	Poland	24,730
36	Bulgaria	14,790	36	Slovakia	23,330
37	South Africa	12,890	37	Malaysia	21,370
38	Slovakia	11,390	38	Bulgaria	20,330
39	Malaysia	11,370	39	South Africa	15,400
40	Mexico	10,900	40	Romania	14,200
41	Romania	10,710	41	Russia	14,050
42	Russia	10,410	42	Mexico	13,560
43	Brazil	8,530	43	Brazil	12,010
44	Thailand	5,080	44	Thailand	11,280
45	Colombia	5,020	45	Colombia	7,360
46	Türkiye	4,570	46	Türkiye	6,170
47	Vietnam	2,810	47	Kazakhstan	4,860
48	Peru	2,290	48	Vietnam	4,810
49	India	2,240	49	Serbia	4,680
50	Serbia	2,200	50	Peru	3,630
51	Kazakhstan	2,180	51	India	3,220
52	Philippines	2,040	52	Philippines	3,170
53	Sri Lanka	2,020	53	Cambodia	2,400
54	Cambodia	1,730	54	Sri Lanka	2,390
55	Indonesia	1,280	55	Indonesia	2,030
56	Argentina	1,220	56	Argentina	1,950
57	Pakistan	490	57	Pakistan	530


Our
team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.utermoehl@allianz.com

Macroeconomic Research



Lluis Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Spyros Andreopoulos
Senior Economist for Europe
spyros.andreopoulos@allianz.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com

Outreach



Heike Baehr
Content Manager
heike.baehr@allianz.com



Melissa Eddy
Content Manager
melissa.eddy@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com

Corporate Research



Jeanne Buée
Senior Sector Advisor
jeanne.buee@allianz-trade.com



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
http://www.allianz-trade.com/economic-research
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

@allianz

allianz

Allianz Trade Economic Research
http://www.allianz-trade.com/economic-research
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

@allianz-trade

allianz-trade

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Economic outlook 2026-28:
It got worse before it may get better

28 September 2026

Allianz Research

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Executive Summary

Ludovic Subran
Chief Investment Officer
& Chief Economist
ludovic.subran@allianz.com

Paul Adam
Investment Strategist
paul.adam@allianz.com

Spyridon Andreopoulos
Senior Economist DACH
spyros.andreopoulos@allianz.com

Jordi Basco Carrera
Head of Private Markets
jordi.basco_carrera@allianz.com

Julia Belousova
Senior Investment Strategist
julia.belousova@allianz.com

Ana Boata
Head of Economic Research
ana.boata@allianz-trade.com

Jeanne Buée
ESG Analyst & Data Scientis
Jeanne.buee@allianz-trade.com

Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com

Lluis Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com

Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com

Pierpaolo Fiore
Investment strategist
pierpaolo.fiore@allianz.com

Bjoern Griesbach
Head of Macroeconomic and Capital
Markets Research
bjoern.griesbach@allianz.com

America Hernandez
Senior Investment Strategist
america.hernandez@allianz.com

Bernhard Hirsch
Head of Rates and Emerging Markets
bernhard.hirsch@allianz.com

Alexander Hirt
Head of Corporate Research
alexander.hirt@allianz.com

Patrick Krizan
Senior Investment Strategist
patrick.krizan@allianz-trade.com

- **Summer brought little of the calm markets had priced in before it began.** Three tensions we had been tracking escalated through the season, surfacing as fresh flashpoints by early September: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe (and drawn erratic policy responses from central banks and governments alike) and renewed doubts about the AI boom – talk of chip and power shortages, bubble concerns and underwhelming returns on frontier-model spend.

- **But none of this has yet broken the real economy.** Q2 growth surprised to the upside, carried by net exports and Germany's stimulus in Europe, and by robust AI-related investment in the US and Asia. Forward-looking indicators such as European manufacturing PMIs at four-year highs and strong US Q3 nowcasts show little sign of deterioration, albeit with marked divergence across sectors.

- **The Great Unwind: the case for an orderly path forward.** Our baseline continues to be that these three tension points will ease rather than escalate, but that call rests on specific mechanisms. In the report we also model three downside scenarios and their economic and capital market impacts, each based on a disorderly release of the tensions.
    - **The energy shock risk.** We expect the conflict to stay contained and that rerouting, demand destruction and alternative supply do the job energy markets need them to do, easing prices and letting the inflation shock fade. This rests on the assumption that the Saudi pipeline outage does not extend past a month. If the outage runs longer, the shortfall could exceed 8Mb/d and Brent could stay near USD100/bbl, turning what is now a contained shock into a stagflationary shock.
    - **The bond sell-off risk. We assume inflation moderates without meaningful second-round wage effects, and that sovereign markets can absorb elevated issuance without a disorderly rise in risk premia.** The assumption doing the real work here is political: the US midterms don't produce further fiscal slippage or erratic policy interventions and European elections (France, Italy) do not add fiscal uncertainty. Note that the real rate component of the US 10 treasury rates has increased by a full percentage point this past year confirming that bond markets also price more AI growth. In the downside, self-reinforcing yield–fiscal loop can take hold and force central banks to stabilize bond markets.
    - **The AI capex cycle risk.** We think that AI capex decelerates slightly to peak at USD1trn in 2028, with value creation shifting from infrastructure build-out toward adoption and productivity. This rests on the assumption that infrastructure and power bottlenecks stay manageable, financing conditions don't tighten sharply and AI earnings keep validating the spend. A sharper investment retrenchment, given how much of US and Asian growth and equity performance now runs through AI, could spill from technology into corporate investment and trade, and from wealth effects into consumption.

Ano Kuhanathan
Head of Corporate Research
ano.kuhanathan@allianz-trade.com

Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com

Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com

Bjoern Lenkeit
Senior Investment Strategist
bjoern lenkeit@allianz.com

Yao Lu
Investment Strategist
yao.lu@allianz.com

Lina Manthey
Investment Strategist
lina.manthey@allianz.com

Maddalena Martini
Senior Economist for Italy, Greece, Spain & Beneluxx
maddalena.martini@allianz.com

Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com

Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com

Dorian Simon
Investment Strategist
dorian.simon@allianz.com

Garance Tallon
Economist for Asia Pacific
garance.tallon@allianz-trade.com

Ziqi Ye
Investment Strategist
ye.ziqi@allianz.com

- **Our scenario in numbers: Global GDP growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027, and eases again to +2.6% in 2028.** US growth moderates from +2.1% (2026) to +1.8% (2028); the Eurozone recovers from +1.0% to +1.3%; Asia stays the main engine at around +4.4%. We forecast Brent to average 87 USD/bbl in Q4 2026 before easing to 76 USD/bbl on average in 2027 as Gulf export flows gradually normalize both in and around Hormuz but refined-product markets are running out of buffers, and prices should remain elevated for the next few quarters. European gas prices should stay elevated through year-end, with TTF averaging around EUR65/MWh in Q4 2026, before easing to about EUR36/MWh in 2027. Inflation stays 1–2pps above target in Europe and the US until H2 2027, which is why we still expect one more Fed hike to 4.00–4.25% and two more ECB hikes to 3.00% by year-end, with cutting cycles starting only once inflation is back at target – earliest end-2027 – and terminal rates of 3.50% (Fed) and 2.25% (ECB) reached in 2028.

- **What it means for markets. We see bond yields dropping when markets start pricing in our central bank scenario of a lower terminal rate in both Europe and the US.** The 10y Bund is expected to gradually drop from current levels to 3.3% at the end of 2026 and further to 3.0% in 2028 (US 10y from 4.7% end of 2026 to 4.3% in 2028). Credit spreads will slightly widen from current low levels given strong supply from the technology sector. Equity markets will finish the year with double digits again but decelerate to high single digits in 2027 and 2028, with valuations normalizing to historic levels (S&P500 2026-2028: 14%, 8%, 8%, Eurostoxx: 15%, 9%, 8% total return). The euro will gain gradually against the dollar, reaching 1.18 in 2028 as policy uncertainty and a weaker economy in the US will weigh on the greenback. Private markets are entering a more selective phase: Private equity faces a record ~13,300-company exit backlog, while infrastructure benefits from the AI buildout, with data-center investment expected at USD 5–7trn this decade.



Global outlook:

It may get better if three assumptions hold

The summer turned three risks we had been monitoring into part of our base case: a fresh energy shock out of the Middle East, a bond sell-off that has spread from the US to Japan to Europe and renewed doubts about the AI boom. Yet the real economy has not broken. Q2 growth surprised to the upside on net exports, Germany's stimulus and robust AI-related investment, and forward-looking indicators show limited sign of deterioration so far, even as bond markets tell a more troubled story, with yields at multi-year highs and equities still reading the growth story rather than the bond one. In our baseline scenario, global growth slows from +3.0% in 2025 to +2.6% in 2026, recovers to +2.8% in 2027 as the chokepoints fade and eases back to +2.6% in 2028 as that support wanes. Within this, the US moderates from +2.1% to +1.8%, the Eurozone recovers from +1.0% to +1.3%, and Asia remains the main growth engine throughout at around +4.4%. This path holds only as long as the three chokepoints unwind rather than escalate, and each rests on a specific, breakable assumption. On energy, we assume the conflict stays contained and that rerouting, demand destruction and alternative supply let prices ease, contingent on the Saudi pipeline outage not extending past a month; a longer outage could push the shortfall above 8Mb/d and Brent back near USD100/bbl, turning a contained shock into a stagflationary one. On bonds, we assume inflation moderates without a wage spiral and that sovereign markets absorb elevated issuance without disorderly repricing, a call that rests on European elections (France, Italy) and the US midterms not adding fresh fiscal uncertainty; if that gives way, a self-reinforcing yield-fiscal loop could force central banks to choose between fighting inflation and stabilizing bond markets. On AI, we assume capex keeps supporting growth while decelerating, peaking above USD1trn in 2028, contingent on power and infrastructure bottlenecks staying manageable and earnings continuing to validate the spend; an investment retrenchment here would spill from technology into corporate investment, consumption and trade more broadly. Growth, inflation and rates in our baseline hold only as long as these three assumptions hold too.

Table 1: Real GDP growth forecasts, %

Growth (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	**2.8**	**2.9**	**3.0**	**2.6**	**2.8**	**2.6**
USA	**2.9**	**2.8**	**2.1**	**2.1**	**2.0**	**1.8**
Latin America	**2.0**	**1.8**	**2.4**	**2.2**	**2.6**	**2.5**
Brazil	3.3	3.0	2.6	2.0	2.2	2.3
UK	**0.3**	**1.0**	**1.3**	**1.3**	**1.2**	**1.2**
Eurozone	**0.5**	**1.1**	**1.3**	**1.0**	**1.3**	**1.3**
Eurozone excl. Ireland	**0.7**	**1.0**	**1.1**	**1.3**	**1.2**	***1.3***
Germany	-0.8	0.0	0.3	1.0	1.2	1.1
France	1.8	1.4	0.9	0.5	0.9	1.1
Italy	1.0	0.6	0.7	0.9	0.8	0.8
Spain	2.5	3.5	2.8	2.5	1.8	1.6
Central and Eastern Europe	**1.3**	**2.3**	**2.3**	**2.1**	**2.4**	**2.7**
Poland	0.2	3.1	3.6	3.6	2.8	2.9
Russia	3.9	4.9	1.1	0.5	1.8	0.8
Türkiye	5.0	3.5	3.6	2.7	3.6	2.8
Asia-Pacific	**4.2**	**4.0**	**4.3**	**4.4**	**4.1**	**4.0**
China	5.5	5.0	5.1	4.7	4.5	4.3
Japan	0.9	0.1	1.2	0.9	1.1	1.0
India	7.1	7.2	7.5	7.5	7.1	6.8
Middle East	**2.0**	**2.5**	**3.2**	**-1.4**	**6.2**	**3.9**
Saudi Arabia	0.5	2.6	4.6	-2.0	7.1	5.0
Africa	**2.8**	**3.5**	**4.5**	**4.0**	**3.9**	**3.8**
South Africa	0.8	0.5	1.1	1.0	1.2	1.5

Sources: National, Allianz Research

If our assumptions do not hold, we will stumble into one or several downside scenarios ranging from stagflation to demand-side deflationary recessions. Table 2 sets out what happens if our assumptions on chokepoints break. Should Middle East de-escalation fail, the shock persists rather than fades: oil stays above USD100/bbl into 2027 and the picture turns stagflationary, with US and Eurozone growth undershooting the baseline. The Eurozone would see a recession, while inflation runs hotter and keeps rising through 2027, forcing the Fed and ECB to hike further to 5.00% and 4.00%, respectively. Long yields spike first before reversing sharply lower once the growth damage bites, and risk assets sell off hard through 2026 – equities barely positive, credit and sovereign spreads wider, private equity, private debt and real estate all negative – ahead of a partial rebound in 2027. An AI bubble burst plays out in the opposite direction: the shock is disinflationary, US growth stalls towards zero by 2027 and the Fed and ECB slash rates to just 0.50%, pulling long yields and oil sharply lower. Equities fall hardest in the US, given its greater AI concentration, while the damage is most acute in the areas most tied to the capex cycle – private equity, private debt and, notably, infrastructure, which turns negative for the only time across the three scenarios. The third scenario is a slower-moving chain reaction: a bond sell-off triggered by a political shock – long yields spiking and OAT and

BTP spreads blowing out as fiscal risk resurfaces on both sides of the Atlantic – triggers an equity correction, which in turn causes a growth shock in the US and elsewhere that eventually feeds through to sharply lower rates and inflation, with the Fed cutting to 1.50% and the ECB to 1.00% by 2027. Because the political shock hits the US and Europe together, EURUSD stays essentially unchanged from baseline throughout, even as growth and rates swing sharply; peripheral European spreads, however, stay persistently wider even once credit and core yields have normalized, a lingering political risk premium.

Table 2: What could go wrong

			Baseline			Downside risks					
						Middle East deescalation fails		AI bubble burst		Bond sell-off after political shock	
		2025	2026	2027	2028	2026 (MDD**)	2027	2026 (MDD**)	2027	2026 (MDD**)	2027
Growth	US	2.1	2.1	2.0	1.8	2.0	1.5	1.7	0.0	2.0	1.4
	EZ	1.3	1.0	1.3	1.3	0.8	0.4	0.9	0.4	0.8	0.5
Inflation	US	2.7	3.4	2.6	1.9	3.7	4.5	3.3	1.4	3.3	2.2
	EZ	2.1	2.9	2.5	2.1	3.4	4.8	2.8	1.7	2.8	1.7
Monetary Policy	Fed	3.75	4.25	4.00	3.50	4.50	5.00	0.50	0.50	4.25	1.50***
	ECB	2.00	3.00	3.00	2.25	3.25	4.00	0.50	0.50	3.00	1.00***
Rates 10y	US	4.2	4.7	4.5	4.3	5.4 (5.8)	4.00	3.00	2.50	5.6 (6.0)	3.50
	DE	2.9	3.3	3.2	3.0	3.8 (4.0)	3.00	2.00	2.00	3.8 (4.0)	2.50
Equity (TR, LC)	S&P500	18	14	8	8	+4 (-1)	10	-6 (-11)	6	+4 (-1)	10
	MSCI EMU	25	15	9	8	+5 (-1)	6	+5 (0)	8	+10 (+5)	8
Spreads	US IG	79	85	90	90	100 (110)	100	110 (120)	105	100 (110)	90
	EZ IG	78	80	85	85	110 (120)	110	100 (110)	95	110 (120)	85
	EM HC	163	170	175	185	200 (220)	190	220 (250)	220	200 (220)	175
	10y BTP	65	80	80	70	110 (130)	90	80 (100)	70	130 (160)	100
	10y OAT	71	100	70	70	120 (140)	90	100 (110)	70	130 (160)	100
Oil (U$/bbl)		68	88	76	73	95 (140)	100 (170)	70	65	76	73.0
EURUSD		1.13	1.16	1.17	1.18	1.12	1.15	1.20	1.20	1.16	1.17
Private markets*	Private equity	5.6	7.0	11.0	9.5	-7 (-10)	7	-12 (-15)	5	-5 (-7)	7
	Private debt	530	540	545	550	650 (700)	600	700 (800)	650	600 (650)	575
	Infrastracture	8.4	9.0	9.5	10.0	5 (4)	9,5	-3 (-5)	2	7 (5)	10
	Real estate	5.3	5.7	6.0	7.4	-3 (-5)	9	-1 (-2)	7	-2 (-4)	8

Year-end values are displayed for capital market figures

* Average of US and EZ
** MDD = Maximum drawdown
*** Additional quantitative CB measures e.g. stop QT in Europe, TPI from the ECB, yield curve control, QE in the US

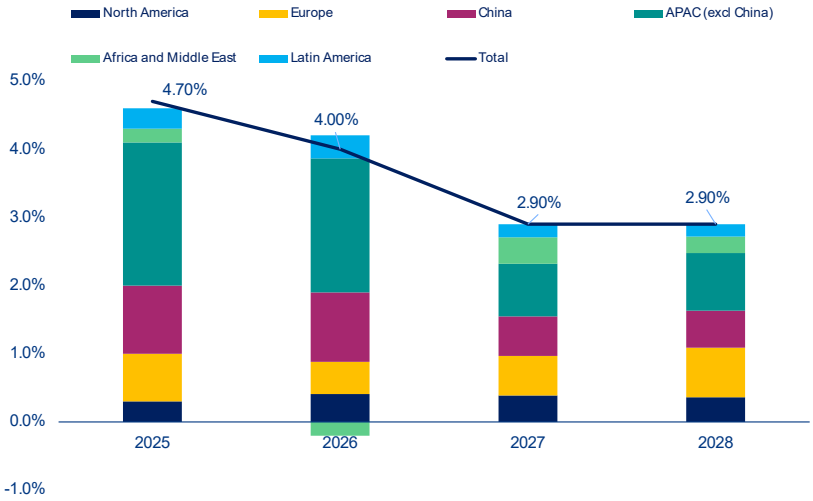
Sources: LSEG Datastream, Allianz Research

Global trade of goods in volume is expected to grow at +4% y/y in 2026, driven mainly by AI, which masks a more divergent global economy. AI-driven demand will contribute 4.8pps to global trade, which together with European defense spending (+0.2pp) and carryover effects (+1.4pp) add further support. Without these offsetting forces, the underlying picture would be considerably weaker: The Strait of Hormuz closure is estimated to subtract 2.1pps from trade growth, while the ongoing trade war erases a further 0.4pp. The rest of the global economy is contracting in trade terms, and the +4% headline number conceals what is effectively a two-speed world.

Global goods trade growth is volume is expected to ease to +2.9% in both 2027 and 2028 as the forces supporting the 2026 headline begin to fade. AI-driven demand will remain the largest contributor to growth (+1pp), but at slower phase than prior years as deceleration starts. Hormuz normalization is unlikely to be linear, causing stock rebuilding to take longer and extend to 2028. Defense spending remains a positive but diminishing contributor. The trade war persists through 2027, with US tariffs continuing to disrupt established supply chains, subtracting 0.3pp from growth. In parallel, free-trade agreements (FTAs) signed over the past 12 months will begin generating measurable export gains from 2027, adding around 0.1pp annually, with beneficiaries concentrated in the EU, India, Mercosur, the UAE and Australia.

At a country level, the clearest winners are economies embedded in AI supply chains, concentrated in Asia-Pacific, while structurally the US trade war unleashes the so-called "China shock 2.0" amplifying China's presence through global supply chains. South Korea and Taiwan are posting export growth rates of +10.5% and +30% y/y, respectively, driven by semiconductor exports and other AI inputs. Mexico, Vietnam and Malaysia are benefiting from supply-chain diversification, while Israel's technology exports are also on the rise. In the developed world, the US and the Netherlands stand out. The structural consequence of US tariffs, combined with China's weak domestic demand, are amplifying China's role in the global supply chain under the „China shock 2.0." Unable to sell as much into

Figure 1: Global trade of goods, annual growth in volume, in %"



Sources: CPB, Allianz Research

the US, China is redirecting exports through the global south and into Europe at record volumes, causing Europe to be squeezed from both sides: more Chinese imports competing with domestic industry, and fewer US export opportunities due to tariffs.

The effective US tariff rate currently stands at 9.2% and is expected to reach 12% following the implementation of the second Section 301 investigation on overcapacity in October. Export losses are estimated at USD42bn this year, after USD74bn in 2025. We expect tariffs on China at 32%, with potential for lower rates on non-sensitive goods and fewer restrictions as relations are likely to remain stable in the near term. However, the trade war is likely to intensify after the US midterm elections as a shift in Congressional control would place constraints on the administration's domestic policy agenda and push it to rely more heavily on trade tools. On the downside, potential risks could push the average US tariff rate up to 21.3%. The most likely scenarios include higher-than-expected tariffs under the overcapacity Section 301, the opening of a new Section 301 investigation targeting countries accused of transshipment on behalf of China, and continued tensions with Canada following the escalation over the summer. While we do not expect further developments in the near term, the threat of 50% tariffs on Canadian autos remains while USMCA renegotiations progress very slowly. Finally, the EU should also remain watchful, with two main tariff risks: one linked to the global services tax and the other tied to the new US sanctions on Russia, allowing for tariffs on Russian energy importers.

The global fiscal outlook continues to deteriorate at the margin as structural spending pressures – defense foremost – combine with the renewed cost of energy-related support measures. Many governments were initially reluctant to intervene, treating the current shock as transitory; the repeated extension of these „temporary" measures has instead become a recurring drag on consolidation efforts. Looking at the regions, US fiscal policy is unlikely to turn significantly restrictive amid a likely divided Congress (or a Democratic sweep) after the November midterm elections. In this environment, we would expect only limited fiscal consolidation in 2027 and 2028, to the tune of 0.5% of GDP in 2027 and 0.6% in 2028 of structural deficit improvement, relying on a mix of discretionary and social spending restraint and „stealth" taxation increases. In the Eurozone, political risk is an increasingly relevant input for spread dynamics: With France, Italy and Spain all facing elections in 2027, pre-electoral tax cuts and spending pledges raise the risk of fiscal slippage precisely as consolidation becomes more pressing. Moreover, the phase-out of NGEU disbursements adds a further headwind: As grants are booked as fiscal revenue, their decline mechanically weighs on headline deficits for the bloc's largest beneficiaries (Southern European countries in particular), compounding the loss of investment support at a time when fiscal buffers are already thinning.

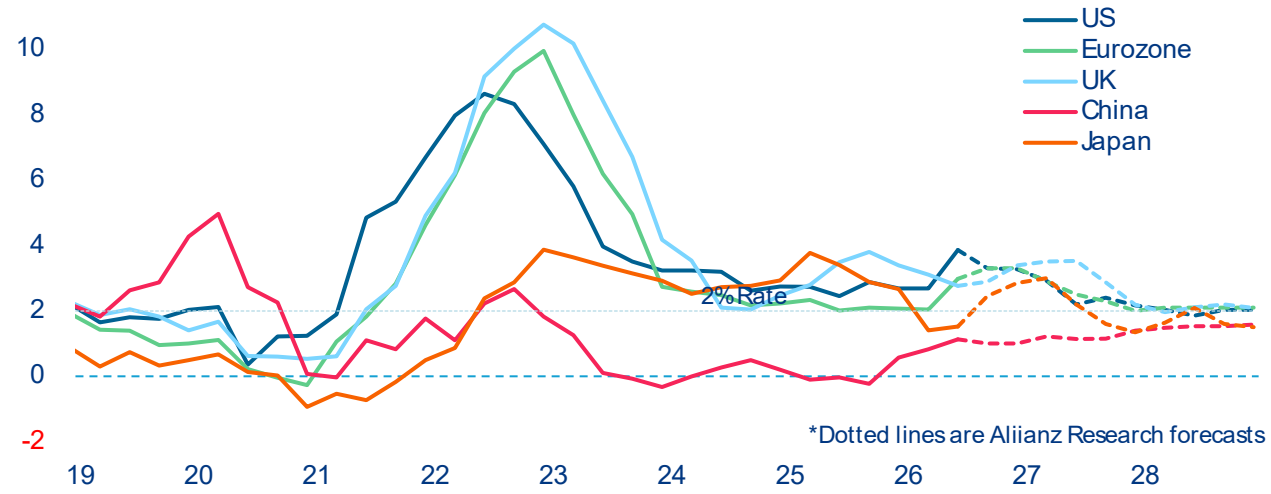


Inflation and central banks:

More hikes ahead before easing cycle starts in Q4 2027

Inflation rates will remain elevated until the first half of 2027 as indirect effects of elevated input costs filter through core consumer prices. Sharply higher energy prices in 2026 have quickly pushed up fuel inflation in most economies, with gasoline prices reaching historical highs. Meanwhile, utility bills have started to drift up, especially in European countries, as higher wholesale gas prices are gradually being passed through. In Q4 2026, we expect CPI headline inflation at +2.9% in Japan, +3.3% in the Eurozone, +3.4% in the UK and +3.5% in the US, with upwards risks. Higher utility bills should continue through 2027 even if wholesale gas prices start to decline as we expect. Persistently elevated energy and input costs should also increasingly prompt corporates to increase their selling prices to protect their margins. This will filter through to consumer prices, mostly from end-2026 and into 2027. In particular, consumer food prices should accelerate significantly from early 2027. In most developed markets, we expect headline inflation to start pulling down decisively only from Q2 2027, thanks to favorable base effects on fuel inflation, but core prices will remain sticky. However, high inflation and tighter financial conditions will weigh on growth, which should eventually limit 'second round' effects of higher prices onto wages and corporate profits, while lower oil and gas prices will also help pull down fuel and core prices. In this environment, we see inflation rates normalizing from the end of 2027 and in 2028. We expect headline CPI inflation to reach +2.1% by Q4 2027 in the Eurozone, +2.2% in the UK, +2.5% in the US and +1.4% in Japan.

Figure 2: Quarterly inflation, y/y, %



Sources: LSEG Datastream, Allianz Research

US and Eurozone labor markets are set to cool further into 2027 as slowing hiring meets accelerating AI adoption. In the US, August's steady headline (+162,000 payrolls, 4.1% unemployment) masks a thinning hiring pipeline: Soft hiring intentions and cooling wage growth point to further pullback ahead, even as layoffs stay contained. In the Eurozone, we expect unemployment to drift only marginally above current lows (6.4%) as vacancies keep falling and wage growth keeps normalizing. The adjustment should keep running primarily through hiring pace rather than job cuts, delaying, not removing, the risk of rising unemployment. Sectoral divergence should also widen, with manufacturing staying under pressure from weak demand and high energy costs while services hold up better. AI adoption adds a further, structural drag on hiring: Firms are increasingly able to absorb demand growth without adding headcount, and with productivity gains from AI still limited so far, the near-term effect shows up more in slower hiring than in higher output, reinforcing margin pressure into 2027. Our base case remains a gradual, not sharp, deterioration, with buffers thinner than a year ago, and Europe's main vulnerability now industrial rather than energy-driven.

Table 3: Inflation forecasts, yearly, %

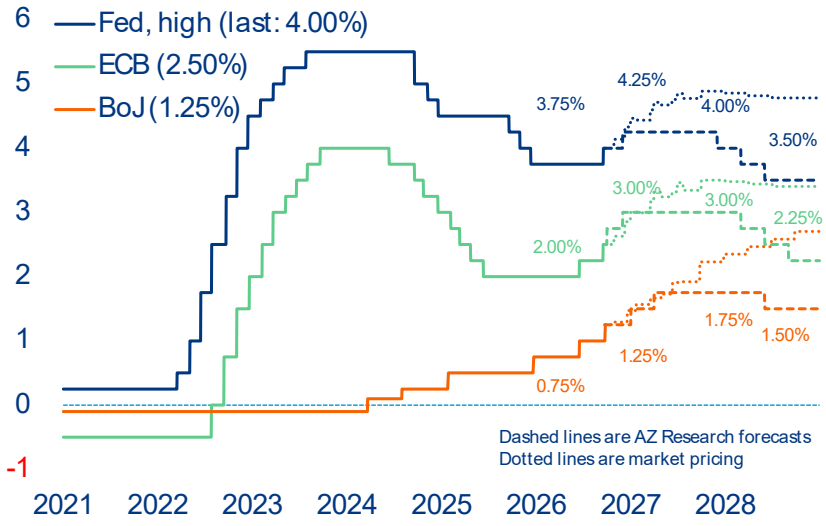
Inflation (yearly %)	2023	2024	2025	2026f	2027f	2028f
Global	**6.1**	**4.7**	**3.8**	**4.2**	**3.4**	**2.7**
USA	**4.1**	**3.0**	**2.7**	**3.4**	**2.6**	**1.9**
Latin America	**14.8**	**16.6**	**7.6**	**3.8**	**3.6**	**3.0**
Brazil	4.6	4.4	5.0	4.5	4.3	3.4
UK	**7.4**	**2.5**	**3.4**	**3.0**	**3.0**	**2.1**
Eurozone	**5.5**	**2.4**	**2.1**	**2.9**	**2.5**	**2.1**
Germany	6.0	2.3	2.2	2.7	2.4	2.2
France	4.9	2.0	0.9	2.2	2.2	1.3
Italy	5.7	1.0	1.5	2.7	2.3	2.0
Spain	3.6	2.8	2.7	3.6	3.0	2.2
Central and Eastern Europe	**11.1**	**3.8**	**4.8**	**4.3**	**3.3**	**2.9**
Poland	11.6	3.8	3.8	3.0	2.7	2.6
Russia	5.9	8.4	8.7	6.4	7.0	6.2
Türkiye	53.4	60.0	35.2	31.3	27.3	22.8
Asia-Pacific	**3.1**	**2.2**	**1.3**	**2.3**	**2.2**	**2.0**
China	0.2	0.2	0.1	0.9	1.1	1.3
Japan	3.3	2.7	3.2	2.1	2.0	1.7
India	5.7	5.0	2.2	4.7	5.2	4.2
Middle East	**16.6**	**10.8**	**14.1**	**9.4**	**3.2**	**2.4**
Saudi Arabia	2.5	1.5	2.0	2.1	1.8	1.8
Africa	**17.0**	**15.1**	**9.1**	**8.3**	**10.9**	**7.2**
South Africa	5.9	4.5	3.2	4.4	3.5	3.2

Sources: LSEG Datastream, Allianz Research

We expect the Federal Reserve to deliver one final hike in December, before maintaining a prolonged hold for most of 2027. As we expected in our last economic outlook, the Fed delivered a 25bps interest rate hike at its September meeting. With price pressures expected to remain elevated in the near term, we now see the Fed delivering a follow up hike at its December meeting. With economic activity and the labor market remaining resilient, the Fed will stay vigilant about the risks of second-round effects. However, this hiking cycle should be limited to two rate hikes. For a start, the Fed policy stance is much less loose than in 2021-23, with the real Fed interest rate slightly positive today (vs largely negative in 2021-2023). Second, corporate pricing power is less strong. Back in 2021-23, high and rising margins were widespread across sectors, pointing to an economy running too hot. In contrast, the rise in profits today is much more concentrated in a handful of sectors (ICT, energy, electronics). Thanks to a soft economy, easing supply-chain strains (including for AI) and lower expected energy costs, inflation should eventually cool down, prompting the beginning of a Fed normalization from December 2027. We expect the Fed policy rate to settle in the 3.25-3.5% bound by mid-2028.

Following the European Central Bank's (ECB) second rate hike this year in September to 2.50%, we expect two further 25bps increases in October and December 2026, taking the deposit rate to 3.00%. The ECB's focus is likely to remain on containing the second-round effects of the Middle-East-related energy shock, particularly as resilient economic activity provides room for further tightening. Thereafter, we expect a prolonged pause through 2027. While inflation is likely to remain elevated in the near term, our assumption of gradually easing oil and gas prices should support a renewed disinflationary trend, with inflation moving back towards target during the second half of 2027. Against this backdrop, we expect the ECB to resume easing in 2028, delivering three 25bps cuts to 2.25%,

Figure 3: Monetary policy key rates, %



Sources: LSEG Datastream, Bloomberg, Allianz Research

the upper end of the estimated neutral-rate range. This would mark a gradual normalization of monetary policy as energy-related pressures fade, while the ECB continues to balance inflation risks against the potential drag from higher borrowing costs on economic activity. Meanwhile, quantitative tightening continues at its full run-off pace of around EUR45bn per month and is expected to continue for the foreseeable future as the stock of holdings is still high. At the current pace it would still take six years to run down the remaining EUR3.2trn of assets sitting in the PEPP and APP program. The annualized balance-sheet reduction equals around 3.3% of GDP and by that exceeds the Eurozone's fiscal deficit of around 3.1%, further reinforcing the net supply pressure on government bonds.

The Bank of England (BoE) is expected to provide two back-to-back rate hikes in November and December as elevated core inflation prompt a response. The BoE has refrained from hiking interest rates so far despite persistently above-target inflation (even prior the Iran crisis). Admittedly, the BoE's policy rate is already elevated at 3.75%, and there is scant evidence of accelerating core inflation. However, the indirect effects of elevated input costs will start to show up soon as corporates will start to increase their selling prices. A surprisingly resilient economy provides further impetus for a likely acceleration of core inflation in the months ahead. The labor market is loose, but the unemployment rate has stabilized around 5%. In this environment, we expect the BoE to turn more hawkish and deliver back-to-back 25bps interest rate hikes at its November and December meetings, pushing the Bank Rate to 4.25%. We see a beginning of a normalization in November 2027 as inflation pulls back and the economy softens. We expect the Bank Rate to reach 3% by Q3 2028.

The Bank of Japan (BoJ) delivered a 25bps hike to 1.25% in September, accelerating its tightening on the back of resilient activity and firm wage growth despite headwinds from the Middle East conflict. Inflationary pressures have remained contained, in part thanks to government subsidies on energy, with headline inflation near target. However, the pass-through from elevated energy prices should push underlying momentum higher in the near term, with inflation picking up in Q4 to bring 2026 to +2.1%. The yen's slide to 40-year lows over the summer prompted intervention and reinforced the faster tightening path. We expect the next hike in January 2027 and one additional 25bps increase in H1 2027, reaching a terminal rate of 1.75%. With the Fed expected to ease in 2028 and Prime Minister Takaichi set to replace two hawkish board members in mid-2027, we anticipate a first 25bps cut in late 2028.



Developed markets:

Growth holding up amid different drivers

US growth is expected to cool off slightly through 2028 as ICT capex growth slows down. We have kept our GDP forecasts at +2.1% for 2026 and +2.0% for 2027. The US economy continues to see multi-speed growth, with ICT capex growth expected to peak at around +18% in 2026, while residential investment is going through another recession year (-3.1% expected) and government spending is soft (+0.6%). Household consumption has eased significantly from 2025 (+2% expected after +2.6%) as stretched consumers are moderating their spending. For 2027, although we expect a similar pace of GDP growth, the drivers will likely change. While inflation is set to cool off, we expect consumer spending to remain soft (+1.8%) as households strive to rebuild their savings. We expect ICT capex growth to moderate, but to keep increasing at a strong clip (+10%). Meanwhile, elevated input costs and tighter monetary policy should constrain overall investment growth. However, residential investment should stabilize at low levels (+0.8%) as housing affordability improves at the margin. Exports growth should moderate (from +4.1% to +2.0%) in line with the cooling down of ICT investment worldwide. Meanwhile, the supply-side of the US economy should continue to remain constrained by weakening demographics offsetting a gradual, AI-related pick-up in productivity growth. We expect GDP growth to be soft in 2028 at +1.8%.

The Eurozone growth outlook remains heavily distorted by Ireland's outsized GDP swings but underlying growth of the region remains solid. Despite accounting for only ~4% of Eurozone GDP, Ireland's volatility skews the aggregate picture. Excluding Ireland, we expect the Eurozone to post stable, decent growth of around +1.3% over 2026–2028. Renewed geopolitical tensions have driven a surge in energy prices, making inflationary pressures more persistent; we have revised our inflation forecast up to +2.9% this year and +2.5% y/y in 2027 (from +2.7% and +2.0% in our July outlook), before converging towards the +2% target in 2028. European gas prices are climbing as the region races to refill storage; the resulting macro risk looks contained for now, but poses a threat to the activity outlook in coming quarters, which has otherwise proved resilient in recent months. As prices climb, European firms plan to pass higher input costs on to consumers. Providing some offset, Germany's updated outlook lends support – defense and infrastructure stimulus is delivering near-term tailwinds – while Southern Europe continues to benefit from a stronger H1 and final NGEU inflows.

Germany: External headwinds persist but the fiscal boost creates resilience. Elevated energy prices remain a headwind for real disposable income and consumer sentiment. The government's fuel rebate will provide only partial relief, meaning household consumption should remain lackluster. However, business surveys and trends in high-frequency industrial data suggest that after some temporary weakness in Q3, a recovery in capex is underway. Overall, fiscal stimulus will continue to boost growth, offsetting structural headwinds from the second China shock – exports may even begin to recover cyclically. We expect GDP to grow by +1% this year and +1.2% and +1.1%, respectively, in 2027 and 2028. Improved growth should allow for a gradual firming up of the labor market over the next two years.

France's GDP growth is expected to remain weak amid external headwinds, tight macro policies and policy uncertainty. We have maintained our GDP growth forecast of +0.5% for 2026. Domestic demand has taken a hit from elevated input costs and rising interest rates, with both business and residential investment both set to contract. The industrial sector has fared better, thanks to strong demand in some sectors (transportation, electronics, machinery) but high energy costs are a growing headwind. Heading into the 2027 elections, policy uncertainty could rise, keeping investment subdued. Interest rates should remain elevated and fiscal policy tight. On the positive side, consumer spending has shown signs of improving despite higher inflation as households seem more eager to reduce their high savings. We expect GDP growth to accelerate only modestly to +0.9% in 2027 and +1.1% in 2028.

Italy's activity resilience has surprised on the upside in recent quarters, posting modest but steady growth (+0.2–0.3% q/q over the last year). Private consumption continued to support growth despite surging inflation (which reached +3.3% y/y in August). Buoyant investment has also been supported by the large inflow of NGEU funds – Italy has now received 85% of the funds (out of the EUR194bn allocated), easing earlier concerns about administrative capacity to absorb such a large volume of resources. On the back of a stronger H1, but cautious of rising headwinds and the end of NGEU disbursements in December, we have upgraded our forecast to +0.9% this year (up from +0.7% in 2025) and expect growth to settle around +0.8% in 2027–2028. With the fiscal deficit confirmed at -3.1% of GDP in 2025 (primary balance at +0.8% of GDP), the country remains under the Excessive Deficit Procedure. Bringing the deficit below 3% could have allowed for bigger spending in the 2027 budget, providing a boost to the current government's pre-electoral campaign.

Spain's growth does not seem to be slowing. We expect GDP to grow by +2.5% in 2026, before stabilizing below +2% in 2027–2028. Spain's outperformance remains a defining story within the Eurozone; average quarterly growth over the last six quarters has been +0.7%, versus a Eurozone average of +0.3%, with private consumption and services exports as the main drivers. Inflationary pressures have reignited strongly, with price growth set to average well above +3% this year. The labor market has been a bright spot, although immigration-driven regularization muddies the true picture behind the headline job growth. On the political front, Prime Minister Pedro Sánchez intends to run for re-election in 2027, but continued scandal and turmoil have left the opposition PP leading the polls, raising the risk of a snap election and a conservative government before then.

The UK has held up well against external headwinds but tighter financial conditions and higher inflation should keep growth capped. We have revised up our 2026 GDP growth forecast significantly to +1.3% (+0.3pp). Households have kept spending at a decent pace by reducing their savings rate, while business investment has maintained a healthy pace. The manufacturing sector has rebounded from 2025 with noticeable improvements in machinery and electrical equipment, while aerospace continues to power ahead. In 2027 we expect slightly lower GDP growth (+1.2%). Tighter financial conditions induced by higher market interest rates and (expected) policy rates should soften investment growth and keep residential investment weak. We also forecast GDP growth at +1.2% in 2028 as the UK economy remains constrained by weak supply side (including softening demographics).

Japan delivered strong Q2 growth at +1.4% y/y despite geopolitical headwinds and elevated energy costs. We forecast +0.9% GDP growth in 2026, supported by AI-linked exports and investments, and relatively resilient domestic demand. Fiscal policy remains expansionary under the Takaichi administration, with multi-year budgeting aimed at balancing stimulus with longer-term sustainability. We expect growth to edge to +1.1% in 2027 supported by the continuation of the global AI cycle, before moderating to +1.0% in 2028 as tighter monetary policy and a fading fiscal impulse weigh on activity. We expect inflation to average +2.1% in 2026, breaching the BoJ's target in Q4 on Hormuz pass-through and food inflation, before reaching +2.0% in 2027 and 1.7% 2028.



Emerging markets:
Tailwind from exports, mainly thanks to AI and rerouting

China's economy lost momentum in Q2, with GDP growth decelerating to +4.3% y/y as the oil shock from the Middle East conflict and persistently soft household spending weighed on activity. Nonetheless, we maintain our 2026 forecast at +4.7%, anchored by robust export performance, while structurally elevated savings rates and depressed consumer confidence remain the primary drag on the domestic economy. We forecast GDP growth at +4.5% (+0.1pp) in 2027 as the global AI cycle continues to support the external sector. In 2028, while the export contribution should fade as the AI cycle matures, we expect the real estate downturn to come to an end, gradually restoring household confidence and marking a pivot in domestic consumption, bringing growth to +4.3%. We forecast inflation at +0.9% this year as inflationary pressure should moderate into year-end. We expect a gradual normalization thereafter, supported by two cuts from the People's Bank of China (PBoC) in 2027, with inflation rising to +1.1% in 2027 and +1.3% in 2028 as the recovery in domestic demand progressively ends China's deflationary episode.

In the Middle East, divergence continues, with Qatar, Kuwait and Bahrain most exposed to conflict volatility, keeping their real economies mostly at a standstill. GDP contraction figures are high: -14% y/y for Qatar, -10% for Kuwait and -8% for Bahrain. The latest attack on Saudi Arabia's pipeline brings the war back to Riyadh, with a GDP contraction estimated at -2% y/y. Meanwhile, the UAE and Oman remain more resilient as their Strait of Hormuz bypasses allow for exports to continue, even if at reduced speed. In 2027, a substantial rebound is expected, especially for the Hormuz-exposed economies. The renewed tightening cycle, on top of the ongoing energy shock, is exposing fault lines across the EM space depending on the intensity of energy imports and exposure to the USD, causing several countries to increase rates. Most exposed are a group of Sub-Saharan Africa and South-Asian countries, but EMs across the globe are exposed to the ongoing risks.

We forecast growth in APAC at +4.4% y/y (+0.1pp), with 25% of it attributable to the AI investment cycle. However, this masks significant divergence across countries. While Taiwan, South Korea, Malaysia, Thailand and Singapore are the primary beneficiaries, with roughly 60% of their growth tied to AI-related activity – largely channeled through exports – Indonesia and the Philippines remain the region's laggards, having undergone the most aggressive tightening cycles, given their exposure to the Hormuz aftermath and domestic political difficulties, headwinds now compounded by El Niño effects on food supply and prices. On the central bank front, we see India joining South Korea in a tightening cycle in Q4, while we expect Indonesia and the Philippines to remain on hold, though both central banks will remain highly reactive to Middle East developments, energy and food inflation and FX depreciation. Looking ahead, we expect rates in the region to remain unchanged until Q4 2027, when we forecast Indonesia and the Philippines to enter an easing cycle.

In Africa, a deceleration is taking place from +4.5% y/y in 2025 to +4% y/y in 2026, and then a slight further deterioration to +3.9% in 2027. The major risks include inflation pressures from food and hydrocarbons and global liquidity tightening. Senegal remains one of the most exposed due to its high levels of debt that were misreported by the former administration. It is the latest nation to reach a deal with the IMF and is set to begin a restructuring process with international bond holders. Ghana, which already went through a restructuring process in 2023-2024 following the Ukraine crisis, also remains highly exposed to the current crisis as inflation levels have remained elevated for several years. A second layer of exposure linked to energy imports and USD-exposure is identified in Kenya, and three northern Africa nations: Egypt, Morocco and Tunisia. The largest African economies, Nigeria and South Africa, remain exposed to the current shocks but are relatively shielded. Nigeria, historically a crude exporter, has benefited from reforms that allowed for the free-float of the Naira and is now benefiting from new oil refined exports. South Africa is the only major African economy to have raised rates (+25bps) and is expected to raise again during Q4 2026 due to its exposure to energy imports, as well as its orthodox central bank aiming to reduce structural inflation. However, recent structural reforms have also supported resilience.

CEE growth proved resilient in the first half of the year despite weak external demand, geopolitical tensions and the renewed energy shock, with domestic demand remaining the main engine of activity. Resilient labor markets, positive real wage growth and still-solid consumption supported activity across most economies, while investment increasingly contributed in Poland, Czechia and Slovenia. We forecast regional GDP growth at +2.1% in 2026, accelerating to +2.4% in 2027 and +2.7% in 2028 as external demand gradually improves. Romania remains the clear outlier, with fiscal consolidation, falling real wages and weak consumption pushing the economy into recession in the first half of the year, while large fiscal and current account deficits add to its vulnerability. Inflation has remained relatively contained across most of CEE, but the balance of risks is increasingly tilted to the upside. We forecast regional inflation at +4.3% in 2026, easing to +3.3% in 2027 and +2.9% in 2028. Food prices have provided important relief, declining recently across Czechia, Poland, Slovakia and Hungary, but drought, extreme weather and higher global food prices could reverse this trend in the second half of the year and into 2027. Energy prices, persistent services inflation and wage pressures remain additional risks. Against this backdrop, we expect most central banks to remain on hold for longer, with the risk increasingly skewed toward renewed tightening rather than further near term easing. In Türkiye, growth has decelerated markedly, with GDP expanding just +2.3% y/y in Q2 2026, as persistently high inflation, running at +32% through Q3 and projected toward +30% by year-end, continues to compress consumer demand, erode trade competitiveness and squeeze corporate margins. We forecast growth at +2.7% for 2026, with a rebound toward +3.6% in 2027 conditional on inflation following a convincing downward trajectory, which would allow the Central Bank of the Republic of Türkiye (CBRT) to embark on a more meaningful easing cycle from the current 37% policy rate.

Across Latin America, fiscal consolidation remains a binding constraint, limiting the scope for countercyclical stimulus and requiring central banks to proceed cautiously with monetary easing, balancing the need to support activity against the risk of reigniting inflationary expectations. We forecast moderate GDP growth of +2.3% in 2026, accelerating to +2.7% in 2027, in both years trailing the global average by -0.3pp and -0.1pp respectively, as the region continues to face structural constraints on potential output. Brazil's economy has been losing momentum through the first half of the year, with the government recently downgrading its 2026 growth forecast, weighed down by weaker services and industrial output even as the agricultural sector provides partial offset. The BCB has delivered five consecutive rate cuts, bringing the Selic to 13.75%, but above-target inflation and persistent global price pressures are likely to cap the pace of further easing. Mexico has effectively concluded its easing cycle after Banxico cut to 6.5% in May as low growth (+1.3% y/y forecast for 2026, accelerating to 1.8% in 2027) coexists with still-elevated external risks, particularly from trade policy uncertainty and USMCA negotiations, which are leading to prolonged front-loading dynamics across sectors and is bringing about a structural shift in the goods exported to the North – from the automotive sector to those related to the AI transition. Central American countries, such as Costa Rica, Dominican Republic, Guatemala and Panama remain relative outperformers, supported by financial flows, tourism and commodity prices, but El Niño risks could affect 2027-2028 prospects in the area as well as in Andean countries. Chile, Ecuador and Peru have already seen flooding and logistics interruption. Colombia faces a more challenging adjustment path amid tighter financial conditions and spending-fueled GDP growth.



Corporates:

From energy shock to rate shock

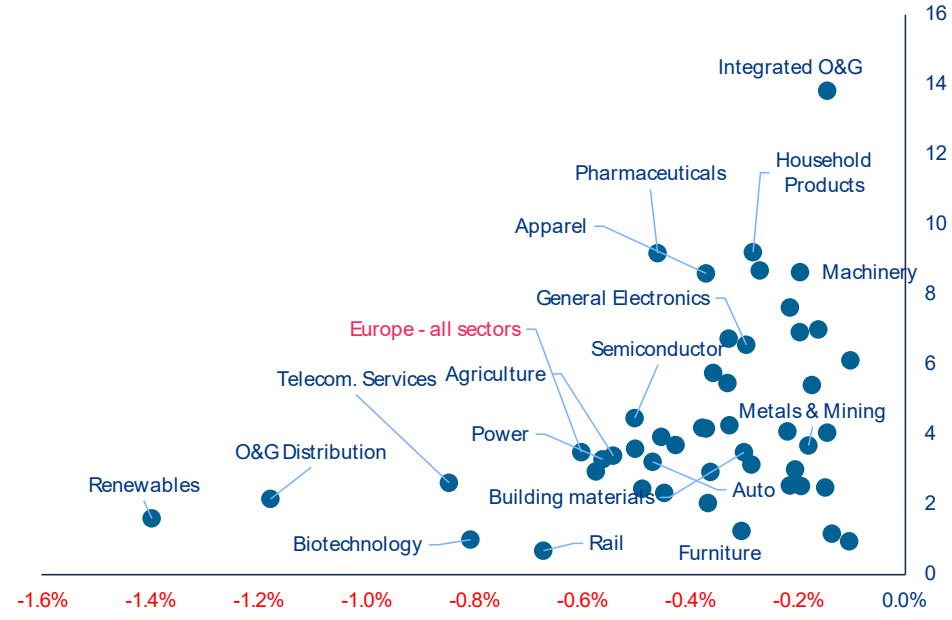
Corporate earnings remain resilient, but the breadth of growth is narrowing sharply and sectors divide into three very different clusters. Momentum is increasingly concentrated in AI, defense and energy, while most of the cyclical sectors remain under pressure. In the US, revenue growth reached +15.2% y/y, the strongest pace since Q2 2022. Semiconductors have been the principal engine, supported by the AI investment super cycle, while energy companies have benefited from higher oil prices. Europe has posted similarly robust headline growth at +11.2%, but the underlying picture is even more concentrated: energy, defense and semiconductors account for most of the increase. Corporate performance is therefore no longer moving broadly in sync. Instead, earnings are increasingly bifurcating around three distinct sets of exposures. The first is an AI-linked cluster spanning semiconductors, software and IT services, and telecom infrastructure. These sectors are capturing a disproportionate share of current earnings momentum as capital expenditure continues to flow into computing capacity, data infrastructure and digitalization. The second is a group of traditionally defensive sectors whose resilience increasingly depends on the nature of their underlying risks. Pharmaceuticals continue to benefit from patent protection, relatively strong pricing power and less cyclical demand. Agrifood enjoys similarly structural demand but is more exposed to climate volatility and trade disruption. Energy, meanwhile, is benefiting directly from elevated oil prices, providing a near-term earnings tailwind even as geopolitical risks increase uncertainty elsewhere in the economy. The third cluster comprises the more traditional cyclical sectors – autos, construction, machinery, textiles and transport equipment. Here, pricing power is thinner, tariff exposure is more direct and financing costs remain restrictive. These companies are therefore absorbing more of the downside from both weaker demand and a structurally higher cost of capital.

The Iran conflict has moved from an energy shock to a rate shock. The disruption around the Strait of Hormuz has sharpened the divergence in industrial cost structures, nowhere more visibly than in European chemicals and other energy-intensive industries. European producers were already operating at a structural disadvantage, paying a premium for feedstock and power relative to competitors in the US and Middle East. The result is an accelerating reallocation of production towards cost-advantaged capacity. Higher-cost European plants that are idled today are increasingly unlikely to return once conditions improve. This points to a continuation of the regional reshuffling of industrial production that began with the 2022 energy shock, rather than a conventional cyclical downturn that will simply reverse as demand recovers. In other words, part of the adjustment is becoming structural. The second transmission channel runs through interest rates. Persistent geopolitical tensions, higher energy prices and greater fiscal demands are reinforcing

pressure on borrowing costs just as many companies face refinancing needs. The impact on profitability is material. We estimate that a 50bps increase in the average interest rate on corporate debt would reduce the net margin of non-financial corporations from 9.0% to 8.6% in the US and from 6.6% to 6.2% in Europe, ceteris paribus. With a 100bps increase, margins fall further to 8.4% and 6.0%, respectively – a compression of roughly 0.6pp or 60bps in both regions. The burden is not evenly distributed. Exposure to higher rates is concentrated in capital-intensive, real-asset sectors with large debt stocks and persistent refinancing requirements. Under a 100bps shock, the net margin of US utilities falls from 19% to about 17%, while interest coverage declines from 3.1x to 2.4x. For European utilities, margins fall more sharply, from 10% to 7%, and coverage drops from 2.0x to 1.5x. US telecoms also see interest coverage fall substantially, from 4.5x to 2.8x, compared with a decline from 2.0x to 1.7x in Europe (see Figure 4). The implication is that the next phase of pressure on corporate margins may come less from the initial energy shock itself than from its second-round effects on financing conditions. Companies that entered this period with high capital intensity, limited pricing power and large refinancing needs are therefore increasingly exposed to a combination of weaker operating leverage and higher debt-service costs.

The corporate response is increasingly one of balance-sheet and industrial-footprint adjustment rather than conventional cyclical hedging. That is consistent with companies treating both the higher-rate environment and the emerging tariff architecture as durable features of the operating landscape rather than temporary shocks. Automakers are shifting the focus of margin defense away from unit growth and towards cost reductions, platform simplification and lifecycle revenues. Chemicals groups are accelerating capacity rationalization and redirecting investment towards structurally advantaged geographies rather than waiting for the cycle to turn. Metals producers, meanwhile, are maintaining capital discipline even as electrification-related demand increasingly strains available supply. These strategies have a common objective: preserving cash generation and balance-sheet capacity through a period in which neither demand nor financing conditions can be assumed to normalize quickly. The emphasis is therefore moving from maximizing volume growth to protecting returns on capital, liquidity and strategic flexibility. This also exposes a growing asymmetry in how markets are pricing corporate risk. The upside associated with the AI-linked cluster is being capitalized immediately through stronger earnings expectations and investment flows. By contrast, the downside from higher energy costs, tariffs and interest rates is concentrated in the other two clusters – and particularly in Europe, where structural energy disadvantages, weaker pricing power in parts of industry and greater sensitivity to external trade shocks compound the effect. The result is not simply a divergence between sectors, but a widening gap between companies able to fund structural growth and those forced to manage structural adjustment. That distinction is likely to matter increasingly for margins, investment and corporate balance sheets going forward.

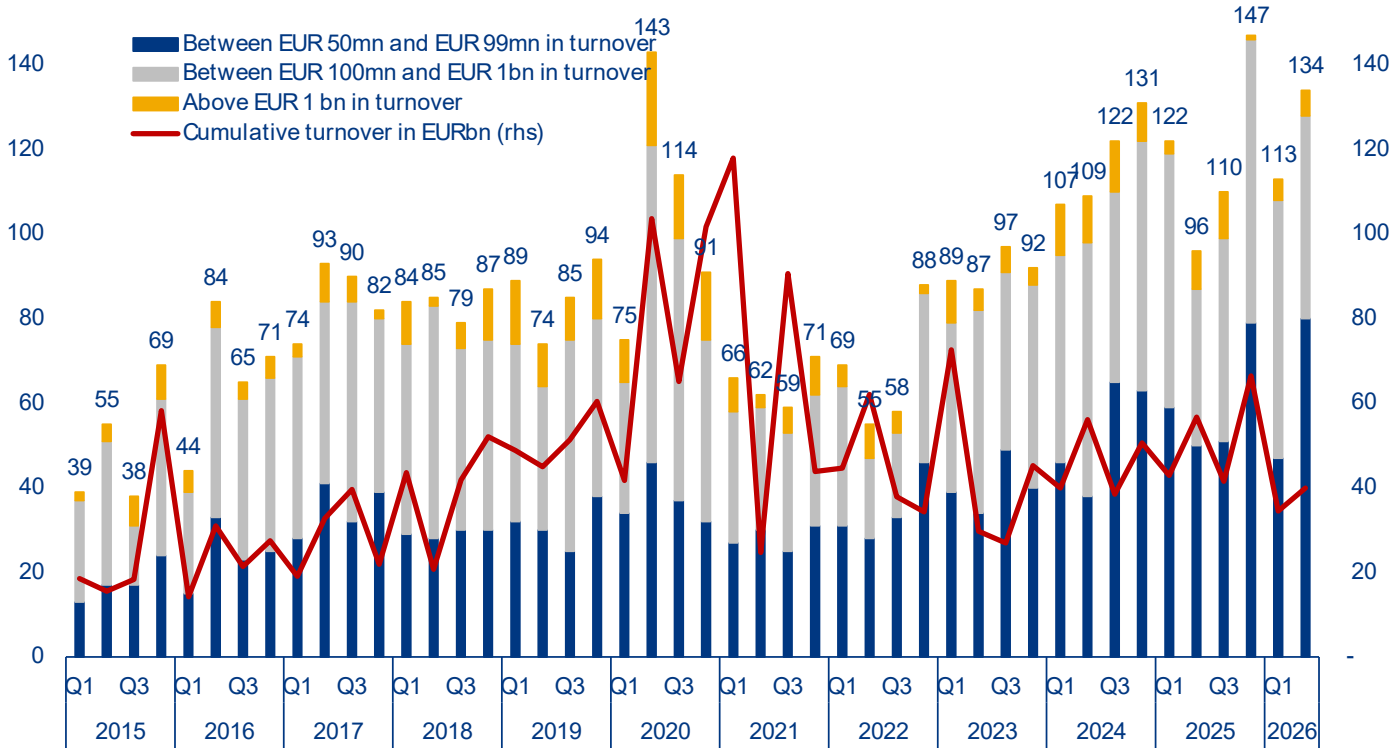
Figure 4: Change in net profitability vs interest coverage ratio after a 100bps shock for European firms



Sources: LSEG Datastream, NYU, Allianz Research

Global business insolvencies are running +6% above year-ago levels year-to-date, extending what is now the sixteenth consecutive quarter of y/y increases and leaving levels across most markets well above pre-pandemic norms. Among the largest economies, the US leads with a +19% surge, followed by Japan (+7%), Germany (+7%) and France (+5%), while the UK (-5%) and China (0%) are the notable exceptions. The strain is especially visible at the top end of the corporate spectrum: Insolvencies among firms with turnover above EUR50mn hit 134 in Q2 2026, the third-highest quarterly tally on record, bringing the count for the first half of the year to 247 cases (+13% y/y), with Western Europe accounting for nearly two-thirds of the total and industrial sectors such as chemicals, automotive and machinery equipment showing the sharpest deterioration. Insolvencies are projected to rise by at least +4% globally for the full year 2026 (the fifth consecutive year of increases) before a tentative stabilization in 2027. North America is set to be the largest regional contributor, with US filings forecast at +7% but a candidate for upside revision given strong first-half momentum; 27 countries are already tracking above our full-year projections. In Western Europe, the expected +2% increase in 2026 would be followed by a modest -3% decline in 2027, but nine out of 17 markets are forecast within the -4%/+4% range, pointing to quasi-stable insolvency levels that remain historically elevated. Asia will see contrasting trends, with most countries prolonging their rise, except Australia, Singapore and Hong Kong. The full impact of the Middle East shock has yet to feed through corporate income statements: higher input and shipping costs, weak(er) consumer sentiment, elevated selling-price expectations and higher-for-longer interest rates all point to persisting margin pressure in the coming quarters, in particular for medium, small and very small firms. Highly leveraged sectors are particularly vulnerable as debt-servicing costs compound the profitability squeeze, suggesting greater differentiation across countries and industries depending on their exposure to war-related spillovers and, conversely, their ability to benefit from global tailwinds such as AI and defense spending.

Figure 5: Major insolvencies, quarterly number, by size of turnover



Source: Allianz Trade



Capital markets outlook:
Cruel (bond) summer coming to an end

Capital markets had a difficult summer as the energy shock and renewed inflation concerns pushed government bond yields sharply upwards to multi-year highs. Equities proved more resilient: Strong earnings and AI-related investment kept returns positive despite rising rates, while credit spreads remained close to historical tights, supported by solid corporate results. In currencies, EURUSD stayed broadly range-bound, while emerging-market assets benefited from improving fundamentals but now offer less spread compensation. Private markets are becoming more selective: Private equity remains constrained by a record exit backlog, private debt continues to deliver attractive income despite pockets of stress, infrastructure is benefiting from the AI buildout and real estate faces renewed refinancing pressure. Looking ahead, we expect the summer repricing to prove orderly rather than the start of a broader market break. As the energy impulse fades in our baseline outlook, we see scope for gradually declining long-term rates, while equity returns should moderate as valuations normalize.

The summer selloff in long-term rates had three synchronized drivers: the feedback loop between energy prices and policy rate expectations, firmer economic activity and a higher term premium. The repricing of the rate path was the strongest driver. The term premium was the swing factor capturing supply-demand imbalances emerging over summer in a government bonds market that is moved at the margin by price-sensitive, leveraged investors that react to tighter funding conditions. Firmer economic activity on either side of the Atlantic acted as underlying upside trend. But we think US late-cycle dynamics will resume in 2027 as the energy impulse fades and growth returns to potential. Markets will price rate cuts. Long-term rates will anticipate lower growth, bringing 10y yields to 4.5% in 2027 and 4.3% in 2028. The US term-premium rebuild looks largely complete and is actively contained by Treasury operations (buybacks and active Treasury issuance). The hawkish Fed turn should itself re-anchor the long end by restoring inflation-fighting credibility.

Table 4: Capital market forecasts

EMU	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
ECB deposit rate	2.50	%	4.00	3.00	2.00	3.00	3.00	2.25
10y yield (Bunds)	3.61	%	2.03	2.36	2.85	3.30	3.20	3.00
10y EUR swap rate	3.64	%	2.48	2.39	2.93	3.30	3.10	2.90
20y EUR swap rate	3.60	%	2.51	2.39	3.23	3.30	3.10	2.90
Italy 10y sovereign spread	95	bps	168	117	65	80	80	70
France 10y sovereign spread	110	bps	53	83	71	100	70	70
Spain 10y sovereign spread	46	bps	97	70	44	40	40	30
Corporate Debt								
Investment grade credit spreads	84	bps	135	101	78	80	85	85
High-yield credit spreads	277	bps	395	311	270	280	300	295
High-yield credit spreads ex-CCC	229	bps	333	239	219	225	240	240
Equity								
Eurostoxx (total return p.a.)	11 ytd	%	19	10	25	15	9	8

US	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Fed Funds rate (high)	4.00	%	5.50	4.50	3.75	4.25	4.00	3.50
10y yield (Treasuries)	5.19	%	3.87	4.57	4.16	4.70	4.50	4.30
Corporate Debt								
Investment grade credit spreads	79	bps	104	82	79	85	90	90
High-yield credit spreads	280	bps	334	292	281	290	315	310
Equity								
S&P 500 (total return p.a.)	14 ytd	%	26	25	18	14	8	8

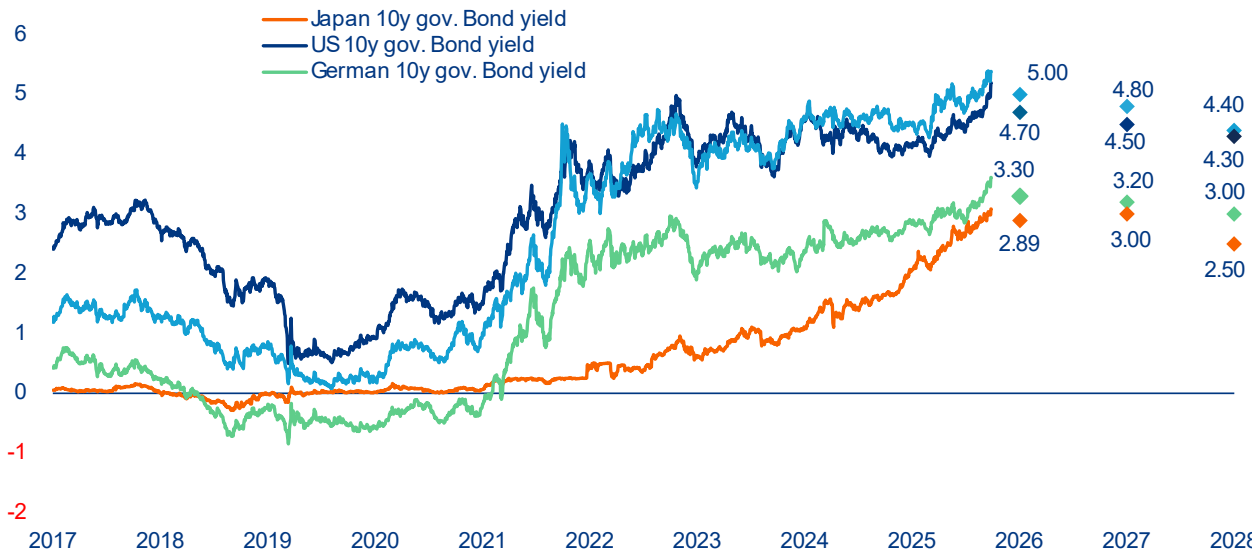
UK	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
BoE rate	3.75	%	5.25	4.75	3.75	4.25	4.00	3.00
10y yield sovereign (Gilt)	5.39	%	3.54	4.57	4.47	5.00	4.80	4.40
Corporate Debt								
Investment grade credit spreads	84	bps	134	91	80	85	90	90
High-yield credit spreads	424	bps	515	364	420	425	405	380
Equity								
FTSE 100 (total return p.a.)	10 ytd	%	8	10	26	8	8	8

Emerging Markets	Last*	Unit	2023	2024	2025	2026f	2027f	2028f
Government Debt								
Hard currency spread ex-CCC (vs USD)	164	bps	215	202	163	170	175	185
Local currency yield	6.47	%	6.19	6.39	5.87	6.30	6.20	6.20
Equity								
MSCI EM (total return p.a. in USD)	26 ytd	%	10	8	34	31	12	7

FX & Commodities	Last*		2023	2024	2025	2026f	2027f	2028f
EUR USD	1.14	$ per €	1.10	1.04	1.17	1.16	1.17	1.18
Oil (Brent)	107	$ per bl	78	75	61	87	70	71
Natural gas (Dutch TTF)	76	€ per MWh	32	49	28	65	35	30

Sources: LSEG Datastream, Bloomberg, Allianz Investment Management
Notes: Year end figures
* As of 24.Sept 2026
Sources: LSEG Datastream, Allianz Research

Figure 6 : 10y government bond yields including forecasts, %



Sources: LSEG Datastream, Allianz Research

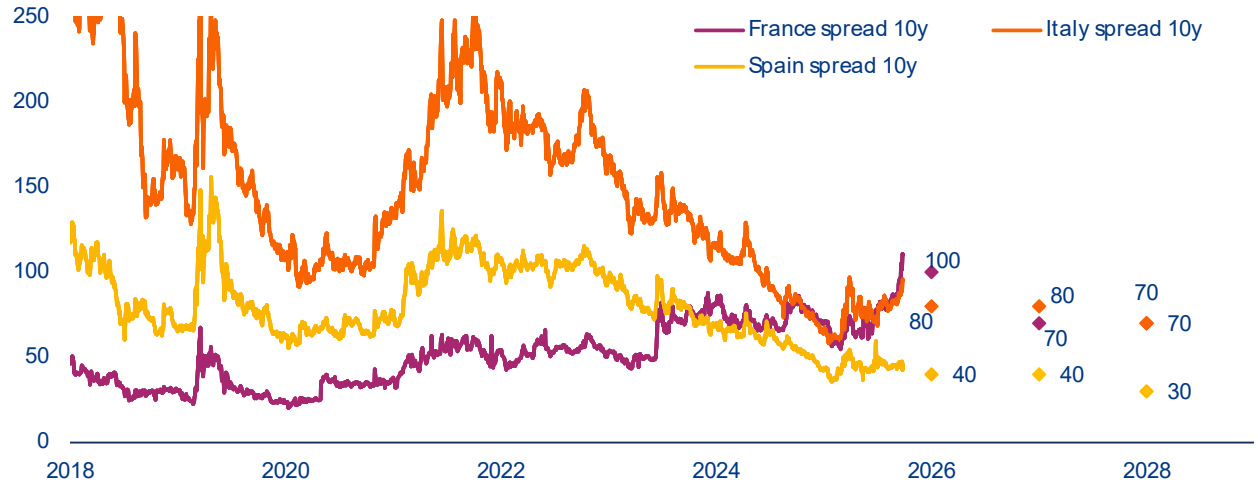
The Eurozone sits earlier in the cycle. But its growth impulse is moderate and there is no overshoot above potential to justify holding policy above neutral for long. We see markets pricing a reversal in mid-2027, easing German 10y yields to 3.2% in 2027 and 3.0% in 2028. Both curves bear-steepened through the summer. We now see potential for further steepening, especially in the Eurozone where the market-priced policy path is most excessively tight. In both markets, the belly is the sweet spot on a six to twelve month horizon. It captures some of the policy-driven decline, stays supported by economic activity and carries less term-premium risk than the long end. At current levels, intermediate maturities show the best combination of positive real returns and convexity.

Within the Eurozone the risk premium now sits in France rather than Italy or Spain. The OAT-Bund spread reached highest value since the Euro crisis (around 100bps) as markets began pricing a scenario in which the new president (election in April/May 2027) will struggle to gain a majority in the parliament, creating further fiscal uncertainty. The near-term risk stays skewed wider, and 130bps is reachable if political fragility deepens to levels not yet seen. BTP spreads stay contained, but the tightening impulse is missing as NGEU support fades, and upcoming elections are an upside risk we would treat as temporary. There is no systemic fragmentation risk within EGBs as yield movement remain synchronized. Political fragility, not market fragmentation, will be the theme of the coming months.

EURUSD traded within a relatively narrow range of 1.14 to 1.18 during the last quarter, largely continuing the pattern observed in previous quarters. Traditional drivers such as the expected interest rate differential and valuation metrics suggest that this range-bound behavior is likely to persist. Within this range, short-term exchange rate movements were primarily driven by developments in the US, whereas events such as the recent German elections had only a limited impact on the currency pair. We expect this pattern to continue. With the US midterm elections likely to increase political uncertainty, we believe EURUSD could move closer to the upper end of its recent trading range by year-end.

Equity markets: the 2026 earnings boost gives way to normalization. Equities have held up through the summer oil shock, leaving year-to-date total returns at +13% in the US and +10% for Europe. Earnings did the work: 12-month forward EPS growth runs near +20% in the US, +16% in the EMU and above +30% in EMs. But valuation dispersion is the widest in a decade: The US trades at 19.4x forward earnings against a 20-year average of 16.6x; the Eurozone at 16.4x and EM at 9.9x. Valuations argue for selectivity rather than retreat: Earnings should keep delivering the equity risk premium,

Figure 7: Yield spreads vs 10y German bund yield including forecasts, %

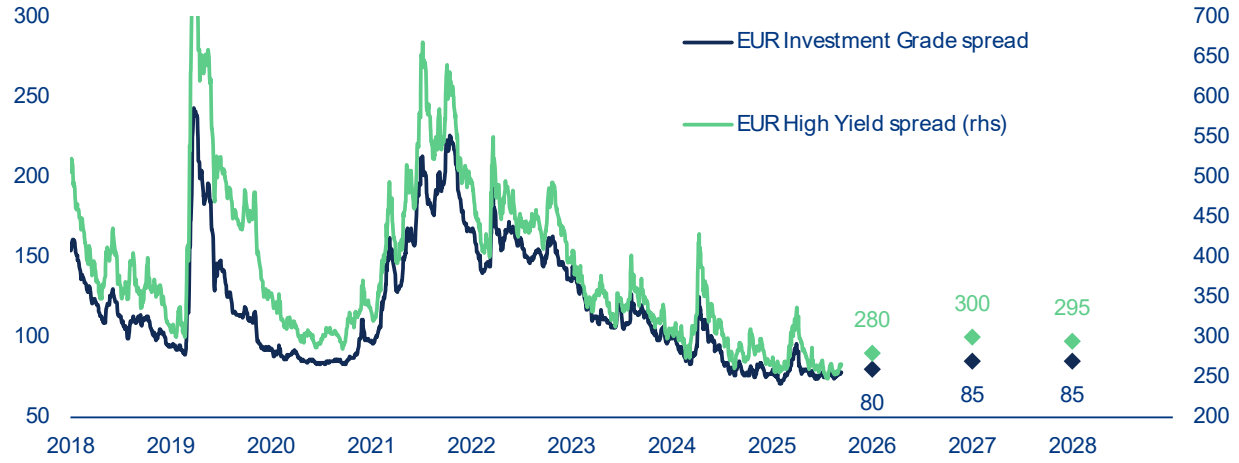


Sources: LSEG Datastream, Allianz Research. Note: For France and Italy we forecast the same spread at 70 for 2028.

but with PEs above average in the US and Japan, we expect the valuation premium to deflate there as growth slows and macro risks rise, while Europe and EMs – where expectations are lowest and the downside most discounted – offer similar earnings sensitivity at a lower price. We stay constructive on equities and expect Q4 to consolidate rather than extend the rally, with returns converging towards the long-term equity risk premium as multiples normalize. At year end, full-year 2026 total returns should reach +14% for the US and +15% for the Europe, before a more normal year in 2027 with +8% and +9%, respectively. Double-digit EPS growth carries the forecast (US: +32%/+16%/+16% over FY1-FY3; Eurozone: +22%/+12%/+12%). US earnings revisions (+7.1% since July) outrun nominal GDP only thanks to technology, ~30% of the index; ex-tech, the S&P 500 tracks the economy, so the market carries the downside if AI capex or monetization disappoints – growth, not inflation, is the risk. Eurozone consensus prices +14.7% EPS growth off +4.6% nominal GDP, but macro upgrades, lower valuations and already negative sentiment support it, while Japan looks hyped after a +20%. With positioning crowded and implied volatility below average, convertibles and hedges are compelling to retain equity and earnings upside while tailoring the downside to tolerance.

Credit markets have remained broadly resilient through 2026, with spreads holding near the tight end of their long-term range. In investment grade (IG), upgrades continue to outnumber downgrades, though the net upgrade trend has slowed from its 2025 peak. Solid growth is offsetting the higher interest burden, holding credit metrics: Interest coverage went below its long-term median but stabilized above 6x in the US and 8x in Europe, while net leverage remains near cycle highs. In high yield (HY), global default rates have stabilized, albeit at a level still above their long-run average. The market has differentiated, reflecting tight spreads yet above-average default rates: BB and B credits have outperformed, supported by high carry and fading recession risk, while CCC spreads remain elevated and are likely to stay so as the weakest issuers face the highest refinancing costs in a higher-for-longer rate environment.

Figure 8: European corporate credit spreads including forecasts, bps



Sources: LSEG Datastream, Allianz Research

In the US, earnings growth and supportive technicals have underpinned the market, though heavy technology issuance is drawing investor attention. IG gross supply reached nearly USD1.5trn year-to-date, up 30% on 2025, while net issuance almost doubled. Demand has moderated from the high of the start of the year, but new issuance book coverage above 3x suggests the market can still absorb a sizeable calendar. With technology set to account for around a quarter of new issuance through 2026, its share of the IG index could rise towards 15% in 2030. Heavier supply against adequate demand argues for drift rather than dislocation: We expect US IG at 85bps by end-2026 and 90bps in 2027–28, with HY at 290bps, 315bps and 310bps. Euro credit is comparatively insulated from this technology concentration and offers a diversification option. Technology represents only 3% of the Euro IG index, which should limit spillovers from tech-specific volatility. Current tight spreads are driven by 'yield' demand, and are likely to continue in a higher-for-longer rates environment. However, increasing rate volatility started to weigh on spreads in the near term. We see EUR IG at around 85bps in 2027–28 and HY at approximately 300bps and 295bps.

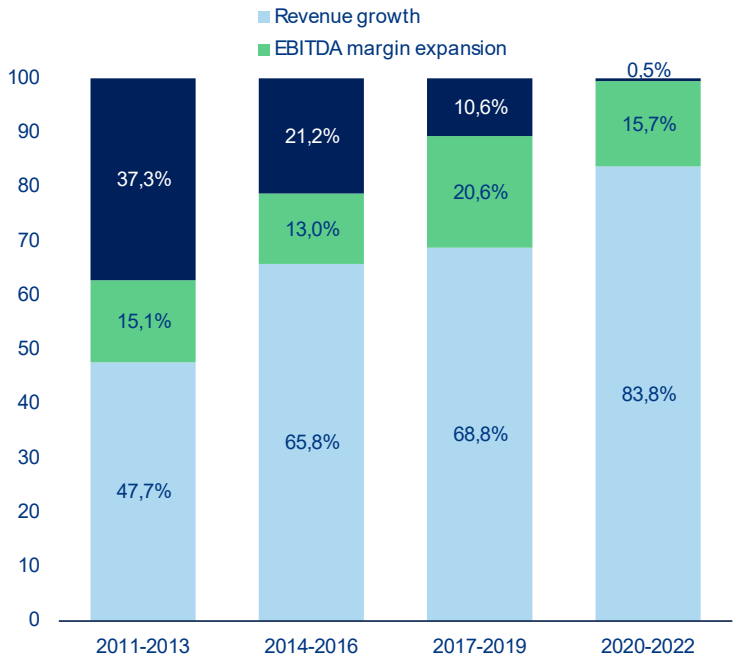
Emerging markets remain resilient to global shocks. However, the path for EM sovereign spreads is asymmetrically skewed towards widening, while energy volatility and Fed hiking remain the drivers for EMs locally. EM fundamentals continue to strengthen, with sovereign rating trends clearly shifting toward upgrades, supported by successful debt restructurings, IMF-backed policy discipline and improving monetary policy credibility across the asset class. The structural growth premium that EMs hold over developed markets remains intact and is expected to widen further, supporting debt sustainability and increasing the resilience to higher energy prices and US rates volatility. Robust fundamentals, combined with sustained investor inflows, have pushed EM sovereign spreads to multi-year tight levels, compressing the rating-adjusted spread premium versus US corporates close to negative territory. From current multi-year tight levels, spreads are expected to widen modestly by year-end. With spreads offering limited additional pick-up, EM local-currency assets appear relatively more attractive at current yield levels. Given their correlation with US Treasury yields and the ongoing EM central bank cycle, yields are expected to move broadly sideways, reaching 630bps by year-end. While valuations look more compelling in local currency markets, the recent environment is less favorable as Fed policy expectations and oil-price volatility remain the key drivers of local currency performance.

EM equities are the cheapest way into the AI value chain. Consensus EPS growth of +72%, +23% and +10% over FY1-FY3 is driven by semiconductors, and AI supports around a quarter of Asian growth. Yet the market still prices EM semis at a discount to US peers: Their combined USD4trn market capitalization is below Nvidia alone, and technology weighs 21% in MSCI ACWI, of which only 3.5% is for EM semis – despite their crucial role and early monetization. SK Hynix and Samsung trade near 4x PE, with new long-term contracts extending the outlook and securing payback, whereas US semis command three times the multiple for twice the growth. The cycle has limits: We estimate AI capex to be roughly halfway through and expect it to peak above USD1trn in 2028, when normalizing returns on equity would imply a 20-45% PE discount that our target already anticipates. We forecast MSCI EM total returns of +31% in 2026, +12% in 2027 and +7% in 2028 – ahead of developed markets next year, fading only as the semiconductor cycle matures.

Across the USD16.7trn private capital industry, two forces are doing most of the sorting. Rates, having risen sharply again on both sides of the Atlantic rather than easing as underwritten, are pushing financing costs back toward levels many portfolios were not built for, and AI is rewriting which businesses deserve a premium and which do not. Each corner of private capital wears this pressure differently. Private equity is stuck at the exit, sitting on a record backlog of unsold companies as chastened investors keep fundraising in a multi-year drought. Private debt still pays its keep, with direct lending returning almost 11% last year, but cracks are showing among smaller funds and the most AI-exposed borrowers, where write-downs are creeping higher. Infrastructure is the outlier success story, its 12-13% annual return leaning on the USD5-7trn the world is expected to spend this decade wiring up data centers for the AI boom. Real estate's fragile recovery is now at risk of stalling as financing costs move higher again instead of easing, and AI's dampening effect on office demand leaves the sector doubly exposed. The thread running through all four is dispersion. Capital is flowing to contracted, well-covered, AI-aligned assets and fleeing everything else, widening the gap between winners and laggards to levels rarely seen.

Private equity's story in 2026 is increasingly one of exits, or the lack of them. US buyout funds are still sitting on some 13,300 unsold companies, most acquired in the frothy days of 2020-21 at prices that assumed multiples would keep rising. Instead, across US buyout deals, multiple expansion contributed 37.3% of value creation in the 2011-13 vintages but just 0.5% in 2020-22, with EBITDA margin expansion and revenue growth now doing almost all the work (Figure 9). That is a much harder way to earn a return, and it shows up directly in the exit numbers. US exits fell -46.3% in the second quarter, kept alive mainly by a handful of large sales rather than a broad clearing of the backlog, while dealmaking itself dropped -37.5% as the Fed reopened the door to rate hikes and software, previously the industry's favored sector, fell -65.7% on AI-driven concerns about its growth outlook. With so little cash flowing back to investors, distributions remain thin and the incentive to hold rather than sell persists. Europe tells a related story, deal value rose +6.9% in the second quarter, but its own deals-to-exit ratio has climbed from 2.4x to 2.9x, an early sign that the same operational reckoning may be coming. The lesson on both sides of the Atlantic is the same: Returns now have to be built company by company rather than bought through re-rating, and only sponsors who can genuinely grow revenue and margins will convert their backlog into distributions. We expect private equity to return 7-9% this year, rising to 11-12% in 2027 and 2028 as the exit market gradually reopens.

Figure 9 : US buyout value creation has shifted decisively from multiple expansion to operational growth

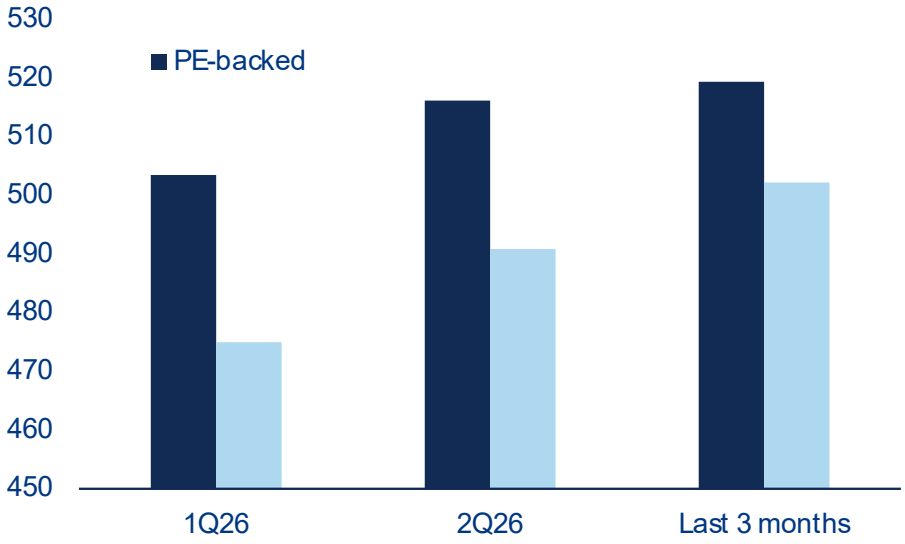


Sources: Pitchbook, StepStone, Allianz Research

Private debt has spent 2026 absorbing shocks it was largely built to withstand. Oil spikes and rate scares are not new for this asset class. The summer's Hormuz-driven energy shock pushed spreads a little wider, but the move has been modest. Spreads remain close to historic lows, and leveraged loan defaults, while ticking up, are still only a small drag on returns. In this environment we expect defaults to normalize gradually as energy prices and rate expectations settle back down. Some of the recent concern bundles together several separate issues – retail-vehicle redemptions, loan quality, software exposure and fund-wrapper design – and treating them as one story overstates the risk. The more interesting divergence is in valuations rather than credit quality. Private NAVs have held steady, while listed vehicles trade near 17% discounts, and payment-in-kind income, now around 8% of BDC investment income, is edging up among the weakest borrowers, whose interest coverage is squeezed by still-high floating coupons. The sensible approach, as in most late-cycle credit markets, is to be selective rather than pull back, favoring seniority, strong collateral coverage and full disclosure over older, more richly priced positions elsewhere in the portfolio. We expect spreads to hold around 550bps through year-end, cruising at similar levels through 2027 and 2028 as the asset class settles into a steadier, income-led phase.

Infrastructure is expected to sustain strong performance, underpinned by AI buildout as a growth lever. Data centers continue to dominate the deal market this year. Despite strong new-build across major regions, demand keeps outstripping supply (Figure 14), holding vacancy at record lows while rents keep growing strongly. With power, permitting, and land constraints sustaining the scarcity, the economics stay attractive for ready-to-use data centers contracted long-term to investment-grade counterparties. Two tailwinds are strengthening the case. First, the token economics are getting more compelling: Usage keeps surging despite significant efficiency gains as workloads shift from chatbots to agentic, reasoning-heavy models and the paradigm grows more compute-intensive. Token prices are stabilizing at the frontier even as serving costs keep falling, supporting provider margins. Hyperscaler AI revenue is now beginning to cover the capex depreciation, pointing to a more sustainable cycle. Second, rising data sovereignty demands across regions add a further durable tailwind. We continue to see infrastructure as a strong play in the AI supercycle – the foundation on which the whole AI stack is built – with tangible, contracted earnings rather than speculative upside.

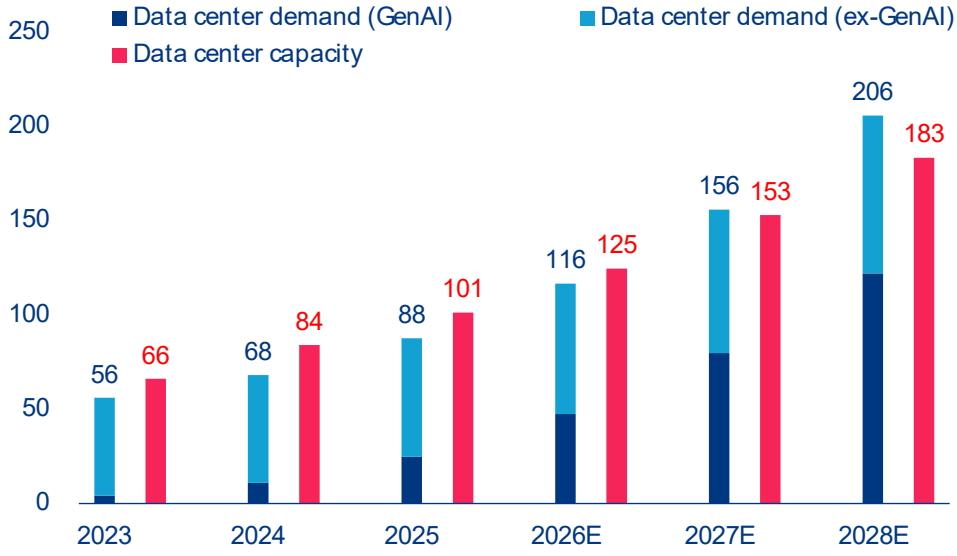
Figure 10: Spread of PE-backed deals & LBOs, direct lending market, bps



Sources: Pitchbook, StepStone, Allianz Research

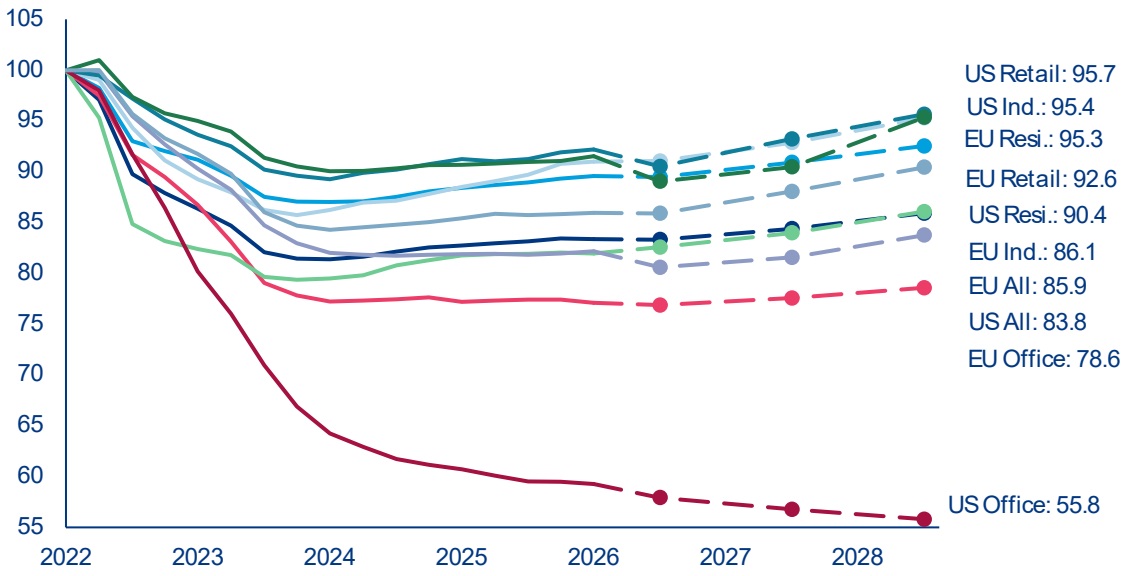
The income-led recovery in real estate continues, but higher long-end yields weigh on pricing and refinancing. Liquidity is returning ahead of pricing: Investment volumes are up 21% y/y in the US and 10% in Europe, drifting back to pre-Covid norms, while prices are stabilizing and cap rates are broadly flat. Values remain 14-16% below the 2022 peak in aggregate on both sides of the Atlantic, with US offices down more than 40% and Europe offices down over 20%, against high-single-digit drawdowns in US retail and industrial and European residential. Fundamentals are supportive: shrinking new supply and resilient occupier demand should underpin a progressive, income-led recovery, but the path is gradual, with no sector expected to regain its peak before 2028 and offices to barely move (Figure 15). Rates are the constraint. With 10y yields at multi-decade highs on renewed inflation pressure and fiscal concerns, private appraisal cap rates still sit near 2021 levels. Marks have yet to absorb the move, so further outward yield shift and headwinds on refinancing and liquidity lie ahead.

Figure 11: Global data center supply is expected to fall short of demand in 2027



Sources: S&P Global 451 Research, Morgan Stanley, Allianz Research

Figure 12: Pricing is recovering but will stay below peak through 2028, with US offices the worst hit



Sources: MSCI, Allianz Research
Note: Index is rebased, Q2'24 = 100


Our
team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.utermoehl@allianz.com

Macroeconomic Research



Lluis Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com



Spyridon Andreopoulos
Senior Economist DACH
spyros.andreopoulos@allianz.com



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com

Outreach



Heike Baehr
Content Manager
heike.baehr@allianz.com



Melissa Eddy
Content Manager
melissa.eddy@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com

Corporate Research



Jeanne Buée
Sector Advisor
jeanne.buee@allianz-trade.com



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



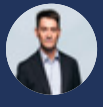
Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
http://www.allianz-trade.com/economic-research
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

@allianz

allianz

Allianz Trade Economic Research
http://www.allianz-trade.com/economic-research
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

@allianz-trade

allianz-trade

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Allianz Research encompasses Allianz Group Economic Research and the Economic Research department of Allianz Trade.

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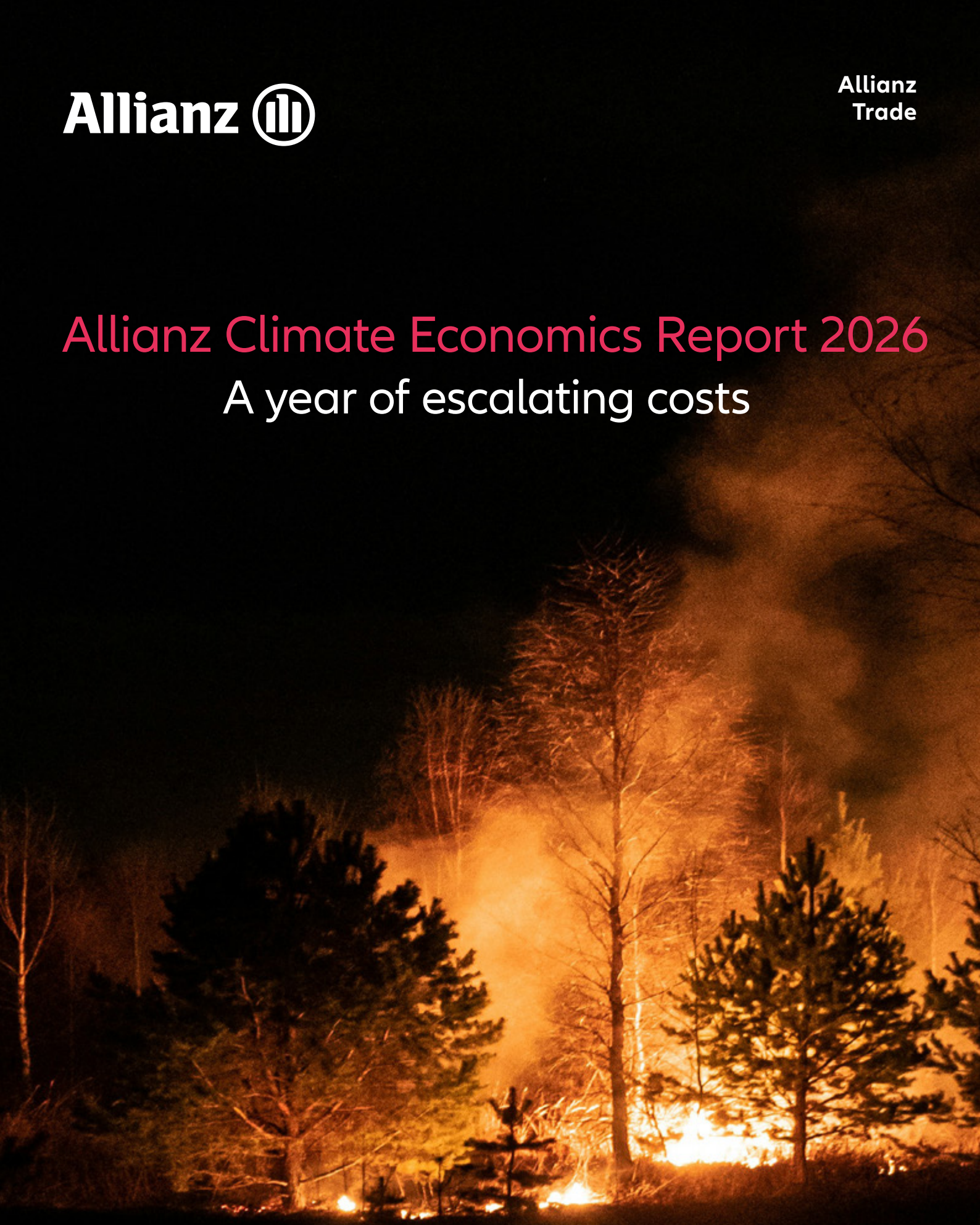
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Allianz Climate Economics Report 2026

A year of escalating costs



24 September 2026

Allianz Research

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Executive Summary



Ludovic Subran
Chief Investment Officer & Chief Economist
ludovic.subran@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



Katharina Utermoehl
Head of Thematic and Policy Research
katharina.utermoehl@allianz.com



Rozalia Papaioannou
Research Assistant



Mengxi Wang
Research Assistant

- **Europe's 2026 heatwaves carry an estimated annual output cost of EUR113bn (USD128bn) across 30 countries, a substantial economic burden from one hazard alone.** This corresponds to around 0.46% of their combined projected GDP, and roughly 60% of the global extreme-weather losses recorded in 2025. The estimate uses each country's most intense five-day heat episode between June and August, adjusted for humidity and population exposure, to assess the effect on annual growth. Italy, Germany and France account for almost two-thirds of the estimated losses, while Cyprus faces the largest growth reduction, at 1.74 percentage points. Humidity helps explain why the highest temperatures do not always produce the greatest economic strain: Italy's more humid heat episode is associated with a larger estimated growth loss than Hungary's hotter but drier conditions.

- **Europe was one of several regions hit hard by extreme weather in 2026, with a fuller picture of the year's economic losses expected in early 2027.** Major floods affected Madagascar, Malawi, Mozambique, South Africa, Zambia and Zimbabwe, while Tunisia and Morocco also suffered serious flooding. Indonesia faced an active wildfire season, and flooding along the Nepal–China border left estimated reconstruction needs of USD4–5bn. Peru declared two emergencies: one following February's floods and another in July to prepare for rainfall associated with El Niño. Assessing the combined effects on GDP growth and inflation will require more complete data on the damage and disruption to economic activity.

- **Allianz Research is launching the Allianz Climate Economics Report (ACE), an annual flagship examining how climate change affects economic growth and inflation.** Each edition reviews the previous year, assesses current developments and considers the outlook for the year ahead. The analysis draws on ClimRad (Climate Data Radar), a proprietary platform developed by Allianz Research and Earthian AI. Alongside climate data and catastrophe loss records, ClimRad provides damage functions developed in-house to estimate how temperature changes, heat stress and drought affect GDP growth, and how temperature changes influence headline and food inflation. This allows ACE to examine costs that extend beyond damage to physical assets and insurance claims, including losses in production and pressures on household purchasing power. Readers can explore national climate data and test their own economic scenarios through the ClimRad platform.

- In 2025, climate risk became more geographically differentiated, with the largest physical shifts not always translating into the greatest current economic burden. Northern and Eastern Europe recorded some of the largest temperature anomalies, led by Norway at +3.74°C versus +1.38°C globally. To separate structural climate shifts from the severity of current conditions, the

[1] The results in this paper are produced using ClimRad, a proprietary climate analysis platform developed by Allianz Research in collaboration with EarthianAI thanks to Shayan Shokri and Greta Kudzmanaite.

Allianz Climate Economics Report uses a Climate Change Score, measuring departures in temperature, heat, drought and precipitation from historical norms, and a Climate Stress Score, capturing current heat, drought and heavy rainfall. Nigeria, the Philippines, Malaysia, Brazil, Côte d'Ivoire, Morocco and Turkey rank high on both. Globally, extreme weather caused USD210bn in economic losses in 2025, down 32% from USD307bn in 2024 but still 20% above the 2000–2019 average. Measured against the size of each economy, the burden was equally uneven: the US recorded the largest absolute losses at USD118.5bn, equivalent to 0.4% of GDP, while Jamaica's losses reached 39.4% of GDP. Losses were equivalent to 2.9% of GDP in Thailand and 0.8% in Portugal, four times its historical average.

- **The disasters of 2025–2026 exposed a widening adaptation gap: countries with prevention systems, pre-arranged financing and clear response mechanisms were better positioned than those still relying mainly on post-disaster relief.** Australia, Chile and Canada drew on established wildfire programs combining monitoring, community preparedness and investment before the fire season. Morocco's flood response similarly benefited from earlier investment in warning systems and risk mapping, supported by a World Bank-backed resilience program receiving USD408mn since 2016. Honduras illustrates a more targeted model, using forecast-triggered financing to release assistance before impacts materialized. Elsewhere, the response remained more reactive: Texas strengthened warnings and protective infrastructure after flooding, while European initiatives expanded heat, wildfire and water-resilience policies, including an EIB water-resilience facility of EUR15bn for 2025–2027. By contrast, Mexico and Bolivia remained focused largely on relief and reconstruction, Indonesia on wildfire suppression and Argentina combined major emergency firefighting with cuts to permanent wildfire-management capacity. The 2025–2026 experience shows that resilience depends less on emergency spending after disaster strikes than on sustained prevention, pre-arranged financing and clear responsibility before it does.

- **Looking ahead, a very strong El Niño is already forming and could cost the world USD451bn, with most of the damage landing in 2027.** Expected to peak towards the end of 2026 and persist into early 2027, El Niño would add a temporary boost to human-induced warming. Our sensitivity analysis, calibrated on country temperature responses during the 2023–2024 El Niño episode, estimates a net output loss of USD451bn in 2027, equivalent to 0.24% of projected GDP across 144 economies. China, the US and India account for almost 60% of gross losses, at USD147bn, USD91bn and USD50bn, respectively, while South Korea and Indonesia face larger proportional declines of 0.51% and 0.41% of baseline GDP. For the EU-27, the net loss reaches USD24bn, or 0.09% of GDP. The shock would also reach households through prices: weighting country results by GDP at purchasing power parity gives average increases of 0.42 percentage points (pp) in headline inflation and 0.65pp in food inflation. The corresponding EU-27 increases are 0.31pp and 0.50pp. These results quantify temperature sensitivity only and exclude additional losses from floods, droughts, wildfires and other extreme events.

Allianz Climate Economics Report

As climate change accelerates, adaptation is becoming an urgent priority alongside efforts to reduce emissions. The Allianz Climate Economics Report is an annual flagship report that tracks climate risk developments and examines their economic implications. Each edition takes a three-year perspective, reviewing the previous year's climate conditions and losses, analysing major developments in the current year and assessing the outlook for the next. Linking physical climate risks to their macroeconomic effects, particularly on GDP growth and inflation, is a central pillar of the report. Assessing these costs provides evidence to guide adaptation planning and investment decisions, helping policymakers and businesses address immediate risks while building long-term resilience. The Allianz Climate Economics Report is based on the ClimRad tool developed by Allianz Research and Eathian AI (Box 1).

Box 1: ClimRad – A climate economics tool

ClimRad is a climate macroeconomic platform developed through a collaboration between Allianz Research and Eathian AI. It brings together climate indicators, economic damage functions and natural catastrophe data to help economists, policymakers and businesses assess climate risks and their economic implications, providing evidence for adaptation planning.

The platform provides national and subnational data on temperature, heat stress, drought and precipitation from 1950 to the current quarter on a monthly basis, alongside a flood dataset currently covering EU countries from 2015–2024. Interactive maps and historical comparisons allow users to examine recent conditions and changes over time. Climate inputs include the Copernicus ERA5 and ERA-Land datasets. For the economic modelling, climate exposure is weighted using GPWv4 population data, bringing the assessment closer to the conditions people experience.

ClimRad translates climate conditions into economic effects through damage functions developed and estimated in-house. The growth model builds on Callahan and Mankin (2022) and Kotz et al. (2021, 2022). It combines climate inputs with reported economic accounts from DOSE, using 31,563 annual observations across 1,470 regions in 78 countries from 1990–2020. The model estimates how humid heat, annual temperature changes and drought affect annual real GDP per capita growth, accounting for persistent regional differences and common annual shocks. Heat exposure combines temperature and humidity during the hottest five-day period, allowing the estimated economic response to vary with the intensity of heat stress.

An interactive simulator on the ClimRad website makes these functions accessible to users without coding or modelling expertise. Users can select a country and specify climate conditions to estimate the associated change in annual growth relative to that country's baseline temperature. The platform also provides estimates of temperature effects on headline and food inflation. These simulations support analysis of observed events and hypothetical scenarios; their results depend on the climate assumptions entered.

ClimRad also includes a global natural catastrophe database compiled by Earthian AI, covering individual events since 2000. It records total economic losses and insured losses where available, allowing users to compare events across countries and hazards and assess the share of losses left uninsured. These records complement the modelled growth effects by documenting the economic and insurance costs of reported disasters.

Link to ClimRad : https://climrad.earthianai.com/



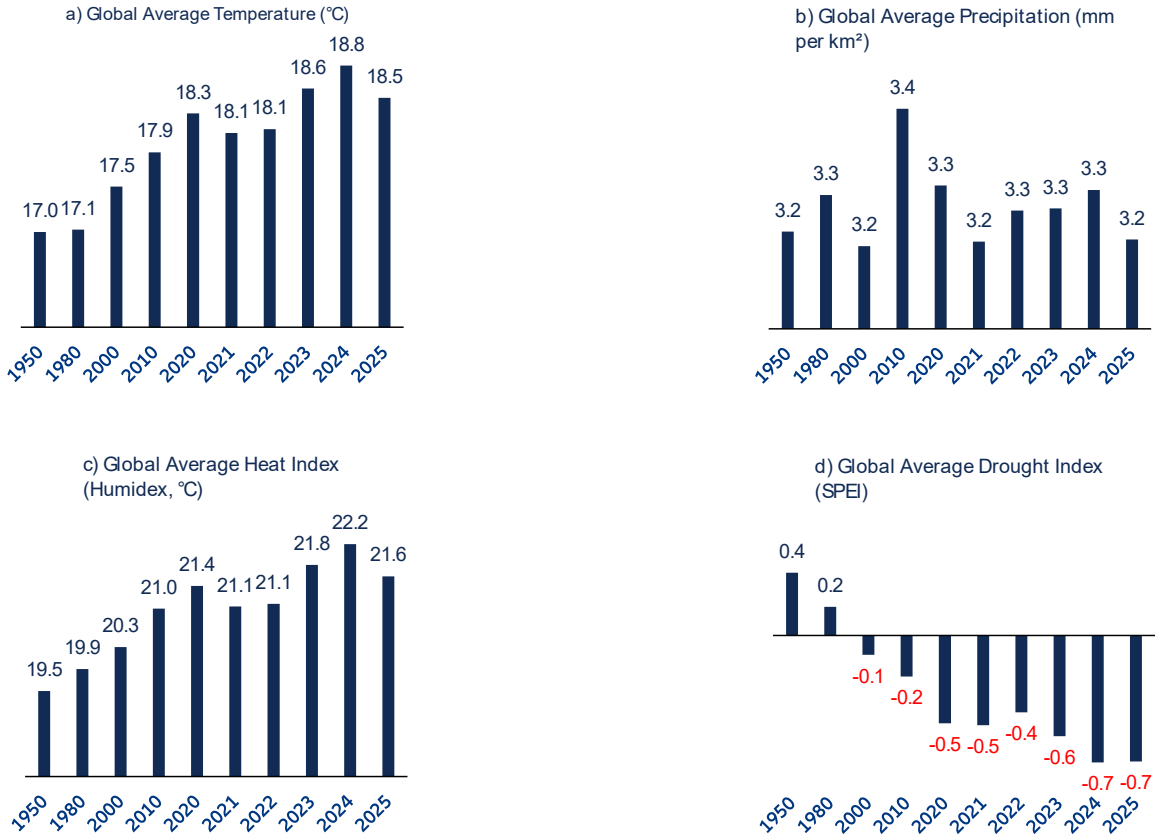
Global climate trends in 2025

Global temperatures eased in 2025 but remained far above their historical level (Figure 1a). Global average temperatures declined from 18.8°C in 2024 to 18.5°C in 2025. Relative to the 1950–1970 baseline, this corresponds to an anomaly of +1.38°C and remains the third-highest reading since 1950. The decline partly reflects the fading influence of the 2023–2024 El Niño and the return to neutral conditions during 2025. Looking beyond annual fluctuations, the mean anomaly increased from +1.08°C in 2020–2022 to +1.53°C in 2023–2025. The estimated rate of warming also rose from around 0.28°C per decade between 1980 and 2010 to approximately 0.5°C per decade thereafter. The moderation in 2025 therefore does not alter the acceleration visible in the longer-term series.

Global average precipitation remained broadly stable (Figure 1b). It stood at an average of 3.2 mm per Km^2 in 2025[2], the same level as in 1950 and within the narrow 3.2–3.4 mm per Km^2 range observed across the selected years. Measured against the 1950–1970 baseline, precipitation anomalies have fluctuated between –0.03 and +0.22 without establishing a persistent trend. This global stability should be interpreted carefully. An annual average does not capture where precipitation occurs, how it is distributed over the year, or whether it falls in short and intense episodes. Previous research finds increasing precipitation variability across much of the global land area and stronger precipitation extremes in both dry and wet regions (Donat et al., 2016[3] ; Pendergrass et al., 2017[4]). A stable global average can therefore coexist with regional rainfall deficits and more intense precipitation events.

[2] Measured as total yearly precipitation per country related to its area
[3] More extreme precipitation in the world's dry and wet regions | Nature Climate Change
[4] Precipitation variability increases in a warmer climate | Scientific Reports

Figure 1: Global climate development 1950 – 2025



Sources: ClimRad, Allianz Research

Economic losses from extreme weather declined in 2025 but remained above their pre-2020 average (Figure 2a). Losses fell from USD307bn in 2024 to USD210bn in 2025, a decline of 32%. This decline may partly reflect the relatively lower temperatures recorded in 2025 than in 2023 and 2024, as warmer-than-average years tend to be associated with more frequent extreme weather events (Box 2). The 2025 total was nevertheless 20% above the 2000–2019 average of USD176bn. Every year since 2020 has exceeded that reference level, while average annual losses over 2020–2025 reached USD271bn, 54% above the earlier period. Annual totals are highly sensitive to a small number of major catastrophes: the January 2025 Los Angeles wildfires alone generated close to USD60bn, equivalent to 28% of the year's recorded losses. The decline in 2025 should therefore not be interpreted as evidence that the underlying hazard has diminished.

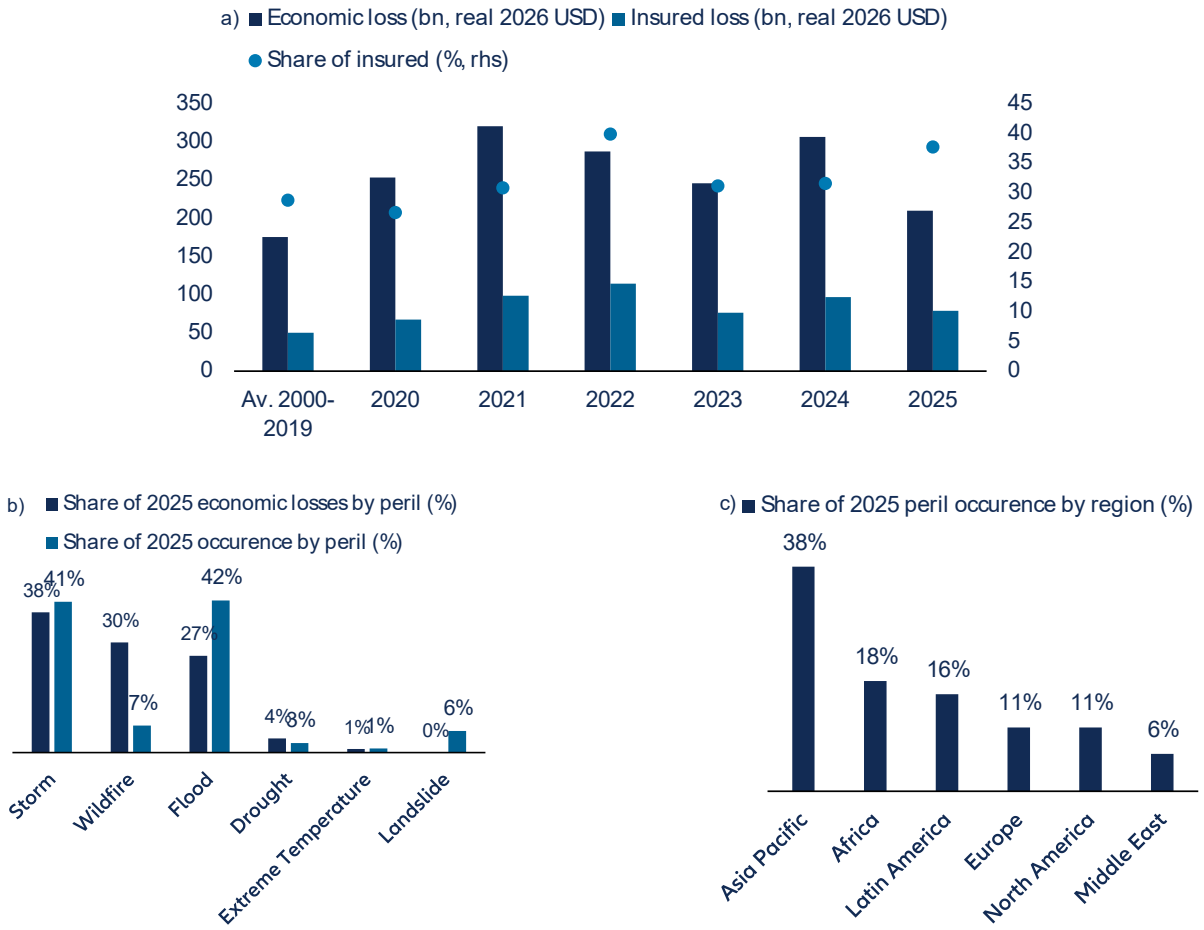
Insured losses declined less sharply, raising the share of economic losses covered by insurance (Figure 2a). Insured losses fell by 18%, from USD97bn in 2024 to USD79bn in 2025, while the insured share increased from 32% to 38%. Average insured losses reached USD89bn a year over 2020–2025, 76% above the 2000–2019 average of USD50bn. This exceeded the corresponding 54% increase in economic losses. Nevertheless, uninsured losses also rose substantially, averaging USD182bn a year over 2020–2025 compared with USD125bn during 2000–2019, an increase of 45%.

The 2025 protection gap of USD131bn was close to the historical average, but this mainly reflects the lower total loss recorded that year rather than a sustained narrowing of the gap. Nor does the increase in the insured share necessarily indicate a general expansion in coverage, since the proportion insured also depends on the geographical and peril composition of annual losses.

Event frequency and economic severity differed markedly across perils in 2025 (Figure 2b). Floods accounted for 42% of the 271 events in the sample and storms for another 41%. Together, they represented 83% of recorded events but 65% of economic losses. Wildfires showed the opposite pattern: they accounted for only 7% of events but generated 30% of reported losses, largely because of the Los Angeles fires. Landslides represented 6% of events, but almost none of the recorded losses. This is more likely to reflect incomplete loss information, particularly for smaller events, than an absence of economic damage.

The geographical distribution reveals a similar divergence between event occurrence and recorded losses (Figure 2c). Asia Pacific accounted for 38% of events, followed by Africa at 18% and Latin America at 16%. Europe and North America each represented 11%, while the Middle East accounted for 6%. Economic losses were distributed very differently. North America generated approximately 58% of reported losses from 11% of events, whereas Africa accounted for 18% of events but less than 1% of losses. This divergence reflects differences in asset values, vulnerability and the completeness of loss reporting rather than just hazard intensity.

Figure 2: Extreme weather events: losses, protection gap and 2025 composition



Sources: ClimRad, EarthianAI, Allianz Research

Box 2: Higher likelihood of extreme weather events during warmer years

The analysis in Figure 3 examines whether weather-related disasters occur more frequently during relatively warm years than during relatively cool years. The comparison is conducted within countries rather than against a single global temperature threshold. For each country, annual temperature anomalies over 1999–2025 are divided at the country-specific median. A year is classified as warm when its anomaly is above that median, and as cool when it is equal to or below it. This approach creates a broadly balanced comparison and avoids defining almost all recent years as warm simply because temperatures have risen over time. For each region and hazard, the chart reports the ratio between event frequency in warm years and event frequency in cool years. A value above one indicates higher frequency in warm years, a value below one indicates lower frequency, and a value close to one suggests little difference. Earthquakes are shown as a placebo because their occurrence should not be affected by temperature.

The results indicate that warmer years are associated with more frequent weather-related disasters, although the relationship differs across hazards and regions. Drought provides the most consistent signal. Its frequency ratio ranges from 1.26 to 1.31 across all regions, meaning that drought events occur around 26% to 31% more often in warmer years. Wildfire frequency also rises strongly in several regions, particularly Oceania, where the ratio reaches 2.24, followed by the Americas (central and south America) at 1.97 and Asia at 1.70. The relationship is weaker in North America and absent in Africa and Europe.

Extreme-temperature events are more heterogeneous. Their frequency rises markedly in Oceania, Africa and Europe, remains broadly unchanged in Asia, and falls in the Americas and North America. Storm frequency increases in the Americas, North America and Europe, while flood occurrence remains close to parity in most regions. Landslides show no common regional pattern.

Figure 3: Frequency of extreme weather events in warmer versus cooler years, by region and hazard (1999–2025)

Continent	Drought	Extreme Temp.	Flood	Landslide	Storm	Wildfire	Placebo* Earthquake
Africa	1.29	1.54	1.08	2.1	0.86	0.92	0.59
Americas	1.29	0.31	0.97	0.81	1.38	1.97	0.84
Asia	1.31	0.99	1.14	0.87	1.01	1.7	1.05
Europe	1.29	1.47	0.9	1.05	1.25	0.91	1.46
N. America	1.26	0.61	1.02	0.66	1.33	1.46	1
Oceania	1.29	2.15	0.9	1.35	0.96	2.24	0.75

>2.5 1.0 <0.5

Event frequency: Warmer versus cooler years

Where:

>1.0 = events happen more often in a country's warmer-than-median years than in its cooler years

1.0 = no difference between warmer and cooler years

<1.0 = events happen less often in warmer years than in cooler years

* **Placebo: earthquakes (no climate link); near 1.0 return ratios confirm non-manufactured signals**

Sources: ClimRad, EarthianAI, Allianz Research



Country-level climate risk in 2025

Northern and Eastern European countries have moved sharply up the global temperature-anomaly ranking since 1980. Figure 4 shows the positions of the 52 focus countries in 1980, 2000 and 2025, measured against their respective 1950–1970 averages. Countries are ranked across the full dataset, with first place indicating the largest anomaly, although only the focus countries are displayed[5]. Magenta lines mark gains of at least five places, cyan lines mark equivalent declines, and dark blue denotes smaller changes. The anomaly values beside the labels shows that losing rank does not necessarily mean cooling, as a country can continue to warm while others warm faster.

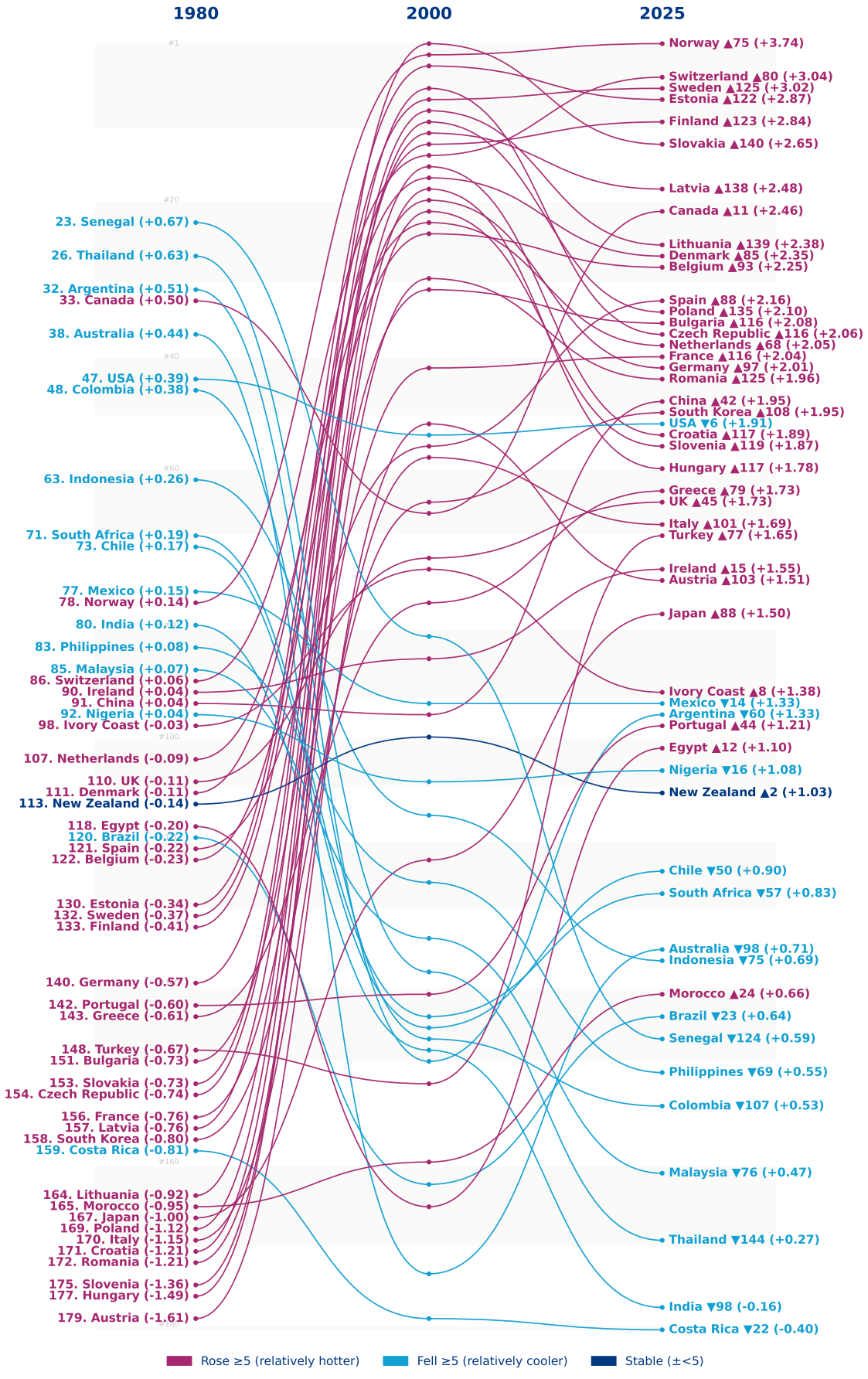
Slovakia climbs 140 places, followed by Lithuania and Slovenia (139), Latvia (138) and Poland (135). Sweden, Romania, Finland and Estonia each gain more than 120 places. Norway has the largest anomaly among the focus countries in 2025, at +3.74°C, placing it third globally, up from 78th in 1980. Switzerland, Sweden, Estonia, Finland and Slovakia all exceed +2.6°C. Much of this regional shift was already visible in 2000, although individual countries followed uneven paths.

Several mechanisms help explain Europe's position. Land warms faster than oceans, while the retreat of snow and sea ice amplifies warming at northern latitudes. Declining air pollution has also removed some of the cooling influence of sulphate aerosols. Nabat et al. (2014) estimate that aerosol changes accounted for 23 ± 5% of simulated surface warming across the Euro-Mediterranean region between 1980 and 2012, a period overlapping much of the chart's observation window.[6] Atmospheric circulation provides another influence, particularly on summer extremes. Vautard et al. (2023) attribute 0.8°C of the 3.4°C increase in Western European summer heat extremes per degree of global warming to circulation changes[7]. These findings help explain the regional pattern observed in Figure 4.

The largest falls in rank occur mainly among tropical and Southern Hemisphere countries, but they reflect different temperature trajectories. Thailand loses 144 places, Senegal 124, Colombia 107 and Australia 98. Thailand's anomaly is lower at the selected endpoints, falling from +0.63°C in 1980 to +0.27°C in 2025. Indonesia and Australia follow a different path: their anomalies rise from +0.26°C to +0.69°C and from +0.44°C to +0.71°C, respectively, yet they lose 75 and 98 places because anomalies increase more rapidly elsewhere. A decline in rank can therefore reflect either a lower anomaly in 2025, or continued warming at a slower rate than in other countries.

5 For readability, the main text reports results only for OECD countries and selected large economies from each region.
6 Contribution of anthropogenic sulfate aerosols to the changing Euro- Mediterranean climate since 1980 - Nabat - 2014 - Geophysical Research Letters - Wiley Online Library
7 Heat extremes in Western Europe increasing faster than simulated due to atmospheric circulation trends | Nature Communications

Figure 4: Temperature-anomaly rank movement (1980-2025)



Sources: ClimRad, Allianz Research

Ocean influence helps explain part of this pattern, particularly among island and coastal economies such as Indonesia. Observational evidence shows that continental surfaces have warmed more rapidly than oceans, reflecting differences in moisture availability and the atmospheric response to ocean warming (Byrne and O'Gorman, 2018)[8]. This mechanism may moderate temperature changes in strongly maritime climates, but it does not provide a common explanation for all the countries moving down the ranking.

The ranking also reflects the climate conditions prevailing in 2025. Weak La Niña conditions were present early in 2025, ENSO-neutral conditions subsequently became established, and borderline La Niña conditions emerged by November (WMO, 2025)[9]. ENSO affects surface temperatures through changes in atmospheric circulation, rainfall and cloud cover, with particularly strong teleconnections across tropical regions and the Southern Hemisphere. Its influence nevertheless extends across the global snapshot and is not confined to countries moving down the ranking.

Figure 5 combines two complementary indicators of country-level climate risk in 2025. The Climate Change Score (CCS) measures the extent to which current conditions differ from the 1950–1970 climate baseline. It combines anomalies in mean temperature, extreme heat, drought and precipitation and therefore captures the strength of the recent climate-change signal. The Climate Stress Score (CSS) measures the absolute severity of current heat, drought and precipitation relative to physically meaningful thresholds. The CCS indicates how rapidly a country's climate is moving away from its historical conditions, while the CSS indicates how stressful those conditions are in 2025. The two indicators are presented on a common scale from zero to one, with the dashed lines at 0.5 separating higher and lower scores. The detailed construction and all countries results of both indicators are provided in Appendices A1 and A2.

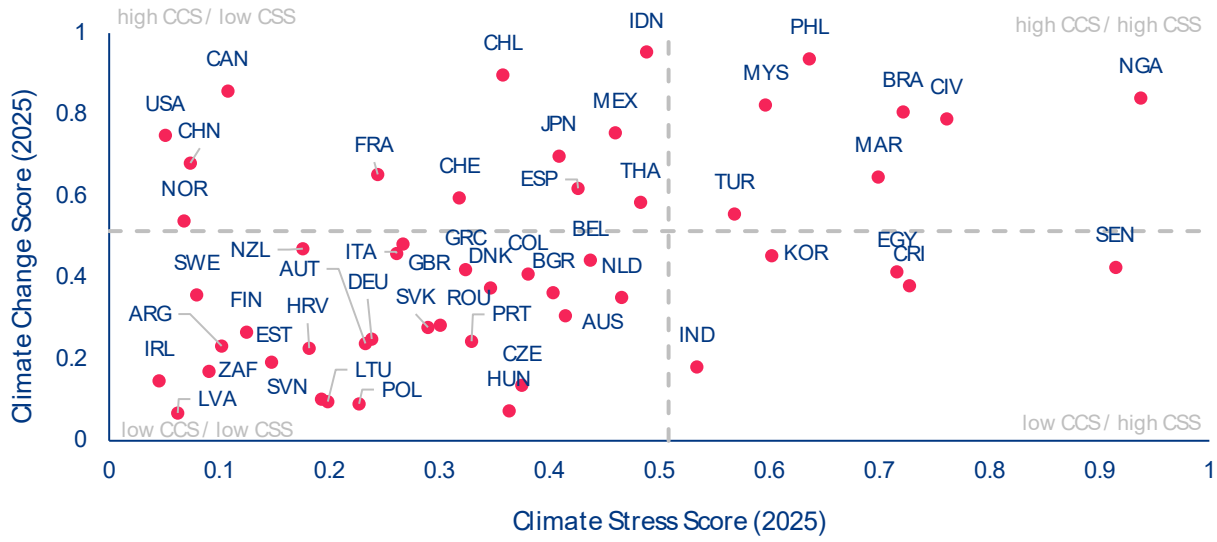
The upper-right quadrant identifies countries where strong historical change coincides with high current stress. Nigeria records the highest CSS among the countries assessed, at 0.94, together with a CCS of 0.84. The Philippines shows the reverse configuration: its CCS reaches 0.94, while its CSS remains high at 0.64. Malaysia, Brazil, Côte d'Ivoire, Morocco and Turkey also fall within this quadrant. These countries face the most immediate combination of risks because present conditions are already severe and continue to diverge substantially from their historical climate.

The other two upper quadrants show why the indicators should be interpreted jointly. Indonesia records the highest CCS in the sample, at 0.95, but its CSS remains just below the 0.5 threshold. Canada, Chile, the United States, Mexico, Japan, France and China follow a similar pattern. Their 2025 climate conditions represent a marked departure from the historical baseline, even where the absolute level of climate stress remains comparatively contained. Risk assessments based only on current severity would understate the speed of change in these countries. Senegal, Egypt, Costa Rica, South Korea and India show the opposite configuration. Their CSS exceeds 0.5 despite a lower CCS. In India, for example, the CSS reaches 0.53 while the CCS is only 0.18. This indicates substantial current stress that is less unusual relative to the country's own historical conditions. A low change score therefore does not imply low exposure; it may instead reflect a climate that was already structurally hot, dry or precipitation-intensive.

Most European countries lie in the lower-left quadrant, including Germany, Austria, Poland, Portugal and the Nordic and Baltic economies. Their 2025 scores remain below 0.5 on both dimensions. This should be interpreted as lower relative risk within the framework, rather than an absence of climate risk. The figure captures conditions in a single year, and countries close to either threshold may shift quadrants as heat, drought and precipitation conditions evolve.

[8] Trends in continental temperature and humidity directly linked to ocean warming | PNAS
[9] El Niño/La Niña Update (November 2025)

Figure 5: Country-level climate risk in 2025



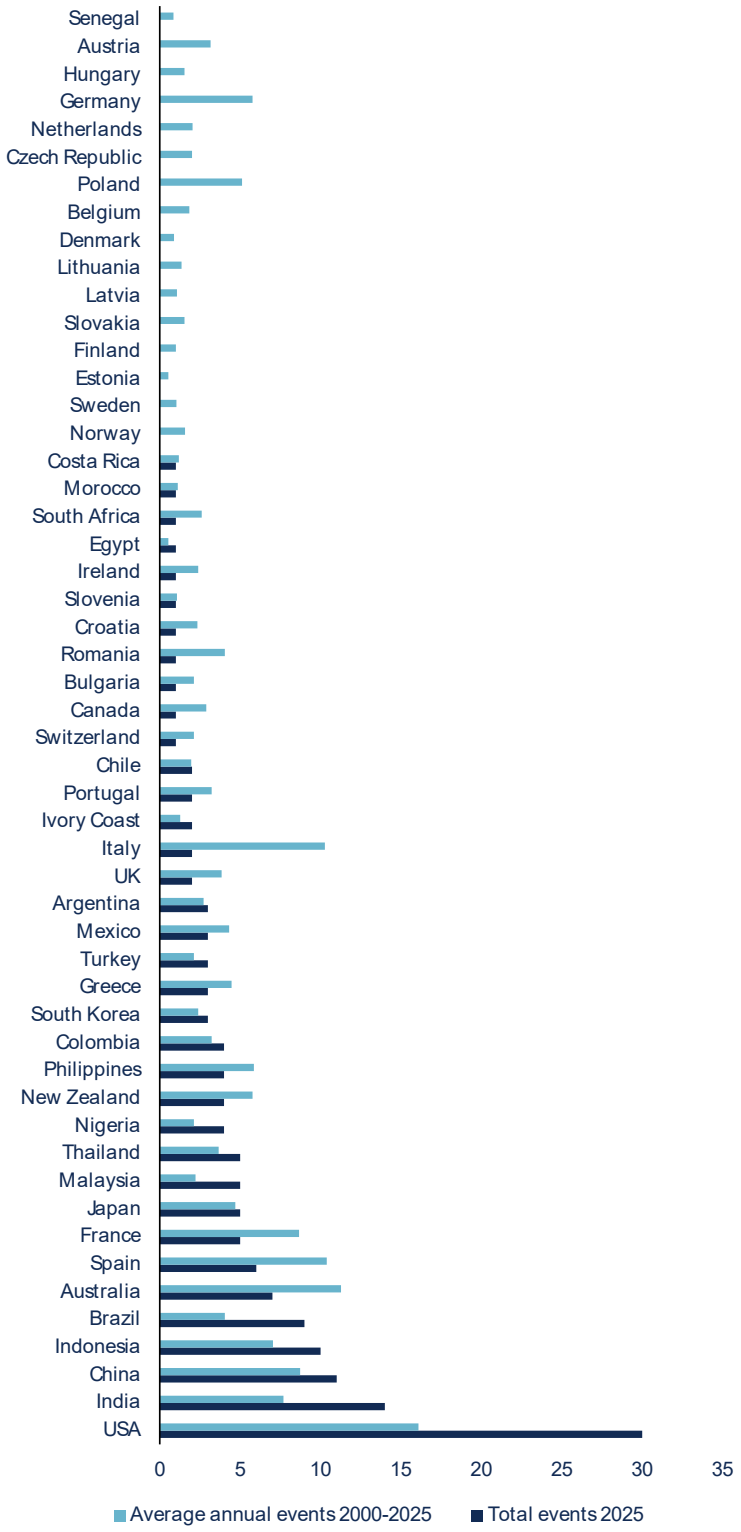
Sources: ClimRad, Allianz Research

Recorded extreme-weather activity in 2025 was concentrated in a relatively small group of countries (Figure 6, see Appendix A3 for the full list of countries)[10]. The United States stands apart, with 30 recorded events compared with an annual average of around 18 since 2000. India follows with 14 events, against a historical average of 10, while China records 11 compared with nine and Indonesia 10 compared with seven. The increase is also notable in Brazil, where nine events were recorded against an average of four, and Malaysia, with five against two. These figures show that 2025 was unusually active in several large and highly exposed economies, although the difference from the historical average varies considerably across countries.

The country totals also conceal very different combinations of hazards. In the United States, the 2025 count is dominated by storms, which account for 21 of the 30 events, alongside five floods, three wildfires and one drought. India's 14 events comprise seven storms, five floods and two landslides. Flooding is the main driver in Indonesia, accounting for seven of its 10 events, while China records a more even combination of storms, floods and landslides. Brazil's total includes storms, floods, a wildfire and a landslide.

High event activity was not universal. Australia records seven events in 2025, below its historical annual average of around 11. Spain records six compared with an average of 10, France five compared with nine and Italy two compared with 10. No qualifying event is recorded for Germany or Poland in 2025, despite historical averages of approximately six and five events a year, respectively. These differences reflect the strong year-to-year variability of extreme weather and should not be interpreted as evidence that the underlying hazards have diminished.

Figure 6: Extreme weather event occurrence per country in 2025



Sources: ClimRad, Earthian, Allianz Research

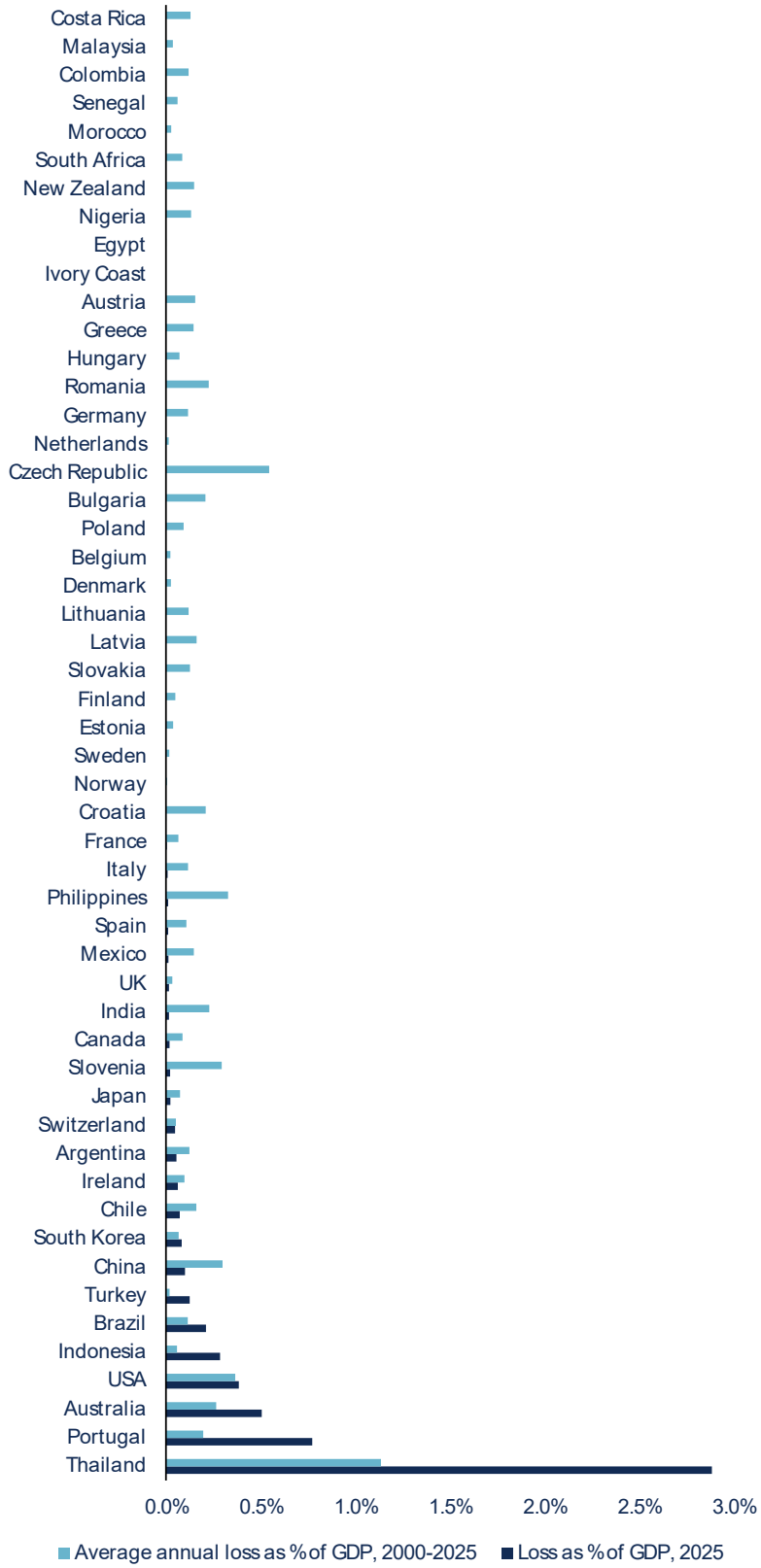
Economic losses in 2025 were highly concentrated, but their national significance depends on the size of the affected economy (Figure 7). Thailand records the largest relative burden among the 52 countries, with reported losses of USD16.7bn, equivalent to 2.9% of GDP. This is well above its average annual loss of 1.1% of GDP over 2000–2025. Most of the 2025 total comes from the November 2025 floods, estimated at USD15.7bn, with a further USD950mn associated with Typhoon Bualoi. The concentration of losses in a small number of events shows how one severe episode can dominate a country's annual result.

Portugal ranks second relative to GDP. Its reported wildfire losses of USD2.7bn represent 0.8% of economic output, four times the historical annual average of 0.2%. Australia follows at 0.5% of GDP, compared with an average of 0.3%. Its USD9.3bn total is largely associated with Ex-Tropical Cyclone Alfred and another major storm later in the year. In each of these countries, the 2025 burden was therefore unusually high because a few events generated losses that were large relative to the domestic economy.

The ranking changes considerably when losses are considered in absolute terms. The United States records by far the largest monetary loss, at approximately USD118.5bn. Nearly half of this amount is associated with the Los Angeles County wildfires, while severe convective storms, floods and drought account for much of the remainder. Yet the total corresponds to around 0.4% of US GDP, broadly in line with the country's historical average. China provides another example: reported losses reach USD19.8bn, but amount to only 0.1% of GDP, below its historical average of 0.3%. Large economies can consequently absorb very substantial monetary losses without appearing at the top of a GDP-normalized ranking.

Indonesia and Brazil occupy an intermediate position. Indonesia records losses of USD4.1bn, equivalent to 0.3% of GDP, compared with a historical average of 0.1%. Brazil's USD4.8bn loss represents 0.2% of GDP, also above its long-term average of 0.1%. These cases underline the value of presenting both measures: absolute losses indicate the financial scale of an event, while the loss-to-GDP ratio provides a first indication of its weight relative to national economic capacity.

Figure 7: Extreme weather event associated economic loss to GDP per country in 2025



Sources: ClimRad, Earthian, Allianz Research



2026 climate event deep dive: Europe's summer heatwaves

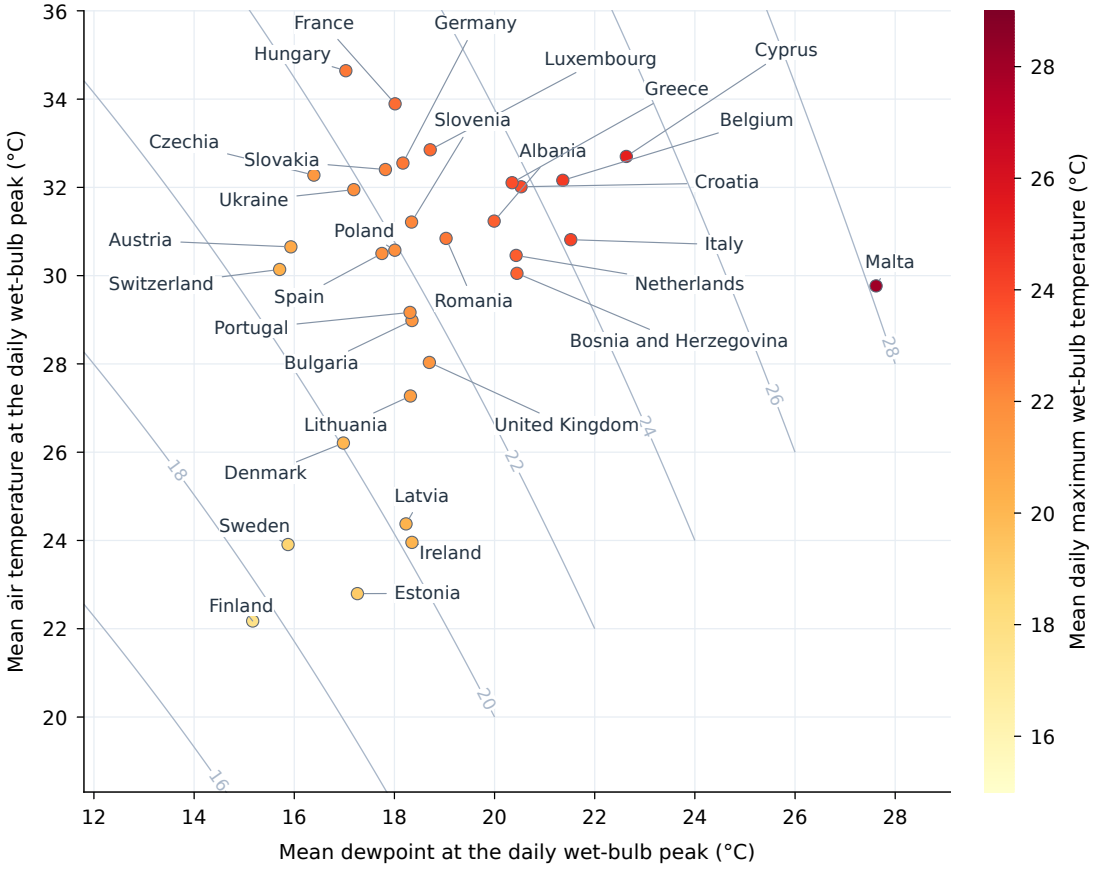
Europe's heatwaves extended across the summer, with the most intense exposure occurring at different times across countries. France, Germany and Belgium recorded their highest five-day heat exposure in late June, followed by Italy and Greece in July, and Spain, Portugal and Cyprus in August. These differences shape the assessment of economic losses, which uses each country's most intense five-day period between June and August 2026.

Humidity plays an important role in the severity of heat exposure (Figure 8). It limits the body's ability to cool, so the highest air temperatures do not always coincide with the greatest heat stress. We capture this combined effect using wet-bulb temperature, calculated from hourly ERA5 weather data. National averages give greater weight to more populated areas, bringing the assessment closer to the conditions people experience. For each country, temperature and dewpoint during the five-day period with the highest average daily peak in heat stress provide the inputs to calculate the annual output-loss estimates (Appendix A4).

The summer's peak heat exposure is associated with an estimated EUR113bn in annual GDP losses across the 30 countries assessed, equivalent to around 0.46% of their combined projected GDP in 2026 (Figure 9). The estimates use each country's most intense five-day period between June and August 2026 to calculate the heat-related reduction in annual GDP growth, expressed in percentage points (Appendices A4 and A5). For each country, we first construct a reference GDP projection for 2026 by applying the projected annual real GDP growth rate to its 2025 GDP. We then reduce that growth rate by the estimated heat-related growth loss, expressed in percentage points, and recalculate the 2026 GDP level. The difference between these two projections gives the estimated annual output loss associated with the observed heat exposure. Monetary losses are expressed in euros, holding prices and exchange rates constant between the two projections.

Italy, Germany and France account for almost two-thirds of the estimated monetary loss. Italy records the largest burden at EUR27.8bn, followed by Germany at EUR25.0bn and France at EUR20.1bn. Adding Belgium at EUR9.4bn and the Netherlands at EUR9.2bn brings the share of these five economies to 81% of the total. Economic size explains much of this concentration, but the intensity of the estimated growth shock also matters. Italy's loss exceeds Germany's despite its substantially smaller economy, as its growth impact reaches 1.19pp against 0.54pp in Germany.

Figure 8: Population-weighted peak heat exposure in Europe, June–August 2026



Sources: ERA5, Allianz Research

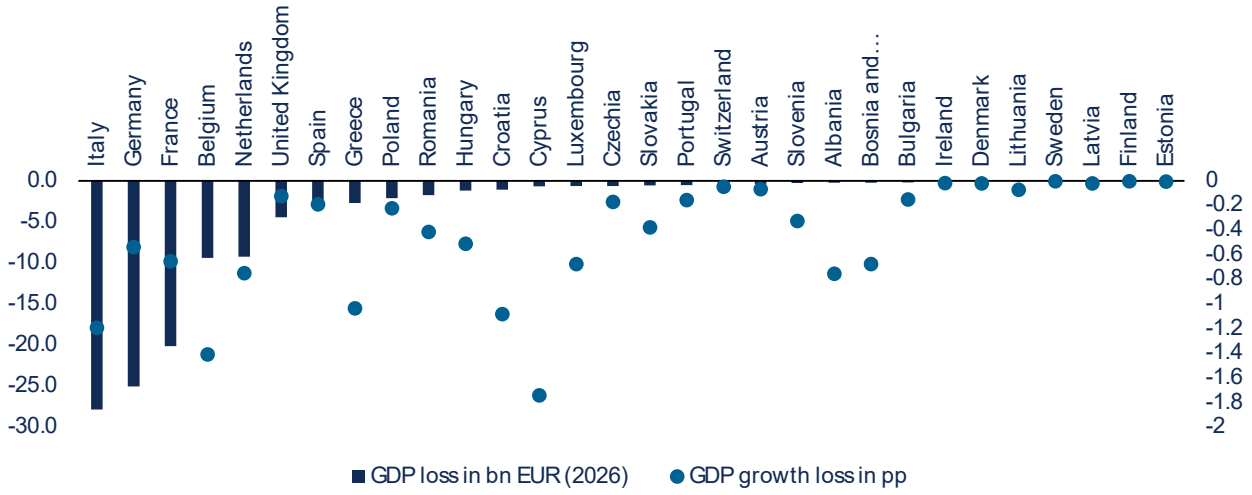
The largest proportional burdens fall on a different group of countries. Cyprus has the strongest estimated growth impact at 1.74pp, followed by Belgium at 1.41pp, Italy at 1.19pp, Croatia at 1.08pp and Greece at 1.03pp. For Cyprus, this translates into approximately EUR0.7bn, or 1.7% of projected annual GDP. Germany's much larger monetary loss corresponds to around 0.53% of GDP.

The results also show why air temperature alone is not sufficient metric to economic heat exposure. During Italy's selected period, the population-weighted air temperature averages 30.8°C and the dewpoint 21.5°C. Hungary is considerably hotter at 34.6°C, but its dewpoint is lower at 17.0°C. Their corresponding mean daily maximum wet-bulb temperatures are 24.1°C and 22.6°C, respectively, and the model estimates a larger growth loss for Italy: 1.19pp against 0.51pp in Hungary. Humidity helps explain why some countries with less striking air temperatures nevertheless face substantial heat stress. This interpretation is consistent with firm-level evidence across 23 advanced economies: Costa et al. (2024) find that high humidity and longer heatwaves amplify the adverse effects of heat on labor productivity[11].

Heat can reduce output without causing visible damage to buildings or equipment. Workers may work more slowly, require longer breaks or miss work altogether. Evidence from Indian manufacturing links hot conditions to both lower worker productivity and increased absenteeism, while finding that climate control mitigates productivity losses. These findings help explain how heat exposure can translate into lost production, although they do not establish the size of the European losses estimated here. The national results also conceal differences between workplaces: population weighting brings the calibration closer to where people experience heat, but does not directly measure occupational exposure, access to cooling or firms' capacity to reorganize work[12].

[11] The heat is on: Heat stress, productivity and adaptation among firms | OECD
[12] The Impact of Temperature on Productivity and Labor Supply: Evidence from Indian Manufacturing | Journal of Political Economy: Vol 129, No 6

Figur 9: Estimated real GDP cost for the 2026 European heatwave



Source: ClimRad, Allianz Research



The 2027 climate outlook

2027 is likely to be another year of exceptional global heat and has a credible chance of becoming the warmest year on record. The WMO projects annual global mean near-surface temperatures at between 1.3°C and 1.9°C above the 1850–1900 average during 2026–2030[13]. It estimates an 86% probability that at least one of these years will surpass 2024 as the warmest recorded, a 91% probability of another annual exceedance of 1.5°C and a 75% probability that the five-year mean will exceed that level. No final ranking can yet be assigned to 2026, and the WMO does not provide a separate probability for 2027. However, its lead author specifically identifies 2027 as a potential record year because El Niño is expected to peak towards the end of 2026. A June 2026 research places annual global surface air temperature (GSAT) close to 1.7°C in 2027[14].

El Niño will add a temporary boost to temperatures in 2027, rather than explain the underlying warming trend. The forecast strengthened markedly during 2026. The WMO's May outlook indicated a tendency towards El Niño, particularly in 2027 and 2028; by September, the event was firmly established and considered almost certain to persist through February 2027. This was the first time a WMO El Niño/La Niña Update had been so unequivocal about the persistence of an event. The Niño 3.4 anomaly averaged 1.5°C during May–July and had risen to between 2.2°C and 2.6°C by mid-August, while subsurface anomalies exceeded 8°C in places. The WMO projects a Niño 3.4 anomaly of around 3.6 ± 0.4°C for September–November, followed by a peak towards the end of 2026[15]. Since the global temperature response can extend beyond the peak in Pacific warming, part of the additional effect is likely to carry into 2027[16] [17].

The weather outlook combines a widespread heat signal with much less uniform rainfall risks. The latest WMO seasonal forecast favors above-normal temperatures across almost all land areas entering 2027, including strong signals over most of Australia, southern Africa and large parts of South America. Rainfall patterns are more divided. Drier conditions are favored over the Indian subcontinent, southern Central America and the Caribbean, and northwestern and northern coastal South America; wetter conditions are favored across parts of North America, the Greater Horn of Africa and southeastern South America. The rainfall signal over Australia remains weak. These forecasts describe the conditions leading into 2027, not the whole year. Moreover, the strength of El Niño does not determine the severity of impacts in each country, which will also depend on the timing of the event and on conditions in the Indian and Atlantic Oceans.

[13] Global Annual to Decadal Climate Update 2026-2035
[14] Getting even hotter: Researchers predict global warming of 1.7 degrees by 2027 - University of Graz
[15] Global Seasonal Climate Update for September-October-November 2026
[16] Evolution of El Niño–Southern Oscillation and global atmospheric surface temperatures - Trenberth - 2002 - Journal of Geophysical Research: Atmospheres - Wiley Online Library
[17] El Niño set to become very strong, raising risks of extreme weather into 2027

A record-hot 2027 would represent another annual exceedance of 1.5°C, but would not by itself establish a breach of the Paris temperature goal. Applying their published extrapolation method, Kirchengast and Pichler (2025)[18] place the 20-year warming level centered on 2024 at 1.39 [1.29–1.49]°C GSAT. The June 2026 research extends this estimate to 1.55 ± 0.10°C GSAT for the center year 2027. Both figures are observation-constrained and projection-assisted, with projections accounting for a larger part of the 2027 window. Dividing the latter estimate by the authors' 1.06 GMST-to-GSAT factor gives approximately 1.46°C in global mean surface temperature. This is broadly consistent with Foster and Rahmstorf's (2026)[19] finding that, if the recent GMST trend continues, the long-term 1.5°C level will be reached before 2030. El Niño may therefore determine whether 2027 sets a new annual record; emissions will determine whether warming subsequently settles above the Paris threshold.

El Niño is likely to have small to moderate economic effects in 2027, but their direction and scale vary markedly across countries (Figure 10a). Most economies experience lower output as higher temperatures weigh on productivity and activity. A smaller group sees relatively cooler conditions than in the baseline, modestly supporting growth. This is compatible with an exceptionally warm year globally: the temperature response to El Niño is geographically uneven, and individual countries can move in opposite directions around the rising global trend.

The estimates use the 2023–2024 super El Niño to calibrate the country-level temperature response. For each country, we use the change in temperature recorded during that episode to construct the corresponding 2027 shock. This is then translated into effects on GDP growth, headline inflation and food inflation. The economic baseline combines 2026 real GDP with 2027 growth assumptions from the IMF World Economic Outlook, supplemented by World Bank forecasts where necessary. Monetary effects are expressed in constant 2021 PPP-adjusted USD. The exercise should be interpreted as a temperature-channel scenario rather than a precise country forecast, since rainfall, crop losses and physical damage could alter the eventual outcome. Figure 10a presents a selection of countries, while Appendix A6 reports the full results.

The global monetary cost is driven as much by the size of the affected economies as by the severity of their individual shocks. Among the 144 countries with complete GDP data, 109 record lower output, 34 record gains and one is broadly unchanged. Gross losses reach an estimated USD488bn, partly offset by USD37bn of gains, leaving a net reduction of around USD451bn, or 0.24% of their combined projected GDP in 2027. China records the largest monetary loss, at USD147bn, with GDP 0.38% below baseline. It is followed by the US at USD91bn, or 0.33%, and India at USD50bn, or 0.30%. Together, these three economies account for almost 60% of the gross loss. The proportional effects are larger in South Korea and Indonesia, at 0.51% and 0.41% of baseline GDP, respectively, although their monetary losses are lower at USD15bn and USD19bn. France, Argentina, Nigeria and the UK are among the larger economies on the other side of the distribution, with estimated gains ranging from USD2bn to USD7bn.

The EU-27 aggregate conceals a marked divide between countries. Output falls below baseline in 21 member states, generating gross losses of USD37.3bn. Gains of USD13.3bn in the other six reduce the net EU-27 cost to around USD24bn, equivalent to 0.09% of projected GDP. Italy, Poland and Germany record the largest monetary losses, at approximately USD7.0bn, USD6.7bn and USD6.3bn, respectively. Greece experiences the largest proportional decline among the EU countries shown, at 0.55%, but its smaller economy limits the monetary loss to USD2.3bn. France provides the largest offset, with a gain of USD7.3bn, followed by Spain at USD2.7bn and Ireland at USD2.4bn. The relatively small EU-wide effect therefore reflects offsetting national outcomes rather than a uniformly limited exposure.

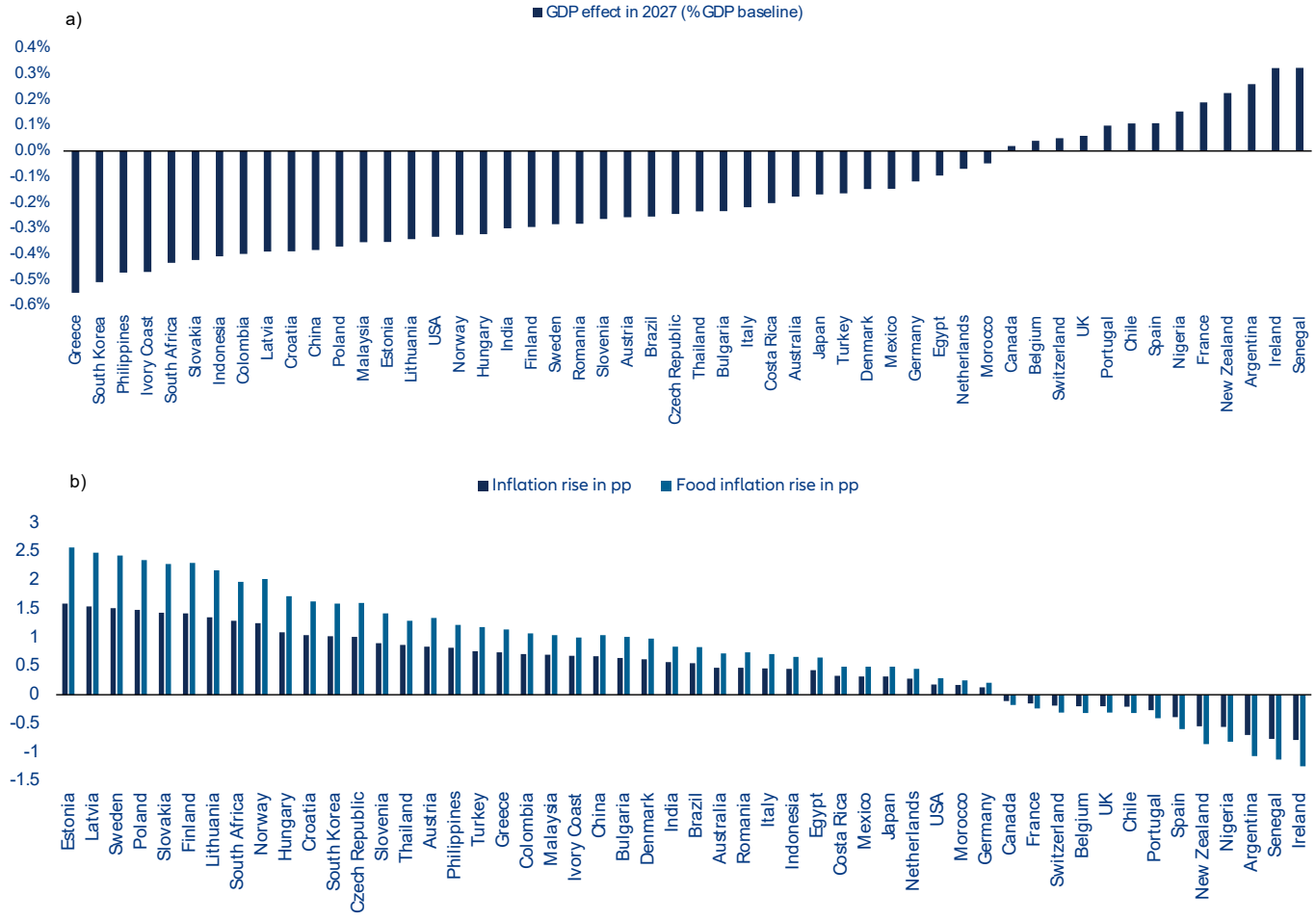
The inflationary effects are broader than the output effects and are generally stronger for food prices (Figure 10b). Across the countries with complete GDP data, a PPP-GDP-weighted summary points to an increase of 0.42pp in headline inflation and 0.65pp in food inflation. The corresponding EU-27 effects are 0.31pp and 0.50pp. The largest increases are concentrated in Northern and Eastern Europe. Headline inflation rises by around 1.5pp in Estonia, Latvia, Sweden and Poland, while food inflation increases by between 2.35pp and 2.57pp. Among the

[18] A traceable global warming record and clarity for the 1.5 °C and well-below-2 °C goals | Communications Earth & Environment
[19] Global Warming Has Accelerated Significantly - Foster - 2026 - Geophysical Research Letters - Wiley Online Library

major economies, South Korea records increases of 1.02pp in headline inflation and 1.59pp in food inflation. The corresponding effects reach 0.67pp and 1.04pp in China, 0.57pp and 0.84pp in India and 0.18pp and 0.29pp in the US. Countries receiving a more favorable temperature impulse generally move in the opposite direction: inflation declines in Ireland, Argentina, Spain, France and the UK. The stronger response of food prices means that the household effect could be more visible than the relatively moderate GDP percentages suggest, particularly in economies where food represents a large share of consumption.

These results should be read as a sensitivity analysis, not as a forecast of the realized economic effects of the 2026–2027 El Niño. The exercise assumes that country-level temperature responses broadly resemble those observed during the 2023–2024 episode. This pattern could change with the strength, timing and geographical center of the event, as well as its interaction with the Indian Ocean Dipole, Atlantic sea-surface temperatures and regional atmospheric and soil-moisture conditions. The estimates pass the resulting temperature shocks through temperature-driven damage functions and therefore do not capture additional losses from discrete extreme events. These could include severe heatwave in southern and western Europe, flooding and landslides in Peru and Ecuador, drought and agricultural losses in Indonesia and southern Africa, wildfire conditions across parts of Southeast Asia, or changes in tropical-cyclone activity in the central and eastern Pacific. If such events materialize, the eventual economic cost could be substantially higher than the temperature-based estimates reported here.

Figur 10: Estimated GDP and inflation effects of El Niño in 2027



Source: ClimRad, Allianz Research



Adaptation responses to major climate events in 2025–2026

Recent climate events provide a practical test of how countries are adapting to rising physical risks. This section examines major weather and climate events recorded in 2025 and 2026 across Europe, Latin and Central America, North America, Asia-Pacific, Sub-Saharan Africa, and the Middle East and North Africa. Events were first screened for record or near-record severity in at least one material dimension, including hazard intensity, area affected, human consequences, economic or insured losses, and disruption to critical infrastructure. The final selection captures distinct regional patterns while limiting overlap between events with similar risk profiles.

For each event, we examine how the affected countries responded and whether the experience led to broader adaptation measures. The comparison covers the main adaptation priorities, measures already implemented or announced, and the funding committed or still required. It also distinguishes immediate emergency and recovery actions from longer-term efforts to reduce exposure and vulnerability. The aim is to identify where recent shocks have accelerated preparedness and investment, and where adaptation remains fragmented, reactive or insufficiently funded.

Europe

Europe is experiencing rapidly changing climate conditions, making previously rare extremes increasingly common. Preparedness, however, varies across countries and hazards. The events of 2025–2026 illustrate this shift across several hazards: extreme heat has become a recurrent threat across much of the continent, while persistent drought and water scarcity have affected both southern Europe and major river basins further north (Table 1). Wildfire activity reached unprecedented levels in the EU in 2025 and remained a major concern in the Mediterranean in 2026. Severe storms and flooding also continued to cause substantial impacts, particularly across southern and western Europe. The scale of these events is prompting new adaptation measures, including stronger EU wildfire preparedness, expanded heat health planning and new water resilience measures. Together, these developments highlight the need to strengthen adaptation not only where hazards are already well established, but also in regions where changing conditions are creating new or more frequent risks.

Table 1: Europe adaptation responses to major climate events, 2025–2026

Events	Countries affected	Key adaptation strategies	Measures implemented / planned	Budget needed / budget available
Heatwaves **2026: ≥35,000 excess deaths (Germany ~14,000, its worst on record)** **2025: ~16,500 climate-attributed deaths**	Widespread across Europe	Heat-health action plans (early warning, at-risk registries, health-system readiness); urban cooling & greening (street trees, reflective/green roofs); passive cooling & building/hospital retrofits.	WHO/Europe 2nd-edition Heat-Health Action Plan (8-element framework); HHAPs cut heat deaths ~25% where in place but <50% of WHO-Europe states have a national, mostly reactive plan[1]; building renovation/ cooling funded via EU renovation programmes; no EU-wide heat law.	~EUR100bn EU building renovation (not heat-specific); no dedicated EU heat budget line; cost of heat-proofing (cooling, retrofits, greening) largely not yet estimated.
Wildfires **2025: worst EU year on record (~1.08m ha)** **2026: France, Spain & Belgium set national / single-fire records**	Spain, Portugal, France, Greece, Italy, Cyprus; plus Belgium & UK / Scotland in 2026.	Fuel reduction & sustainable land/ forest management; fire-resilient landscapes & ecosystem restoration; early-warning & risk-monitoring systems; shared aerial & ground firefighting capacity; community preparedness.	EFFIS (forest-fire information & early-warning system; the EU Integrated Wildfire Risk Management Strategy, funded through the CAP; Civil Protection Mechanism, including rescEU : 777 firefighters, 22 aircraft and 5 helicopters prepositioned for 2026., plus a new regional hub and a permanent EU fleet from 2028.[2]	~EUR170m rescEU reinforcement plus CAP & cohesion funds (not fire-specific); no dedicated EU prevention fund. ~80% of EU wildfire funding goes to response, only ~20% to prevention.[3]
Drought **2025–26: widespread & persistent** **Summer 2026: ~50% of EU+UK land in drought; Loire, Po, Rhine & Danube at record lows**	Mediterranean hotspots (Spain, Portugal, France, Italy); major river basins across Central & Western Europe.	Water Efficiency First'; water reuse & efficiency; nature-based retention (soil & 'green water' storage); national drought-management plans; AI-based monitoring & early warning.	European Water Resilience Strategy sets 30+ actions and a 10% water-efficiency target by 2030, backed by a Water Resilience Forum[4]; national drought-management guidance is being issued to Member States, and the water sector is now covered by EU resilience rules.	EUR15bn EIB water-resilience facility (2025–27)[5]; calls for a dedicated, ring-fenced EU water fund are ongoing.
Storms (windstorms&severe convective storms / hail) **Kristin & Iberian cluster (2026): EUR7.2bn economic loss** **Eowyn (2025): Ireland record loss** **SCS / hail (2025): top European insured-loss driver**	Windstorms: Portugal, Spain, France, Italy, Ireland, UK, Malta, Greece, the Balkans. Hail / SCS: France, Austria, Germany, northern Italy.	Resilient & hail-resistant building codes; power-grid hardening; better exposure data; parametric & public-private insurance; closing the insurance protection gap.	Response runs through the EU Civil Protection Mechanism and the EU Solidarity Fund; on prevention, the ECB and EIOPA have proposed an EU-level scheme (reinsurance plus a public disaster fund) to narrow the protection gap, since only ~25% of EU NatCat losses are insured.[6]	No ring-fenced EU storm-protection budget; response relies on national reconstruction funds, the EU Solidarity Fund and private insurance. Core issue: the protection gap (Kristin >80% uninsured).
Floods **2025: modest EU insured losses** **2026: main driver of Iberian-cluster damage**	Southern & Western Europe (Iberia flash / pluvial); riverine basins across Central Europe.	Floodplain restoration & 'sponge cities'; upgraded flood defences; risk-based land-use planning; expanded or mandatory flood cover.	Covered by the EU Floods Directive and national insurance schemes, moving toward mandatory business cover; flood defences already cut losses substantially, but Southern-Europe investment is patchy and most exposure uninsured.	No dedicated EU flood-protection budget; funding via national schemes and the EU Solidarity Fund[7]; most flood-prone losses in Southern Europe remain uninsured.

Source: Allianz Research

Adaptation priorities differ across Europe, reflecting differences in exposure, vulnerability and existing preparedness. Europe has substantial capacity for emergency response, early warning and post-disaster support, but adaptation remains uneven and greater emphasis is needed on preventing and reducing risks before events occur. This is particularly important as hazards increasingly affect countries and regions with less experience of them: heat resilience needs to be integrated into building renovation, urban planning and health systems, while flood risk needs to be addressed through both infrastructure and more risk-sensitive spatial planning. In southern and increasingly water-stressed parts of Europe, improving water efficiency, reuse and natural water retention will be central to managing drought risk. Meanwhile, in wildfire-prone areas, prevention through landscape management and community preparedness needs to complement growing firefighting capacity. A further European challenge is the significant gap between rising climate-related losses and available financial protection. Closing this insurance protection gap, alongside more systematic risk-informed planning and investment in prevention, will be important to reduce the growing costs of climate impacts.

Asia Pacific

Asia Pacific shows clear differences in adaptation maturity, with countries varying in how far they have moved from emergency response towards established prevention systems (Table 2). Australia presents the most developed framework: bushfire prediction, building standards, community resilience and dedicated funding are already embedded in national and local institutions, although implementation still varies by region. Japan also has strong emergency capacity, as shown by the extensive response to the Ofunato wildfire, but the balance remains tilted towards firefighting, evacuation and recovery rather than reducing forest-fire risk in advance. China occupies an intermediate position. Its response to Typhoon Ragasa combined forecasting technology, regional data sharing and rapid infrastructure restoration with clearly identified emergency funding. Cooperation around the Nepal–China floods also improved early warning, but lacked a dedicated adaptation budget. Indonesia has expanded hotspot monitoring, weather modification and local coordination, yet persistent land-management problems and the absence of a separate wildfire budget limit the shift from suppression to prevention. India ranks lower in terms of institutional consolidation: heat adaptation draws on building projects, welfare measures and climate-finance platforms, but delivery remains dispersed across schemes and jurisdictions. The regional pattern suggests that repeated exposure can strengthen operational capacity, while long-term adaptation advances more slowly when responsibilities and budgets are divided among several levels of government.

Table 2: Asia-Pacific adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Ōfunato Wildfire (2025)	Japan	Wildfire prevention and warning systems; forest and fuel management; firebreak and forest-road development; stronger firefighting capacity; wildfire-resilient communities[8]	Extensive firefighting, evacuation support and temporary housing; forest restoration was also provided. Current measures remain more focused on response and recovery than on long-term prevention[9]	Information not available
Australia Bushfires (2025/26)	Australia	Extended landscape and fuel management; stronger community preparedness and evacuation planning; wider use of fire-resilient building standards; stronger bushfire intelligence and early warning[10]	Extensive fire-prediction and early-warning systems; satellite hotspot monitoring and spread modelling; national bushfire building standards; community-resilience frameworks; continued investment in bushfire intelligence and preparedness. Overall, Australia has a relatively mature adaptation framework, although implementation and coverage vary across regions[11]	AUD 17.1mn for the Bushfire Community Recovery and Resilience Program in 2025-26; AUD 7.0mn over 2025-27 for the National Bushfire Intelligence Capability[12]
Indonesia Wildfires (2026)	Indonesia	Peatland and forest-fire prevention; hotspot monitoring and early warning, sustainable land and water management; stronger enforcement against fire-based land clearing; local preparedness in high-risk areas[13]	Hotspot monitoring; weather-modification operations; helicopter and aircraft deployment; water bombing; stronger central-local coordination. Measures in 2026 remain heavily focused on rapid suppression, while longer-term prevention and land-management challenges persist.[14]	No dedicated national wildfire budget exists — part of BNPB's overall disaster budget, which is planned to increase[15]
India extreme heat (2025, 2026)	India	Passive cooling and heat-resilient building design; enforceable worker protections; long-term heat action planning; climate-resilient health systems; better-calibrated insurance and finance tools[16]	Demo building projects; worker welfare levies and insurance pilots; health facility guidelines; farmer forecast alerts; early-stage national climate finance platform. Implementation remains fragmented and mostly small-scale or non-mandatory[17]	No dedicated national heat budget exists; ~INR 91,138 crore identified as 'directly relevant' across 27 schemes in the 2026-27 budget proposal[18]
Typhoon Ragasa (2025)	Cambodia, China, Laos, Philippines, Vietnam	Climate-resilient critical infrastructure; stronger coastal and urban flood protection; impact-based multi-hazard early warning[19]; regional data sharing and contingency planning[20]	Advanced forecasting and early-warning systems; large-scale evacuation and disaster management; regional data sharing; use of AI for cyclone monitoring, forecasting and impact assessment. Early-warning systems are relatively mature[21]	China allocated CNY 150m for disaster relief and CNY 200m for emergency infrastructure restoration[22]; Information not available for other countries
Nepal-China border flood (2026)	China, Nepal	Glacier and slope monitoring; cross-border data sharing; early-warning systems; climate-resilient transport and hydropower infrastructure[23]	Nepal plans to rebuild and expand its border early-warning system using seismic sensors, cameras and satellite connectivity; stronger real-time data sharing with China is being pursued[24]	USD 4-5 bn[25] estimated reconstruction needs; no dedicated adaptation budget identified
Pakistan monsoon floods (2025)	Pakistan	End-to-end flood early warning; comprehensive flood-risk assessment and mapping; risk-informed land-use planning; pre-positioned emergency equipment and shelters[26]	Multi-tier early-warning systems; national monsoon contingency planning[27]; large-scale preventive evacuation; anticipatory cash assistance and strengthened contingency planning. Preparedness has improved, but translating early warnings into timely action remains a priority[28]	Pakistan: 1% of FY2025/26 federal budget for disaster expenditure[29]; USD 5m UN[30] + USD 3m ADB[31] for 2025 flood response

Source: Allianz Research

Central and South America

Across Central and South America, adaptation capacity is shaped less by the volume of resources mobilized than their timing, continuity and purpose (Table 3). Honduras and Chile represent the strongest approaches, although through different models: Honduras links funding to forecasts so that action can begin before impacts materialize, while Chile relies on institutional capacity accumulated through sustained investment in prevention and emergency response. Mexico and Peru occupy an intermediate position. Both can mobilize substantial resources, but the boundary between adaptation, disaster recovery and broader public spending remains blurred, limiting confidence that current expenditure will reduce future losses. Bolivia and Argentina appear more constrained for different reasons: Bolivia's response remains centered on relief and dependent on the completion of financing approvals, whereas Argentina's emergency mobilization coexists with a weakening of permanent wildfire-management capacity. The comparison therefore exposes a central regional fault line. Governments may respond forcefully once a disaster occurs without necessarily building resilience between events. Stronger adaptation requires more than larger emergency packages: it depends on protected multi-year budgets, clearly identified adaptation spending, pre-agreed financing triggers and institutions capable of preserving expertise and preparedness from one season to the next.

Table 3: Central and South American adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Central and eastern Mexico floods (2025)[32]	Mexico	Flood early warning and river monitoring; resilient housing, roads, health facilities and schools; emergency communications; protection of vulnerable communities.	Recovery-led The DN-III and Plan Marina systems supported rescue, relief and service restoration. A federal plan added support for households, businesses and agriculture, alongside reconstruction of homes and public infrastructure. Longer-term drainage, land-use and river-basin measures remain less clearly specified.	Federal relief, recovery and reconstruction package MXN10bn (approximately USD543m at MXN18.40 per USD on 22 October 2025). The published total does not identify a dedicated adaptation share.
Bolivia floods (2025)[33]	Bolivia	Multi-hazard and river early warning; climate-resilient water and sanitation; stronger housing and transport links; social protection for remote rural and Indigenous communities.	Relief-oriented A national emergency accelerated procurement and resource deployment, supported by military logistics. Humanitarian assistance in Beni included water filters, storage and hygiene support for vulnerable families. No clearly documented new national prevention programme followed.	Sovereign disaster-response loan USD75m from CAF. The Senate had approved the loan before the 26 March emergency declaration, but full congressional approval remained outstanding. No dedicated adaptation allocation was identified.
Honduras flood season (2025)[34]	Honduras	Forecast-based early action; community warning and evacuation; water, sanitation and hygiene; cash and livelihood protection; stronger local preparedness.	Anticipatory A forecast-triggered protocol linked warnings to early measures and assistance for 10,000 people. EU support complemented national and Red Cross flood-response efforts. This is the clearest case of finance being released before impacts fully materialised.	Anticipatory trigger fund and emergency grant CHF917,330 (approximately USD1.15m) from IFRC-DREF, plus EUR150,000 (approximately USD0.18m) in EU support. These funded separate responses during the 2025 flood season, not one pooled package.
Chile wildfire season (2025–2026)[35]	Chile	Wildfire prevention and mitigation; larger brigade and aerial capacity; technology-enabled monitoring; fuel and vegetation management; community preparedness and resilient recovery.	Institutionalised prevention and response The government launched its plan before the season, adding brigades and technology. Emergency declarations, evacuation and international expert support followed the January 2026 fires in Biobío and Ñuble. The architecture reflects capacity accumulated over several seasons rather than a post-event reaction.	Annual wildfire operating budget CLP160.803bn (approximately USD166m). This is 113% above 2021–2022, not the previous season, and only around 3% above CLP156bn in 2024–2025 in nominal terms.
Patagonia wildfire season (2025–2026)[36]	Argentina	Prevention and early warning; fuel and firebreak management; firefighter and aerial capacity; native-forest protection; community preparedness.	Reactive and capacity-constrained An emergency covered Chubut, Río Negro, Neuquén and La Pampa, with national and provincial firefighters, aircraft, the military and community brigades deployed. Operational mobilisation was substantial, but prevention capacity remained constrained.	Emergency firefighting allocation Approximately USD69m. FARN estimates the National Fire Management Service's 2026 budget was cut by 71% in real terms from 2025, following an 80% cut in 2024. The National Park Administration reportedly retained 391 firefighters after losing around 10% of staff.
Peru floods (February 2026)[37]	Peru	Emergency repairs to roads, bridges, water and electricity; flood warning; resilient reconstruction; protection of exposed communities.	Post-event emergency response The February declaration enabled faster funding and repairs after severe rains and flooding. It was a distinct response from the pre-emptive El Niño measures adopted in July.	No dedicated flood-response or adaptation envelope was identified in the reviewed February source.
El Niño preparedness measure (July 2026)[38]	Peru	Flood-prevention infrastructure; continuity of essential services; early action for agriculture and fisheries; precautionary fiscal planning.	Pre-emptive but not ring-fenced A separate 60-day emergency covered nearly 40% of districts because of imminent El Niño rainfall risk. Congress then approved broad supplementary spending that included prevention measures. The fiscal council questioned expanding expenditure rather than building precautionary savings.	General supplementary budget USD2.8bn across infrastructure, essential services, salaries, crime initiatives and flood prevention; no adaptation share was disclosed. Credicorp Capital estimated potential El Niño losses at PEN16bn (USD4.7bn) over 2026–2027.

Source: Allianz Research

North America

North America shows that adaptation responses can differ as much within countries as between them, shaped by the hazards faced and the strength of existing prevention systems (Table 4). California presents the strongest response in terms of financial scale and structural prevention. Following the Los Angeles wildfires, the state combined updated hazard maps, expanded prescribed burning and fuel reduction with support for home hardening, backed by USD4bn for wildfire and forest resilience. Canada offers the most developed community-based model. Its FireSmart framework links local planning, risk assessment and public preparedness, with dedicated funding for Indigenous communities and public warning systems. Implementation nevertheless remains uneven across high-risk areas. Texas represents a more reactive stage of adaptation. The Hill Country floods exposed gaps in forecasting, warning systems and emergency communication, prompting new investment in sirens, gauges, meteorological infrastructure and disaster response. These measures address clear operational weaknesses, but place less emphasis on land-use planning and long-term reduction of flood exposure. The contrast reflects the nature and history of the hazards: recurrent wildfire losses have encouraged California and Canada to build permanent prevention frameworks, while the Texas response followed a disaster that revealed neglected local preparedness.

Table 4: North America adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Texas Hill Country Flood (2025)	US	Comprehensive flood warning and forecasting; local emergency communications and evacuation planning; emergency-management training; stronger preparedness in high-risk areas[39]	Flood-warning sirens and gauges; upgraded meteorological forecasting and weather intelligence; improved flood management and warning timeliness.[40] Key warning gaps are being addressed	USD 50m for flood-warning gauges; USD 28m for forecasting and warning improvements; USD 200m for disaster response[41]
Los Angeles wildfires (2025)	US	Wildfire-resilient rebuilding and home hardening; defensible space and ember protection; community-wide mitigation; vegetation and fuel management[42]	Updated fire-hazard maps[43]; expanded fuel reduction and prescribed burning; accelerated wildfire-prevention projects.[44] Prevention capacity is relatively advanced, but broad implementation remains important	California: USD 4bn for wildfire and forest resilience; USD 200m annually through 2028-29 for forest and fire prevention[45]
Canada wildfire season (2025/26)	Canada	Community wildfire prevention and mitigation; local FireSmart planning; stronger preparedness in high-risk, northern and Indigenous communities; improved risk awareness and public warning[46]	FireSmart-ready communities; wildfire preparedness and FireSmart projects in northern and Indigenous communities; expanded community risk assessments and monitoring. Implementation remains uneven across high-risk communities[47]	CAD 285m (2023-28) for wildfire risk reduction; CAD 57.2m (2024-29) for Indigenous FireSmart measures; CAD 55.4m (2026-30) for public alerting[48]
US tornado and severe storm outbreak (2025)	US	Reliable tornado and severe-weather warning; accessible safe rooms and storm shelters; household and community emergency planning; stronger wind-resistant building protection[49]	Advanced hazardous-weather warning tools[50]; satellite and radar-based monitoring; strengthened risk communication. Warning capability is advanced, but exposure to extreme winds remains high[51]	Federal disaster assistance activated; no consolidated adaptation budget identified

Source: Allianz Research

Sub-Saharan Africa

Recent climate events are driving two different stages of adaptation in Sub Saharan Africa: anticipatory support for slow moving drought and stronger emergency management for sudden floods (Table 5). In Ethiopia, Kenya and Somalia, the drought response reaches beyond humanitarian relief through preparedness plans, cash support, solar-powered irrigation, water access and livestock assistance. Its design is increasingly preventive, but implementation remains too limited for the scale of regional exposure. The separately identified funding for East Africa and Somalia also remains fragmented across programs. Southern Africa has developed stronger operational capacity for floods. Expanded forecasting, hydrological monitoring and preventive evacuations helped countries act earlier, while search-and-rescue operations and drone assessments improved the immediate of response. Yet repeated damage across Madagascar, Malawi, Mozambique, South Africa, Zambia and Zimbabwe shows that better warning cannot compensate for vulnerable housing, transport and water infrastructure.

The difference largely reflects the hazards themselves: drought develops gradually and allows earlier livelihood protection, whereas floods require rapid warning and evacuation. Across both regions, progress is most visible in forecasting and emergency action, while investment in resilient infrastructure and long-term risk reduction remains less developed. Adaptation is therefore advancing, but financing and coverage still fall short of the geographic scale and recurrence of the shocks.

Table 5: Sub-Saharan Africa adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
East Africa drought (late 2025 - 2026)	Somalia, Ethiopia, Kenya	Drought-resilient water infrastructure; climate-resilient agriculture and livestock systems; anticipatory action and early warning; adaptive social protection and livelihood diversification[52]	National drought-preparedness activation[53]; anticipatory cash and livelihood support[54]; solar-powered irrigation and water access[55]; livestock-feed assistance[56]. Measures are expanding, but coverage remains limited relative to needs	EUR 47m for East Africa[57], in addition to USD 10m for Somalia[58]
Southern Africa floods (2026)	Madagascar, Malawi, Mozambique, South Africa, Zambia, Zimbabwe	Multi-hazard early warning[59]; climate-resilient water, energy and transport infrastructure; improved regional risk monitoring and information sharing[60]	Expanded multi-hazard early-warning systems; strengthened meteorological and hydrological monitoring[61]; preventative evacuations and search-and-rescue capacity[62]; drone-based damage assessment[63]. Early warning has improved, but infrastructure vulnerability remains high[64]	USD 187m for flood-affected communities[65]; USD 5m for Mozambique[66]; USD 1m AfDB emergency grant[67]

Source: Allianz Research

Middle East and North Africa (MENA)

MENA faces a dual hydrological risk: chronic drought and water scarcity coexist with episodic but potentially severe flooding, while preparedness and policy maturity vary sharply across countries (Table 6). Morocco represents the clearest evidence that sustained investment in early warning, hazard mapping and disaster-risk institutions can reduce human impacts, with large-scale preventive evacuations helping to limit casualties during recent flooding. Tunisia has also strengthened flood-risk management, but its response remains more focused on post-event repairs, drainage clearance and the scaling-up of protective infrastructure. Drought adaptation is more challenging in Syria and Iraq, where high exposure is compounded by structural water scarcity, weaker institutional capacity and broader socioeconomic vulnerability. Beyond domestic adaptation, transboundary water cooperation is also becoming increasingly important, as illustrated by Iraq's expanding water-management partnership with Turkey. Overall, stronger preventive investment and cooperation on shared water resources will be key to improving regional resilience

Table 6: Middle East and North Africa adaptation responses to major climate events, 2025–2026

Event	Countries affected	Adaptation targets	Measures implemented / planned	Budget needed / budget available
Morocco floods (2025/26)	Morocco	Dam-release management and early warning; climate-resilient irrigation and infrastructure; flood-risk zoning; reservoir capacity planning after extreme rainfall reversal[68]	Built on a decade-long World Bank-backed resilience program (USD 408mn since 2016)[69]: flood early-warning systems, hazard mapping, dedicated disaster-risk management directorate. This groundwork enabled a widely-praised, low-casualty response to record 2026 flooding, though the post-flood plan itself centers on relief and reconstruction	MAD 3bn (USD 330mn) post-flood relief/reconstruction plan[70]; part of a broader USD 408mn+ World Bank-backed resilience program since 2016[71]
Tunisia floods (2026)	Tunisia	Urban flood protection and drainage; impact-based early warning; risk-informed disaster planning; stronger communication and preparedness in high-risk areas[72]	Drainage and watercourse clearance; maintenance of flood-control infrastructure; strengthened monitoring and early warning; updated disaster-management plans and risk-area prioritization. Prevention efforts are being scaled up following the 2026 floods[73]	TND 132m for repairing January 2026 flood damage[74]; USD 50m World Bank financing for urban flood resilience[75]
Syria Drought (2025)	Syria	Water-efficient irrigation and reduced water losses; drought-tolerant crops and climate-smart agriculture; diversified and resilient rural livelihoods[76]; drought early warning and anticipatory action[77]	Rehabilitation of irrigation infrastructure; support for agricultural recovery and inputs[78]; development of a national drought-response plan; strengthened coordination on early warning and anticipatory action[79]. Measures are expanding, but remain insufficient relative to the scale of agricultural losses	USD 286.7 FAO for agricultural recovery and resilience plan[80]; no dedicated national drought-adaptation budget
Iraq drought (2025/26)	Iraq	Water-efficient irrigation and reduced conveyance losses; cross-border water-sharing arrangements with Turkey and Iran; drought-resilient crops and groundwater management; national drought early-warning and response planning[81]	Nationwide bans on summer/winter cropping to conserve water[82]; a Green Climate Fund–backed rural resilience project in three governorates; an oil-for-water arrangement with Turkey under negotiation[83]. Measures remain limited relative to a crisis now declared a national security threat[84]	USD 39mn Green Climate Fund project for rural household resilience[85]; no dedicated national drought-adaptation budget identified

Source: Allianz Research


Our
team

Chief Investment Officer
& Chief Economist
Allianz Investment Management SE



Ludovic Subran
ludovic.subran@allianz.com

Head of Economic Research
Allianz Trade



Ana Boata
ana.boata@allianz-trade.com

Head of Macroeconomic & Capital Markets Research
Allianz Investment Management SE



Bjoern Griesbach
bjoern.griesbach@allianz.com

Head of Outreach
Allianz Investment Management SE



Arne Holzhausen
arne.holzhausen@allianz.com

Head of Corporate Research
Allianz Trade



Ano Kuhanathan
ano.kuhanathan@allianz-trade.com

Head of Thematic & Policy Research
Allianz Investment Management SE



Katharina Utermoehl
katharina.utermoehl@allianz.com

Macroeconomic Research



Lluis Dalmau Taules
Economist for Africa & Middle East
lluis.dalmau@allianz-trade.com



Maxime Darmet Cucchiarini
Senior Economist for UK, US & France
maxime.darmet@allianz-trade.com



Françoise Huang
Senior Economist for Asia Pacific
francoise.huang@allianz-trade.com



Maddalena Martini
Senior Economist for Southern Europe & Benelux
maddalena.martini@allianz.com

Outreach



Luca Moneta
Senior Economist for Emerging Markets
luca.moneta@allianz-trade.com



Giovanni Scarpato
Economist for Central & Eastern Europe
giovanni.scarpato@allianz.com



Heike Baehr
Content Manager
heike.baehr@allianz.com



Melissa Eddy
Content Manager
melissa.eddy@allianz.com



Maria Thomas
Content Manager and Editor
maria.thomas@allianz-trade.com

Corporate Research



Jeanne Buée
Sector Advisor
jeanne.buee@allianz-trade.com



Guillaume Dejean
Senior Sector Advisor
guillaume.dejean@allianz-trade.com



Maria Latorre
Sector Advisor, B2B
maria.latorre@allianz-trade.com



Maxime Lemerle
Lead Advisor, Insolvency Research
maxime.lemerle@allianz-trade.com



Pierre Lebard
Public Affairs Officer
pierre.lebard@allianz-trade.com

Thematic and Policy Research



Michaela Grimm
Senior Economist,
Demography & Social Protection
michaela.grimm@allianz.com



Patrick Hoffmann
Economist, ESG & AI
patrick.hoffmann@allianz.com



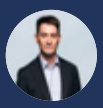
Simon Krause
Economist, ESG & Insurance
simon.krause@allianz.com



Hazem Krichene
Senior Economist, Climate
hazem.krichene@allianz.com



Kathrin Stoffel
Economist, Insurance & Wealth
kathrin.stoffel@allianz.com



Markus Zimmer
Senior Economist, ESG
markus.zimmer@allianz.com

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Director of Publications
Ludovic Subran, Chief Investment Officer & Chief Economist
Allianz Research
Phone +49 89 3800 7859

Allianz Group Economic Research
https://www.allianz.com/en/economic_research
http://www.allianz-trade.com/economic-research
Königinstraße 28 | 80802 Munich | Germany
allianz.research@allianz.com

@allianz

allianz

Allianz Trade Economic Research
http://www.allianz-trade.com/economic-research
1 Place des Saisons | 92048 Paris-La-Défense Cedex | France

@allianz-trade

allianz-trade

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